

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	NA	NA
Forced recalls	NA	NA

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, we have cyber security and data privacy policy in line with our commitment to establish and improve cyber security preparedness and minimizing exposure to associated risks.

Weblink: <https://www.adanipower.com/-/media/Project/Power/Investors/Corporate-Governance/Policies/Cyber-Security-and-Data-Privacy-Policy.pdf>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Not Applicable considering the nature of Company's product and services offerings

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

Not Applicable as business nature is B2B.

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

Not Applicable as business nature is B2B.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

Not Applicable as business nature is B2B.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Not Applicable

5. Provide the following information relating to data breaches:

a. Number of instances of data breaches along-with impact:

b. Percentage of data breaches involving personally identifiable information of customers:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Number of instances of data breaches	0	0
Percentage of data breaches involving personally identifiable information of customers	0	0

Independent Verification Statement

Introduction

DNV Business Assurance India Private Limited ('DNV') has been commissioned by the management of Adani Power Limited ('APL', Corporate Identity Number: L40100GJ1996PLC030533) to undertake an independent assurance of the company's Business Responsibility and Sustainability Reporting ('BRSR') disclosure "Principle 6", (Businesses should respect and make efforts to protect and restore the environment) which is part of APL's reporting on BRSR disclosures included in its Annual Report, it shall also be published in digital/online format. The disclosures in this Report have been prepared based on the requirements of SEBI Circular no. SEBI/HO/CFD/CMD-2/P/CIR/2021/562 dated May 10, 2021, prescribing format of the BRSR and the guidance notes and the nine principles of the National Guidelines on Responsible Business Conduct, 2019 ('NGRBC') of the Ministry of Corporate Affairs, Government of India. The intended user of this assurance statement is the Management of APL ('the Management') and its stakeholders. Our assurance engagement was planned and carried out during May 2023 – June 2023 covering the Company's sustainability (Environmental) performance during 1 April 2022 to 31 March 2023. We performed

a limited level of assurance based on our assurance methodology, VeriSustainTM1.

Responsibilities of the Management of Adani Power Limited and of the Assurance Provider

The Management has the sole responsibility for the preparation of the Report and is responsible for all information disclosed in the Report as well as the processes for collecting, analyzing and reporting the information presented in the Report. APL is also responsible for ensuring the maintenance and integrity of its website and any referenced disclosures on environmental performance. In performing this assurance work, DNV's responsibility is to the Management of APL; however, this statement represents our independent opinion and is intended to inform the outcome of the assurance to the stakeholders of APL.

We do not provide any services to APL, which in our opinion constitutes a conflict of interest with this assurance work. Our assurance engagements are based on the assumption that the data and information provided by the Company to us as part of our review have been provided in good faith and are free from material misstatements.

Scope, Boundary and Limitations

The reporting scope and boundary encompasses sustainability (Environmental) performance of APL as brought out in Section A: General Disclosures of the BRSR.

The assurance engagement considers an uncertainty of $\pm 5\%$ based on materiality threshold for estimation/measurement errors and omissions. We did not engage with any external stakeholders as part of this assurance engagement.

During the assurance process, we did not come across limitations to the scope of the agreed assurance engagement.

Basis of our Opinion

During the verification, we adopted a risk-based approach, and a sample-based verification was carried out for a limited level of verification as per DNV VeriSustain and as agreed with APL.

We carried out the following activities:

- Reviewed the approach to stakeholder engagement and materiality determination process and its outcomes as brought out in the Report.
- Conducted interviews with selected representatives responsible for management of environmental issues and carried

¹ The VeriSustain protocol is based on the principles of various assurance standards including International Standard on Assurance Engagements 3000 (ISAE 3000) Revised (Assurance Engagements other than Audits or Reviews of Historical Financial Information) and the GRI Principles for Defining Report Content and Quality, international best practices in verification and our professional experience; and is available on request from www.dnv.com

out reviews of selected evidence to support topics and claims disclosed in the Report. We were free to choose interviewees and interviewed those with overall responsibility to deliver APL's overall sustainability objectives.

- Carried out off-site verification of sustainability (Environmental) performance data and sample evidence related to the sampled sites of APL, to review the processes and systems for aggregating site-level sustainability (environment) information
- Reviewed the process of reporting on BRSR requirements including Section A: General Disclosures, Section B: Management and Process Disclosures, and Section C: Principle "6" Performance Disclosures.
- Verification of the data consolidation of reported performance disclosures in context to the Principle of Completeness as per VeriSustain for a limited level of verification.
- An independent assessment of the reports non-financial information against the requirements of BRSR "Principle 6" and the guidance notes

Opinion and Observations

Based on the verification undertaken, nothing has come to our attention to suggest that the Report together with referenced information does not adhere to the requirements of BRSR "Principle 6" including the General Disclosures, Management and Process Disclosures.

Without affecting our assurance opinion, we provide the following observations against the principles of VeriSustain:

Materiality

The process of determining the issues that is most relevant to an organization and its stakeholders.

The Report brings out the broad range of with the rationale for issues which the Company has identified as being material to its business which are mapped as risks and opportunities, along with the rationale for considering the issue as being material. Key environmental risks, stakeholder opinions and concerns, and peer issues were taken into account while arriving at overall topics which were further prioritized to arrive at the significant material issues. Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Materiality.

Stakeholder Inclusiveness

The participation of stakeholders in developing and achieving an accountable and strategic response to Sustainability.

The Report brings out the formal and informal channels in place to engage with its various identified stakeholders, including descriptions of the methods, frequencies and basis of engagement with each stakeholder group, as well as opinions and concerns arising out of the engagement processes during the reporting period. Inputs from the stakeholder engagement are used towards identifying key environmental topics and refining

the Company's policies and strategies.

Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Stakeholder Inclusiveness.

Responsiveness

The extent to which an organization responds to stakeholder issues.

The Report brings out the approaches adopted by the Company to adapt and/or mitigate impacts related to its identified material issues, as well as responses to key stakeholder concerns. The disclosures bring out the descriptions of structures, policies and processes implemented by APL towards adopting and reviewing the NGRBC Principle 6, as well as performance data, and processes for governance.

Nothing has come to our attention to believe that the Report does not meet the requirements related to the Principle of Responsiveness.

Reliability

The accuracy and comparability of information presented in the report, as well as the quality of underlying data management systems.

The Report brings out the processes that APL has established towards capturing and reporting its sustainability performance related to Principle "6" of NGRBC. The majority of the data and information verified through our remote assessments with the Company's management teams and data owners at the sites, sampled by us as part of our assurance engagement

were found to be fairly accurate and reliable. Some of the data inaccuracies identified during the verification process were found to be attributable to transcription, interpretation and aggregation errors. These data inaccuracies have been communicated for correction and the related disclosures were reviewed for correctness.

Nothing has come to our attention to believe that the Report does not meet the principle of Reliability.

Completeness

How much of all the information that has been identified as material to the organisation and its stakeholders is reported?

The Report brings out the Company's performance during FY2023 related to environmental aspects of the BRSR and covering the operations of APL, covering the performance related to NGRBC Principle "6". APL may further strengthen its processes towards capturing and reporting information and data related to Essential and certain Leadership Indicators of Principle-wise Performance Disclosures in future

reporting periods.

Nothing has come to our attention to suggest that the Report does not meet the Principle of Completeness with respect to scope, boundary and time.

Neutrality

The extent to which a report provides a balanced account of an organization's performance, delivered in a neutral tone.

The Report brings out APL's sustainability (Environmental) performance during the reporting period in a neutral tone in terms of content along with descriptions of key risks and opportunities during the reporting period.

Nothing has come to our attention to suggest that the Report does not meet the requirements related to the Principle of Neutrality.

Statement of Competence and Independence

DNV applies its own management standards and compliance policies for quality control, in accordance with ISO IEC 17021:2015 - Conformity Assessment Requirements for bodies

providing audit and certification of management systems, and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We have complied with the DNV Code of Conduct² during the verification engagement and maintain independence where required by relevant ethical requirements as detailed in DNV VeriSustain. This engagement work was carried out by an independent team of sustainability assurance professionals. DNV was not involved in the preparation of any statements or data except for this Assurance Statement, the GHG Verification Statement and Management Report. DNV maintains complete impartiality toward stakeholders interviewed during the verification process. We did not provide any services to APL in the scope of assurance during FY2023 that could compromise the independence or impartiality of our work.

For DNV Business Assurance India Private Limited

Karthik Ramaswamy
Lead Verifier,
Sustainability Services,
DNV Business Assurance India
Private Limited, India

Anjana Sharma
Head – Regional Sustainability
Operations,
DNV Business Assurance India
Private Limited, India

Venkata Raman Kakaraparthi
Assurance Reviewer,
Sustainability Services
DNV Business Assurance India
Private Limited, India

June 2023, Mumbai, India.

DNV Business Assurance India Private Limited is part of DNV – Business Assurance, a global provider of certification, verification, assessment and training services, helping customers to build sustainable business performance. www.dnv.com

Independent Auditor's Report

To the Members of **Adani Power Limited**

Report on the Audit of the Standalone Financial Statements

Qualified Opinion

We have audited the accompanying standalone financial statements of Adani Power Limited ("the Company"), which comprise the Balance sheet as at March 31, 2023 the Statement of Profit and Loss, including the statement of Other Comprehensive Income, the Cash Flow Statement and the Statement of Changes in Equity for the year then ended, and notes to the standalone financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, except for the effects of the matters described in the 'Basis for Qualified Opinion' section of our report, the aforesaid standalone financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2023, its profit including other comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Qualified Opinion

We refer to Note 67 of the standalone financial statements. Pending completion of the ongoing investigations by Securities and Exchange Board of India and completion of proceedings before the Hon'ble Supreme Court in terms of its order dated March 2, 2023, in respect of the matter stated in the said note, we are unable to comment on the possible consequential effects thereof, if any, on these standalone financial statements.

We conducted our audit of the standalone financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Standalone Financial Statements' section of our report. We are independent of the Company in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of

India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified audit opinion on the standalone financial statements.

Emphasis of Matter

The comparative financial information of the Company as at and for the year ended March 31, 2022 included in these Standalone Financials Statements have been restated to give the effect of the adjustments arising from Amalgamation (the "Scheme") between the Company and its six wholly owned subsidiaries as fully described in the Note 64 to the standalone financial statements.

Our opinion is not modified in respect of this matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements for the financial year ended March 31, 2023. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the 'Basis for Qualified Opinion' section we have determined the matters described below to be the key audit matters to be communicated in our report. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the standalone financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the standalone financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying standalone financial statements.

Key audit matters	How our audit addressed the key audit matter
<u>Revenue recognition and assessment of recoverability of receivables related to change in law claims</u> (Also refer Notes 3(vii), 11 and 33 to the standalone financial statements)	
The Company, having Power Purchase Agreements (PPA) are eligible for compensation claims against various Change in Law events having cost implications on generation and supply of power such as additional duties and taxes, increased cost of power generation, etc., due to purchase of alternative coal in terms of the framework of supply of power as per PPA entered by the respective Thermal Power Plant/ Units with the various Discoms. The compensation claims (invoices) are raised by the Company upon approval of change in law event by the relevant Regulatory Authorities. The invoices for change in law claims are raised considering operational / cost parameters based on qualitative parameters approved in terms of the relevant Regulatory Authorities Orders and are subject to partial / final acceptance of the claims by the respective Discoms. Considering that the methodology and the parameters of claims are subject to final acceptance by the respective Discoms, the revenue is recognised in the books of account based on the prudent parameters of claims and methodology, till the respective matters are accepted / settled with the Discoms. Thus, the revenue/ receivables from Discoms are subject to adjustments to the extent there may be adverse impact on account of appeals with the regulatory authorities. In certain cases where the regulatory order(s) are subject matter of appeal with higher appellate forums / authorities, and the amount of claims are not ascertainable, revenues for change in law claims are not recognised, pending outcome of the final decision. In view of the complexity and judgement involved in estimation of the amounts of such claims and recoverability thereof, the same is considered as a key audit matter.	Our audit procedures in response to this key audit matter included, but not limited to, the following: - Examined the Company's accounting policies with respect to assessing compliance with Ind AS 115 "Revenue from Contract with Customers". - Obtained understanding of the key controls that management has in place to monitor change in law events and related claims, status of various pending claims including under appeals and orders passed by various regulatory authorities. - Inspected the relevant state regulatory commission, CERC, appellate tribunal and court rulings and examined management assumptions / judgement relating to various parameters in terms of regulatory orders, for measuring / estimating the amount of such claims. - Examined the underlying parameters and assumptions / judgement used for measuring / computing the amounts of compensation claims as per regulatory orders through verification of historical information and other available internal and external data. - Tested on sample basis, the accuracy of the underlying data used for computation of such claims. - Tested the joint reconciliations for trade receivables performed by the Company with the respective Discoms, wherever available with underlying records. - Tested the status of the outstanding receivables and recoverability of the overdue / aged receivables through inquiry with management, and collection trends in respect of receivables. - Assessed the disclosures in accordance with the requirements of Ind AS 115 "Revenue from Contract with Customers".
<u>Revenue recognition for regulated power generation business</u> (Also refer Note 33 to the standalone financial statements)	
In the regulated power generation business of Udupi Thermal Power Plant (Udupi TPP) (erstwhile known as Udupi Power Corporation Limited), the tariff is determined by the regulator based on cost plus return on equity basis wherein cost is subject to prudential norms. The Company invoices its customers on the basis of provisional approved tariff which is based on Tariff Regulation and is subject to true up adjustment. As the Company is entitled to tariff based on actual cost incurred for the year, at point of revenue recognition it recognises adjustments for the escalation/ de-escalation in the various parameters compared to the entitled parameters.	Our audit procedures in response to this key audit matter included, but not limited to, the following: - Examined the Company's accounting policies with respect to assessing compliance with Ind AS 115 "Revenue from Contract with Customers". - Performed test of controls over revenue recognition and accruals through inspection of evidence of performance of these controls. - Performed the tests of details including the following key procedures:

Key audit matters	How our audit addressed the key audit matter
Accruals are determined based on tariff regulations and past tariff orders and are subject to verification and approval by the regulators. Further the costs incurred are subject to prudential checks and the prescribed norms. Significant judgements are made in determining the accruals including interpretation of tariff regulations. Further certain matters for disallowance of claims has been litigated by the Company before higher authorities. Revenue recognition and accrual of regulatory claims is a key audit matter considering the significant judgements involved in the determination thereof.	• Evaluated the key assumptions used by the Company by comparing it with the assumptions in provisional approved tariff order. • For tariff orders (including updated tariff order) received by the Company, assessed the impact recognised by the Company and for matters litigated by the Company, also assessed the management's evaluation of the likely outcome of the dispute based on past precedents. • Tested the joint reconciliation for invoiced billed and approved tariff-based income performed by the Company with the Discoms, wherever available with underlying records and adjustments made in books of account as recoverable/ payable for the respective approved tariff periods. - Assessed the disclosures in accordance with the requirements of Ind AS 115 "Revenue from Contract with Customers".

Evaluation of impairment of property, plant and equipment

(Also refer Note 3(iv) and 47(c) to the standalone financial statements)

As at March 31, 2023, the carrying value of the Property, Plant and Equipment (PPE) of the Company (Mundra Thermal Power Plant (TPP) Cash Generating Unit (CGU)) is ₹13,706.48 crores (net of government grant). To assess if there is an impairment in the carrying value of PPE of Mundra TPP CGU, the management conducts CGU level impairment tests annually or whenever changes in circumstances or events indicate that, the carrying value of PPE may require evaluation to verify recoverability. An impairment loss is recognised if the recoverable amount of PPE is lower than the carrying value. The recoverable amount of the Mundra TPP CGU is evaluated by calculating the value in use of the CGU to which carrying value of PPE is attributable along with the revised SPPA entered with Gujarat Urja Vikas Nigam Limited ("GUVNL") in terms of Settlement Deed with the said Discom dated January 4, 2022, which has been approved by Hon'ble Supreme Court. Further, the unit has also entered into Supplementary Power Purchase Agreement (SPPA) with Haryana discom in February 2023 and long term PPA with MPSEZ Utilities Limited ("MUL") to supply power from Mundra TPP in April 2023. This is a key audit matter as the testing of impairment of carrying value of Mundra TPP PPE is complex and involves significant judgement. . The key assumptions involved in impairment test are projected revenue growth, tariff estimate, cost of coal, operating margins, estimated life of PPE and discount rates and terminal value.	Our audit procedures in response to this key audit matter included, but not limited to, the following: - We have obtained an understanding the Management's internal controls over its annual impairment assessment and key assumptions applied such as revenue growth, operating margins, discount rates, estimated life of PPE and terminal growth rates; - We obtained CGU valuation model prepared by the management and engaged our valuation specialists to evaluate the appropriateness of valuation methodology applied in impairment testing and to test the key assumptions around expected long term growth parameters discount rates etc. - We discussed potential changes in key drivers with management in order to evaluate the suitability of inputs and assumptions used in the cash flow forecasts and performed sensitivity analysis around the key assumptions used by management. - We have obtained an understanding of impact of the revised agreement entered with GUVNL dated March 30, 2022, Haryana discom for supplying the power dated February 28, 2023 and long term PPA entered with MUL for supply of power dated April 14, 2023 having impact on the valuation model. - Assessed the disclosures in accordance with the requirements of Ind AS 36 "Impairment of Assets".
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Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual report, but does not include the standalone financial statements and our auditor's report thereon.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Management for the Standalone Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going

concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the

Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements for the financial year ended March 31, 2023 and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the "Annexure 1" a statement on the matters specified in paragraphs 3 and 4 of the Order.
2. As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and except for the matter described in the Basis for Qualified Opinion paragraph, obtained all the information

and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;

- (b) Except for the matter described in the Basis for Qualified Opinion paragraph, in our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;
- (c) The Balance Sheet, the Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Cash Flow Statement and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account;
- (d) Except for the effects of the matter described in the Basis for Qualified Opinion paragraph above, in our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;
- (e) The matter described in the Basis for Qualified Opinion paragraph above, in our opinion, may have an adverse effect on the functioning of the Company;
- (f) On the basis of the written representations received from the directors as on March 31, 2023 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2023 from being appointed as a director in terms of Section 164 (2) of the Act;
- (g) The qualification relating to the maintenance of accounts and other matters connected therewith are as stated in the Basis for Qualified Opinion paragraph above;
- (h) With respect to the adequacy of the internal financial controls with reference to standalone financial statements and the operating effectiveness of such controls, refer to our separate Report in "Annexure 2" to this report;
- (i) The Company has not paid any managerial remuneration to its directors and thus, the provisions of section 197 read with Schedule V of the Act are not applicable to the Company for the year ended March 31, 2023;
- (j) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:

- i. The Company has disclosed the impact of pending litigations on its financial position in its standalone financial statements – Refer Note 41 to the standalone financial statements;
- ii. The Company has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts;
- iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
- iv. a) The management has represented that, to the best of its knowledge and belief, as disclosed in the note 66 to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- b) The management has represented that, to the best of its knowledge and belief, as disclosed in the note 66 to the standalone financial statements, no funds have been received by the company from any person or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any

guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

- c) Based on such audit procedures that were considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.
- v. The dividend on compulsory redeemable preference shares in respect of the same declared for the previous years and paid by the Company during the year, is in accordance with section 123 of the Companies Act 2013 to the extent it applies to payment of dividend.

As stated in note 62 of the standalone financial statements, the Board of Directors of the Company have proposed dividend on compulsory redeemable preference shares for the year which is subject to the approval of members at the ensuing Annual General Meeting. The dividend declared is in accordance with Section 123 of the Act to the extent it applies to declaration of dividend.
- vi. As proviso to rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable for the company only w.e.f. April 1, 2023, reporting under this clause is not applicable.

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYXA8928

Place of Signature: Ahmedabad

Date: May 5, 2023

Annexure 1 referred to in Paragraph 1 of Report

on Other Legal and Regulatory Requirements of our report of even date for the year ended March 31, 2023

In terms of the information and explanations sought by us and given by the company and the books of accounts and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

- (i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment
- (B) The Company has maintained proper records showing full particulars of intangibles assets.
- (b) All Property, Plant and Equipment have not been physically verified by the Management during the year but there is a regular programme of verification which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. No Material discrepancies were noticed on such verification.
- (c) The title deeds of immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in Note 4.1 to the financial statements are held in the name of the Company, except number of cases of immovable properties as disclosed in the table below as at March 31, 2023 for which title deeds were not held in the name of the Company.

Description of item of property	Gross carrying value	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter / director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
Land - Freehold for Bitta Power Plant	1.91	Mrs. Jamnaben H Bhanushali	No	1st April, 2014	Under litigation at Civil Court, Kutch, Gujarat
Land (Leasehold and Freehold) and Building of Mundra TPP	641.27	Adani Power (Mundra) Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	Land and Building pending transfer to the Company on account of scheme of amalgamation, which are in the name of erstwhile subsidiaries, will be transferred in the name of the Company in due course.
Land (Leasehold and Freehold) and Building of Tiroda TPP	682.57	Adani Power Maharashtra Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	
Land (Leasehold and Freehold) and Building of Kawai TPP	342.21	Adani Power Rajasthan Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	
Land (Leasehold and Freehold) and Building of Udupi TPP	413.69	Udupi Power Corporation Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	
Land (Leasehold and Freehold) and Building of Raipur TPP	273.27	Raipur Energen Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	
Land (Leasehold and Freehold) and Building of Raigarh TPP	282.19	Raigarh Energy Generation Limited (Erstwhile Subsidiary)	No	Since March 7, 2023 till date.	

- (d) The Company has not revalued its Property, Plant and Equipment (including Right of use assets) or intangible assets during the year ended March 31, 2023.
- (e) There are no proceedings initiated or are pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.
- (ii) (a) The inventory has been physically verified by the management during the year. In our opinion, the frequency of verification by the management is reasonable and the coverage
- and procedure for such verification is appropriate and discrepancies of 10% or more in aggregate for each class of inventory were not noticed in respect of such verification.
- (b) The Company has been sanctioned working capital limits in excess of Rs. five crores in aggregate from banks during the year on the basis of security of current assets of the Company. The quarterly returns/statements filed by the Company with such banks in respect of gross value of primary security, are in agreement with the books of accounts of the Company.

- (iii) a. During the year, the Company has granted loans, stood guarantee and provided security to various Companies as summarised below:

(in ₹ crores)

Particulars	Corporate guarantees	Security*	Loans
Aggregate amount granted/ provided during the year			
- Subsidiaries	-	868.20	1,490.80
Balance outstanding as at balance sheet date (including amount outstanding at beginning of the year)			
- Subsidiaries	11,975.42	4,417.77	1,251.78

*Company has offered its equity and debentures instruments to the subsidiaries lenders.

During the year, the Company has not granted loans, advance in nature of loans, stood guarantee or provided any security to firms and Limited Liability partnerships.

- b. The terms and conditions in respect of loans granted are not prejudicial to the Company's interest.
- c. The schedule of repayment in respect of loans granted for principal and interest payment has been stipulated and the repayment or receipts are regular, and interest get capitalised at year end with the amount of outstanding loans, as per the terms of the agreement.
- d. There are no amounts of loans and advances in the nature of loans granted to companies which are overdue for more than ninety days.
- e. There were no loans or advances in the nature of loans granted to companies which was fallen due during the year based on the tenure of respective loan agreements.
- f. The Company has not granted any loans or advances in the nature of loans, either repayable on demand or without specifying any terms or period of repayment to companies. Accordingly, the requirement to report on clause 3(iii)(f) of the Order is not applicable to the Company.
- iv) Loans, investments, guarantees, and securities, in respect of which provision of Section 185 and Section 186 of the Companies Act, 2013 are applicable have been complied with by the Company.
- (v) The Company has neither accepted any deposits from the public nor accepted any amounts which are deemed to be deposits within the meaning of sections 73 to 76 of the Companies Act and the rules made thereunder, to the extent applicable. Accordingly, the requirement to report on clause 3(v) of the Order is not applicable to the Company.
- (vi) We have broadly reviewed the books of account maintained by the Company pursuant to the rules made by the Central Government for the maintenance of cost records under section 148(1) of the Act, related to the generation of power and are of the opinion that prima facie, the specified accounts and records have been made and maintained. We have not, however, made a detailed examination of the same.

- (vii) (a) The Company is regular in depositing with appropriate authorities undisputed statutory dues including goods and services tax, provident fund, income-tax, duty of customs, cess and other statutory dues applicable to it. The provision relating to employees' state insurance are not applicable to the Company. According to the information and explanations given to us and based on audit procedure performed by us, no undisputed amounts payable in respect of these statutory dues were outstanding, at the year end, for a period of more than six months from the date they became payable.
- (b) According to the records of the Company, the dues outstanding of income tax on account of any dispute, are as follows:

Name of Statute	Nature of Dues	Amount due (Rs. In Crores)	Amount Paid under protest (Rs. in Crores)	Period to which amount relates	Forum where dispute is pending
Income Tax Act, 1961	Income Tax	-	5.08	Financial Year 2011-12, 2013-14	Income Tax Appellate Tribunal (ITAT)
Income Tax Act, 1961	Income Tax	16.32	-	Financial Year 2016-17, 2017-18	Commissioner of Income tax (Appeals)
Income Tax Act, 1961	Income Tax	4.11	2.23	Financial Year 2009-10 & 2010-11	High Court of Gujarat
Customs Act, 1962	Custom duty and interest	275.22	19.26	March 2012 to February 2013	Custom, Excise and Service Tax Appellate Tribunal
Customs Act, 1962	Interest on Custom duty	38.95	-	July 2015 to February 2016	Hon'ble Supreme Court
Customs Act, 1962	Custom Duty	963.94	-	2009-10 to 2014-15	Development Commissioner, Mundra
Finance Act, 1994	Service Tax	17.31	7.64	Apr 2017 to Jun 2017	Principal Commissioner of GST, Ahmedabad
Central Sales Tax Act, 1956	Central Sales Tax	11.83	1.27	Financial Year - 2017-18	Joint Commissioner of State Tax (Appeal), Ahmedabad
Finance Act, 1994	Service Tax	5.12	-	Financial Year- 2008-09	High Court of Gujarat
Chhattisgarh Entry Tax, 1976	Entry Tax	1.40	0.25	Financial Year -2015-16 & 2017-18	Additional Commissioner (Appeals), Raipur
Maharashtra Value Added Tax Act, 2002	VAT	1.51	-	Financial Year 2013-14	Jt. Commissioner of State Tax (Adm), Nagpur

- (viii) The Company has not surrendered or disclosed any transaction, previously unrecorded in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year. Accordingly, the requirement to report on clause 3(viii) of the Order is not applicable to the Company.
- (ix) (a) The Company has not defaulted in the repayment of loans or borrowings or in the payment of interest thereon to any lender as at the balance sheet date.
- (b) The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.
- (c) Term loans were applied for the purpose for which the loans were obtained.
- (d) On an overall examination of the financial statements of the Company, no funds raised on short-term basis have been used for long-term purposes by the Company.
- (e) On an overall examination of the financial

statements of the Company, the Company has not specifically taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries. The Company does not have any associates or joint ventures.

- (f) The Company has not raised loans during the year on the pledge of securities held in its subsidiaries. The Company does not have any associates or joint ventures. Hence, the requirement to report on clause (ix)(f) of the Order is not applicable to the Company.
- (x) (a) The Company has not raised any money during the year by way of initial public offer / further public offer hence, the requirement to report on clause 3(x)(a) of the Order is not applicable to the Company.
- (b) The Company has not made any preferential allotment or private placement of shares / fully or partially or optionally convertible debentures during the year under audit and hence, the requirement to report on clause 3(x)(b) of the Order is not applicable to the Company.
- (xi) (a) No fraud by the Company or no material fraud on the Company has been noticed or reported during the year. We are unable to comment on the possible consequential effects, if any, arising out of the pending Hon'ble Supreme Court proceedings and regulatory investigations as stated in the 'Basis for Qualified Opinion' paragraph of our audit report.
- (b) During the year, no report under sub-section (12) of section 143 of the Companies Act, 2013 has been filed by cost auditor/secretarial auditor or by us in Form ADT – 4 as prescribed under Rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.
- (c) As represented to us by the management, there are no whistle blower complaints received by the company during the year. We are unable to comment on the possible consequential effects, if any, arising out of the pending Hon'ble Supreme Court proceedings and regulatory investigations as stated in the 'Basis for Qualified Opinion' paragraph of our audit report.
- (xii) The Company is not a nidhi Company as per the provisions of the Companies Act, 2013. Therefore, the requirement to report on clause 3(xii)(a) to 3(xii)(c) of the Order are not applicable to the Company.
- (xiii) Transactions with the related parties are in compliance with sections 177 and 188 of

Companies Act, 2013 where applicable and the details have been disclosed in the notes to the standalone financial statements, as required by the applicable accounting standards, except for the effects of the matter referred to in the 'Basis of Qualified Opinion' paragraph of our Audit Report of even date.

- (xiv) (a) The Company has an internal audit system commensurate with the size and nature of its business.
- (b) The internal audit reports of the Company issued till the date of the audit report, for the period under audit have been considered by us.
- (xv) According to the information and explanations given by the management, the Company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence requirement to report on clause 3(xv) of the Order is not applicable to the Company.
- (xvi) (a) According to the information and explanations given to us the provisions of section 45-IA of the Reserve Bank of India Act, 1934 are not applicable to the Company. Accordingly, the requirement to report on clause (xvi)(a) of the Order is not applicable to the Company.
- (b) The Company has not conducted any Non-Banking Financial or Housing Finance activities without obtained a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.
- (c) The Company is not a Core Investment Company as defined in the regulations made by Reserve Bank of India. Accordingly, the requirement to report on clause 3(xvi) of the Order is not applicable to the Company.
- (d) There are no Core Investment Companies as a part of the Group, hence, the requirement to report on clause 3(xvi) of the Order is not applicable to the Company.
- (xvii) The Company has not incurred cash losses in the current financial year but it incurred cash losses of ₹282.12 crores in the immediately preceding financial year, as reported, without considering impact of amalgamation (Refer Note 64 of the standalone financial statements).
- (xviii) There has been no resignation of the statutory auditors during the year and accordingly requirement to report on Clause 3(xviii) of the Order is not applicable to the Company.
- (xix) On the basis of the financial ratios disclosed in note 69 to the financial statements, the ageing

and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Management / Board of Directors business plan and based on our examination of evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that Company is not capable of meeting its liabilities, existing at the date of balance sheet, as and when they fall due within a period of one year from the balance sheet date.

We further state that this is not an assurance as to the future viability of the Company and our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

- (xx) (a) There are no unspent amounts that are required to be transferred to a fund specified in Schedule VII of the Companies Act (the Act), in compliance with second proviso to sub section 5 of section 135 of the Act. This matter has been disclosed in note 59 to the financial statements.
- (b) There are no unspent amounts in respect

of ongoing projects, that are required to be transferred to a special account in compliance of provision of sub section (6) of section 135 of Companies Act. This matter has been disclosed in note 59 to the financial statements.

- (xxi) The requirement of clause 3(xx) is not applicable in respect of Standalone Financial Statements.

For S R B C & CO. LLP

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYXA8928

Place of Signature : Ahmedabad

Date: May 5, 2023

Annexure 2 to the Independent Auditor's Report

of even date on the Standalone Financial Statements of Adani Power Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 (the "Act")

We have audited the internal financial controls over financial reporting of Adani Power Limited ("the Company") as of March 31, 2023, in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting with reference to these standalone financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing as specified under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting with reference to these standalone financial statements was established and maintained and if such controls operated effectively in all material respects.

An audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls over financial reporting with reference to these standalone financial statements and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting with reference to these standalone financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified audit opinion on the internal financial controls over financial reporting with reference to these standalone financial statements.

Meaning of Internal Financial Controls Over Financial Reporting With Reference to these Standalone Financial Statements

A company's internal financial control over financial reporting with reference to these standalone financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting with reference to these standalone financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3)

provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting With Reference to these Standalone Financial Statements

Because of the inherent limitations of internal financial controls over financial reporting with reference to these standalone financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting with reference to these standalone financial statements to future periods are subject to the risk that the internal financial control over financial reporting with reference to these standalone financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Qualified Opinion

According to the information and explanations given to us and based on our audit, pending completion of the ongoing investigations of Securities and Exchange Board of India and completion of proceedings before the Hon'ble Supreme Court in terms of its order dated March 2, 2023 as stated in the 'Basis for Qualified Opinion' paragraph of our audit report, and the consequential impact it may have on Company's processes and internal controls including related party transactions and compliance with applicable laws and regulations, to that extent we are unable to comment on whether there is any material weakness in the Company's internal controls as at March 31, 2023.

A 'material weakness' is a deficiency, or a combination of deficiencies, in internal financial control over financial reporting, such that there is a reasonable possibility that a material misstatement of the company's annual or interim financial statements will not be prevented or detected on a timely basis.

In our opinion, except for the possible effects of the material weakness described above on the

achievement of the objectives of the control criteria, the Company has maintained, in all material respects, adequate internal financial controls over financial reporting with reference to these standalone financial statements and such internal financial controls over financial reporting with reference to these standalone financial statements were operating effectively as of March 31, 2023, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Explanatory paragraph

We also have audited, in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India, as specified under Section 143(10) of the Act, the standalone financial statements of Adani Power Limited, which comprise the Balance Sheet as at March 31, 2023, and the related Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Cash Flow Statement and the Statement of Changes in Equity for the year then ended, and a summary of significant accounting policies and other explanatory information, and our report dated May 5, 2023, expressed a qualified opinion.

For S R B C & CO LLP

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYXA8928

Place of Signature : Ahmedabad

Date: May 5, 2023

Balance Sheet as at 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Notes	As at 31st March, 2023	As at 31st March, 2022 [Restated(Refer Note 64)]
ASSETS			
Non-current Assets			
(a) Property, Plant and Equipment	4.1	46,380.45	49,139.79
(b) Capital Work-In-Progress	4.1	188.33	184.30
(c) Goodwill	4.2	190.61	190.61
(d) Other Intangible Assets	4.3	11.73	11.88
(e) Financial Assets			
(i) Investments	5	6,373.48	4,658.49
(ii) Loans	6	1,251.78	609.54
(iii) Other Financial Assets	7	546.39	782.09
(f) Other Non-current Assets	8	691.05	639.57
Total Non-current Assets		55,633.82	56,216.27
Current Assets			
(a) Inventories	9	2,324.07	2,208.07
(b) Financial Assets			
(i) Investments	10	-	175.01
(ii) Trade Receivables	11	11,380.93	9,490.01
(iii) Cash and Cash Equivalents	12	193.76	574.52
(iv) Bank balances other than (iii) above	13	1,498.58	1,440.43
(v) Loans	14	3.06	3.18
(vi) Other Financial Assets	15	244.12	302.11
(c) Other Current Assets	16	1,553.61	1,356.58
Total Current Assets		17,198.13	15,549.91
Total Assets		72,831.95	71,766.18
EQUITY AND LIABILITIES			
EQUITY			
(a) Equity Share Capital	17	3,856.94	3,856.94
(b) Unsecured Perpetual Securities	18	13,215.00	13,215.00
(c) Other Equity	19	11,151.93	1,391.95
Total Equity		28,223.87	18,463.89
LIABILITIES			
Non-current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	20	24,978.63	30,462.45
(ia) Lease Liabilities	21	87.76	93.49
(ii) Other Financial Liabilities	22	286.21	205.69
(b) Provisions	23	148.32	132.38
(c) Deferred Tax Liabilities (Net)	24	-	2,303.87
(d) Other Non-current Liabilities	25	4,183.15	4,487.21
Total Non-current Liabilities		29,684.07	37,685.09
Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	26	7,827.72	9,932.80
(ia) Lease Liabilities	27	8.75	7.98
(ii) Trade Payables	28		
- total outstanding dues of micro enterprises and small enterprises		82.38	52.93
- total outstanding dues of creditors other than micro enterprises and small enterprises		2,305.00	3,395.63
(iii) Other Financial Liabilities	29	1,075.08	714.68
(b) Other Current Liabilities	30	3,611.69	854.92
(c) Provisions	31	13.39	12.94
(d) Current Tax Liabilities (Net)	32	-	645.32
Total Current Liabilities		14,924.01	15,617.20
Total Liabilities		44,608.08	53,302.29
Total Equity and Liabilities		72,831.95	71,766.18

The accompanying notes are an integral part of these standalone financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Statement of Profit and Loss for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Notes	For the year ended 31st March, 2023	For the year ended 31st March, 2022 [Restated(Refer Note 64)]
Income			
Revenue from Operations	33	36,681.21	27,711.18
Other Income	34	4,519.98	4,068.32
Total Income		41,201.19	31,779.50
Expense			
Fuel Cost		24,551.98	14,762.21
Purchase of Stock-in-trade / Power for resale	35	209.58	545.56
Transmission Charges		469.85	642.77
Employee benefits expense	36	530.36	470.21
Finance Costs	37	3,306.80	4,086.92
Depreciation and Amortisation Expense	4.1 and 4.3	3,142.79	3,116.21
Other Expenses	38	1,600.45	1,453.74
Total Expenses		33,811.81	25,077.62
Profit before tax and Deferred tax (adjustable) / recoverable from future tariff		7,389.38	6,701.88
Tax (Credit) / Expenses			
Current Tax	39	-	768.33
Tax (credit) adjusted relating to earlier years	39 and 65	(768.33)	(0.11)
Deferred Tax (credit) / charge (including ₹2,303.87 Crores adjustment relating to earlier periods (previous year ₹Nil))	39 and 65	(2,303.87)	976.57
Total Tax (Credit) / Expenses		(3,072.20)	1,744.79
Add : Deferred tax (adjustable) / recoverable future tariff (net of tax)	65	(215.43)	79.25
Profit for the year		10,246.15	5,036.34
Other Comprehensive Income			
Items that will not be reclassified to profit or loss in subsequent periods			
Remeasurement (loss) on defined benefit plan		(4.17)	(10.72)
Income tax impact		-	0.78
Net Gain on sale of Investment classified at Fair Value through Other Comprehensive Income ("FVTOCI")		-	26.94
Income tax impact		-	-
Other Comprehensive (Loss) / Income that will not be reclassified to profit or loss in subsequent periods, net of tax		(4.17)	17.00
Total Comprehensive Income for the year, net of tax		10,241.98	5,053.34
Earnings Per Equity Share (EPS)	40	23.32	9.95
Basic and Diluted (₹) (Face Value ₹ 10 Per Share)			

The accompanying notes are an integral part of these standalone financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Statement of changes in equity

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Other Equity												
	Equity Share Capital		Unsecured Perpetual Securities	Reserves and Surplus						Other Comprehensive Income (OCI)		Total other equity	Total Equity
				Deemed Equity Contribution	Capital Reserve	Securities Premium	General Reserve	Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	Retained Earnings	Equity instruments through OCI			
											Amount		
Balance as at 1st April, 2021	No. of Shares	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount
Balance as at 1st April, 2021	3,85,69,38,941	3,856.94	9,015.00	1,772.93	465.80	4,136.27	9.04	-	(2,170.63)	-	4,213.41	17,085.35	
Add : Changes on account of amalgamation (Refer note 64)		-	3,600.00	-	923.60	3,273.56	-	-	(11,728.68)	-	(7,531.52)	(3,931.52)	
Balance as at 1st April, 2021 (Restated)*	3,85,69,38,941	3,856.94	12,615.00	1,772.93	1,389.40	7,409.83	9.04	-	(13,899.31)	-	(3,318.11)	13,153.83	
Profit for the year	-	-	-	-	-	-	-	-	5,036.34	-	5,036.34	5,036.34	
Other Comprehensive Income for the year													
Remeasurement (loss) on defined benefit plan, net of tax	-	-	-	-	-	-	-	-	(9.94)	-	(9.94)	(9.94)	
Net Gain on sale of Investment classified at FVTOCI, net of tax	-	-	-	-	-	-	-	-	-	26.94	26.94	26.94	
Total comprehensive Income for the year	-	-	-	-	-	-	-	-	5,026.40	26.94	5,053.34	5,053.34	
Equity component of Non-cumulative Compulsory Redeemable Preference Shares issued during the year (Refer Note 63)	-	-	-	-	-	-	-	246.55	-	-	246.55	246.55	
Gain on sale of Compulsory Convertible Preference Shares (CCPS) transferred to Retained Earnings	-	-	-	-	-	-	-	-	26.94	(26.94)	-	-	
Unsecured Perpetual Securities (Refer note 18)													
Issued during the year	-	-	600.00	-	-	-	-	-	-	-	-	600.00	
Distribution to holders of Unsecured Perpetual Securities	-	-	-	-	-	-	-	-	(589.83)	-	(589.83)	(589.83)	
Balance as at 31st March, 2022 (Restated)	3,85,69,38,941	3,856.94	13,215.00	1,772.93	1,389.40	7,409.83	9.04	246.55	(9,435.80)	-	1,391.95	18,463.89	
Balance as at 1st April, 2022 (Restated)	3,85,69,38,941	3,856.94	13,215.00	1,772.93	1,389.40	7,409.83	9.04	246.55	(9,435.80)	-	1,391.95	18,463.89	

Statement of changes in equity for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Other Equity												
	Equity Share Capital		Unsecured Perpetual Securities	Reserves and Surplus						Other Comprehensive Income (OCI)		Total other equity	Total Equity
				Deemed Equity Contribution	Capital Reserve	Securities Premium	General Reserve	Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	Retained Earnings	Equity instruments through OCI			
	No. of Shares	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Amount	
Profit for the year	-	-	-	-	-	-	-	-	10,246.15	-	10,246.15	10,246.15	
Other Comprehensive Income for the year													
Remeasurement (loss) on defined benefit plan, net of tax	-	-	-	-	-	-	-	-	(4.17)	-	(4.17)	(4.17)	
Total comprehensive Income for the year	-	-	-	-	-	-	-	-	10,241.98	-	10,241.98	10,241.98	
External Commercial Borrowing (ECB) liability written back (Refer note 20(4))	-	-	-	-	-	-	-	-	-	-	179.17	179.17	
Distribution to holders of Unsecured Perpetual Securities	-	-	-	-	-	-	-	-	(661.17)	-	(661.17)	(661.17)	
Balance as at 31st March, 2023	3,85,69,38,941	3,856.94	13,215.00	1,952.10	1,389.40	7,409.83	9.04	246.55	145.01	-	11,151.93	28,223.87	
*Restated (Refer note 64)													

*Restated (Refer note 64)

The accompanying notes are an integral part of these standalone financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B & CO LLP

Firm Registration No. : 324982E/E3000003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Statement of Cash Flows for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022 [Restated(Refer Note 64)]
(A) Cash flow from operating activities		
Profit before tax	7,389.38	6,701.88
Adjustments to reconcile profit before tax to net cash flows:		
Depreciation and Amortisation Expense	3,142.79	3,116.21
Unrealised Foreign Exchange Fluctuation (gain) / loss (net)	(65.36)	36.70
Gain on sale of Investment	(654.44)	(0.01)
Income from Mutual Funds	(10.39)	(0.83)
Loss on Property, Plant and Equipment Sold / Retired (net)	41.18	67.25
Amortised Government Grant Income	(304.06)	(304.06)
Liabilities no Longer Required Written Back	(41.35)	(21.81)
Finance Costs	3,306.80	4,086.92
Interest income	(3,834.36)	(3,633.66)
Amortisation of Financial Guarantee Obligation	(33.74)	(17.64)
Provision for Mine retirement obligation	-	39.44
Stores and Spares provided for	2.88	79.33
Bad debts, capital expenditure / sundry balance written off / provided for	42.63	0.41
Operating profit before working capital adjustments	8,981.96	10,150.13
Changes in working capital:		
(Increase) in Inventories	(118.88)	(262.29)
(Increase) / Decrease in Trade Receivables	(2,917.72)	980.98
Decrease / (Increase) in Other Financial Assets	63.97	(214.94)
(Increase) in Other Assets	(163.91)	(316.93)
(Decrease) in Trade Payables	(983.31)	(362.24)
Increase in Other Financial Liabilities	379.66	140.91
Increase in Other Liabilities and Provisions	2,766.36	372.78
	(973.83)	338.27
Cash flows from operating activities	8,008.13	10,488.40
Less : Income tax (Paid) / Tax deducted at sources (net)	(75.06)	(224.72)
Net cash flows from operating activities (A)	7,933.07	10,263.68
(B) Cash flow from investing activities		
Capital expenditure on payment towards Property, Plant and Equipment, including capital advances and capital work-in-progress and intangible assets	(921.12)	(642.75)
Proceeds from Sale of Property, Plant and Equipment	0.83	1.24
Proceeds from / (Payment towards) Current investments (net)	185.40	(174.18)
Payment towards acquisition of / investment in subsidiaries	(727.17)	(2.73)
Payment towards cost of equity investment in subsidiaries	(0.02)	-
Payment towards investment in Optionally Convertible Debenture of Subsidiaries	(1,025.90)	(1,362.26)
Proceeds from redemption of Optionally Convertible Debenture by Subsidiary	2.10	-
Proceeds against disposal of subsidiary	988.90	-
Proceeds from sale of Investment in Compulsory Convertible Preference Shares	-	81.54
Proceed from sale of Non Current Investments	-	0.01
Bank / Margin Money Deposits withdrawn / (placed) (net)	85.93	(212.15)
Payment towards Non-current Loans given to related parties	(1,459.53)	-
Proceeds from Non-current Loans repaid by related parties	849.00	-
Proceeds from / (Payment towards) Current Loans given to related parties (net)	-	(604.50)
Interest received (including carrying cost)	4,845.57	4,301.87
Net cash flows from / (used in) investing activities (B)	2,823.99	1,386.09
(C) Cash flow from financing activities		
Payment of principal portion of lease liabilities	(5.52)	(5.58)
Proceeds from Non-current borrowings	17,895.22	11,628.73
Repayment of Non-current borrowings	(24,565.04)	(17,295.59)
(Repayments) of Current borrowings (net)	(1,080.24)	(1,951.39)
Proceeds from issue of Unsecured Perpetual Securities	-	600.00
Distribution to holders of Unsecured Perpetual Securities	(661.17)	(589.83)
Finance Costs Paid (Including interest on lease liabilities)	(2,721.07)	(3,568.61)
Net cash (used in) financing activities (C)	(11,137.82)	(11,182.27)
Net (Decrease) / Increase in cash and cash equivalents (A)+(B)+(C)	(380.76)	467.50
Cash and cash equivalents at the beginning of the year	574.52	107.02
Cash and cash equivalents at the end of the year	193.76	574.52

Statement of Cash Flows for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022 [Restated(Refer Note 64)]
Notes to Cash flow Statement :		
Cash and cash equivalents as per above comprise of the following :		
Cash and cash equivalents (Refer note 12)	193.76	574.52
Balances as per statement of cash flows	193.76	574.52

Notes:

- Interest accrued of ₹436.64 Crores (Previous year ₹453.14 Crores) on Inter Corporate Deposit ("ICD") taken from related parties and others and ₹31.27 Crores (Previous year ₹1.14 Crores) on Inter Corporate Deposit ("ICD") given to related parties, have been converted to the ICD balances as on reporting date in terms of the Contract.
- The Statement of Cash Flows has been prepared under the 'Indirect Method' set out in Ind AS 7 'Statement of Cash Flows'.
- Disclosure of changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes, are given below:

Particulars	As at 1st April, 2022	Net Cash Flows	Changes in fair values / Accruals	Unrealised Foreign exchange fluctuation	Customers' bills discounting	Others*	As at 31st March, 2023
Non-current borrowings (including current maturities)	33,274.69	(6,669.82)	67.00	(361.50)	-	824.40	27,134.77
Current borrowings	7,120.56	(1,080.24)	-	(11.90)	192.50	(549.34)	5,671.58
Derivative Liabilities	-	-	7.04	-	-	-	7.04
Interest accrued	17.23	(2,589.52)	3,058.81	-	-	(462.17)	24.35
Leases Liabilities	101.47	(14.28)	9.32	-	-	-	96.51
Total	40,513.95	(10,353.86)	3,142.17	(373.40)	192.50	(187.11)	32,934.25

Particulars	As at 1st April, 2021 [Restated (Refer note 64)]	Net Cash Flows	Changes in fair values / Accruals	Unrealised Foreign exchange fluctuation	Customers' bills discounting	Others**	As at 31st March, 2022 [Restated (Refer note 64)]
Non-current borrowings (including current maturities)	38,943.00	(5,666.86)	31.50	(178.90)	-	145.95	33,274.69
Current borrowings	9,683.32	(1,951.39)	-	12.55	(663.50)	39.58	7,120.56
Interest accrued	58.39	(3,420.00)	3,852.62	-	-	(473.78)	17.23
Leases Liabilities	105.75	(14.74)	10.46	-	-	-	101.47
Total	48,790.46	(11,052.99)	3,894.58	(166.35)	(663.50)	(288.25)	40,513.95

* Others mainly include impact on loan waiver of ₹179.17 Crores (Refer note 20(4))

** Others mainly include non cash transaction of equity component of Non-cumulative Compulsory Redeemable Preference Shares of ₹246.55 Crores.

The accompanying notes are an integral part of these standalone financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

1 Corporate information

Adani Power Limited (the "Company" or "APL") is a public company domiciled in India and is incorporated under the provisions of the Companies Act, applicable in India having its registered office at "Adani Corporate House", Shantigram, Near Vaishno Devi Circle, S. G. Highway, Khodiyar, Ahmedabad-382421, Gujarat, India. Its shares are listed on two recognised stock exchanges in India.

The Company has installed capacity of 12,450 MW (which includes 40 MW solar power project) at multiple locations i.e. Bitta, Mundra, Kawai, Tiroda, Udipi, Raipur, Raigarh. The Company sells power under long term Power Purchase Agreement (PPAs), medium term PPAs, short term PPAs, on merchant basis and also engaged in trading, investment and other business activities.

The Company, together with its subsidiaries currently has multiple power projects located at various locations with a combined installed and commissioned capacity of 14,450 MW and another 800 MW under commissioning as of year end. The Company, together with its subsidiaries sells power generated from these projects under a combination of long term Power Purchase Agreements (PPA), medium term PPAs, short term PPAs and on merchant basis.

As at 31st March, 2023, S. B. Adani Family Trust ("SBAFT") together with entities controlled by it, has the ability to control the Company. The Company gets synergetic benefit of the integrated value chain of Adani group.

The financial statements were approved for issue in accordance with a resolution of the directors on 5th May, 2023.

2 Significant accounting policies

2.1 Basis of preparation

The standalone financial statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 (as amended from time to time) read with section 133 of Companies Act, 2013 and presentation requirements of Division II of schedule III to the Companies Act, 2013 (Ind AS compliant Schedule III), on the historical cost basis except for certain financial instruments that are measured at fair values, as explained in the accounting policies below.

The financial statements are presented in INR (₹) which is also the company's functional currency and all values are rounded to the nearest Crores, except when otherwise indicated.

2.2 Summary of significant accounting policies

a Property, plant and equipment

Property, plant and equipment are stated at original cost grossed up with the amount of tax / duty benefits availed, less accumulated depreciation and accumulated impairment losses, if any. Other Indirect expenses relating to the project activities, incurred during the project development period, net of income earned during the period till commercial operation date of the project, are recorded as indirect project expenses and disclosed as a part of Capital Work-in-Progress. Properties / projects in the course of construction are carried at cost, less any recognised impairment losses. All costs, including borrowing costs incurred up to the date the asset is ready for its intended use, is capitalised along with respective asset. Capital work in progress is stated at cost, net of accumulated impairment loss, if any.

When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives.

Items of stores and spares that meet the definition of property, plant and equipment are capitalised at cost and depreciated over their useful life.

In respect of Power Plants covered under part A of Schedule II to the Companies Act, 2013, depreciation is recognised based on the cost of assets (other than freehold land) less their residual values over their useful lives, using the straight-line method in the statement of profit and loss unless such expenditure

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

forms part of carrying value of another asset. The useful life of property, plant and equipment is considered based on life prescribed in schedule II to the Companies Act, 2013 except in case of power plant assets, where the life has been estimated at 25 years based on technical assessment, taking into account, the estimated usage of the assets and the current operating condition of the assets. The management believes that these estimated useful lives are realistic and reflect fair approximation of the period over which the assets are likely to be used. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Major inspection / overhauling including turnaround and maintenance cost are depreciated over the period of 5 years. All other repair and maintenance costs are recognised in statement of profit and loss as incurred.

Assets class wise useful life of the assets are mentioned below :

Assets Class	For all power plants other than udupi thermal power plant ("Udupi TPP") (In years)
Land - Freehold	N.A
Right-of-Use Assets -Over the lease term	3 to 99
Buildings	1 to 60
Plant and Equipment	3 to 25
Furniture and Fixtures	1 to 10
Railway Sidings	5 to 15
Computer Hardware	3 to 6
Office Equipments	3 to 5
Vehicles	1 to 25

In respect of Power Plant covered under part B of Schedule II to the Companies Act, 2013, depreciation is recognised based on the cost of assets (other than freehold land) at the rates as well as methodology notified by the Central Electricity Regulatory Commission ("CERC") (Terms and Conditions of Tariff) Regulations, 2019 in the statement of profit and loss unless such expenditure forms part of carrying value of another asset under construction. In case of assets with useful life lesser than the project life, the useful life of these assets has been considered for the purpose of calculation of depreciation as per the provisions of the Companies Act, 2013 and subsequent amendments thereto.

In case of Udupi TPP, assets class wise depreciation rates are mentioned below:

Assets Class	For Udupi TPP (In %)
Land - Freehold	N.A
Right-of-Use Assets - Over the lease term	5.00 to 20.00
Buildings	3.34 to 25.00
Plant and Equipment	5.28 to 20.00
Furniture and Fixtures	6.33 to 60.00
Railway Sidings	N.A
Computer Hardware	15.00
Office Equipments	6.33 to 60.00
Vehicles	9.50

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

is recognised in statement of profit and loss.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to profit or loss during the reporting period in which they are incurred. Subsequent costs are depreciated over the residual life of the respective assets. The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

b Intangible assets

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and any accumulated impairment losses, if any. Amortisation is recognised on a straight-line basis over their estimated useful lives in the statement of profit and loss unless such expenditure forms part of carrying value of another asset. The Company has intangible assets in the nature of Computer software having useful life of 5 years. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. An intangible asset is derecognised on disposal, or when no future economic benefits are expected from its use or disposal.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit and loss when the asset is derecognised.

c Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the asset is available for immediate sale in its present condition and the sale is highly probable. Management must be committed to the sale which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Property, plant and equipment and intangible assets are not depreciated or amortised once classified as asset held for sale. Assets classified as held for sale are presented separately from other items in the balance sheet.

Non-current assets classified as held for sale are measured at the lower of their carrying amount and their fair value less costs to sell.

d Current versus non-current classification

The Company presents assets and liabilities in the balance sheet based on current/ non-current classification. An asset is treated as current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

The Company classifies all other assets as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Company has identified twelve months as its operating cycle.

e Financial Instruments

A Financial Instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in the statement of profit and loss.

f Financial assets

Initial recognition and measurement

All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis i.e. the date that the Company commits to purchase or sell the assets. Purchases or sales of financial assets that require delivery of assets within a timeframe established by regulation or convention in the market place (regular way trades).

Subsequent measurement

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification of Financial assets

Financial assets measured at amortised cost

Financial assets that meet the following conditions are subsequently measured at amortised cost using effective interest method ("EIR") (except for debt instruments that are designated as at fair value through profit or loss on initial recognition):

- the asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and
- Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

The effective interest method is a method of calculating the amortised cost of financial assets and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and transaction costs and other premiums or discounts) through the expected life of the financial assets, or where appropriate, a shorter period, to the net carrying amount on initial recognition.

Interest is recognised on an effective interest basis for debt instruments other than those financial assets classified as at Fair Value through Profit and Loss (FVTPL).

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

Financial assets at fair value through other comprehensive income (FVTOCI)

Financial assets that meet the following conditions are measured initially as well as at the end of each reporting date at fair value, recognised in other comprehensive income (OCI).

- a) The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and
- b) The contractual terms of the asset that give rise on specified dates to cash flows that represent solely payment of principal and interest (SPPI).

Financial assets at fair value through profit or loss (FVTPL)

Financial assets that do not meet the amortised cost criteria or FVTOCI criteria are measured at FVTPL.

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any gains or losses arising on remeasurement recognised in statement of profit and loss. The net gain or loss recognised in statement of profit and loss incorporates any dividend or interest earned on the financial asset.

Reclassification of financial assets

The Company determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. A change in the business model occurs when the Company either begins or ceases to perform an activity that is significant to its operations. If the Company reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Company does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

Impairment of Financial assets:

The Company applies the expected credit loss model for recognising impairment loss on financial assets measured at amortised cost, trade receivables and other contractual rights to receive cash or other financial asset.

Expected credit loss is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive (i.e. all cash shortfalls), discounted at the original effective interest rate. The Company estimates cash flows by considering all contractual terms of the financial instrument through the expected life of that financial instrument.

The Company measures the loss allowance for a financial instrument at an amount equal to the lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition.

Derecognition of financial assets

The Company derecognizes a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party or when it has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognised in other comprehensive income and accumulated in equity, is recognised in statement of profit and loss if such gain or loss would have otherwise been recognised in the statement of profit and loss on disposal of that financial asset.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

g Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments issued by the Company are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received, net of direct issue costs.

Unsecured Perpetual Securities

Unsecured perpetual securities ("securities") are the securities with no fixed maturity or redemption and the same are callable only at the option of issuer. These securities are ranked senior only to the equity share capital of the Company and the issuer does not have any redemption obligation hence these securities are recognised as equity as per Ind AS 32.

Financial liabilities

Initial recognition and measurement

All financial liabilities are recognised initially at fair value and in the case of financial liabilities at amortised cost, net of directly attributable transaction costs.

Subsequent Measurement

All financial liabilities are measured at amortised cost using the effective interest method or at FVTPL.

Classification of Financial liabilities

Financial liabilities at fair value through profit or loss (FVTPL)

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as FVTPL. Financial liabilities are classified as held for trading if these are incurred for the purpose of repurchasing in the near term.

Financial liabilities at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in statement of profit or loss. The net gain or loss recognised in statement of profit and loss incorporates any interest paid on the financial liability.

Fair values are determined in the manner described in note 'o'.

Financial liabilities measured at amortised cost

Financial liabilities that are not held-for-trading and are not designated as at FVTPL are measured at amortised cost at the end of subsequent accounting periods. The carrying amounts of financial liabilities that are subsequently measured at amortised cost are determined based on the effective interest method. Interest expense that is not capitalised as part of costs of an asset is included in the 'Finance costs' line item in the statement of profit and loss.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and costs paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

Trade and other payables are recognised at the transaction cost, which is its fair value, and subsequently measured at amortised cost. Similarly, interest bearing loans, trade credits and borrowings are subsequently measured at amortised cost using effective interest rate method. Further, trade credits include Buyer's credit, Foreign Letter of Credit and Inland Letter of Credit.

Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

are discharged, cancelled or have expired. An exchange with a lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, a substantial modification of the terms of an existing financial liability is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in the statement of profit and loss. In case of derecognition of financial liabilities relating to promoters contribution, the difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in other equity.

Financial guarantee contracts

Financial guarantee contracts issued by the Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value through profit or loss, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of Ind AS 109 and the amount recognised less cumulative amortisation.

h Derivative financial instruments

The Company enters into a variety of derivative financial instruments to manage its exposure to interest rate and foreign exchange rate risks on borrowings / purchases, including foreign exchange forward contracts, interest rate swaps and cross currency swaps, Principal only Swap, coupon only swap etc. Further details of derivatives financial instruments are disclosed in note 50.

Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in statement of profit and loss immediately, except for the effective portion of cash flow hedges, which is recognised in OCI and later reclassified to profit or loss.

Embedded derivatives

Derivatives embedded in non-derivative host contracts that are not financial assets within the scope of Ind AS 109 "Financial Instruments" except for the effective portion of cash flow hedges (refer note (i)) are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts and the host contracts are not measured at FVTPL. These embedded derivatives are measured at fair value with changes in fair value recognised in statement of profit and loss.

Reassessment only occurs if there is either a change in the terms of the contract that significantly modifies the cash flows that would otherwise be required or a reclassification of a financial asset out of the fair value through profit or loss category.

i Hedge Accounting

The Company designates certain hedging instruments, which mainly includes derivatives in respect of foreign currency risk, as cash flow hedges. To qualify for hedge accounting, the hedging relationship must meet all of the following requirements :

- there is an economic relationship between the hedged items and the hedging instruments,
- the effect of credit risk does not dominate the value changes that result from that economic relationship,
- the hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the entity actually hedges and the quantity of the hedging instrument that the entity actually uses to hedge that quantity of hedged item.

At the inception of the hedge relationship, the Company documents the relationship between the hedging instrument and hedged item, along with its risk management objectives and its strategy for

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undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Company documents whether the hedging instrument is highly effective in offsetting changes in fair value or cash flows of the hedged item attributable to the hedged risk.

Cash flow hedges

Changes in the fair value of derivatives / hedging instruments that are designated and qualify as cash flow hedges are deferred in the "Cash Flow Hedge Reserve".

The effective portion of the gain or loss on the hedging instrument is recognised in OCI while any ineffective portion is recognised immediately in the statement of profit and loss. The Effective portion of cash flow hedges is adjusted to the lower of the cumulative gain or loss on the hedging instrument and the cumulative change in fair value of the hedged item. The Company uses forward currency contracts as hedges of its exposure to foreign currency risk in forecast transactions and firm commitments. The ineffective portion relating to foreign currency contracts is recognised in finance costs.

The Company designates only the spot element of a forward contract as a hedging instrument. The forward element is recognised in OCI.

The amounts accumulated in OCI are accounted for, depending on the nature of the underlying hedged transaction. If the hedged transaction subsequently results in the recognition of a non-financial item, the amount accumulated in equity is removed from the separate component of equity and included in the initial cost or other carrying amount of the hedged asset or liability.

For any other cash flow hedges, the amount accumulated in OCI is reclassified to profit or loss as reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

j Investments in subsidiaries, associates and joint ventures

Investments in subsidiaries, associates and joint ventures are accounted for at cost, net of impairment, if any. (Also refer note 3(v)).

k Inventories

Inventories are stated at the lower of cost or net realisable value after providing for obsolescence and other losses where considered necessary. Costs include all non-refundable duties and all charges incurred in bringing the goods to their present location and condition. Cost is determined on First in First out (FIFO) for coal inventory and on weighted average basis for other than coal inventory. Net realisable value represents the estimated selling price for inventories less all estimated costs necessary to make the sale.

l Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management.

m Business combinations and Goodwill

Acquisitions of business are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition date fair values of the assets transferred by the Company, liabilities incurred by the Company to the former owners of the acquiree and the equity interest issued by the Company in exchange of control of the acquiree. Acquisition related costs are recognised in profit and loss as incurred.

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination and the control is not transitory. The transactions between entities under common control are specifically covered by Ind AS 103. Such transactions are

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accounted for using the pooling-of-interest method. The assets and liabilities of the acquired entity are recognised at their carrying amounts of the Company's financial statements. No adjustments are made to reflect fair values or recognise any new assets or liabilities. The components of equity of the acquired companies are added to the same components within the Company's equity. The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves. The Company's shares issued in consideration for the acquired companies are recognized from the moment the acquired companies are included in these financial statements and the financial statements of the commonly controlled entities would be combined, retrospectively, as if the transaction had occurred at the beginning of the earliest reporting period presented.

Purchase consideration paid in excess / shortfall of the fair value of identifiable assets and liabilities including contingent liabilities and contingent assets, is recognised as goodwill / capital reserve respectively, except in case where different accounting treatment is specified in the court approved scheme.

Deferred tax assets or liabilities, and liabilities or assets related to employee benefits arrangements are recognized and measured in accordance with Ind AS 12 "Income Taxes" and Ind AS 19 "Employee Benefits" respectively.

Potential tax effects of temporary differences and carry forwards of an acquiree that exist at the acquisition date or arise as a result of the acquisition are accounted in accordance with Ind AS 12.

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the Company's cash-generating units (or company's of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in statement of profit and loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

n Foreign currency translations

In preparing the financial statements of the Company, transactions in currencies other than the entity's functional currency are recognised at the rate of exchange prevailing at the date of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences on monetary items are recognised in profit and loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

The Company has elected to continue the policy adopted for accounting for exchange differences arising from translation of long-term foreign currency monetary items outstanding and recognised in the financial statements for the period ending immediately before the beginning of the first Ind AS financial reporting period i.e. 31st March, 2016 as per the previous GAAP.

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for the year ended 31st March, 2023

o Fair value measurement

The Company measures financial instruments, such as, derivatives and mutual funds at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Company takes into account the characteristics of the asset or liability at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the financial asset or settle the financial liability takes place either:

- In the principal market, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company's management determines the policies and procedures for both recurring fair value measurement, such as derivative instruments and unquoted financial assets measured at fair value.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

External valuers are involved for valuation of significant assets, such as unquoted financial assets and financial liabilities and derivatives.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

p Government grants

The Company recognises government grants only where there is reasonable assurance that the conditions attached to them will be complied with, and the grants will be received. Where Government grants relates to non-monetary assets, the cost of assets are presented at gross value and grant significantly complied thereon is recognised as income in the statement of profit and loss over the useful life of the related assets in proportion in which depreciation is charged.

Grants related to income are recognised in the statement of profit and loss in the same period as the related cost which they are intended to compensate are accounted for.

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q Contract Balances

Contract assets

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Company performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognised for the earned consideration that is conditional. Contract assets are subject to impairment assessment.

Trade receivables

A receivable represents the Company's right to an amount of consideration that is unconditional i.e. only the passage of time is required before payment of consideration is due and the amount is billable. (Refer note 3(viii))

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration from the customer. Contract liabilities are recognised as revenue when the Company performs obligations under the contract.

r Revenue recognition

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services.

Revenue is measured based on the transaction price, which is the consideration, adjusted for discounts and other incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes or other amounts collected from customers.

The disclosure of significant accounting judgements, estimates and assumptions relating to revenue from contracts with customers are provided in Note 3 (vii).

The specific recognition criteria described below must also be met before revenue is recognised.

i) Revenue from Power Supply

The Company's contracts with customers for the sale of electricity generally include one performance obligation. The Company has concluded that revenue from sale of electricity should be recognised at the point in time when electricity is transferred to the customer.

Revenue from operations on account of Force Majeure / change in law events in terms of PPAs with customers (Power Distribution Utilities) is accounted for by the Company based on the orders / reports of Regulatory Authorities, best management estimates, wherever needed and reasonable certainty to expect ultimate collection.

In case of PPA under section 62 of Electricity Act, 2003, revenue from sale of power is recognised based on the most recent tariff order approved by the CERC, as modified by the orders of Appellate Tribunal for Electricity ("APTEL"), to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangements with the customers. Where the tariff rates are yet to be approved, provisional rates are adopted considering the applicable CERC Tariff Regulations.

ii) Sale of traded goods

Revenue from the sale of traded goods is recognised at the point in time when control of the goods is transferred to the customers, which generally coincides with the delivery of goods.

iii) Carrying cost in respect of claims for change in law of taxes and duties, additional cost incurred on procurement of alternative coal and on other claims are recognised upon approval by relevant regulatory authorities, best management estimates and based on reasonable certainty to expect ultimate collection.

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- iv) Interest income is recognised on time proportion basis at the effective interest rate ("EIR") applicable.
- v) Dividend income from investments is recognised when the Company's right to receive payment is established.
- vi) Late payment surcharge on delayed payment for power supply is recognised based on receipt / collection from customers or on acceptance / acknowledgement by the customers whichever is earlier.

s Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, that necessarily take a substantial period of time to get ready for their intended use or sale, are capitalised as part of the cost of the asset, until such time as the assets are substantially ready for their intended use or sale. Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in statement of profit and loss in the period in which they are incurred. Borrowing cost consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing cost.

t Employee benefits

i) Defined benefit plans:

The Company has an obligation towards gratuity, a defined benefit retirement plan covering eligible employees (in some cases funded through Group Gratuity Scheme of Life Insurance Corporation of India). The Company accounts for the liability for the gratuity benefits payable in future based on an independent actuarial valuation carried out using Projected Unit Credit Method.

Defined benefit costs in the nature of current and past service cost and net interest expense or income are recognized in the statement of profit and loss in the period in which they occur. Remeasurement, comprising of actuarial gains and losses, the effect of changes to the asset ceiling (excluding amounts included in net interest or the net defined benefit liability) and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability) are recognised immediately in the balance sheet with corresponding debit or credit to retained earnings through OCI in the period in which it occurs. Remeasurement are not classified to statement of profit and loss in subsequent periods. Past service cost is recognised in statement of profit and loss in the period of a plan amendment.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Company recognises the following changes in the net defined benefit obligation as an expense in the statement of profit and loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements; and
- Net interest expense or income

ii) Defined contribution plan:

Retirement Benefits in the form of Provident Fund and Family Pension Fund which are defined contribution schemes are charged to the statement of profit and loss for the period in which the contributions to the respective funds accrue as per relevant statutes.

iii) Compensated Absences:

Provision for Compensated Absences and its classifications between current and non-current liabilities are based on independent actuarial valuation. The actuarial valuation is done as per the

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projected unit credit method as at the reporting date.

iv) Short term employee benefits:

These are recognised at an undiscounted amount in the Statement of Profit and Loss for the year in which the related services are rendered.

u Leases

The Company as lessor

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception of the lease. The arrangement is, or contains, a lease if fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is generally recognised on a straight-line basis over the term of the relevant lease. Where the rentals are structured solely to increase in line with expected general inflation to compensate for the Company's expected inflationary cost increases, such increases are recognised in the year in which such benefits accrue. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight-line basis over the lease term.

The Company as lessee

The Company recognises right-of-use assets and lease liabilities for all leases except for short-term leases and leases of low-value assets. The Company records the lease liability at the present value of the lease payments discounted at the incremental borrowing rate at the date of initial application and right of use asset at an amount equal to the lease liability adjusted for any prepayments/accruals recognised in the balance sheet.

The Company also applied the available practical expedients wherein it:

- Used a single discount rate to a portfolio of leases with reasonably similar characteristics
- Relied on its assessment of whether leases are onerous immediately before the date of initial application
- Applied the short-term leases exemptions to leases with lease term that ends within 12 months at the date of initial application
- Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application
- Used hindsight in determining the lease term where the contract contains options to extend or terminate the lease

v Taxes on Income

Tax on Income comprises current tax and deferred tax. These are recognised in statement of profit and loss except to the extent that it relates to a business combination, or items recognised directly in equity or in other comprehensive income.

Current tax

Tax including Minimum Alternative Tax("MAT") on income for the current period is determined on the basis of estimated taxable income and tax credits computed in accordance with the provisions of the relevant tax laws and based on the expected outcome of assessments / appeals. Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted, at the reporting date. Management periodically evaluates positions taken in the

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tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Current income tax relating to items recognised outside profit or loss is recognised outside profit or loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Minimum alternate tax (MAT) paid in a year is charged to the statement of profit and loss as current tax for the year. The deferred tax asset is recognised for MAT credit available only to the extent that it is probable that the Company will pay normal income tax during the specified period, i.e., the period for which MAT credit is allowed to be carried forward. In the year in which the Company recognizes MAT credit as an asset, it is created by way of credit to the statement of profit and loss and shown as part of deferred tax asset.

Deferred tax

Deferred tax is recognized for the future tax consequences of deductible temporary differences between the carrying values of assets and liabilities and their respective tax bases at the reporting date. Deferred tax liabilities are generally recognised for all taxable temporary differences except when the deferred tax liability arises at the time of transaction that affects neither the accounting profit or loss nor taxable profit or loss. Deferred tax assets are generally recognized for all deductible temporary differences, carry forward of unused tax credits and any unused tax losses, to the extent that it is probable that future taxable income will be available against which the deductible temporary differences and carry forward of unused tax credit and unused tax losses can be utilised, except when the deferred tax asset relating to temporary differences arising at the time of transaction affects neither the accounting profit or loss nor the taxable profit or loss. Deferred tax relating to items recognized outside the statement of profit and loss is recognized outside the statement of profit and loss, either in other comprehensive income or directly in equity. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax assets to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantially enacted by the end of the reporting period.

The Company offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on the same taxable entity which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

w Earnings per share

Basic earnings per share is computed by dividing the profit / (loss) after tax (net off distribution on Perpetual Securities whether declared or not) by the weighted average number of equity shares outstanding during the year. Diluted earnings per share is computed by dividing the profit / (loss) after tax (net off distribution on Perpetual Securities whether declared or not) as adjusted for the effects of dividend, interest and other charges relating to the dilutive potential equity shares by weighted average number of shares plus dilutive potential equity shares.

x Provisions, Contingent Liabilities and Contingent Assets

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

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The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of amount cannot be made.

Contingent liabilities may arise from litigation, taxation and other claims against the Company. Where it is management's assessment that the outcome is uncertain or cannot be reliably quantified, the claims are disclosed as contingent liabilities unless the likelihood of an adverse outcome is remote.

Contingent assets are not recognised but are disclosed in the notes where an inflow of economic benefits is probable.

A contingent liability recognised in a business combination is initially measured at its fair value. Subsequently, it is measured at the higher of the amount that would be recognised in accordance with the requirements for provisions above or the amount initially recognised less, when appropriate, cumulative amortisation recognised in accordance with the requirements for revenue recognition.

y Impairment of non-financial assets

At the end of each reporting period, the Company reviews the carrying amounts of its non-financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset or cash-generating unit ("CGU") is estimated in order to determine the extent of the impairment loss (if any). When it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest Group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Goodwill is tested for impairment annually and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

The Company bases its impairment calculation on detailed budget and forecast calculations, which are prepared separately for each of the Company's cash-generating unit to which the individual assets are allocated. For longer periods, a long term growth rate is calculated and applied to project future cash flows. To estimate cash flow projections beyond periods covered by the most recent budget / forecasts, the Company estimates cash flow projections based on estimated growth rate.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the statement of profit and loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying

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amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in the statement of profit and loss.

z Mine Development Expenditure :

- i) Expenditure incurred towards coal mines under construction are capitalised to 'Coal Mines under construction' as long as they meet the capitalisation criteria and is presented as capital work-in-progress. Upon commencement of production stage, the 'Coal Mines under construction' is capitalised and presented as 'Mining Rights' under Intangible Assets except in situation when the Company decide to surrender its rights in mine and amount is classified as recoverable from Nominated Authorities.
- ii) Mining Rights are amortised using unit-of-production method on the basis of proven and probable reserves on commencement of commercial production.

Mine Closure Obligations :

The liability for meeting the mine closure has been estimated based on the mine closure plan in the proportion of total area exploited to the total area of the mine as a whole. These costs are updated annually during the life of the mine to reflect the developments in mining activities. The mine closure obligations are included in Mining Rights under Intangible assets and amortised based on unit of production method.

3 Significant accounting judgements, estimates and assumptions

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. The estimates and assumptions are based on historical experience and other factors that are considered to be relevant. The estimates and underlying assumptions are reviewed on an ongoing basis and any revisions thereto are recognised in the period of revision and future periods if the revision affects both the current and future periods. Uncertainties about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Key Sources of estimation uncertainty :

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. Existing circumstances and assumptions about future developments may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

i) Useful lives of property, plant and equipment

In case of the power plant assets, where the life of the assets has been estimated at 25 years based on technical assessment, taking into account the estimated usage of the asset and the current operating condition of the asset, depreciation on the same is provided based on the useful life of each component based on technical assessment, if materially different from that of the main asset.

ii) Fair value measurement of financial instruments

In estimating the fair value of financial assets and financial liabilities, the Company uses market observable data to the extent available. Where such Level 1 inputs are not available, the Company establishes appropriate valuation techniques and inputs to the model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value

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of financial instruments. Information about the valuation techniques and inputs used in determining the fair value of various assets and liabilities are disclosed in note 55.

iii) Defined benefit plans (gratuity benefits)

The cost of the defined benefit gratuity plan and the present value of the gratuity obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Information about the various estimates and assumptions made in determining the present value of defined benefit obligations are disclosed in note 58.

iv) Impairment of non financial assets

For determining whether property, plant and equipments and goodwill are impaired, it requires an estimation of the value in use of the relevant cash generating units. The value in use calculation is based on a Discounted Cash Flow model over the estimated useful life of the Power Plants. Further, the cash flow projections are based on estimates and assumptions relating to tariff, change in law claims, operational performance of the Plants, life extension plans, market prices of coal and other fuels, exchange variations, inflation, terminal value etc. which are considered reasonable by the Management. (Refer note 47).

v) Investments made / Loans given to subsidiaries

In case of investments made and Intercompany Deposits ("ICD") given by the Company to its subsidiaries, the Management assesses whether there is any indication of impairment in the value of investments and ICDs. The carrying amount is compared with the present value of future net cash flow of the subsidiaries, as applicable.

vi) Taxes

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies, including estimates of temporary differences reversing on account of available benefits under the Income Tax Act, 1961. Deferred tax assets is recognised to the extent of the corresponding deferred tax liability. (Also refer note 24).

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

vii) Income / Revenue

Revenue from Operations on account of Force Majeure / Change in Law events or Other Income on account of carrying cost in terms of Power Purchase Agreements with various State Power Distribution Utilities is accounted for / recognised by the Company based on best management estimates following principles of prudence, as per the orders / reports of Regulatory Authorities, and the outstanding receivables thereof in the books of account may be subject to adjustments on account of final orders of the respective Regulatory Authorities, Hon'ble Supreme Court of India ("Hon'ble Supreme Court") and final closure of the matters with the respective Discoms. (Refer note 33 and 34).

In certain cases, the Company has claimed compensation from the Discoms based on management's interpretation of the regulatory orders and various technical parameters, which are subject to final verification and confirmation by the respective Discoms, and hence, in these cases, the revenues have been recognised during various financial years / periods, on a prudent basis with conservative attributable

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

parameters in the books. The necessary true-up adjustments for revenue claims (including carrying cost / delayed payment surcharge) are made in the books on final acknowledgement / regulatory orders / settlement of matters with respective Discoms or eventual recovery of the claims, whichever is earlier.

In case of Udupi Power Plant, Revenue from sale of power and other income is recognised upon judgement by the management for recoverability of the claims based on the relevant contractual terms / provisional tariff rates as provided by the regulator / governing tariff regulations, to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangement with the customers, which may be subject to adjustments in future years, on receipt of final orders of the respective Regulatory Authorities or final closure of the matter with the customers. (Refer note 33 and 34).

viii) Classification of Trade Receivables :

In cases of circumstances / matters where there are pending litigations on regulatory matters / change in law claims, the classification of disputed / undisputed trade receivables is a matter of judgement based on facts and circumstances. The Company has evaluated the fact pattern and circumstances, including ongoing discussions with the Discoms, for each such regulatory matter pending to be adjudicated by the relevant authority.

In cases, where rule of law and principles of economic restitution have already been established by APTEL / Supreme Court in similar matters, the revenues are recognised on prudent and conservative technical parameters, significant amounts have been recovered already and the management does not perceive any downside risks in future on final adjudication by Supreme Court and settlement of matter with Discoms, the related receivables are classified as undisputed.

In cases, where discussions with Discoms have not made reasonable progress and matters are sub-judice, the related receivables are classified as disputed, even though the management is reasonably confident of recovering the dues in full, backed by the regulatory orders in favour of the Company.

The management will continue to monitor the developments on regulatory claims.

ix) Mega Power Status :

One of the thermal power plant has availed exemption of customs / excise duty in pursuance to terms of the provisional mega power policy as notified by the Government of India. The Company has not recognised for the reduction in cost to property, plant and equipment as a grant, pending compliance of terms of Mega Power Status which needs to be attained within 156 months, from the date of import of plant and equipment as per approval by the Ministry of Power ("MoP"), Government of India vide amendment dated 7th April, 2022. The management is of the view that the Company will comply with the grant conditions within the specified time. The Company will recognise grant to the extent of the duty waiver availed in the year of receipt of final mega power status to said thermal power plant or corresponding liability if any on expiry of the time lines specified in the MoP approval.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 47)

Description of Assets	Tangible Assets										Capital Work-in-Progress (Refer note (ix) below)
	Land - Freehold	Right-of-Use Assets (Refer note (vi) below)	Buildings	Plant and Equipment (Refer note (ii) below)	Furniture and Fixtures	Railway Sidings	Computer Hardware	Office Equipments	Vehicles	Total	
I. Cost											
Balance as at 1st April, 2021	37.30	1.24	15.18	658.56	6.61		15.48	13.34	5.45	753.16	0.67
Add : Changes on account of amalgamation (Refer note 64)	317.83	541.39	1,861.21	65,598.19	26.31	334.60	23.94	42.41	16.80	68,762.68	184.47
Balance as at 1st April, 2021 (Restated)	355.13	542.63	1,876.39	66,256.75	32.92	334.60	39.42	55.75	22.25	69,515.84	185.14
Additions	0.99	8.48	37.98	185.81	3.47	-	8.18	14.22	1.77	260.90	318.74
Effect of foreign currency exchange differences loss (net)	-	-	-	148.83	-	-	-	-	-	148.83	-
Transfer (out) / in	-	-	(187.92)	187.94	-	-	-	-	(0.02)	-	(55.57)
Disposal / Discarded / Adjustments	-	-	(0.07)	(113.33)	(1.24)	(0.14)	(1.67)	(2.20)	(0.95)	(119.60)	(264.01)
Balance as at 31st March, 2022 (Restated)	356.12	551.11	1,726.38	66,666.00	35.15	334.46	45.93	67.77	23.05	69,805.97	184.30
Additions	9.28	1.20	57.19	202.39	3.94	1.56	15.63	20.00	2.36	313.55	355.20
Effect of foreign currency exchange differences Loss (net)	-	-	-	108.14	-	-	-	-	-	108.14	-
Transfer (out) / in	-	-	-	(0.50)	-	-	-	-	0.50	-	-
Disposal / Discarded / Adjustments	-	-	(1.42)	(64.59)	(1.07)	-	(1.11)	(1.38)	(0.36)	(69.93)	(351.17)
Balance as at 31st March, 2023	365.40	552.31	1,782.15	66,911.44	38.02	336.02	60.45	86.39	25.55	70,157.73	188.33
II. Accumulated depreciation and amortisation											
Balance as at 1st April, 2021	-	0.10	5.47	170.85	5.05	-	13.77	12.68	4.31	212.23	-
Add : Changes on account of amalgamation (Refer note 64)	-	41.38	418.70	16,814.27	13.54	115.24	11.81	28.70	8.00	17,451.64	-
Balance as at 1st April, 2021 (Restated)	-	41.48	424.17	16,985.12	18.59	115.24	25.58	41.38	12.31	17,663.87	-
Depreciation / Amortization charge for the year	-	21.06	54.58	2,951.41	2.78	23.40	5.07	2.97	2.06	3,063.33	-
Transfer (out) / in	-	-	(4.69)	4.69	-	-	-	-	-	-	-
Disposal / Adjustments	-	-	(0.07)	(55.47)	(1.10)	(0.07)	(1.55)	(1.90)	(0.86)	(61.02)	-
Balance as at 31st March, 2022 (Restated)	-	62.54	473.99	19,885.75	20.27	138.57	29.10	42.45	13.51	20,666.18	-
Depreciation / Amortization charge for the year	-	20.73	57.80	3,019.99	2.76	23.40	6.83	5.47	2.01	3,138.99	-
Transfer (out) / in	-	-	-	(0.23)	-	-	-	-	0.23	-	-
Disposal / Adjustments	-	-	(0.18)	(24.15)	(0.97)	-	(1.02)	(1.23)	(0.34)	(27.89)	-
Balance as at 31st March, 2023	-	83.27	531.61	22,881.36	22.06	161.97	34.91	46.69	15.41	23,777.28	-

Description of Assets	Tangible Assets						Capital Work-in-Progress (Refer note (ix) below)
	Land - Freehold	Right-of-Use Assets (Refer note (vi) below)	Buildings	Plant and Equipment (Refer note (ii) below)	Furniture and Fixtures	Railway Sidings	
Carrying amount :							
As at 31st March, 2022	356.12	488.57	1,252.39	46,780.25	14.88	195.89	184.30
As at 31st March, 2023	365.40	469.04	1,250.54	44,030.08	15.96	174.05	188.33

i) For charge created on aforesaid assets, refer note 20 and 26.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

- ii) In case of Mundra thermal power plants ("Mundra TPP"), the Company has availed tax and duty benefit in the nature of exemptions from Custom Duty, Excise Duty, Service Tax, VAT and CST on its project procurements. The said benefits were availed by virtue of SEZ approval granted to the Power Plant in December 2006, in terms of the provisions of the Special Economic Zones Act, 2005 (hereinafter referred to as the 'SEZ Act') and the Special Economic Zone Rules, 2006 which entitled the Power Plant to procure goods and services without payment of taxes and duties as referred above.

The Company in respect of Tiroda thermal power plants ("Tiroda TPP") and Kawai thermal power plants ("Kawai TPP") have availed tax and duty benefit in the nature of exemptions from Custom Duty and Excise Duty on its project procurements. The said benefits were availed by virtue of power plants being designated as Mega Power Project in accordance with the policy guidelines issued in this regard by the Ministry of Power, Government of India which entitled Tiroda TPP and Kawai TPP to procure goods and services without payment of taxes and duties as referred above.

Since, the procurement of goods and services during the project period were done by availing the exemption from payment of aforesaid taxes and duties, the amount capitalised for the said power plant as on the put to use date, is cost of property, plant and equipment (PPE) net off tax and duty benefit availed. In compliance with Ind AS 20 – "Government Grant", Mundra TPP, Kawai TPP and Tiroda TPP have opted to gross up the value of its PPE by the amount of tax and duty benefit / credit availed after considering the same as government grant. The amount of said government grant (net off accumulated depreciation) as on the transition date has been added to the value of PPE with corresponding credit made to the deferred government grant. The amount of grant is amortised over useful life of PPE along with depreciation on PPE. The amount of deferred liability is amortised over the useful life of the PPE with credit to statement of profit and loss classified under the head "Other Income".

The Company has Government grant balance (net) of ₹4,487.33 Crores till 31st March, 2023 (Previous year ₹4,791.40 Crores).

- iii) Cost of Property Plant and Equipment includes carrying value recognised as deemed cost as of 1st April, 2015, measured as per previous GAAP and cost of subsequent additions.
- iv) During the year, an amount of ₹33.97 Crores was expensed out of carrying amount of Capital Work in Progress towards impairment of project cost.
- v) During the previous year, an amount of ₹55.57 Crores was transferred from balance of Capital Work in Progress to Other non current financials assets - Others. (Refer Note 7)

vi) Right of use assets

Description of Assets	Right-of-Use Assets			
	Lease hold land	Buildings	Computer Hardware	Total
Cost :				
Balance as at 1st April, 2021	1.24	-	-	1.24
Add : Changes on account of amalgamation (Refer note 64)	533.51	0.13	7.75	541.39
Balance as at 1st April, 2021 (Restated)	534.75	0.13	7.75	542.63
Additions	7.73	0.36	0.39	8.48
Disposals / Transfers	-	-	-	-
Balance as at 31st March, 2022 (Restated)	542.48	0.49	8.14	551.11
Additions	1.20	-	-	1.20
Disposals / Transfers	-	-	-	-
Balance as at 31st March, 2023	543.68	0.49	8.14	552.31
Accumulated amortisation :				
Balance as at 1st April, 2021	0.10	-	-	0.10

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

vi) Right of use assets (Contd.)

Description of Assets	Right-of-Use Assets			
	Lease hold land	Buildings	Computer Hardware	Total
Add : Changes on account of amalgamation (Refer note 64)	38.35	0.05	2.98	41.38
Balance as at 1st April, 2021 (Restated)	38.45	0.05	2.98	41.48
Amortisation for the year	19.20	0.10	1.76	21.06
Disposals / Transfers	-	-	-	-
Balance as at 31st March, 2022 (Restated)	57.65	0.15	4.74	62.54
Amortisation for the year	19.25	0.14	1.34	20.73
Disposals / Transfers	-	-	-	-
Balance as at 31st March, 2023	76.90	0.29	6.08	83.27
Carrying amount :				
As at 31st March, 2022	484.83	0.34	3.40	488.57
As at 31st March, 2023	466.78	0.20	2.06	469.04

vii) The Company in case of Tiroda TPP, Kawai TPP, Mundra TPP, Raipur TPP, Raigarh Thermal Power Plant ("Raigarh TPP") and solar bitta plant has obtained Land under lease from various parties for a lease period of 5 to 99 years. The Company is restricted from assigning and subleasing the said leased assets.

viii) In November 2007, the Company obtained Land under lease from Karnataka Industrial Areas Development Board (Lessor) for its Udupi TPP for 11 years from the date of agreement whose validity period of Lease Agreement was further extended from Lessor till 11th September, 2022. As at year end, in terms of lease agreement, the Company is in the process to exercise its option to get the lease deed converted to sale deed as the terms and conditions of land allotment has been fulfilled. Since the entire amount of ₹76.64 Crores which was considered in Lease-cum-Sale Agreement is considered as a sale consideration on expected transfer, the Company has not provided amortization on said land.

ix) Capital Work-In-Progress Ageing schedule:

a. as at 31st March 2023

Capital Work In Progress	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	98.00	31.19	-	59.14	188.33
Total	98.00	31.19	-	59.14	188.33

b. as at 31st March 2022

Capital Work In Progress	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	87.69	1.11	0.27	95.23	184.30
Total	87.69	1.11	0.27	95.23	184.30

The Company do not have any capital-work-in progress whose completion is overdue or has exceeded its cost compared to its original plan except below.

c. Details of the project whose completion is overdue as at 31st March 23: -

Capital Work In Progress	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Railway Siding Project	-	59.16	-	-	59.16
Total	-	59.16	-	-	59.16

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

d. Details of the project whose completion is overdue as at 31st March 22: -

Capital Work In Progress	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Railway Siding Project	-	-	92.86	-	92.86
Total	-	-	92.86	-	92.86

Note :

- a) The capital assets in the nature of Railway Siding for Raigarh TPP forming part of Capital Work-In-Progress have become overdue compared to the original completion plan as the Company is in process of acquiring additional land for completing the asset under development. The Management expects to acquire additional land from the government authorities and has already obtained in principle approval from railway authorities for the said project. Post acquisition of the additional land, the management will update the estimate and assumption of the original completion plan of the assets. Further, given that demand of power is expected to be higher compared with generation capacity available in the industry, the development of asset forming part of Capital Work-In-Progress will have economic viability for the Company. Further, during the year, the Company has expensed cost of Capital Work in Progress of ₹33.97 Crores.

x) Title deeds of immovable properties (including Right to Use Assets) not held in name of the company as at 31st March, 2023:

Relevant line item in the Balance sheet	Description of item of property	Gross carrying value	Title deeds held in the name of	Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director	Property held since which date	Reason for not being held in the name of the company
Property, Plant and Equipment	Land - Freehold for Bitta Power Plant	1.91	Mrs. Jamnaben H Bhanushali	No	1st April, 2014	Under litigation at Civil Court, Kutch, Gujarat
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Mundra TPP	641.27	Adani Power (Mundra) Limited (Erstwhile Subsidiary)	No	Since 7th March, 2023 till date (Refer Note 64).	Land and Building pending transfer to the Company on account of scheme of amalgamation, which are in the name of erstwhile subsidiaries, will be transferred in the name of the Company in due course.
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Tiroda TPP	682.57	Adani Power Maharashtra Limited (Erstwhile Subsidiary)	No		
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Kawai TPP	342.21	Adani Power Rajasthan Limited (Erstwhile Subsidiary)	No		
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Udupi TPP	413.69	Udupi Power Corporation Limited (Erstwhile Subsidiary)	No		
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Raipur TPP	273.27	Raipur Energen Limited (Erstwhile Subsidiary)	No		
Property, Plant and Equipment	Land (Leasehold and Freehold) and Building of Raigarh TPP	282.19	Raigarh Energy Generation Limited (Erstwhile Subsidiary)	No		

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.2 Goodwill

Goodwill of ₹6.95 Crores arose on acquisition of Tiroda TPP during the FY 2012-13 on account of amalgamation of Growmore Trade and Investment Private Limited with erstwhile Adani Power Maharashtra Limited (Now amalgamated with the Company) and ₹183.66 Crores upon acquisition of erstwhile Udupi Power Corporation Limited (now amalgamated with the Company) during the FY 2015-16.

4.3 Intangible Assets

Particulars	Computer software	Mining Rights	Total
I. Cost			
Balance as at 1st April, 2021	11.28	-	11.28
Add : Changes on account of amalgamation (Refer note 64)	18.20	73.14	91.34
Balance as at 1st April, 2021 (Restated)	29.48	73.14	102.62
Additions	3.11	-	3.11
Transfer	-	-	-
Disposals / Other Adjustments (Refer note (ii) below)	(2.15)	(73.14)	(75.29)
Balance as at 31st March, 2022 (Restated)	30.44	-	30.44
Additions	3.65	-	3.65
Transfer	-	-	-
Disposals	(0.04)	-	(0.04)
Balance as at 31st March, 2023	34.05	-	34.05
II. Accumulated amortisation			
Balance as at 1st April, 2021	11.22	-	11.22
Add : Changes on account of amalgamation (Refer note 64)	6.08	-	6.08
Balance as at 1st April, 2021 (Restated)	17.30	-	17.30
Amortisation for the year	3.41	-	3.41
Transfer	-	-	-
Disposals	(2.15)	-	(2.15)
Balance as at 31st March, 2022 (Restated)	18.56	-	18.56
Amortisation for the year	3.80	-	3.80
Transfer	-	-	-
Disposals	(0.04)	-	(0.04)
Balance as at 31st March, 2023	22.32	-	22.32

Particulars	Computer software	Mining Rights	Total
Carrying amount :			
As at 31st March, 2022	11.88	-	11.88
As at 31st March, 2023	11.73	-	11.73

i) For charge created on aforesaid assets, refer note 20 and 26.

ii) The Company, in case of its Raipur TPP has surrendered mining rights for Talabira Mine and thus decapitalised the mining rights during the previous year and amount recoverable from nominated authority has been shown under Other Financial Assets.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

5 Non-current Investments

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Unquoted Investments (fully paid)		
Investments in subsidiary companies (Valued at cost)		
a) In Equity Instruments (Face value of ₹ 10 each)		
Adani Power (Jharkhand) Limited ("AP(J)L") 243,65,00,000 Shares (Previous year - 243,65,00,000 Shares) (Refer note (i), (iii) and (viii) below)	3,204.19	2,868.92
Mahan Energen Limited ("MEL") (Formerly known as Essar Power MP Limited) 10,00,000 Shares (Previous year - 10,00,000 shares) (Refer note 69, (ii) and (viii) below)	101.15	101.15
Pench Thermal Energy (MP) Limited ("PTE(MP)L") 50,000 Shares (Previous year - 50,000 Shares)	0.02	0.02
Adani Power Dahej Limited ("APDL") 50,000 Shares (Previous year - 50,000 Shares)	0.01	0.01
Adani Power Resources Limited ("APReL") 25,494 Shares (Previous year - 25,494 Shares)	0.03	0.03
Mahan Fuel Management Limited 10,000 Shares (Previous year - 10,000 shares)	0.01	0.01
Alcedo Infra Park Limited 10,000 Shares (Previous year - 10,000 shares)	0.01	0.01
Chandenvalle Infra Park Limited 10,000 Shares (Previous year - 10,000 shares)	0.01	0.01
Emberiza Infra Park Limited 10,000 Shares (Previous year - 10,000 shares)	0.01	0.01
Innovant Buildwell Private Limited (Formerly known as Eternus Real Estate Private Limited) 740,10,000 Shares (Previous year - Nil shares) (Refer note (vi) below)	392.71	-
Resurgent Fuel Management Limited 10,000 Shares (Previous year - Nil shares)	0.01	-
Aviceda Infra Park Limited 10,000 Shares (Previous year - Nil shares)	0.01	-
b) Investment in Compulsory Convertible Debentures (unquoted) (Refer note (vii) below)		
Pench Thermal Energy (MP) Limited 2,81,53,939 (Previous year - 2,81,53,939) 0% Compulsory Convertible Debentures of ₹100 each	109.33	109.33
Adani Power Dahej Limited 9,62,43,245 (Previous year - 9,62,43,245) 0% Compulsory Convertible Debentures of ₹100 each	398.75	398.75
Kutchh Power Generation Limited 1,19,38,380 (Previous year - 1,19,38,380) 0% Compulsory Convertible Debentures of ₹100 each	13.86	13.86

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All amounts are in ₹ Crores, unless otherwise stated

5 Non-current Investments (Contd.)

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
c) Investment in Optionally Convertible Debenture ("OCD") (Unquoted) (Valued at amortised cost)		
Adani Power (Jharkhand) Limited 19,80,75,900 (Previous year - 12,43,55,900) Optionally Convertible Debenture of 100 each (Refer note (iii) and (viii) below)	1,816.61	1,120.36
Mahan Energen Limited (Formerly known as Essar Power MP Limited) 11,87,00,000 (Previous year - 11,87,00,000) 0% Optionally Convertible Debenture of 10 each (Refer note (iv) and (viii) below)	50.16	46.02
Chandenville Infra Park Limited 8,06,55,000 (Previous year - Nil) - 0% Optionally Convertible Debenture of ₹10 each (Refer note (v) below)	80.66	-
Alcedo Infra Park Limited 4,18,13,360 (Previous year - Nil) - 0% Optionally Convertible Debenture of ₹10 each (Refer note (v) below)	41.81	-
Aviceda Infra Park Limited 1,64,13,000 (Previous year - Nil) 0% Optionally Convertible Debentures of ₹100 each (Refer note (v) below)	164.13	-
Investments In Equity Instruments (at fair value through OCI)		
Adani Naval Defence Systems and Technologies Limited - 4,500 Shares (Previous year - 4500 Shares) (Refer note (ix) below)	*	*
Investment in Government Securities (unquoted) (Valued at cost)		
* 1 National savings certificate (lying with government authority) ₹42,699 (Previous year - ₹42,699)	*	*
Total	6,373.48	4,658.49

(Figures below ₹50,000 are denominated with *)

Note :

- Of the above shares 243,65,00,000 Equity shares (Previous year - 243,65,00,000 Equity shares) have been pledged by the Company as additional security for secured term loans availed by AP(J)L.
- Of the above shares 5,10,000 Equity shares (Previous year - 5,10,000 Equity shares) have been pledged by the Company as additional security for secured term loans availed by MEL.
- During the year, the Company has invested ₹737.20 Crores (Previous year ₹1,243.56 Crores) into Optionally Convertible Debentures ("OCDs") of its wholly owned subsidiary, AP(J)L for the purpose of development of power plant. These OCDs shall be optionally converted into equity share capital at fair value at the discretion of issuer or will be redeemed in full or part after 31st December, 2037. These OCDs have 0% coupon rate till the completion of construction period and thereafter will carry coupon 100 basis points less than interest coupon rate payable to lenders. Out of the above 19,80,75,900 OCDs (Previous year - 11,12,55,900) have been pledged by the Company as additional security for secured term loans availed by AP(J)L. The fair value

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

5 Non-current Investments (Contd.)

as at 31st March, 2023 is ₹1,816.61 Crores (Previous year ₹1,120.36 Crores).

- iv) During the previous year, the Company had invested ₹118.70 Crores into OCDs of its wholly owned subsidiary MEL. These OCDs shall be optionally converted into equity share capital at fair value at the discretion of issuer or will be redeemed in full on completion of 10 years from the date of allotment. The fair value as at 31st March, 2023 is ₹50.16 Crores (Previous year ₹46.02 Crores).
- v) During the year, the Company has invested ₹80.66 Crores (Previous year ₹ Nil), ₹43.91 Crores (out of which ₹2.10 Crores redeemed during the year) (Previous year ₹Nil) and ₹164.13 crores (Previous year ₹ Nil) into Optionally Convertible Debentures ("OCDs") of its wholly owned subsidiaries, Chandenvale Infra Park Limited, Alcedo Infra Park Limited and Aviceda Infra Park Limited respectively for the purpose of acquiring land on lease. These OCDs shall be optionally converted into equity shares in the ratio of 1 : 1 or will be redeemed at the discretion of issuer at any time within 10 years from the date of issue.
- vi) On 7th June, 2022, the Company has acquired 100% equity shares of Innovant Buildwell Private Limited (Formerly known as Eternus Real Estate Private Limited) ("IBPL") for a consideration of ₹329.30 Crores and it also settled the liability of ₹320.70 Crores respectively towards the existing debt of IBPL. Hence, IBPL become wholly owned subsidiary of the Company w.e.f. 7th June, 2022. IBPL hold land parcel at Navi Mumbai which the Company propose to develop for Infrastructure facilities as part of its trading, investment and other business activities. Further, transaction cost of ₹63.34 Crores is added to investment in IBPL.
- vii) The Compulsory Convertible Debentures shall be mandatorily converted in to equity shares at par in the ratio of 10:1 at any time after the expiry of 5 years but before 20 years from the date of issue i.e. during financial year 2016-17 to 2018-19.
- viii) Fair value of OCD and Financial guarantee obligation accounted as deemed investment.

Particulars	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
In terms of fair valuation of Financial guarantee		
Adani Power (Jharkhand) Limited	356.10	235.57
Mahan Energen Limited (Formerly known as Essar Power MP Limited)	25.76	25.76
In terms of fair valuation of OCD		
Adani Power (Jharkhand) Limited	411.59	196.85
Mahan Energen Limited (Formerly known as Essar Power MP Limited)	72.70	72.70

- ix) Investments at Fair Value Through Other Comprehensive Income (FVTOCI) reflect investment in unquoted equity instruments. These equity shares are designated as FVTOCI as they are not held for trading purpose, thus disclosing their fair value change in profit and loss will not reflect the purpose of holding.

6 Non-current Loans

Particulars	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
(Unsecured, considered good)		
Loan to subsidiary companies (Refer Note 68)	1,251.78	609.54
Total	1,251.78	609.54

Note:

- i) The fair value of Loans are approximately the carrying value presented (Also refer note 54).

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

7 Other Non-current Financial Assets

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Bank balances held as Margin money (security against borrowings and others) (Refer note 20 and 26)	276.74	418.62
Fixed deposits with banks	-	2.20
Interest accrued but not due	9.51	5.37
Security deposits	70.08	165.84
Others (Refer note 44 & 45)	190.06	190.06
Total	546.39	782.09

Note:

- i) The fair value of Other Non-current Financial Assets are approximately the carrying value presented (Also refer note 54).

8 Other Non-current Assets

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Capital advances (including towards land acquisition)	127.77	49.45
Advances for goods and services	243.04	273.56
Advance tax including tax deducted at source (Net of provision)	304.59	36.02
Deposit with government authorities	2.04	2.55
Advance to employee	1.80	1.37
Contract assets (Unbilled receivable Including Deferred tax recoverable)	-	262.29
Prepaid expenses	11.81	14.33
Total	691.05	639.57

9 Inventories

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
(At lower of cost and net realisable value)		
Fuel [in transit ₹656.07 Crores (Previous year: ₹518.42 Crores)]	1,824.34	1,772.48
Stores and spares	499.73	435.59
Total	2,324.07	2,208.07

Notes:

- i) For charges created on inventories, refer note 20 and 26.
- ii) Net off ₹82.21 Crores (Previous year - ₹79.33 Crores) towards write-down of inventory.

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

10 Current Investments

Unquoted Investments (Fully Paid) (At FVTPL)

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Nil Units (Previous year 5,05,609.73 units of SBI Overnight Fund Direct Growth)	-	175.01
Total	-	175.01
Aggregate amount of unquoted investments	-	175.01

Note:

- i) For charges created on investments, Refer note 20 and 26.

11 Trade Receivables

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Secured, considered good	1,820.40	1,385.98
Unsecured, considered good (refer notes below)	9,560.53	8,104.03
Trade Receivables which have significant increase in credit risk	-	-
Trade Receivables - Credit impaired	-	-
Total	11,380.93	9,490.01

Notes:

- i) For charges created on Trade Receivables, (Refer note 20 and 26).

ii) **Credit concentration**

As at 31st March, 2023, out of the total trade receivables 93.53% (Previous year - 97.90%) pertains to dues from State Electricity Distribution Companies under contractual agreement through Power Purchase Agreements ("PPAs") including receivables on account of claims under Force Majeure / Change in Law matters, carrying cost thereof etc. and remaining receivables from related parties (Refer note 68) and others.

iii) **Expected Credit Loss (ECL)**

The Company is having majority of receivables against power supply from State Electricity Distribution Companies ("Discoms") which are Government undertakings.

The Company is regularly receiving its normal power sale dues from Discom and in case of regulatory revenue claims, the same is recognised on conservative basis based on best management estimates following principles of prudence, as per the binding regulatory orders. In case of delayed payments apart from carrying cost on settlement of claims, the Company is entitled to receive interest as per the terms of PPAs. Hence they are secured from credit losses in the future.

- iv) Trade receivables includes Customers' bills discounted of ₹1,192.50 Crores (Previous year - ₹1,000.00 Crores).
v) Also refer note 33 and 52.
vi) The fair value of Trade receivables are approximately the carrying value presented (Also refer note 54).

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

12 Cash and Cash equivalents

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Balances with banks		
In current accounts	193.76	384.52
Fixed deposits (with original maturity for three months or less) (Refer note (ii) below)	-	190.00
Total	193.76	574.52

Notes :

- i) For charges created on Cash and Cash equivalents, refer note 20 and 26.
- ii) The fair value of Fixed deposits are approximately the carrying value presented (Also refer note 54)

13 Bank balances (Other than cash and cash equivalents)

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Bank balances held as Margin money (With original maturity for more than three months)	1,498.58	1,435.99
Fixed deposits (With original maturity for more than three months)	-	4.44
Total	1,498.58	1,440.43

Notes:

- i) For charges created on Bank balances (Other than cash and cash equivalents), refer note 20 and 26.
- ii) The fair value of Bank balances (Other than cash and cash equivalents) are approximately the carrying value presented (Also refer note 54).

14 Current Loans

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
(Unsecured, considered good)		
Loans to subsidiary company (Refer Note 68)	-	0.44
Loans to employees	3.06	2.74
Total	3.06	3.18

Note :

- i) The fair value of Loans are approximately the carrying value presented (Also refer note 54).

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

15 Other Current Financial Assets

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Interest accrued but not due	38.94	44.13
Contract Assets (Unbilled Revenue)	0.18	2.34
Security deposits	187.73	160.17
Fair value of derivatives not designated as hedges (Refer note (i) below)	-	84.27
Other receivables	17.27	11.20
Total	244.12	302.11

Note:

- Includes Option contracts of ₹ Nil (Previous year ₹84.27 Crores).
- The fair value of Other Current Financial Assets are approximately the carrying value presented (Also refer note 54).

16 Other Current Assets

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Advances for goods and services	1,380.22	1,185.39
Prepaid expenses	91.26	101.60
Advance to Employees	0.76	0.69
Others (Recoverable from Government authorities)	81.37	68.90
Total	1,553.61	1,356.58

17 Share Capital

	As at 31st March, 2023	As at 31st March, 2022
Authorised Share Capital (Refer note 64)		
2480,00,00,000 (Previous Year - 4,50,00,00,000) equity shares of ₹10 each	24,800.00	4,500.00
50,00,00,000 (Previous Year - 50,00,00,000) Cumulative Compulsory Convertible Participatory Preference shares of ₹10 each	500.00	500.00
75,00,00,000 (Previous Year - Nil) Compulsory Convertible Preference shares of ₹10 each	750.00	-
10,00,00,000 (Previous Year - Nil) Redeemable Preference shares of ₹100 each	1,000.00	-
9,50,00,000 (Previous Year - Nil) Preference shares of ₹100 each	950.00	-
Total	28,000.00	5,000.00
Issued, Subscribed and Fully paid-up equity shares		
3,85,69,38,941 (Previous year - 3,85,69,38,941) fully paid up equity shares of ₹10 each	3,856.94	3,856.94

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

17 Share Capital (Contd.)

	As at 31st March, 2023	As at 31st March, 2022
Issued, Subscribed and Fully paid-up Preference shares		
4,15,86,207 (Previous year : 4,15,86,207) 0.01% Compulsory Redeemable Preference shares of ₹100/- each	415.86	415.86
Less : Reclassification of redeemable preference shares into debt and other equity (Refer note 19 & 20)	(415.86)	(415.86)
Issued, Subscribed and Partly paid-up Preference shares		
5,00,00,000 (Previous year : 5,00,00,000) upto 5% Non-cumulative Compulsory Redeemable Preference Shares of ₹100/- each and ₹60/- each paid up	300.00	300.00
Less : Reclassification of redeemable preference shares into debt and other equity (Refer note 19 & 20)	(300.00)	(300.00)
Total	3,856.94	3,856.94

a. (i) Reconciliation of the shares outstanding at the beginning and at the end of the reporting year

Equity Shares	As at 31st March, 2023		As at 31st March, 2022	
Particulars	No. of Shares	Amount	No. of Shares	Amount
At the beginning of the year	3,85,69,38,941	3,856.94	3,85,69,38,941	3,856.94
Issued during the year	-	-	-	-
Outstanding at the end of the year	3,85,69,38,941	3,856.94	3,85,69,38,941	3,856.94

a. (ii) Reconciliation of the shares outstanding at the beginning and at the end of the reporting year

Preference shares	As at 31st March, 2023		As at 31st March, 2022	
Particulars	No. of Shares	Amount	No. of Shares	Amount
At the beginning of the year	9,15,86,207	715.86	-	-
Add : Changes on account of amalgamation (Refer note 62 and 64)	-	-	4,15,86,207	415.86
At the beginning of the year (Restated)	-	-	4,15,86,207	415.86
Issued during the year (Refer note 63)	-	-	5,00,00,000	300.00
Outstanding at the end of the year	9,15,86,207	715.86	9,15,86,207	715.86

b. Terms / rights attached to equity shares

- The Company has only one class of equity shares having par value of ₹10 per share. Each holder of equity shares is entitled to one vote per share.
- In the event of liquidation of the Company the holders of the equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the share holders."

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

17 Share Capital (Contd.)

c. Terms/rights attached to preference shares

- The preference shares rank ahead of the equity shares in the event of a liquidation.
- The terms of the preference shares and segregation into liability and equity portions of these shares are explained in note 62 and 63.

d. Details of shareholders holding more than 5% shares in the Company

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	No. of Shares	% holding in the class	No. of Shares	% holding in the class
Equity shares of ₹10 each fully paid				
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	1,42,16,12,453	36.86%	140,51,79,633	36.43%
Adani Tradeline Private Limited*	37,71,80,885	9.78%	-	-
Adani Tradeline LLP*	-	-	37,71,80,885	9.78%
OPAL Investment Private Limited	#	#	21,32,36,910	5.53%
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	19,28,46,900	5.00%
Afro Asia Trade and Investments Limited	26,54,85,675	6.88%	26,54,85,675	6.88%
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	44,21,86,652	11.46%
	269,93,12,565	69.98%	289,61,16,655	75.08%

During the year, shares held by OPAL Investment Private Limited has been reduced to 4.69% and hence the disclosure is not applicable in the current year.

e. Details of shares held by promoters

As at 31st March, 2023

Particulars	No. of Shares	% holding in the class	% Change
Mr. Gautam S. Adani	1	-	-
Mr. Rajesh S. Adani	1	-	-
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	1,42,16,12,453	36.86%	1.17%
Mr. Gautam S. Adani / Mrs. Pritiben G. Adani (On behalf of Gautam S. Adani Family Trust)	-	-	(100.00%)
Adani Tradeline Private Limited*	37,71,80,885	9.78%	100.00%
Adani Tradeline LLP*	-	-	(100.00%)
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	-
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	-
Afro Asia Trade And Investments Limited	26,54,85,675	6.88%	-
Emerging Market Investments DMCC	19,23,00,000	4.99%	-
Total	289,16,12,567	74.97%	

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for the year ended 31st March, 2023

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17 Share Capital (Contd.)

As at 31st March, 2022

Particulars	No. of Shares	% holding in the class	% Change
Mr. Gautam S. Adani	1	-	-
Mr. Rajesh S. Adani	1	-	-
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	140,51,79,633	36.43%	-
Mr. Gautam S. Adani / Mrs. Pritiben G. Adani (On behalf of Gautam S. Adani Family Trust)	1,64,32,820	0.43%	-
Adani Tradeline LLP*	37,71,80,885	9.78%	-
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	-
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	-
Afro Asia Trade And Investments Limited	26,54,85,675	6.88%	-
Emerging Market Investments DMCC	19,23,00,000	4.99%	-
Total	289,16,12,567	74.97%	

* During the year, Adani Tradeline LLP has been converted into Private Limited Company with the name Adani Tradeline Private Limited w.e.f. 6th July, 2022.

18 Unsecured Perpetual Securities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
At the beginning of the year	13,215.00	9,015.00
Add : Changes on account of amalgamation (Refer note 64)	-	3,600.00
At the beginning of the year (Restated)	13,215.00	12,615.00
Add: Issued during the year	-	600.00
Outstanding at the end of the year	13,215.00	13,215.00

Notes:

- (i) The Company has issued Unsecured Perpetual Securities ("Securities"), which are perpetual in nature with no maturity or redemption and are callable only at the option of the issuer. The distribution on these Securities are cumulative at 9% to 10.67% (Previous year 9% to 11%) p.a. and at the discretion of the issuer. As these securities are perpetual in nature and ranked senior only to the Equity Share Capital of the Company and the issuer does not have any redemption obligation, these are considered to be in the nature of equity instruments.

19 Other Equity

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Capital Reserve	1,389.40	1,389.40
Securities Premium	7,409.83	7,409.83
General Reserve	9.04	9.04
Deemed Equity Contribution	1,952.10	1,772.93
Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	246.55	246.55

Notes to Standalone Financial Statements

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19 Other Equity (Contd.)

	As at 31st March, 2023	As at 31st March, 2022 (Refer note 64)
Equity instruments through OCI	-	-
Retained earnings	145.01	(9,435.80)
Total	11,151.93	1,391.95

Particulars	As at 31st March, 2023	As at 31st March, 2022
a. Capital Reserve		
Opening Balance	1,389.40	465.80
Add : Changes on account of amalgamation (Refer note 64)	-	923.60
Opening Balance (Restated)	1,389.40	1,389.40
Addition during the year	-	-
Closing Balance	1,389.40	1,389.40
b. Securities Premium		
Opening Balance	7,409.83	4,136.27
Add : Changes on account of amalgamation (Refer note 64)	-	3,273.56
Opening Balance (Restated)	7,409.83	7,409.83
Addition during the year	-	-
Closing Balance	7,409.83	7,409.83
c. Deemed Equity Contribution (Refer Note (v) below)		
Opening balance	1,772.93	1,772.93
Add : Changes during the year (Refer note 20(4))	179.17	-
Closing Balance	1,952.10	1,772.93
d. Equity Component of Non-cumulative Compulsory Redeemable Preference Shares		
Opening Balance	246.55	-
Add : Changes on account of amalgamation (Refer note 63 and 64)	-	246.55
Closing Balance	246.55	246.55
e. Equity instruments through OCI		
Opening Balance	-	-
Add : Net gain on sale of Investment classified at FVTOCI, net of tax	-	26.94
Less : Transfer to Retained Earnings on Sale of CCPS	-	26.94
Closing Balance	-	-
f. Retained earnings		
Opening Balance	(9,435.80)	(2,170.63)
Add : Changes on account of amalgamation (Refer note 64)	-	(11,728.68)
Opening Balance (Restated)	(9,435.80)	(13,899.31)
Add : Distribution to holders of unsecured perpetual securities	(661.17)	(589.83)
Add : Profit for the year	10,246.15	5,036.34
Add : Transfer to Retained Earnings on Sale of CCPS	-	26.94
Add: Remeasurement (loss) on defined benefit plans, net of tax	(4.17)	(9.94)
Closing Balance	145.01	(9,435.80)

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

19 Other Equity (Contd.)

Notes :

- i) (a) Capital Reserve includes ₹359.80 Crores created due to amalgamation of Growmore Trade and Investment Private Limited with the Company in the financial year 2012-13. As per the order of the Hon'ble High Court of Gujarat, the capital reserve created on amalgamation shall be treated as free reserve of the Company.
- (b) Capital reserve of ₹1,029.60 Crores was created on acquisition of Raipur TPP and Raigarh TPP during the financial year 2019-20.
- ii) Securities premium represents the premium received on issue of shares over and above the face value of equity shares. The reserve is available for utilisation in accordance with the provisions of the Companies Act, 2013.
- iii) General reserve of ₹9.04 Crores was created in the FY 2015-16 due to merger of solar power undertaking acquired from Adani Enterprises Limited, as per the scheme of arrangement approved by order of the Hon'ble High Court of Gujarat.
- iv) Equity instruments through Other Comprehensive Income : The Company has elected to recognise changes in the fair value of certain investments in equity instruments in other comprehensive income. These changes in equity instruments are accumulated through Other Comprehensive Income within equity. The Company transfers amounts from this reserve to retained earnings when the relevant equity instruments are derecognised.
- v) Deemed equity contribution represents the difference between the fair value of financial instruments and consideration paid / payable as promoters' contribution.
- vi) Retained earnings represent the amount that can be distributed as dividend considering the requirements of the Companies Act, 2013. During the year, no dividends are distributed to the equity shareholders by the Company.

20 Non-current Borrowings

	As at 31st March, 2023		As at 31st March, 2022 (Refer Note 64)	
	Non-Current	Current	Non-Current	Current
Secured Borrowings - at amortised cost				
Term Loans				
From Banks	14,493.79	1,787.94	19,786.52	2,328.04
From Financial Institutions and Assets Reconstruction Companies ("ARCs")	3,525.77	368.20	4,639.85	484.20
	18,019.56	2,156.14	24,426.37	2,812.24
Unsecured Borrowings - at amortised cost				
Loans From Related Parties (Refer Note 68)	6,790.12	-	5,160.06	-
Loans From Others	-	-	721.59	-
4,15,86,207 (Previous year : 4,15,86,207) 0.01% Compulsory Redeemable Preference shares of ₹100/- each	106.89	-	97.18	-
5,00,00,000 (Previous year : 5,00,00,000) upto 5% Non-cumulative Compulsory Redeemable Preference Shares of ₹100/- each (Refer note 63)	62.06	-	57.25	-
	6,959.07	-	6,036.08	-
	24,978.63	2,156.14	30,462.45	2,812.24
Amount disclosed under the head Current Borrowings	-	(2,156.14)	-	(2,812.24)
Total	24,978.63	-	30,462.45	-

Notes to Standalone Financial Statements

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20 Non-current Borrowings (Contd.)

Notes:

1. The security details for the borrowing balances:

- a. Rupee Term Loans from Banks aggregating to ₹15,584.15 Crores (Previous year ₹20,726.08 Crores), Rupee Term Loans from Financial Institutions and ARCs aggregating to ₹3,391.23 Crores (Previous year ₹3,617.94 Crores), Foreign Currency Loans from Banks aggregating to ₹763.04 Crores (Previous year ₹1,516.93 Crores), Foreign Currency Loans from Financial Institutions aggregating to ₹506.04 Crores (Previous year ₹1,513.46 Crores) carry annual weighted average interest rate of 9.14% p.a. and are secured by first mortgage and charge on the identified immovable and movable and leasehold land, both present and future assets of the Mundra TPP, Tiroda TPP, Kawai TPP, Udupi TPP, Raipur TPP, Raigarh TPP (collectively and individually referred as "Projects") on paripassu basis with the lenders of the respective projects.

On amalgamation of six subsidiaries of the Company with itself in terms of National Company Law Tribunal ('NCLT') order dated 8th February, 2023, as at reporting date, the Company is in the process of concluding of fresh financing documents with all the lenders, whereby the above facilities will be secured by first mortgage and charge on the identified immovable and movable and leasehold land, both present and future assets of the projects / locations on paripassu basis with the lenders of the projects

- b. Rupee Term Loan from Banks and Trade credits (current borrowing) aggregating to ₹5,491.57 Crores (Previous year - ₹6,772.03 Crores) are further secured by pledge of 764,426,421 equity shares of the Company held by S.B. Adani Family Trust (Previous year 764,426,421) as a First charge.

Further, for related party transactions Refer Note 68.

2. Repayment schedule for the Secured borrowing balances:

- a. The secured term loans from Banks aggregating to ₹13,791.10 Crores (Previous year ₹19,634.88 Crores) and from Financial Institutions aggregating to ₹2,869.65 Crores (Previous year ₹4,114.12 Crores) respectively are repayable over a period of next 12 years in quarterly / half yearly / yearly from Financial year 2023-24 to Financial year 2034-35. During the year, the Company has also made prepayments of ₹4,755.45 Crores.
- b. In case of Raipur TPP, Rupee Term Loans and Foreign Currency Loans from Banks and Financial Institution aggregating to ₹2,767.75 Crores (Previous year ₹2,746.53 Crores) are repayable in 3 equal annual installments starting from 30th June, 2026.
- c. In case of Raigarh TPP, the secured term loans from Banks aggregating to ₹674.87 Crores (Previous year ₹726.92 Crores) and from Financial Institutions aggregating to ₹141.09 Crores, including ₹71.92 Crores from ARCs (Previous year ₹151.95 Crores, including ₹77.46 Crores from ARCs) respectively are repayable in structured quarterly instalments from Financial year 2023-24 to Financial year 2026-27.

3. Repayment schedule for the Unsecured borrowing balances:

- a. Unsecured loans from related parties of ₹6,790.12 Crores (Previous year ₹5,160.06 Crores) and from others of ₹Nil (Previous year ₹721.59 Crores) are repayable on agreed dates over a period of 2 to 4 years starting from Financial year 2024-25 to Financial year 2026-27.
- b. Up to 5% Non-cumulative Compulsory Redeemable Preference Shares aggregating to ₹300 Crores (Previous year - ₹300 Crores) recognised at discounted value of ₹62.06 Crores (Previous year - ₹57.25 Crores) are redeemable in Financial year 2041-42.
- c. 0.01% Compulsory Redeemable Preference shares aggregating to ₹415.86 Crores (Previous year ₹415.86 Crores) recognised at discounted value of ₹106.89 Crores (previous year ₹97.18 Crores) are redeemable in structured 3 equal annual instalments from Financial year 2036-37 to Financial year 2038-39.

4. During the year, the Company in case of Raipur TPP, has written back the outstanding amount of assigned ECB based on a consent letter received from Adani Global DMCC, a related party of the Company for waiver of the same. As the ECB was accounted at fair value on initial recognition, the outstanding portion of debt component of ₹179.17 Crores has been accounted as deemed equity contribution.

5. The amount disclosed in security details in note 1 above and repayment schedule in note 2 above are gross amount excluding adjustments towards upfront fees.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

21 Non-Current Lease Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Lease liabilities	87.76	93.49
Total	87.76	93.49

Note:

The fair value of Lease Liabilities are approximately the carrying value presented (Also refer note 54).

22 Other Non-current Financial Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Financial Guarantee Obligation	286.21	205.69
Total	286.21	205.69

Notes:

- The fair value of Other Non-current Financial Liabilities are approximately the carrying value presented (Also refer note 54).
- Financial guarantees are issued by the Company in respect of borrowings taken by subsidiaries. (Refer note 68).

23 Non-current Provisions

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Provision for Mine Closure Obligations (Refer note 43)	42.07	39.44
Provision for Employee Benefits		
Provision for Gratuity (Refer note 58)	72.00	60.82
Provision for Leave Encashment	34.25	32.12
Total	148.32	132.38

24 (a) Deferred Tax Liabilities (Net) (Refer note 65)

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Deferred Tax Liabilities		
Property, Plant and Equipment	4,409.07	5,243.33
Others	-	0.18
Gross Deferred Tax Liabilities	4,409.07	5,243.51
Deferred Tax Assets		
Provision for employee benefits	33.13	27.85
Expenses disallowed claimable in future years	804.37	91.76
On unabsorbed depreciation / carried forward losses	3,571.57	2,820.03
Gross Deferred Tax Assets	4,409.07	2,939.64
Net Deferred Tax Liabilities	-	2,303.87

At the current year end, the Company has recognised Deferred Tax Assets on unabsorbed depreciation / carried forward losses to the extent of Deferred Tax Liability. (Also refer note 65).

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

24 (Contd.)

(b) Movement in deferred tax liabilities (net) for the year ended 31st March, 2023

	Opening Balance as at 1st April, 2022	Recognised in statement of profit and Loss (Refer note 65)	Recognised in other comprehensive income	Closing balance as at 31st March, 2023
Tax effect of items constituting Deferred Tax Liabilities :				
Property, Plant and Equipment	5,243.33	(834.26)	-	4,409.07
Others	0.18	(0.18)	-	-
Total - (a)	5,243.51	(834.44)	-	4,409.07
Tax effect of items constituting Deferred Tax Assets:				
Employee Benefits	27.85	5.28	-	33.13
Expenses disallowed claimable in future years	91.76	712.61	-	804.37
Unabsorbed depreciation	2,820.03	751.54	-	3,571.57
Total - (b)	2,939.64	1,469.43	-	4,409.07
Deferred Tax Liabilities (Net) Total - (a-b)	2,303.87	(2,303.87)	-	-

(c) Movement deferred tax liabilities (net) for the year ended 31st March, 2022

	Opening Balance as at 1st April, 2021 (Refer Note 64)	Recognised in statement of profit and Loss	Recognised in other comprehensive income	Closing balance as at 31st March, 2022
Tax effect of items constituting Deferred Tax Liabilities :				
Property, Plant and Equipment	5,169.13	74.20	-	5,243.33
Others	0.18	-	-	0.18
Total - (a)	5,169.31	74.20	-	5,243.51
Tax effect of items constituting Deferred Tax Assets:				
Employee Benefits	24.94	2.13	0.78	27.85
Expenses disallowed claimable in future years	23.68	68.08	-	91.76
Unabsorbed depreciation	3,792.61	(972.58)	-	2,820.03
Total - (b)	3,841.23	(902.36)	0.78	2,939.64
Deferred Tax Liabilities (Net) Total - (a-b)	1,328.08	976.56	(0.78)	2,303.87

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

24 (Contd.)

24.1 Unrecognised deductible temporary differences and unused tax losses.

Deductible temporary differences, unused tax losses and unused tax credits for which no Deferred Tax Assets have been recognised are attributable to the following :

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Unrecognised tax losses and unused tax credit (revenue in nature)	-	12,964.55
Unabsorbed depreciation (Refer note (i) below)	18,826.95	20,281.66
Property, Plant and Equipment	-	167.09
Provision for Employee benefits	-	3.29
Total	18,826.95	33,416.59

Notes:

- Unabsorbed depreciation of ₹18,826.95 Crores do not have expiry in respect of the Company.
- No Deferred Tax Asset has been recognised on the above unutilised tax losses, depreciation and tax credits as there is no reasonable certainty as of year end that sufficient taxable profit will be available in the near future years against which such credits can be utilised by the Company.

25 Other Non-current Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Deferred Government Grant (Refer note 4.1(ii))	4,183.15	4,487.21
Total	4,183.15	4,487.21

26 Current Borrowings

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Secured Borrowings - at amortised cost		
Working Capital Demand Loans From Banks	2,036.27	1,978.36
Trade Credits From Banks (Refer note 20(1)(b))	1,951.85	2,931.32
Cash Credit From Banks	490.96	661.55
Customers' Bills Discounted (recourse basis)	1,192.50	1,000.00
Current maturities of Non-Current borrowings (Refer note 20)	2,156.14	2,812.24
	7,827.72	9,383.47
Unsecured Borrowings - at amortised cost		
Loans From Related Parties (Refer note 68)	-	549.33
Total	7,827.72	9,932.80

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

26 Current Borrowings (Contd.)

Notes:

- i) Working Capital Demand Loans, Trade Credits, Cash Credits and Customers' Bills Discounted provided by Bank (Working Capital Facilities) aggregating to ₹5,671.58 Crores (Previous year ₹6,571.23 Crores) carry annual weighted average interest rate of 5.75% p.a. and are secured by first mortgage and charge on the identified immovable and movable, both present and future assets of the Mundra TPP, Tiroda TPP, Kawai TPP, Udupi TPP, Raipur TPP, Raigarh TPP (collectively and individually referred as "Projects") on paripassu basis with the lenders of the respective projects.

On amalgamation of six subsidiaries of the Company with itself in terms of NCLT order dated 8th February, 2023, as at reporting date, the Company is in the process of concluding of fresh financing documents with all the lenders, whereby the above facilities will be secured by first mortgage and charge on the identified immovable and movable and leasehold land, both present and future assets of the projects / locations on paripassu basis with the lenders of the projects.

27 Current Lease Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Lease liabilities	8.75	7.98
Total	8.75	7.98

Note:

The fair value of Lease Liabilities are approximately the carrying value presented (Also refer note 54).

28 Trade Payables

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Acceptances	192.26	195.86
Other than acceptances		
- total outstanding dues of micro enterprises and small enterprises	82.38	52.93
- total outstanding dues of creditors other than micro enterprises and small enterprises (Refer note 68 for related party dues)	2,112.74	3,199.77
Total	2,387.38	3,448.56

Notes:

- i) Trade payables mainly include amount payable to coal suppliers and operation and maintenance vendors in whose case credit period allowed is 0-180 days. The Company usually opens usance letter of credit in favour of the coal suppliers.
- ii) The fair value of trade payables are approximately the carrying value presented (Also refer note 54).
- iii) **Details of due to micro and small enterprises :**

On the basis of the information and records available with management, details of dues to micro and small enterprises as defined under the MSMED Act, 2006 are as below:

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

28 Trade Payables (Contd.)

Particulars	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Principal amount remaining unpaid to any supplier as at the year end.	82.38	52.93
Interest due thereon	-	-
Amount of interest paid in terms of section 16 of the MSMED, along with the amount of the payment made to the supplier beyond the appointed day during the accounting year.	-	-
Amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the period) but without adding the interest specified under the MSMED.	-	-
Amount of interest accrued and remaining unpaid at the end of the accounting year.	-	-
Amount of further interest remaining due and payable even in succeeding years.	-	-

iv) Ageing schedule:

a. As at 31st March, 2023

Sr No	Particulars	Unbilled (including accrued expense)	Not due	Outstanding for following periods from due date of Payment*				Total
				Less than 1 year	1-2 years	2-3 years	More than 3 years	
1	MSME	-	82.38	-	-	-	-	82.38
2	Others	321.02	72.34	1,698.18	70.10	38.55	79.72	2,279.91
3	Disputed dues - MSME	-	-	-	-	-	-	-
4	Disputed dues - Others	-	-	4.68	4.60	3.25	12.56	25.09
	Total	321.02	154.72	1,702.86	74.70	41.80	92.28	2,387.38

b. As at 31st March, 2022

Sr No	Particulars	Unbilled (including accrued expense)	Not due	Outstanding for following periods from due date of Payment*				Total
				Less than 1 year	1-2 years	2-3 years	More than 3 years	
1	MSME	-	52.93	-	-	-	-	52.93
2	Others	225.21	1,062.62	1,323.47	540.06	64.80	159.06	3,375.22
3	Disputed dues - MSME	-	-	-	-	-	-	-
4	Disputed dues - Others	-	-	4.60	3.25	3.59	8.97	20.41
	Total	225.21	1,115.55	1,328.07	543.31	68.39	168.03	3,448.56

* Where due dates not provided, date of transaction is considered.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

29 Other Current Financial Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Interest accrued but not due (Refer note (i) of cash flow statement)	24.35	17.23
Payable towards purchase of Property, Plant and Equipment (including retention money)	206.14	215.38
Financial guarantee obligation (Refer note 68).	39.73	33.46
Derivatives not designated as hedges (Refer note (i) below)	7.04	15.45
Truing Up / Tariff revenue adjustment (Refund Liability)	547.16	418.14
Other financial liabilities (Refer note (iii) below)	250.66	15.02
Total	1,075.08	714.68

Notes :

- i) Includes Forward contracts of ₹7.04 Crores (Previous year ₹11.27 Crores), interest rate swap of ₹ Nil (Previous year ₹4.18 Crores).
- ii) The fair value of Other Current Financial Liabilities are approximately the carrying value presented (Also refer note 54).
- iii) Includes refundable amount as per the agreement.

30 Other Current Liabilities

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Statutory liabilities	130.27	129.33
Advance from Customers	32.51	53.15
Deferred Government Grant (Refer note 4.1(ii))	304.18	304.19
Others (Refer note (i) below)	3,144.73	368.25
Total	3,611.69	854.92

Note :

- i) Includes ₹50.87 Crores (Previous year ₹50.87 Crores) on account of Fair Valuation of contingent liabilities on acquisition of Raipur TPP and ₹3,046.98 Crores (Previous year ₹315.87 Crores) as liability towards additional cost of procurement of coal based on future power supply, as may be required.

31 Current Provisions

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Provision for Employee Benefits		
Provision for Leave Encashment	13.39	12.94
Total	13.39	12.94

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

32 Current Tax Liabilities (Net)

	As at 31st March, 2023	As at 31st March, 2022 (Refer Note 64)
Income-tax payable (Net of advance tax)	-	645.32
Total	-	645.32

33 Revenue from Operations

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Revenue from Power Supply (Refer notes below)	35,420.63	27,165.50
Revenue from trading goods (including coal)	521.80	487.90
Sale of services	28.60	1.50
Other Operating Revenue		
Sale of Fly Ash and Others	55.74	56.28
Gain on Sale of Investments (Refer note (vi) below)	654.44	-
Total revenue from contracts with customers	36,681.21	27,711.18

Notes:

(i) In respect of Tiroda TPP

- (a) Maharashtra Electricity Regulatory Commission ("MERC") vide its order dated 6th September, 2019 had allowed relief on account of use of alternative coal for non-availability of coal due to cancellation of Lohara coal block for the Company's 800 MW power generation capacity at Tiroda TPP. The relief was upheld by the Appellate Tribunal for Electricity ("APTEL") vide its order dated 5th October, 2020, although the Maharashtra State Electricity Distribution Company Limited ("MSEDCL") had filed an appeal in the Hon'ble Supreme Court against the APTEL order. The Hon'ble Supreme Court after issuing interim relief order dated 31st January, 2022 passed the final order dated 20th April, 2023 upheld all the matters which were concluded in the APTEL order. Pursuant to said Hon'ble Supreme Court order, the Company has reassessed the compensation claims recognised till date and recognised an additional revenue of ₹321.71 Crores (net off reversal of Carrying Cost of ₹10.98 Crores) at the year end (including ₹201.21 Crores pertaining to earlier period).

The total tariff compensation claim recognised for year ended 31st March, 2023 is ₹3,916.48 Crores (including carrying cost ₹487.15 Crores). The Company has recognised tariff compensation claims on best estimate basis and management expects to fully realise outstanding balances of such claims from the discoms.

- (b) In a matter relating to tariff compensation claim (including carrying costs thereon) for additional costs incurred by the Company for 2500 MW power generation capacity at Tiroda TPP, due to shortfall in availability of domestic coal under New Coal Distribution Policy ("NCDP") and Scheme of Harnessing and Allocating Koyala (Coal) Transparently in India ("SHAKTI") policy of the government, the Company had earlier received favorable orders from MERC, based on which the Company has recognised claims and carrying cost thereon in earlier years, on best estimate basis. Subsequently, APTEL vide its orders dated 14th and 28th September, 2020 provided further clarity on the various claim parameters to be considered in computing tariff compensation claims. However, MSEDCL had filed an appeal with the Hon'ble Supreme Court against the aforesaid orders of APTEL. The Hon'ble Supreme court after issuing interim relief order dated 31st January, 2022 passed its final order dated 3rd March 2023 and 20th April, 2023 upheld all the matters which were concluded in the APTEL orders towards compensation claims relating to NCDP and SHAKTI policy respectively. Pursuant to said Hon'ble Supreme Court orders

33 Revenue from Operations (Contd.)

the Company has derecognised claim of ₹90.26 Crores (net off recognition of carrying cost of ₹178.38 Crores) at the year end (including claim reversal of ₹90.26 Crores pertaining to prior period).

The tariff compensation claim recognised for the year ended 31st March, 2023 is ₹5,063.12 Crores (including carrying cost of ₹1,131.94 Crores). The Company has recognised tariff compensation claims on best estimate basis and management expects to fully realise outstanding balances of such claims from the discoms.

- (c) Apart from above, in one of the matters relating to cost factor for computation of tariff compensatory claim based on claim amount billed by the Company, MSEDCL is also in appeal with APTEL although the Company has favorable order from MERC in the matter. The management does not expect any adverse impact of the matter. Currently, the Company has recognised the compensation claim on the best estimate basis pending settlement of appeal.

(ii) In respect of Kawai TPP

The Company, for recognition of tariff compensation claims for additional coal costs incurred for power generation due to shortfall in availability of domestic linkage coal under Shakti Policy of the Government, the Company has relied on the favourable order of Hon'ble Supreme Court dated 31st August, 2020 in which Hon'ble Supreme Court has admitted all tariff compensation claims and the Company continues to realise the claim amount towards compensation. The Company has recognised tariff compensation claims on best estimate basis which management expects to fully realise such claims from the discoms.

iii) In respect of Udupi TPP

The Company raises invoices on its customers ("Karnataka Discoms") based on the most recent tariff order / provisional tariff approved by the Central Electricity Regulatory Commission ("CERC"), as modified by the orders of Appellate Tribunal for Electricity ("APTEL") / CERC to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangements with the customers. Such tariff orders are subject to conclusion of final tariff order in terms of Multiyear Tariff ("MYT") Regulations at end of tariff period of every 5 years.

- (iv) Revenue from operations for the year ended 31st March, 2023, (including the amounts disclosed separately elsewhere in other notes) includes ₹2,377.24 Crores (net) recognised pertaining to prior years upto 31st March, 2022 (Previous year - ₹465.40 Crores pertaining to period upto 31st March, 2021), based on the orders received from various regulatory authorities such as MERC / CERC, APTEL, Hon'ble Supreme Court and reconciliation with discoms relating to various claims towards change in law events, carrying cost thereon and delayed payment interest.
- (v) For regulatory claims / change in law claims, the management recognises income on conservative parameters, since the same are under litigation / pending final settlement with Discoms. The differential adjustments on account of such claims are recognised on resolution of the litigation / final settlement of matter with Discoms, including carrying cost / late payment surcharge.
- vi) On 7th June, 2022, the Company has acquired 100% equity shares of Support Properties Private Limited ("SPPL") for a consideration of ₹280.10 Crores and it also settled the liability of ₹485.24 Crores towards the existing debt of SPPL. Hence, SPPL become wholly owned subsidiary of the Company w.e.f. 7th June, 2022. SPPL hold land parcel at Navi Mumbai which the Company proposed to develop for Infrastructure facilities as part of its trading, investment and other business activities (a company's business segment). Further, transaction cost of ₹54.43 Crores is added to investment in SPPL. On 22nd March, 2023, the Company has disposed off its investment held in SPPL by execution of share purchase agreement with Adani Connex Private Limited and received a consideration of ₹988.97 Crores (excluding debt component of ₹485.24 Crores) which has been arrived at on arm's length basis. The net income on such sale of investment amounting to ₹654.44 Crores is accounted as other operating revenue.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

34 Other Income

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Interest income (Refer note (i) below)	3,834.36	3,633.66
Income from Mutual Funds	10.39	0.83
Profit on Sale of Investment	-	0.01
Sale of Scrap	18.87	20.46
Amortised Government Grant Income	304.06	304.06
Financial Guarantee Commission (amortised)	33.74	17.64
Liability no longer required written back	41.35	21.81
Miscellaneous Income (Refer note (ii) below)	277.21	69.85
Total	4,519.98	4,068.32

Notes:

- Interest income of ₹3,834.36 Crores (Previous year - ₹3,633.66 Crores) mainly includes Interest income in nature of Late payment surcharge / carrying cost of ₹3,499.93 Crores (Previous year - ₹3,475.88 Crores) from DISCOMs towards change in law claims and overdue receivables and interest income on fixed deposit ₹82.64 Crores (Previous year - ₹40.69 Crores).
- Miscellaneous income mainly includes ₹61.84 Crores (Previous year - ₹Nil) towards GST refund and ₹150.08 Crores (Previous year - ₹Nil) towards credit of transmission charges which were expensed off in earlier years.

35 Purchase of Stock in trade / Power for resale

It includes purchase of traded goods of ₹110.14 Crores (Previous year ₹483.34 Crores) and purchase of Power for resale of ₹99.44 Crores (Previous year ₹62.22 Crores).

36 Employee benefits expense

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Salaries, Wages and Allowances	471.09	417.54
Contribution to Provident and Other Funds	25.00	21.68
Staff Welfare Expenses	34.27	30.99
Total	530.36	470.21

37 Finance Costs

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
(a) Interest Expense on :		
Loans and Debentures	2,812.75	3,612.31
Working Capital, Trade Credits and Others (Refer note (i) below)	255.38	250.02
Total (a)	3,068.13	3,862.33

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

37 Finance Costs (Contd.)

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
(b) Other borrowing costs :		
(Gain) on Derivative Contracts	(142.03)	(6.17)
Bank Charges and Other Borrowing Costs	178.11	147.70
Total (b)	36.08	141.53
(c) Net loss on foreign currency transactions and translation (to the extent considered as finance cost)	202.59	83.06
Total (c)	202.59	83.06
Total (a+b+c)	3,306.80	4,086.92

Note :

- i) Includes interest on lease liabilities of ₹9.32 Crores (Previous year ₹9.71 Crores) and unwinding of interest on preference shares of ₹14.63 Crores (Previous year ₹12.64 Crores).

38 Other Expenses

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Consumption of Stores and Spares	305.63	345.14
Repairs and Maintenance Expenses	536.85	527.34
Expenses related to short term leases	5.55	5.69
Rates and Taxes	157.99	68.66
Legal and Professional Expenses	114.30	70.86
Payment to Auditors (Refer Note 56)	3.61	3.27
Directors' Sitting Fees	0.47	0.41
Insurance Expenses	113.75	88.63
Bad debts / sundry balances written off	8.66	0.39
Provision for Capital work in progress	33.97	0.02
Provision of Mine closure obligation	-	39.44
Foreign Exchange Fluctuation Loss (Net)	24.79	24.49
Miscellaneous Expenses	234.86	183.32
Loss on Sale / Retirement of Property, Plant and Equipment and capital asset written off (Net)	41.18	67.25
Donations	2.11	1.00
Corporate Social Responsibility Expenses (Refer note 59)	16.73	27.83
Total	1,600.45	1,453.74

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

39 Income Tax

The major components of income tax expense are:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Profit and Loss section		
Current Tax:		
Current Income Tax Charge	-	768.33
Reversal of tax provision relating to earlier years	(768.33)	(0.11)
Total (A)	(768.33)	768.22
Deferred Tax		
Deferred Tax (credit) / charge relating to earlier years, reversed during the year (Refer Note 65)	(2,303.87)	976.57
Total (B)	(2,303.87)	976.57
Current tax netted off with Deferred tax recoverable from future tariff	(46.86)	16.78
Total (C)	(46.86)	16.78
OCI section		
Deferred tax related to items recognised in OCI during the year (D)	-	(0.78)
Total (A+B+C+D)	(3,119.06)	1,760.79

The income tax expense for the year can be reconciled to the accounting profit as follows:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Profit before tax as per Statement of Profit and Loss	7,389.38	6,701.88
Income tax using the company's domestic tax rate @ 25.168% (Previous year rate 25.168%)	1,859.76	1,686.73
Tax Effect of :		
i) Deferred Tax asset not created on temporary differences / unabsorbed depreciation	-	190.75
ii) Unabsorbed Depreciation / brought forward losses utilised	(1,673.93)	(0.76)
iii) Deferred tax asset not recognised for MAT on Deferred Tax Recoverable	-	47.47
iv) (Reversal) of / Recognition of MAT on Deferred Tax Recoverable on which deferred tax asset not recognised	(46.86)	16.78
v) Income-taxes related to prior years, reversal of provision	(768.33)	(0.11)
vi) Tax Impact on Distribution to holders of Unsecured Perpetual Securities	(166.40)	(148.45)
vii) Non Deductible Expenses	33.85	3.25
viii) Non Taxable Income	(53.28)	(44.66)
ix) Profit taxable at different tax rates and impact of tax rate differences	-	20.58
x) Change in estimate of taxability of certain items pertaining to earlier years	-	(10.01)
xi) Reversal of Deferred tax liabilities created in earlier years, refer note 65	(2,303.87)	-
xii) Others	-	(0.78)
Income tax recognised in Statement of Profit and Loss	(3,119.06)	1,760.79

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

40 Earnings per share

		For the year ended 31st March, 2023	For the year ended 31st March, 2022
Basic and Diluted EPS			
Profit after tax for the year	₹ in Crores	10,246.15	5,036.34
Less : Distribution on Unsecured Perpetual Securities (including paid - ₹661.17 Crores (Previous year - ₹589.83 Crores))	₹ in Crores	1,251.65	1,197.65
Profit attributable to equity shareholders after distribution on Unsecured Perpetual Securities	₹ in Crores	8,994.50	3,838.69
Weighted average number of equity shares outstanding during the year	No.	3,85,69,38,941	3,85,69,38,941
Nominal Value of equity share	₹	10	10
Basic and Diluted EPS	₹	23.32	9.95

41 Contingent Liabilities and Commitments (to the extent not provided for) :

	As at 31st March, 2023	As at 31st March, 2022
(a) Contingent Liabilities :		
i) Claims against the Company not acknowledged as debts in respect of:		
a. Income Tax demands (under appeal)	27.74	69.04
b. Entry Tax (under appeal)	1.65	1.51
c. Custom Duty (Refer note 1(a) and 2 below)	1,220.51	1,220.51
d. Transmission Line Relinquishment (Refer note 1(b) below)	154.50	154.50
e. Electricity Duty (Refer note 3 below)	-	25.19
f. Central Sales Tax (under appeal)	13.10	-
g. Value Added Tax (Refer note 4 below)	1.51	-
Total	1,419.01	1,470.75

Notes:

- 1) (a) In Case of Raipur TPP, The Ministry of Power, Government of India vide letter dated 8th September, 2011 had granted Provisional Mega Power Status Certificate under the Mega Power Policy for construction of its 1,370 MW Thermal based Power Plant. In terms of the same, the Company has availed exemptions of duty of customs and excise duty upon submission of bank guarantees worth ₹960.01 Crores and pledge of margin money deposits of ₹59.67 Crores. The grant of final Mega power status of Raipur TPP is dependent upon plant achieving tie up for supply of power for 70% of its installed capacity through long term Power Purchase Agreements by way of competitive bidding and the balance through regulated market within stipulated time. The time period to achieve tie up for supply of power as prescribed in Mega Power Policy has been further extended to 156 months from the date of Import, till 12th September, 2024, by the Ministry of Power, Government of India vide amendment dated 7th April, 2022. The Management expects to comply the conditions and hence no adjustments are made.

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41 Contingent Liabilities and Commitments (to the extent not provided for) : (Contd.)

- (b) In case of Raipur TPP, the Company had entered into a bulk power transmission agreement ('BPTA') with Power Grid Corporation of India Limited ('PGCIL') dated 31st March, 2010 as per which the Company was granted Long term Access ('LTA') of 816 MW. However, owing to non-availability of PPA, which as per management is beyond the control of the Company, Raipur TPP was not in a position to utilise the LTA and has accordingly sought for surrender of the LTA, for which PGCIL has raised demand of ₹154.50 Crores towards relinquishment charges on the Company. However, the said claim will be subject to the outcome of the petition dated 7th September, 2020 filed by the Company before the APTEL.
- 2) For the Company's Udupi TPP and Tiroda TPP, matter on Custom Duty relating to March 2012 to February 2013 is contested at Customs, Excise and Service Tax Appellate Tribunal ("CESTAT").
- 3) In case of Raigarh TPP, Chief Electrical Inspector, Government of Chhattisgarh ('CEIG'), has raised demand for electricity duty on auxiliary power consumption @15% of tariff instead of @ 10% as per the circular dated 12th August, 2016 from January 2015 to December 2021 along with interest. During the current year, the Company has received favourable order from Chief Electrical Inspector, Raipur Office in the matter dated 1st June, 2022.
- 4) For company's Tiroda TPP, Joint Commissioner of State Tax (Adm), Nagpur Division, has raised demand of Value added tax relating to FY 13-14 along with interest.
- ii) Apart from above, the Development Commissioner, Mundra has issued a show cause notice to the Company in case of Mundra TPP for the period FY 2009-10 to FY 2014-15 in relation to custom duty on raw materials used for generation of electricity supplied from SEZ to DTA, which amounts to ₹963.94 Crores. The Company has contested the said show cause notice. Further, the management is of the view that such duties on raw material are eligible to be made good to Mundra TPP under the PPA with Discoms or are refundable from the Authorities. Hence, the Company has not considered this as contingent liabilities.
- iii) The Company has assessed that it is only possible, but not probable, that outflow of economic resources will be required in respect of above matters.

	As at 31st March, 2023	As at 31st March, 2022
(b) Commitments :		
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	7,809.65	174.93
Total	7,809.65	174.93

Note:

As at 31st March, 2023, capital commitment mainly includes commitment relating to Flue Gas Desulphurisation project.

Others:

- (i) The Company has given a commitment to lenders of Mahan Energen Limited (MEL) that it will not transfer its 49% equity holding in MEL outside the Adani Power Group, except with the prior approval of lenders.

42 Leases

The Company has lease contracts for land, Building and computer hardware used in its operations. Leases of these items have lease terms between 2 to 99 years. The Company is restricted from assigning and subleasing the leased assets.

The weighted average incremental borrowing rate applied to lease liabilities is 8.50%.

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for the year ended 31st March, 2023

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42 Leases (Contd.)

(i) The following is the movement in Lease liabilities.

Particulars	As at 31st March, 2023	As at 31st March, 2022
Opening Balance	101.47	-
Add : Addition on account of amalgamation (Refer note 64)	-	105.75
Add : Addition on account of new lease arrangements during the year	-	0.74
Add : Finance cost incurred for the year	9.32	9.71
Less : Payment of Lease Liabilities	(14.28)	(14.73)
Closing Balance	96.51	101.47

(ii) Classification of Lease Liabilities:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Current Lease Liabilities	8.75	7.98
Non-current Lease Liabilities	87.76	93.49

(iii) Disclosure of expenses related to Lease:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Interest on lease liabilities	9.32	9.71
Depreciation expense on Right-of-use assets	20.73	21.06
Expense Related to Short Term Leases and Leases of Low Value	5.55	5.69

(iv) Amount recognised in statement of Cash Flows:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Payment of lease liability (including interest paid ₹9.32 Crores (previous year - ₹9.71 Crores))	14.28	14.73

(v) The additions to the Rights-of-use asset during the year and its carrying value - Refer note 4.1 (vi)

(vi) The undiscounted maturity analysis of lease liabilities over the remaining lease term is as follows:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Less than 1 year	15.06	14.09
1 to 5 years	47.28	50.40
More than 5 year	308.94	319.65

43 Provision for Mine Closure Obligation

Particulars	As at 31st March, 2023	As at 31st March, 2022
Opening Balance	39.44	-
Add : Addition on account of amalgamation (Refer note 64)	-	45.72
Add: Interest on account of unwinding of Provision	2.63	-
Less: Remeasurement impact (net)	-	(6.28)
Closing Balance (Refer note 23)	42.07	39.44

Note :

In case of Raipur TPP, the mine closure obligation has been remeasured based on the management estimate for the cost likely to be incurred on mine closure.

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- 44** The Company has incurred cost of ₹103.75 Crores for the development of Jitpur Coal Block mine in the earlier years and had also given performance bank guarantee of ₹92.90 Crores to the government authorities.

Considering the long pendency of the matter relating to development of mine, the Company applied for surrender of the coal block to Nominated Authority and requested for refund of the costs incurred and release of the performance bank guarantee. The Nominated Authority vide its letter dated 17th September, 2021, accepted the surrender petition by the Company and ordered for invocation of bank guarantee along with obligation to fulfil antecedent liability. On 29th September 2021, the Hon'ble Delhi High Court, in response to petition filed by the Company, has stayed the invocation of the said performance bank guarantee and restrained the Nominated Authority from taking any coercive steps in the matter. Further the Hon'ble Delhi High Court vide its order dated 3rd March, 2022, instructed the Nominated authority that the said performance bank guarantee shall be returned within one week from the date of execution of "Letter of Intent of Coal Mines Production and Development Agreement" with a new bidder. The Nominated Authority has concluded the fresh e-auction of Jitpur Coal Block on 13th September, 2022 and allotted mine to new bidder on 13th September, 2022.

Earlier, the Company has submitted the details of costs / expenditure incurred towards development of mine with Nominated Authority, however based on allotment of mine to a new bidder, the Company expects a favourable resolution relating to cost realisation of Jitpur mine with Nominated Authority. The Company has also obtained legal opinion basis which it is reasonably confident to get compensation realised of the entire costs incurred towards the development of the coal mine in the subsequent period.

- 45** The Company through erstwhile subsidiary, Raipur Energen Limited ("REL") has incurred cost of ₹55.57 Crores and ₹30.75 Crores towards development of Talabira Coal mine and Ganeshpura Coal mine, respectively in the earlier years.

In the above matter, earlier the Company had filed two writ petitions with Hon'ble Delhi High Court requesting surrender of the said mines in view of Union of India's ("UoI") notification dated 16th April, 2015 stating capping of the fixed / capacity charges and also requested to refund the costs incurred along with the release of bid security. The Hon'ble Delhi High Court vide its single order dated 15th April, 2019 dismissed the petitions on the ground of delay in filing of writ petitions. Consequently, the Company filed petitions before Hon'ble Supreme Court to set aside the order of the Hon'ble Delhi High Court. Pending adjudication of the petitions, Hon'ble Supreme Court directed UoI and others vide its order dated 30th May, 2019 that no coercive action to be taken in these matters.

The management expects favourable resolution of these matters and is reasonably confident to realise the entire cost spent towards these coal mines as compensation in the subsequent periods.

- 46** The National Green Tribunal ("NGT") in a matter relating to non-compliance of environmental norms relating to Udupi TPP directed the Company vide its order dated 14th March, 2019, to make payment of ₹5.00 Crores as an interim environmental compensation to Central Pollution Control Board ("CPCB"), which was deposited by the Company with CPCB under protest, in April 2019 and expensed the same in the books.

NGT vide its order dated 31st May, 2022 settled the matter and directed the Company to deposit an additional amount of ₹47.02 Crores with CPCB within 3 months from the date of order. The Company has recognised expense provision in the books of ₹47.02 Crores on conservative basis. The Company has filed petition with the Hon'ble Supreme Court dated 26th August, 2022 against the above referred NGT order. The Udupi TPP continues to operate in compliance with all the conditions under Environment Clearance as at reporting date.

- 47** (a) In respect of Power Purchase Agreement ("PPA / SPPA") for Bid 2 with Gujarat Urja Vikas Nigam Limited ("GUVNL"), for supply of 1,234 MW power through Mundra TPP (as amended), the Hon'ble Supreme Court, vide its order dated 2nd July, 2019, had allowed appeal filed by the Company, for termination of long term PPA / SPPA with retrospective effect from the date of PPA i.e. 2nd February, 2007 and allowed the Company to claim compensatory tariff. Till reporting period ended 31st December, 2021, GUVNL was in appeal in the matter with Hon'ble Supreme Court and had filed the curative petition.

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47 (Contd.)

On 3rd January 2022, a settlement deed was entered between the Company and GUVNL to resolve all pending matters / disputes relating to Bid 1 & Bid 2 and as per the Settlement deed followed by Supplemental Power Purchase Agreement dated 30th March, 2022, GUVNL approached CERC to determine the base energy tariff rates for power sales under Bid 1 & Bid 2 SPPAs, with retrospective effect from 15th October, 2018, for submission to the Government of Gujarat ("GoG"). CERC vide its order dated 13th June 2022 recommended the base energy tariff rates for final approval of GoG which is pending as on reporting date. CERC order allows the Company and GUVNL to mutually agree on adoption of six monthly or monthly escalation index to apply over base energy tariff rate as on October 2018 for determination of subsequent period energy rates. Pending approval of the base energy tariff rate by GoG and the mutual agreement between the Company and GUVNL on methodology for escalation index, the Company has made adjustments in the revenue of ₹269.09 Crores based on prudent principles with conservative parameters. Presently, revenue in this matter has been recognised based on pass through of coal cost in a prudent and consistent basis as concluded through Supplemental Agreement dated 30th March, 2022.

- (b) On 28th February 2023, a Supplemental Power Purchase Agreements ("SPPA") has been signed with Dakshin Haryana Bijli Vitaran Nigam Limited and Uttar Haryana Bijli Vitaran Nigam Limited (collectively "Haryana DISCOMs") in respect of its two existing Power Purchase Agreements ("PPA") of net contracted capacity of 712 MW each (1424 MW in aggregate at Generation end). Under the terms of the SPPAs, the net capacity contracted with Haryana DISCOMs has been reduced to 600 MW each, or 1200 MW in aggregate, as delivered. This development allowed the Company to schedule power supply to Haryana DISCOMs using two dedicated Units of 660 MW each instead of all three units of Phase IV of Mundra TPP. This will also allow efficient recovery of alternate fuel costs in case of demand from Haryana DISCOMs exceeds domestic coal availability under the FSA. Further on 14th April, 2023, the Company has entered into long term PPA of 360 MW with MPSEZ Utilities Limited ("MUL") to be supplied from third unit of Mundra TPP Phase-IV.

The management believes that with majority of the tariff compensation claim issues relating to GUVNL and Haryana Discoms have been resolved, over a foreseeable future Mundra TPP of the Company would be able to establish profitable operations and meet its performance and financial obligations. Hence, based on the assessment of value in use of Mundra TPP, no provision / adjustment is considered necessary to the carrying value of its Mundra TPP related property, plant and equipment aggregating to ₹16,200.47 Crores as at 31st March, 2023.

- (c) The Company has determined the recoverable amounts of the Power Plants (including goodwill allocated to respective Power Plants) over their useful lives based on the Cash Generating Units ("CGUs") identified, as required under Ind AS 36, Impairment of Assets on the basis of their Value in Use by estimating the future cash inflows over the estimated useful life of the Power Plants. Further, the cash flow projections are based on estimates and assumptions relating to tariff, operational performance of the Plants, availability of domestic coal under fuel supply agreement / coal linkage as per the directives of Competent Authority, life extension plans, market prices of coal and other fuels, exchange variations, inflation, terminal value etc. which are considered reasonable by the Management.

On a careful evaluation of the aforesaid factors, the Management of the Company has concluded that the recoverable value of such CGUs individually is higher than their respective carrying amounts as at 31st March 2023. However, if these estimates and assumptions were to change in future, there could be corresponding impact on the recoverable amounts of the Plants.

- 48 In respect of Mundra TPP, the Company has claimed tariff compensation claim (including carrying cost thereon) for additional cost incurred related to power generation against 1424 MW of Power Purchase Agreement due to shortfall in domestic coal based on supplies under Fuel Supply Agreements with Collieries of Coal India Limited's subsidiaries, against power supplied to Haryana Discoms based on favourable CERC Order dated 31st May, 2018 and 13th June, 2019 duly upheld by APTEL order dated 3rd November, 2020 and 30th June, 2021. However, Haryana Discom had filed an appeal with the Hon'ble Supreme Court against the

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

48 (Contd.)

aforesaid order of APTEL although the Company had recognised revenue supported by favourable order in respect of similar other matters. The Hon'ble Supreme Court after issuing interim relief order dated 16th February, 2021 passed its final orders dated 20th April, 2023 upheld all the matters which were concluded in the APTEL order towards tariff compensation claims relating to NCDP and SHAKTI policy respectively.

Based on final order of Hon'ble Supreme Court, there is no significant change in tariff compensation claims recognised on best estimate as per the orders of CERC / APTEL and management expects to fully realise outstanding balances of such claims from the discom.

49 GUVNL vide its letter dated 21st May, 2021 has raised certain claims on the Company for excess energy injected during the period 1st April, 2017 to 31st October, 2020 from the 40 MW solar power plant at Bitta in terms of the power purchase agreement and has withheld ₹72.10 Crores against power supply dues in the previous year. GERC vide its order dated 3rd November, 2022 in the matter accepting the petition of the Company in the said matter and directed GUVNL to make payment of the amount withheld within three months from the date of order along with late payment surcharge as per PPA. However, GUVNL has filed an appeal with APTEL against the said order of GERC and the matter is pending adjudication. The management, based on GERC order, expects favourable outcome in the matter. As per interim order of APTEL, the Company has already received ₹51.75 Crores being 75% of the withheld amount subject to outcome of appeal with APTEL. The Management expects favourable resolution of this matter and is reasonably confident to realise the outstanding dues.

50 The Company has taken various derivatives to hedge its risks associated with foreign currency fluctuations on items including principal loan amount and interest thereof along with interest rate changes. The outstanding position of derivative instruments is as under :

Nature	Purpose	As at 31st March, 2023		As at 31st March, 2022	
		Amount	USD (in Millions)	Amount	USD (in Millions)
Forward covers	Hedging of Trade Credits, Acceptances, Creditors and future coal contracts	1,782.89	216.98	3,083.61	406.85
	Hedging of ECB and interest	503.37	61.26	764.43	100.86
Options	Hedging of ECB and interest	-	-	565.36	74.59
Interest rate swaps	Hedging of interest rate on ECB	-	-	467.70	61.71
		2,286.26		4,881.10	

The details of foreign currency exposures not hedged by derivative instruments are as under :

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	Amount	Foreign Currency (In Millions)	Amount	Foreign Currency (In Millions)
1. Import Creditors and Acceptances	625.95	USD 76.18	419.67	USD 55.37
	0.84	GBP 0.08	-	-
	0.52	EUR 0.06	-	-
2. Foreign currency borrowings	847.51	USD 103.14	1,972.70	USD 260.28
3. Interest accrued but not due	16.04	USD 1.95	1.18	USD 0.16
4. Other Receivables	-	-	(3.49)	USD (0.46)
	1,490.86		2,390.06	

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51 Financial Risk Management Objective and Policies :

The Company's risk management activities are subject to the management direction and control under the framework of Risk Management Policy as approved by the Board of Directors of the Company. The Management ensures appropriate risk governance framework for the Company through appropriate policies and procedures and the risks are identified, measured and managed in accordance with the Company's policies and risk objectives. In the ordinary course of business, the Company is exposed to Market risk, Credit risk and Liquidity risk.

(i) Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: interest rate risk, currency risk and commodity risk.

a) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the part of Company's debt obligations with floating interest rates.

The Company manages its interest rate risk by having a mixed portfolio of fixed and variable rate loans and borrowings. To manage this, the Company enters into interest rate swaps, in which it agrees to exchange, at specified intervals, the difference between fixed and variable rate interest amounts calculated by reference to an agreed upon notional principal amount.

The sensitivity analysis have been carried out based on the exposure to interest rates for instruments not hedged against interest rate fluctuation at the end of the reporting period. The said analysis has been carried out on the amount of floating rate liabilities outstanding at the end of the reporting period. The year end balances are not necessarily representative of the average debt outstanding during the year. A 50 basis point increase or decrease represents management's assessment of the reasonably possible change in interest rates.

In case of fluctuation in interest rates by 50 basis points on the exposure of borrowings (having fluctuating rates i.e. exposed to changes in rates) of ₹20,735.47 Crores as on 31st March, 2023 and ₹23,494.30 Crores as on 31st March, 2022 respectively and if all other variables were held constant, the Company's profit or loss for the year would increase or decrease as follows:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Impact on Profit or Loss before tax for the year	103.68	117.48
Impact on Equity	103.68	97.69

b) Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily to the Company's operating activities and borrowings. The Company manages its foreign currency risk by hedging transactions that are expected to realise in future. The Company also enters into various foreign exchange hedging contracts such as forward covers, swaps, options etc. to mitigate the risk arising out of foreign exchange rate movement on foreign currency borrowings or trade payables.

Every one percentage point depreciation / appreciation in the exchange rate between the Indian rupee and U.S.dollar on the unhedged exposure of \$ 56.53 million as on 31st March, 2023 and \$ 87.48 million as on 31st March, 2022 would have affected the Company's profit or loss for the year as follows:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Impact on Profit or Loss before tax for the year (net of amounts capitalised under Property, Plant and Equipment)	4.65	6.63
Impact on Equity	4.65	6.62

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All amounts are in ₹ Crores, unless otherwise stated

51 Financial Risk Management Objective and Policies : (Contd.)

c) Commodity price risk

The Company is affected by the price volatility of coal prices, including imported coal, which is moderated by optimising the procurement under fuel supply agreement and getting compensated under long term power purchase agreements. Its operating / trading activities require the on-going purchase for continuous supply of coal and other commodities. Therefore the Company monitors its purchases closely to optimise the procurement cost.

(ii) Credit risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss.

The Company is having majority of receivables from State Electricity Boards which are Government undertakings and have interest clause on delayed payments and hence they are secured from credit losses in the future.

The Company has issued financial guarantees to banks on behalf of and in respect of loan facilities availed by its subsidiaries. In accordance with the policy of the Company, the Company has recognised these financial guarantees as liability at fair value (Refer note 22 and 29). Outstanding loans in the subsidiaries against the financial guarantee contracts given by the Company as at 31st March, 2023 is ₹9,477.45 Crores (Previous year ₹7,522.52 Crores).

(iii) Liquidity risk

The Company monitors its risk of shortage of funds using cash flow forecasting models. These models consider the maturity of its financial investments, committed funding and projected cash flows from operations. The Company's objective is to provide financial resources to meet its business objectives in a timely, cost effective and reliable manner and to manage its capital structure. A balance between continuity of funding and flexibility is maintained through internal accruals as well as adequately adjusting the working capital cycle and additional support from promoter Companies on need basis.

Maturity profile of financial liabilities :

The table below has been drawn up based on the undiscounted contractual maturities of the financial liabilities including interest that will be paid on those liabilities upto the maturity of the instruments.

As at 31st March, 2023	Carrying Amount	Less than 1 year	1 to 5 years	More than 5 years	Total
Borrowings (Refer note 20 and 26)	32,806.35	10,405.88	22,459.49	13,833.80	46,699.17
Trade Payables	2,387.38	2,387.38	-	-	2,387.38
Derivative Instruments	7.04	7.04	-	-	7.04
Lease liabilities	96.51	15.06	47.28	308.94	371.28
Other Financial Liabilities	1,354.25	1,068.04	121.92	164.29	1,354.25

As at 31st March, 2022	Carrying Amount	Less than 1 year	1 to 5 years	More than 5 years	Total
Borrowings (Refer note 20 and 26)	40,395.25	12,426.75	24,847.31	21,593.52	58,867.58
Trade Payables	3,448.56	3,448.56	-	-	3,448.56
Derivative Instruments	15.45	15.45	-	-	15.45
Lease liabilities	101.47	14.09	50.40	319.65	384.14
Other Financial Liabilities	904.92	699.23	60.64	145.05	904.92

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52 Contract balances and Trade Receivables Ageing

(i) Contract balances:

The following table provides information about trade receivables, contract assets and contract liabilities from the contracts with customers.

Particulars	As at 31st March, 2023	As at 31st March, 2022
Trade Receivables (Also refer note 33)	11,380.93	9,490.01
Contract assets relate to the invoices pending to be raised	0.18	264.63
Contract liabilities relate to advance received from customers	32.51	53.15

Set out below is the amount of revenue recognised from:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Amount included in contract liabilities at the beginning of the year	53.15	41.44

Reconciliation of the amount of revenue recognised in the statement of profit and loss with the contracted price:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Revenue as per contracted price (excluding other operating revenue)	36,082.69	27,787.56
Adjustments		
Discount on prompt payment	(78.12)	(102.88)
Discount under Shakti Scheme	(33.54)	(29.78)
Revenue from contract with customers	35,971.03	27,654.90

(ii) Trade Receivable Ageing:

a. Balance as at 31st March, 2023

Particulars	Unbilled	Not due	Outstanding for following periods from due date of Payment					Total
			Less than 6 Months	6 Months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivable - Considered Good	1,506.75	3,821.67	4,253.37	736.56	115.79	207.69	718.75	11,360.58
Disputed Trade receivable - Considered Good (Refer note 49)	-	-	-	-	20.35	-	-	20.35
Total	1,506.75	3,821.67	4,253.37	736.56	136.14	207.69	718.75	11,380.93

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52 Contract balances and Trade Receivables Ageing (Contd.)

b. Balance as at 31st March, 2022

Particulars	Unbilled	Not due	Outstanding for following periods from due date of Payment					Total
			Less than 6 Months	6 Months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivable - Considered Good	1,253.40	3,104.91	1,865.69	293.18	1,150.25	614.75	270.42	8,552.60
Disputed Trade receivable - Considered Good (Refer note 48 & 49)	-	85.03	41.62	30.84	34.91	525.74	219.27	937.41
Total	1,253.40	3,189.94	1,907.31	324.02	1,185.16	1,140.49	489.69	9,490.01

- i) The above ageing has been calculated based on due date as per terms of agreement. In case where due date is not provided, date of transaction is considered.
- ii) Includes ₹1,192.50 Crores (Previous year - ₹1,000.00 Crores) of Customers' bills discounted considered as not due.
- iii) Trade receivable includes certain balances which are under reconciliation / settlement with Discoms for payment / closure.
- iv) Also refer note 3(viii).

53 Capital management :

The Company's objectives when managing capital is to safeguard continuity, maintain a strong credit rating and healthy capital ratios in order to support its business and provide adequate return to shareholders through continuing growth. The Company's overall strategy remains unchanged from previous year.

The Company sets the amount of capital required on the basis of annual business and long-term operating plans which include capital and other strategic investments.

The funding requirements are met through a mixture of equity, unsecured perpetual securities, internal fund generation and other long term borrowings. The Company monitors capital and long term debt on the basis of debt to equity ratio.

The debt equity ratio at the end of the reporting period is as follows :

Particulars	As at 31st March, 2023	As at 31st March, 2022
Debt (Refer note (i) below)	27,231.28	33,376.16
Total Capital (Refer note (ii) below)	28,223.87	18,463.89
Debt Equity Ratio (In times)	0.96	1.81

Notes:

- (i) Debt is defined as Non-current borrowings (including current maturities) and lease liabilities.
- (ii) Capital is defined as Equity share capital, Unsecured perpetual securities and other equity including reserves and surplus.

The Company believes that it will able to meet all its current liabilities and interest obligations in timely manner.

The Company's capital management ensure that it meets financial covenants attached to the interest bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to levy penal interest as per terms of sanction. There have been no breaches in the financial covenants of any interest bearing loans and borrowings in the current year. No changes were made in the objectives, policies or processes for managing capital by the Company.

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54 Fair Value Measurement :

a) The carrying value of financial instruments by categories as of 31st March, 2023 is as follows :

Particulars	Fair Value through other Comprehensive income	Fair Value through profit or loss	Amortised cost	Total
Financial Assets				
Cash and cash equivalents	-	-	193.76	193.76
Bank balances other than cash and cash equivalents	-	-	1,775.32	1,775.32
Investments	-	-	6,373.48	6,373.48
Trade Receivables	-	-	11,380.93	11,380.93
Loans	-	-	1,254.84	1,254.84
Other Financial assets	-	-	513.77	513.77
Total	-	-	21,492.10	21,492.10
Financial Liabilities				
Borrowings	-	-	32,806.35	32,806.35
Trade Payables	-	-	2,387.38	2,387.38
Derivative Instruments	-	7.04	-	7.04
Lease liabilities	-	-	96.51	96.51
Other Financial Liabilities	-	-	1,354.25	1,354.25
Total	-	7.04	36,644.49	36,651.53

b) The carrying value of financial instruments by categories as of 31st March, 2022 is as follows :

Particulars	Fair Value through other Comprehensive income	Fair Value through profit or loss	Amortised cost	Total
Financial Assets				
Cash and cash equivalents	-	-	574.52	574.52
Bank balances other than cash and cash equivalents	-	-	1,859.05	1,859.05
Investments	-	175.01	4,658.49	4,833.50
Trade Receivables	-	-	9,490.01	9,490.01
Loans	-	-	612.72	612.72
Derivative Instruments	-	84.27	-	84.27
Other Financial assets	-	-	581.31	581.31
Total	-	259.28	17,776.10	18,035.38
Financial Liabilities				
Borrowings	-	-	40,395.25	40,395.25
Trade Payables	-	-	3,448.56	3,448.56
Derivative Instruments	-	15.45	-	15.45
Lease liabilities	-	-	101.47	101.47
Other Financial Liabilities	-	-	904.92	904.92
Total	-	15.45	44,850.20	44,865.65

The fair value of financial assets and financial liabilities are reasonably approximate the carrying value, since the Company does not anticipate that the carrying amount would be significantly different from the values that would eventually be received or settled.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

55 Level wise disclosure of fair value for financial instruments requiring fair value measurement/ disclosure :

Particulars	As at 31st March, 2023			
	Level 1	Level 2	Level 3	Total
Assets				
Investment	-	-	-	-
Derivative Instruments	-	-	-	-
Total	-	-	-	-
Liabilities				
Derivative Instruments	-	7.04	-	7.04
Total	-	7.04	-	7.04

Particulars	As at 31st March, 2022			
	Level 1	Level 2	Level 3	Total
Assets				
Investment	-	175.01	-	175.01
Derivative Instruments	-	84.27	-	84.27
Total	-	259.28	-	259.28
Liabilities				
Derivative Instruments	-	15.45	-	15.45
Total	-	15.45	-	15.45

The fair value of the financial assets and financial liabilities included in the level 2 categories above have been determined in accordance with generally accepted pricing models based on a discounted cash flow analysis, with the most significant inputs being the discount rate that reflects the credit risk of counterparties. The most frequently applied valuation techniques include forward pricing and swap models, using present value calculations. The models incorporate various inputs including the credit quality of counterparties, foreign exchange spot and forward rates, yield curves of the respective currencies, currency basis spreads between the respective currencies, interest rate curves and forward rates curves of the underlying derivative.

There have been no transfers between Level 1 and Level 2 during the year.

56 Payment to auditors (including GST)

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Audit fees (including Audit fees for limited reviews)	3.10	2.84
Fees for certificates and other services	0.43	0.39
Out of Pocket Expenses	0.08	0.04
Total	3.61	3.27

57 As per para 4 of Ind AS 108 "Operating Segments", if a single financial report contains both consolidated financial statements and the separate financial statements of the Parent Company, segment information may be presented on the basis of the consolidated financial statements. Thus, the information related to disclosure of operating segments required under Ind AS 108 "Operating Segments", is given in Consolidated Financial Statements.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

58 (a) Defined Benefit Plan

The Company operates a defined benefit plan (the Gratuity plan) covering eligible employees, which provides a lump sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of employment.

As per Ind AS - 19 "Employee Benefits", the disclosures are given below :

Particulars	As at 31st March, 2023	As at 31st March, 2022
i. Reconciliation of Opening and Closing Balances of Define Benefit Obligation		
Liability at the beginning of the year	81.78	3.78
Add : Changes on account of amalgamation (Refer note 64)		61.48
Current Service Cost	9.77	7.87
Interest Cost	5.45	4.37
Liability Transferred in / out	(3.82)	(1.41)
Benefits paid	(5.60)	(4.73)
Re-measurement (or Actuarial) (gain) / loss arising from:		
change in demographic assumptions	1.76	(5.23)
change in financial assumptions	(4.51)	14.09
experience variance (i.e. Actual experience vs assumptions)	6.30	1.56
Present Value of Defined Benefits Obligation at the end of the year	91.13	81.78
ii. Reconciliation of Opening and Closing Balances of the Fair value of Plan Assets		
Fair Value of Plan assets at the beginning of the year	20.96	17.16
Add : Changes on account of amalgamation (Refer note 64)		4.85
Investment Income	1.44	1.47
Benefits paid	(2.58)	(2.22)
Return on plan assets , excluding amount recognised in net interest expense	(0.62)	(0.30)
Actuarial gain / (loss) on plan assets	-	-
Fair Value of Plan assets at the end of the year	19.20	20.96
iii. Reconciliation of the Present value of defined benefit obligation and Fair value of plan assets		
Present Value of Defined Benefit Obligations at the end of the year	91.13	81.78
Fair Value of Plan assets at the end of the year	19.20	20.96
Net (Liability) / Asset recognized in balance sheet as at the end of the year	(71.93)	(60.82)
iv. Composition of Plan Assets		
Plan assets for the Company are administered by Life Insurance Corporation of India.		
v. Gratuity Cost for the year		
Current service cost	9.77	7.87
Interest cost	5.45	4.37
Expected return on plan assets	(1.44)	(1.47)
Net Gratuity cost recognised in the statement of Profit and Loss	13.78	10.77

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

58 (Contd.)

As per Ind AS - 19 "Employee Benefits", the disclosures are given below :

Particulars	As at 31st March, 2023	As at 31st March, 2022
vi. Other Comprehensive Income		
Actuarial (gains) / losses		
Change in demographic assumptions	1.76	(5.23)
Change in financial assumptions	(4.51)	14.09
Experience variance (i.e. Actual experience vs assumptions)	6.30	1.56
Return on plan assets, excluding amount recognised in net interest expense	0.62	0.30
Re-measurement loss arising for change in effect of asset ceiling	-	-
Less: capitalised		-
Components of defined benefit costs recognised in other comprehensive income	4.17	10.72

vii. Actuarial Assumptions

	As at 31st March, 2023	As at 31st March, 2022
Discount Rate (per annum)	7.50%	6.90%
Expected annual Increase in Salary Cost	10.00%	10.00%
Attrition / Withdrawal rate (per annum)	7.49%	7.87%
Mortality Rates as given under Indian Assured Lives Mortality (2012-14) Ultimate Retirement Age 58 Years.		

viii. Sensitivity Analysis

Significant actuarial assumptions for the determination of the defined benefit obligation are discount rate, expected salary increase and mortality. The sensitivity analysis below have been determined based on reasonably possible changes of the assumptions occurring at the end of the reporting period, while holding all other assumptions constant. The results of sensitivity analysis is given below:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Defined Benefit Obligation (Base)	91.13	81.78

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	Decrease	Increase	Decrease	Increase
Discount Rate (- / + 1%)	8.71	7.54	7.35	6.38
Salary Growth Rate (- / + 1%)	7.44	8.41	6.26	7.06
Attrition Rate (- / + 50%)	5.25	3.59	6.62	4.15
Mortality Rate (- / + 10%)	0.03	0.04	0.03	0.04

ix. Asset Liability Matching Strategies

The Company has funded benefit plan and have purchased insurance policy, which is basically a year-on-year cash accumulation plan in which the interest rate is declared on yearly basis and is guaranteed for a period of one year. The insurance Company, as part of the policy rules, makes payment of all gratuity

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

58 (Contd.)

outgoes happening during the year (subject to sufficiency of funds under the policy). The policy thus, mitigates the liquidity risk. However, being a cash accumulation plan, the duration of assets is shorter compared to the duration of liabilities. Thus, the Company is exposed to movement in interest rate, which can result in a increase in liability without corresponding increase in the funded asset wherever applicable.

x. Effect of Plan on Entity's Future Cash Flows

a) Funding arrangements and Funding Policy

The Company have purchased an insurance policies to provide for payment of gratuity to the employees. Every year, the insurance company carries out a funding valuation based on the latest employee data provided by these Companies. Any deficit in the assets arising as a result of such valuation is funded by these Companies.

b) Expected Contribution during the next annual reporting period

The best estimate of contribution during the next year is ₹9.55 Crores..

c) Maturity Profile of Defined Benefit Obligation

Weighted average duration (based on discounted cash flows) - 9 years

Expected cash flows in future (valued on undiscounted basis):	Amount
1 year	11.36
2 to 5 years	28.09
6 to 10 years	40.26
More than 10 years	129.18

xi. The Company has defined benefit plans for Gratuity to eligible employees. The contributions for which are made to Life Insurance Corporation of India who invests the funds as per Insurance Regulatory Development Authority guidelines.

The discount rate is based on the prevailing market yields of Government of India securities as at the balance sheet date for the estimated term of the obligations.

The expected contributions for Defined Benefit Plan for the next financial year will be in line with FY 2022-23.

The actuarial liability for compensated absences as at the year ended 31st March, 2023 is ₹47.64 Crores (As at 31st March, 2022 ₹45.06 Crores).

(b) Defined Contribution Plan

Contribution to Defined Contribution Plans, recognised in Statement of Profit and Loss, for the year is as under :

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Employer's Contribution to Provident Fund	22.04	19.61
Employer's Contribution to Superannuation Fund	0.14	0.16
Total	22.18	19.77

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

59 Corporate Social Responsibility

As per section 135 of the Companies Act, 2013, a Corporate Social Responsibility (CSR) committee has been formed by the Company. The funds are utilized on the activities which are specified in Schedule VII of the Companies Act, 2013. The utilisation is done by way of contribution towards various activities.

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
(i) Amount required to be spent by the company during the year	14.73	27.48
(ii) Amount of expenditure incurred	16.73	27.83
(iii) Shortfall / (Excess) at the end of the year	(3.62)	(1.62)
(iv) Total of previous years' shortfall / (Surplus)	(1.62)	(1.27)
(v) Nature of CSR activities - During the current year, the Company has spent ₹16.70 Crores (Previous year - ₹26.56 Crores) to Adani Foundation for various CSR activities and balance amount was spent on construction, Medical care and development of local area.		

60 The details of loans and advances of the Company outstanding at the end of the year, in terms of regulation 53 (F) read together with para A of Schedule V of SEBI (Listing Obligation and Disclosure Regulation, 2015).

Name of the Company and Relationship	Outstanding amount		Maximum amount outstanding during the year	
	As at 31st March, 2023	As at 31st March, 2022	As at 31st March, 2023	As at 31st March, 2022
Pench Thermal Energy (MP) Limited (Subsidiary)	13.91	8.89	13.91	8.89
Mahan Energen Limited (Subsidiary) (Formerly known as Essar Power MP Limited)	715.20	600.57	876.07	600.57
Adani Power Dahej Limited (Subsidiary)	2.82	0.44	2.82	0.44
Adani Power Resources Limited (Subsidiary)	0.01	0.01	0.01	0.01
Kutchh Power Generation Limited (Subsidiary)	0.65	0.08	125.08	31.11
Adani Infra (India) Limited (Entities on which Ultimate controlling entity or one or more Key Management Personnel ("KMP") have a significant influence / control)	-	-	-	42.76
Innovant Buildwell Private Limited (Formerly known as Eternus Real Estate Private Limited) (Subsidiary)	355.56	-	355.56	-
Mahan Fuel Management Limited (Subsidiary)	0.51	-	0.51	-
Resurgent Fuel Management Limited (Subsidiary)	163.12	-	163.12	-
Support Properties Private Limited (Subsidiary)*	-	-	485.53	-
	1,251.78	609.99	2,022.61	683.78

* Ceased to be subsidiary w.e.f 22nd March, 2023

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

61 Based on the information available with the Company, there is no transaction with struck off companies except as follows :

Name of the struck off company	Nature of transaction	As at 31st March, 2023	As at 31st March, 2022
Pyrotech Electronics Private Limited	Payables	0.01	0.01
Advance Valves Private Limited	Payables	0.02	0.02
Agaria Fabritech And Engg Private Limited	Payables	0.09	-

Further, there are certain companies as follow who are holding equity shares of the company. Total shares held by these companies are 39,855 numbers (Previous year - 537 numbers).

Name of struck off companies as at 31st March, 2023	Name of struck off companies as at 31st March, 2022
1. Dreams Broking Private Limited	1. Om Buildmart Private Limited
2. Unique Consulting and Trading Private Limited	2. Hardik Realmart Private Limited
3. Azure Finance Private Limited	
4. New Wave Consultancy Services Private Limited	
5. Shankar Suitings Private Limited	
6. Microtronics Tech Solutions Private Limited	
7. Fairtrade Securities Limited	
8. Allied Commodities Private Limited	
9. Arvind Securities Private Limited	
10. Kothari Intergroup Limited	
11. Growth Consolidated Investment Services Private Limited	
12. Salasar Securities Private Limited	
13. Zenith Insurance Services Private Limited	
14. Advait Finstock Private Limited	
15. Jagat Trading Enterprises Limited	
16. Vitalink Wealth Advisory Services Private Limited	
17. Shiv Products Private Limited	
18. Om Buildmart Private Limited	

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

- 62** During the financial year 2019-20, the erstwhile wholly owned subsidiary of the Company, Raipur Energen Limited (now amalgamated with the Company), had issued 4,15,86,207 nos. of 0.01% Compulsory Redeemable Preference shares (CRPS) of ₹100/- each amounting to ₹415.86 Crores. On account of amalgamation, the Company cancelled the CRPS and issued fresh CRPS on the same terms. The instrument is redeemable in 3 equal installments by 30th June, 2038. During the current year, dividend of ₹0.11 Crores for the period upto 31st March, 2022 has been paid. Further, the Board of Directors of the Company has proposed dividend of ₹0.04 Crores for the Financial Year 2022-23 which is subject to approval of the shareholders.

Considering CRPS as compound financial instrument, these are accounted for as liability of ₹71.37 Crores and other equity (under capital reserve) of ₹344.49 Crores on initial recognition. Interest on liability component is accounted for as interest expense, using the effective interest method.

- 63** During the financial year 2021-22, the erstwhile wholly owned subsidiary of the Company, Adani Power (Mundra) Limited (now amalgamated with the Company), had issued 5,00,00,000 nos. of upto 5% Non-cumulative Compulsory Redeemable Preference Shares ("NCRPS") of ₹100 each amounting to ₹500 Crores and called ₹60 per share till the reporting date amounting to ₹300 Crores and balance to be called at discretion of the issuer. On account of amalgamation, the Company cancelled the NCRPS and issued fresh NCRPS on the same terms.

The instrument is redeemable at any time at the option of the Issuer but not later than 20 years from the date of issue. These NCRPS are separated into liability of ₹53.45 Crores and equity components of ₹246.55 Crores considering the instrument as compound financial instrument. Interest on liability component is recognised as interest expense using the effective interest method.

- 64 Amalgamation of Adani Power Maharashtra Limited ("APML"), Adani Power (Mundra) Limited ("APMuL"), Adani Power Rajasthan Limited ("APRL"), Udupi Power Corporation Limited ("UPCL"), Raipur Energen Limited ("REL"), Raigarh Energy Generation Limited ("REGL") (wholly owned subsidiary companies ("WOS")) with the Company:**

The Ahmedabad Bench of the National Company Law Tribunal ('NCLT') vide its order dated 8th February, 2023, have approved the Scheme of Amalgamation (the "Scheme") of wholly owned subsidiaries of the Company, viz, APML ("Tiroda TPP"), APRL ("Kawai TPP"), APMuL ("Mundra TPP"), UPCL ("Udupi TPP"), REL ("Raipur TPP") and REGL ("Raigarh TPP") with the Company with appointed date of 1st October, 2021, under section 230 to 232 and other applicable provisions of the Companies Act, 2013 read with the rules framed thereunder. The said Scheme has been effective from 7th March, 2023, on compliance of all the conditions precedent mentioned therein. Consequently, above mentioned wholly owned subsidiaries of the Company got amalgamated with the Company w.e.f. 1st October, 2021. Since the amalgamated entities are under common control, the accounting of the said amalgamation has been done applying Pooling of Interest method as prescribed in Appendix C of Ind AS 103 'Business Combinations' w.e.f the first day of the earliest period presented i.e. 1st April, 2021. While applying Pooling of Interest method, the Company has recorded all assets, liabilities and reserves attributable to the wholly owned subsidiary (ies) at their carrying values as appearing in the consolidated financial statements of the Company as per guidance given in ITFG Bulletin 9.

Further, pursuant to the Scheme of Amalgamation, the authorised share capital of the Company has been increased to ₹28,000.00 Crores (Previous Year - ₹5,000.00 Crores).

The previous year figures of Balance Sheet, Statement of Profit and Loss (including Other Comprehensive Income) and Statement of Cash Flows have been restated considering that the amalgamation has taken place from the first day of the earliest period presented i.e., 1st April, 2021 as required under Appendix C of Ind AS 103. Below is the summary of restatement of previous year figures:

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

64 Amalgamation of Adani Power Maharashtra Limited ("APML"), Adani Power (Mundra) Limited ("APMuL"), Adani Power Rajasthan Limited ("APRL"), Udupi Power Corporation Limited ("UPCL"), Raipur Energen Limited ("REL"), Raigarh Energy Generation Limited ("REGL") (wholly owned subsidiary companies ("WOS")) with the Company: (Contd.)

Restated balance sheet as at 31st March, 2022

Particulars	As at 31st March, 2022 (Reported)	Additions / (Eliminations) on account of amalgamation of six WOS	As at 31st March, 2022 (Restated)
ASSETS			
Non-current Assets			
(a) Property, Plant and Equipment	511.78	48,628.01	49,139.79
(b) Capital Work-In-Progress	-	184.30	184.30
(c) Goodwill	-	190.61	190.61
(d) Other Intangible Assets	-	11.88	11.88
(e) Financial Assets			
(i) Investments	20,901.00	(16,242.51)	4,658.49
(ii) Loans	7,679.68	(7,070.14)	609.54
(iii) Other Financial Assets	150.00	632.09	782.09
(f) Other Non-current Assets	24.17	615.40	639.57
Total Non-current Assets	29,266.63	26,949.64	56,216.27
Current Assets			
(a) Inventories	1.33	2,206.74	2,208.07
(b) Financial Assets			
(i) Investments	-	175.01	175.01
(ii) Trade Receivables	103.26	9,386.75	9,490.01
(iii) Cash and Cash Equivalents	11.27	563.25	574.52
(iv) Bank balances other than (iii) above	242.82	1,197.61	1,440.43
(v) Loans	4.36	(1.18)	3.18
(vi) Other Financial Assets	121.34	180.77	302.11
(c) Other Current Assets	15.79	1,340.79	1,356.58
Total Current Assets	500.17	15,049.74	15,549.91
Total Assets	29,766.80	41,999.38	71,766.18
EQUITY AND LIABILITIES			
EQUITY			
(a) Equity Share Capital	3,856.94	-	3,856.94
(b) Unsecured Perpetual Securities	9,615.00	3,600.00	13,215.00
(c) Other Equity	3,465.35	(2,073.40)	1,391.95
Total Equity	16,937.29	1,526.60	18,463.89
LIABILITIES			
Non-current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	389.62	30,072.83	30,462.45
(ia) Lease Liabilities	-	93.49	93.49
(ii) Other Financial Liabilities	414.83	(209.14)	205.69
(b) Provisions	2.04	130.34	132.38
(c) Deferred Tax Liabilities (Net)	-	2,303.87	2,303.87
(d) Other Non-current Liabilities	-	4,487.21	4,487.21
Total Non-current Liabilities	806.49	36,878.60	37,685.09
Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	11,759.66	(1,826.86)	9,932.80
(ia) Lease Liabilities	-	7.98	7.98
(ii) Trade Payables			
- total outstanding dues of micro enterprises and small enterprises	2.47	50.46	52.93
- total outstanding dues of creditors other than micro enterprises and small enterprises	17.50	3,378.13	3,395.63
(iii) Other Financial Liabilities	179.61	535.07	714.68
(b) Other Current Liabilities	62.53	792.39	854.92
(c) Provisions	1.25	11.69	12.94
(d) Current Tax Liabilities (Net)	-	645.32	645.32
Total Current Liabilities	12,023.02	3,594.18	15,617.20
Total Liabilities	12,829.51	40,472.78	53,302.29
Total Equity and Liabilities	29,766.80	41,999.38	71,766.18

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

64 Amalgamation of Adani Power Maharashtra Limited ("APML"), Adani Power (Mundra) Limited ("APMuL"), Adani Power Rajasthan Limited ("APRL"), Udupi Power Corporation Limited ("UPCL"), Raipur Energen Limited ("REL"), Raigarh Energy Generation Limited ("REGL") (wholly owned subsidiary companies ("WOS")) with the Company: (Contd.)

Restated statement of profit and loss for the year ended 31 March 2022

Particulars	For the year ended 31st March, 2022 (Reported)	Additions / (Eliminations) on account of amalgamation of six WOS	For the year ended 31st March, 2022 (Restated)
Income			
Revenue from Operations	581.32	27,129.86	27,711.18
Other Income	487.21	3,581.11	4,068.32
Total Income	1,068.53	30,710.97	31,779.50
Expenses			
Fuel Cost	1.08	14,761.13	14,762.21
Purchase of Stock-in-trade / Power for resale	479.73	65.83	545.56
Transmission Charges	-	642.77	642.77
Employee Benefits Expense	33.94	436.27	470.21
Finance Costs	684.44	3,402.48	4,086.92
Depreciation and Amortisation Expense	30.27	3,085.94	3,116.21
Other Expenses	21.28	1,432.46	1,453.74
Total Expenses	1,250.74	23,826.88	25,077.62
Profit before tax and Deferred tax recoverable from future tariff	(182.21)	6,884.09	6,701.88
Tax Expense			
Current Tax	-	768.33	768.33
Tax (credit) adjusted relating to earlier years	0.02	(0.13)	(0.11)
Deferred Tax charge	-	976.57	976.57
Total Tax Expense	0.02	1,744.77	1,744.79
Add : Deferred tax recoverable from future tariff (net of tax)	-	79.25	79.25
Profit for the year	(182.23)	5,218.57	5,036.34
Other Comprehensive Income			
Items that will not be reclassified to profit or loss in subsequent periods			
Remeasurement (loss) on defined benefit plans	(2.94)	(7.78)	(10.72)
Income tax impact	-	0.78	0.78
Gain on sale of Investment classified at Fair Value through Other Comprehensive Income ("FVTOCI")	26.94	-	26.94
Income tax impact	-	-	-
Other comprehensive Income that will not be reclassified to profit or loss in subsequent periods	24.00	(7.00)	17.00
Total Comprehensive Income for the year, net of tax	(158.23)	5,211.57	5,053.34

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

64 Amalgamation of Adani Power Maharashtra Limited ("APML"), Adani Power (Mundra) Limited ("APMuL"), Adani Power Rajasthan Limited ("APRL"), Udupi Power Corporation Limited ("UPCL"), Raipur Energen Limited ("REL"), Raigarh Energy Generation Limited ("REGL") (wholly owned subsidiary companies ("WOS")) with the Company: (Contd.)

Restated statement of Cash Flows for the year ended 31st March, 2022

Particulars	For the year ended 31st March, 2022 (Reported)	Additions / (Eliminations) on account of amalgamation of six WOS	For the year ended 31st March, 2022 (Restated)
Net cash flows from / (used in) operating activities (A)	(0.15)	10,263.83	10,263.68
Net cash flows from / (used in) investing activities (B)	(5,192.04)	6,578.13	1,386.09
Net cash flows from / (used in) financing activities (C)	5,199.62	(16,381.89)	(11,182.27)

Statement of Reserve Reconciliation on Amalgamation of wholly owned subsidiary companies as at 1st April, 2021

Particulars	Security Premium	Retained Earnings	Capital Reserve	Equity Component of liability	Total
APML	1,345.53	2,685.55	-	-	4,031.08
APRL	-	335.30	-	-	335.30
UPCL	-	143.86	-	-	143.86
APMuL	3,273.56	(14,353.96)	(106.00)	-	(11,186.40)
REGL	-	(3,396.50)	2,526.59	1,019.29	149.38
REL	644.28	(10,308.79)	-	3,964.90	(5,699.61)
Total (a)	5,263.37	(24,894.54)	2,420.59	4,984.19	(12,226.39)

Elimination / Adjustments between the Company and WOS

APML	(1,345.53)	(16.28)	-	-	(1,361.81)
UPCL	-	300.02	-	-	300.02
REGL	-	2,869.08	(2,030.77)	(1,019.29)	(180.98)
REL	(644.28)	10,061.14	533.78	(3,964.90)	5,985.74
APMuL	-	(48.10)	-	-	(48.10)
Total (b)	(1,989.81)	13,165.86	(1,496.99)	(4,984.19)	4,694.87
Total (a+b)	3,273.56	(11,728.68)	923.60	-	(7,531.52)

Note : All the disclosures for the comparative period for the / as at year ended 31st March, 2022 from note 41 to 75 have restated on account of scheme of amalgamation.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

65 Consequent to the amalgamation of the wholly owned subsidiaries into the Company with effect from appointed date 1st October, 2021, the current tax and deferred tax expenses for the year ended 31st March 2022 and for nine months ended 31st December 2022 as recognised in the books by the Company and merged subsidiaries, has been reassessed based on the special purpose financial statement of respective subsidiary company (ies) and the Company, respectively to give tax (credit) effect mainly on account of utilisation of carry forward tax losses and unabsorbed depreciation under the Income tax Act, 1961. Accordingly, tax expenses for the year ended 31 March 2023 of the Company include one-time deferred tax credit of ₹2,303.87 Crores and reversal of current tax provision of ₹768.33 Crores respectively.

During the year ended 31st March, 2023, Udupi TPP (erstwhile wholly owned subsidiary, Udupi Power Corporation Limited) has reassessed the deferred tax recoverable recognised since earlier years based on CERC tariff norms, as amount recoverable from beneficiaries. Based on such reassessment, the Company has fully reversed the recoverable amount of ₹215.43 Crores during the year ended 31st March, 2023 and corresponding deferred tax liabilities is also reversed.

66 No funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries") with the understanding, whether recorded in writing or otherwise, that the Intermediary shall lend or invest in party identified by or on behalf of the Company (Ultimate Beneficiaries). Further, No funds have been received by the Company from any parties (Funding Parties) with the understanding that the Company shall whether, directly or indirectly lend or invest in other persons or entities identified by or on behalf of the funding party or provide any guarantee, security or the like on behalf thereof.

67 During the year ended 31st March, 2023, a short seller report was published in which certain allegations were made involving Adani Group Companies, including the Company and its subsidiaries. A writ petition was filed in the matter with the Hon'ble Supreme Court ("SC"), and during hearing the Securities and Exchange Board of India ("SEBI") has represented to the SC that it is investigating the allegations made in the short seller report for any violations of the various SEBI Regulations. The SC in terms of its order dated 2nd March, 2023 has also constituted an expert committee to investigate and also advice into the various aspect of existing laws and regulations, and also directed the SEBI to consider certain additional aspects in its scope. During the year ended 31st March, 2023 and subsequent to year end, the Company has also provided responses to various queries by the SEBI and the Stock Exchanges. The above-mentioned investigations are in progress as of date.

To uphold the principles of good governance, the Adani Group has undertaken review of transactions referred in the short seller's report (including those pertaining to the Company and its subsidiaries) and obtained opinions from independent law firms in respect of evaluating relationships with parties having transaction with the Company and its subsidiaries. These opinions also confirm that the Company and its subsidiaries are in compliance with the requirements of applicable laws and regulations. Based on the foregoing and pending outcome of the investigations as mentioned above, the financial statements do not carry any adjustments.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions

a. List of related parties and relationship

Description of relationship	Name of Related Parties
Controlling Entity (through direct and indirect control)	S. B. Adani Family Trust (SBAFT)
Subsidiaries	Mahan Energen Limited (Formerly known as Essar Power MP Limited) (w.e.f 16th March, 2022)
	Adani Power (Jharkhand) Limited
	Adani Power Dahej Limited
	Pench Thermal Energy (MP) Limited
	Kutchh Power Generation Limited
	Adani Power Resources Limited
	Mahan Fuel Management Limited (w.e.f 28th February, 2022)
	Alcedo Infra Park Limited (w.e.f 2nd March, 2022)
	Chandenville Infra Park Limited (w.e.f 24th February, 2022)
	Emberiza Infra Park Limited (w.e.f 3rd March, 2022)
	Resurgent Fuel Management Limited (w.e.f 20th April, 2022)
	Support Properties Private Limited (w.e.f. 7th June, 2022 and upto 21st March, 2023)
	Innovant Buildwell Private Limited (Formerly known as Eternus Real Estate Private Limited) (w.e.f. 7th June, 2022)
	Aviceda Infra Park Limited (w.e.f. 5th September, 2022)
Entities on which Controlling Entity or one or more Key Management Personnel ("KMP") have a significant influence / control	ACC Limited (w.e.f. 16th September, 2022)
	Adani Ahmedabad International Airport Limited
	Adani Australia Pty Limited
	Adani Bunkering Private Limited
	Adani Cement Industries Limited
	Adani Cementation Limited
	Adani Connex Private Limited
	Adani Digital Labs Private Limited
	Adani Electricity Mumbai Infra Limited
	Adani Electricity Mumbai Limited
	Adani Enterprises Limited
	Adani Estate Management Private Limited
	Adani Foundation
	Adani Global DMCC
	Adani Global FZE
	Adani Global PTE Limited
	Adani Green Energy Twenty Four C Limited

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Description of relationship	Name of Related Parties
	Adani Green Energy (Tamilnadu) Limited
	Adani Green Energy (UP) Limited
	Adani Green Energy Limited
	Adani Hazira Port Limited
	Adani Hospitals Mundra Private Limited
	Adani Infra (India) Limited
	Adani Infrastructure Management Services Limited
	Adani Institute For Education and Research
	Adani Institute of Infrastructure Management
	Adani Kandla Bulk Terminal Private Limited
	Adani Krishnapatnam Port Limited
	Adani Logistics Limited
	Adani Petrochemicals Limited
	Adani Petronet (Dahej) Port Limited
	Adani Ports and Special Economic Zone Limited
	Adani Properties Private Limited
	Adani Rail Infra Private Limited
	Adani Resources Private Limited
	Adani Road Transport Limited
	Adani Shipping (India) Private Limited
	Adani Skill Development Centre
	Adani Solar Energy Four Private Limited
	Adani Solar Energy Kutchh Two Private Limited
	Adani Sportsline Private Limited
	Adani Total Gas Limited
	Adani Tracks Management Services Private Limited (Formerly known as Sarguja Rail Corridor Private Limited)
	Adani Transmission (India) Limited
	Adani Water Limited
	Adani Wilmar Limited
	Ambuja Cements Limited
	Barmer Power Transmission Service Limited
	Belvedere Golf and Country Club Private Limited
	Bikaner-Khetri Transmission Limited
	Adani Gangavaram Port Private Limited (Formerly known as Gangavaram Port Limited)
	Jamkhambaliya Transco Ltd
	Jash Energy Private Limited

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Description of relationship	Name of Related Parties
	Kamuthi Solar Power Limited
	Karnavati Aviation Private Limited
	Kutch Copper Limited
	Lakadia Banaskantha Transco Limited
	Lucknow International Airport Limited
	Maharashtra Eastern Grid Power Transmission Company Limited
	Mangaluru International Airport Limited
	MPSEZ Utilities Limited
	Mundra Petrochem Limited
	Mundra Solar Energy Limited
	Mundra Solar PV Limited
	Mundra Solar Technology Limited
	Mundra Windtech Limited
	Parsa Kente Collieries Limited
	Prayatna Developers Private Limited
	Ramnad Solar Power Limited
	TN Urja Private Limited
	Vishakha Renewables Private Limited
	Wardha Solar (Maharashtra) Private Limited
	Wind One Renergy Limited
	WRSS XXI (A) Transco Limited
Key Management Personnel	Mr. Gautam S. Adani, Chairman
	Mr. Rajesh S. Adani, Director
	Mr. Anil Sardana, Managing Director
	Mr. S. B. Khyalia, Chief Executive Officer (w.e.f. 11th January, 2022)
	Mr. Shailesh Sawa, Chief Financial Officer
	Mr. Deepak S Pandya, Company Secretary
	Mr. Mukesh Shah, Non-Executive Director
	Mr. Raminder Singh Gujral, Non-Executive Director (up to 11th November, 2022)
	Ms. Gauri Trivedi, Non-Executive Director (up to 11th November, 2022)
	Mr. Sushil Kumar Roongta, Non-Executive Director (w.e.f 11th November, 2022)
	Mrs. Chandra Iyengar, Non-Executive Director (w.e.f 11th November, 2022)

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

b. Related party transactions are as follows:

Particulars	For the year ended 31st March, 2023			For the year ended 31st March, 2022		
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Borrowing Taken (Refer Note (ii) below)	57.38	6,051.19	-	138.30	2,184.89	-
Adani Infra (India) Limited	-	3,046.71	-	-	583.73	-
Adani Infrastructure Management Services Limited	-	1,916.81	-	-	1,051.87	-
Adani Properties Private Limited	-	69.61	-	-	534.43	-
Adani Rail Infra Private, Limited	-	1,018.05	-	-	14.86	-
Others	57.38	0.01	-	138.30	-	-
Borrowing Repaid Back	57.38	4,812.33	-	138.30	2,640.58	-
Adani Infra (India) Limited	-	2,890.24	-	-	1,209.04	-
Adani Infrastructure Management Services Limited	-	1,637.09	-	-	175.55	-
Adani Bunkering Private, Limited	-	-	-	-	285.99	-
Adani Properties Private Limited	-	-	-	-	970.00	-
Others	57.38	285.00	-	138.30	-	-
Interest Expense on Loan	2.12	544.55	-	0.63	447.26	-
Adani Infra (India) Limited	-	315.80	-	-	214.28	-
Adani Infrastructure Management Services Limited	-	132.64	-	-	85.84	-
Adani Properties Private Limited	-	69.67	-	-	99.67	-
Others	2.12	26.44	-	0.63	47.47	-
Interest Expense Others	-	23.02	-	-	21.23	-
Adani Ports & SEZ Limited	-	20.25	-	-	21.23	-
Adani Enterprises Limited	-	2.77	-	-	-	-
Loan Given	1,490.80	-	-	750.00	54.70	-
Innovant Buildwell Private Limited (Earlier known as Eternus Real Estate Private Limited)	355.56	-	-	-	-	-

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	For the year ended 31st March, 2023			For the year ended 31st March, 2022		
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Kutchh Power Generation Limited	125.57	-	-	144.44	-	-
Mahan Energen Limited (Earlier known as Essar Power M P Limited)	275.50	-	-	600.57	-	-
Resurgent Fuel Management Limited	168.47	-	-	-	-	-
Support Properties Private Limited	546.90	-	-	-	-	-
Others	18.80	-	-	4.99	54.70	-
Loan received back	849.00	-	-	144.36	54.70	-
Kutchh Power Generation Limited	125.00	-	-	144.36	-	-
Mahan Energen Limited (Earlier known as Essar Power M P Limited)	160.87	-	-	-	-	-
Support Properties Private Limited	546.90	-	-	-	-	-
Adani Infra (India) Limited	-	-	-	-	54.70	-
Others	16.23	-	-	-	-	-
Interest Income	231.23	1.99	-	75.45	0.39	-
Adani Power (Jharkhand) Limited	173.79	-	-	73.65	-	-
Innovant Buildwell Private Limited (Earlier known as Eternus Real Estate Private Limited)	24.55	-	-	-	-	-
Others	32.89	1.99	-	1.80	0.39	-
Sale of goods (including power and trading goods)	356.75	6,182.02	-	-	4,103.91	-
Adani Enterprises Limited	-	5,966.71	-	-	3,928.01	-
Others	356.75	215.31	-	-	175.90	-
Purchase of Goods / Power	0.04	836.10	-	-	718.85	-
Adani Enterprises Limited	-	122.93	-	-	470.60	-
Adani Global Pte Limited	-	617.75	-	-	114.33	-
Parsa Kante Collieries Limited	-	90.33	-	-	133.57	-

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	For the year ended 31st March, 2023			For the year ended 31st March, 2022		
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Others	0.04	5.09	-	-	0.35	-
Sale of Assets	0.20	0.03	-	-	0.75	-
Adani Power (Jharkhand) Limited	0.20	-	-	-	-	-
Jamkhambaliya Transco Limited	-	-	-	-	0.75	-
Others	-	0.03	-	-	-	-
Rendering of Service	1.29	14.18	-	-	2.79	-
Kutch Copper Limited	-	0.55	-	-	0.32	-
Adani Infrastructure Management Services Limited	-	10.02	-	-	-	-
Mundra Solar PV Limited	-	1.63	-	-	1.51	-
Others	1.29	1.98	-	-	0.96	-
Receiving of Services	-	810.52	-	-	723.68	-
Adani Infrastructure Management Services Limited	-	453.81	-	-	426.54	-
Adani Ports & SEZ Limited	-	253.50	-	-	265.32	-
Others	-	103.21	-	-	31.82	-
Deposit Received	-	1,250.00	-	-	-	-
Adani Connex Private Limited	-	1,250.00	-	-	-	-
Deposit Refunded	-	1,000.00	-	-	-	-
Adani Connex Private Limited	-	1,000.00	-	-	-	-
Deposit Given	-	28.85	-	-	1.30	-
MPSEZ Utilities Limited	-	28.85	-	-	-	-
Adani Logistics Limited	-	-	-	-	1.30	-
Deposit Received Back	-	28.85	-	-	-	-
MPSEZ Utilities Limited	-	28.85	-	-	-	-
Issue of Unsecured Perpetual Securities	-	-	-	-	600.00	-
Adani Infra (India) Limited	-	-	-	-	600.00	-

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	For the year ended 31st March, 2023			For the year ended 31st March, 2022		
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Distribution to holder of Unsecured Perpetual Securities	-	661.17	-	-	589.83	-
Adani Infra (India) Limited	-	264.00	-	-	-	-
Adani Rail Infra Private Limited	-	397.17	-	-	589.83	-
Sale of CCPS	-	-	-	-	815.40	-
Adani Logistics Limited	-	-	-	-	815.40	-
Investment in Optionally Convertible Debenture	1,025.90	-	-	1,362.26	-	-
Adani Power (Jharkhand) Limited	737.20	-	-	1,243.56	-	-
Aviceda Infra Park Limited	164.13	-	-	-	-	-
Others	124.57	-	-	118.70	-	-
Investment in equity shares of Subsidiary	0.02	-	-	1.04	-	-
Aviceda Infra Park Limited	0.01	-	-	-	-	-
Resurgent Fuel Management Limited	0.01	-	-	-	-	-
Mahan Energen Limited	-	-	-	1.00	-	-
Others	-	-	-	0.04	-	-
Sale of Investment in Subsidiary	-	988.97	-	0.01	-	-
Adani Power Dahej Limited	-	-	-	0.01	-	-
Adani Connex Private Limited	-	988.97	-	-	-	-
Redemption of Debentures	2.10	-	-	-	-	-
Alcedo Infra Park Limited	2.10	-	-	-	-	-
Corporate social responsibility contribution	-	16.70	-	-	26.56	-
Adani Foundation	-	16.70	-	-	26.56	-
Financial Guarantee given	-	-	-	1,900.00	-	-
Mahan Energen Limited	-	-	-	1,900.00	-	-

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	For the year ended 31st March, 2023			For the year ended 31st March, 2022		
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Director sitting fees	-	-	0.46	-	-	0.40
Mr. Mukesh Shah	-	-	0.17	-	-	0.16
Ms. Gauri Trivedi	-	-	0.11	-	-	0.13
Mr. Raminder Singh Gujral	-	-	0.07	-	-	0.11
Mrs. Chandra Iyengar	-	-	0.05	-	-	-
Mr. Sushil Kumar Roongta	-	-	0.06	-	-	-
Post-employment benefits	-	-	0.33	-	-	0.28
Mr. S. B. Khyalia, CEO	-	-	0.06	-	-	0.01
Mr. Deepak Pandya, CS	-	-	0.05	-	-	0.05
Mr. Shailesh Sawa CFO	-	-	0.22	-	-	0.22
Short-term benefits	-	-	8.31	-	-	5.19
Mr. S. B. Khyalia, CEO	-	-	3.53	-	-	0.74
Mr. Deepak Pandya, CS	-	-	0.52	-	-	0.47
Mr. Shailesh Sawa CFO	-	-	4.26	-	-	3.98

c. Related party balances are as follows:

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control
Borrowings (Refer Note (ii) below)	-	6,790.12	-	5,709.39
Adani Infra (India) Limited	-	2,834.76	-	2,678.29
Adani Infrastructure Management Services Limited	-	2,081.09	-	1,801.37
Adani Properties Private Limited	-	940.54	-	870.93
Adani Rail Infra Private Limited	-	933.73	-	200.68
Others*	-	-	-	158.12

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control
Interest Payable	-	2.77	-	-
Adani Enterprises Limited	-	2.77	-	-
Loans given	1,251.78	-	609.98	-
Innovant Buildwell Private Limited (Earlier known as Eternus Real Estate Private Limited)	355.56	-	-	-
Mahan Energen Limited (Earlier known as Essar Power M P Limited)	715.21	-	600.57	-
Resurgent Fuel Management Limited	163.12	-	-	-
Others	17.89	-	9.41	-
Interest Receivables	-	1.99	-	-
ACC Limited	-	1.99	-	-
Trade and other receivables	168.61	386.29	0.05	264.92
Adani Enterprises Limited	-	337.78	-	242.32
Mahan Energen Limited (Earlier known as Essar Power M P Limited)	159.66	-	0.05	-
Others	8.95	48.51	-	22.60
Trade and Other Payables	5.11	647.33	0.06	1,067.75
Adani Global PTE Limited	-	86.10	-	432.20
Adani Infrastructure Management Services Limited	-	164.03	-	190.82
Adani Ports & SEZ Limited	-	314.15	-	322.03
Others	5.11	83.05	0.06	122.70
Security Deposit and Advances given	-	10.31	-	41.80
Adani Enterprises Limited	-	8.01	-	30.21
Adani Logistics Limited	-	1.30	-	1.30
Adani Transmission (India) Limited	-	-	-	8.50
Others	-	1.00	-	1.79
Security Deposit and Advances taken	-	250.01	-	-
Adani Connex Private Limited	-	250.00	-	-
Others	-	0.01	-	-

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

68 Related party transactions (Contd.)

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control	With Subsidiaries	Entities on which Controlling Entity or one or more KMP have a significant influence / control
Optionally Convertible Debentures	2,153.37	-	1,166.38	-
Adani Power (Jharkhand) Limited	1,816.61	-	1,120.36	-
Others	336.76	-	46.02	-
Unsecured Perpetual Securities (Issued)	-	13,215.00	-	13,215.00
Adani Infra (India) Limited	-	3,715.00	-	3,715.00
Adani Properties Private Limited	-	3,600.00	-	3,600.00
Adani Rail Infra Private Limited	-	5,900.00	-	5,900.00
Financial Guarantee given on behalf of Subsidiary	11,975.42	-	11,975.42	-
Adani Power (Jharkhand) Limited	10,075.42	-	10,075.42	-
Mahan Energen Limited (Earlier known as Essar Power M P Limited)	1,900.00	-	1,900.00	-
Corporate Guarantee received	-	1,500.00	-	1,500.00
Adani Enterprises Limited	-	1,500.00	-	1,500.00

* loan waived off (refer note 20(4))

Notes:

- The amount outstanding are unsecured and will be settled in cash or Kind.
- Borrowings includes Interest accrued of ₹436.64 Crores (Previous year ₹372.41 Crores) added to borrowings as on reporting date as agreed as per contractual terms.
- Refer note 5 in respect of details relating security provided on behalf of subsidiaries of the Company.
- Material related party transactions and closing balances are disclosed separately.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

69 The following are analytical ratios for the year ended 31st March, 2023 and 31st March, 2022

Particulars	UOM	31st March, 2023	31st March, 2022 (Restated)	Variation	Remarks
i) Current Ratio :					
Current Assets (a)		17,198.13	15,549.91		
Current Liabilities (b)		14,580.10	15,279.55		
Current Ratio (a/b)	Times	1.18	1.02	15.91%	Not applicable
Numerator - Total Current Assets					
Denominator - Total Current Liabilities (Excluding Deferred Government Grant and Financial guarantee obligation)					
ii) Debt-Equity Ratio:					
Non current debt (a)		27,231.28	33,376.16		Mainly due to prepayment of loans and
Shareholders' Equity (b)		28,223.87	18,463.89		increase in
Debt - Equity Ratio (a/b)	Times	0.96	1.81	(46.62%)	shareholders' equity on
Numerator - Total non current borrowings including current maturity + lease liabilities					account of
Denominator - Total Equity					profit for the year.
iii) Debt Service coverage Ratio :					
Earnings available for Debt service (a)		13,866.46	11,765.30		
Debt Service (b)		9,187.18	5,480.18		
Debt Service coverage Ratio (a/b)	Times	1.51	2.15	(29.70%)	
Numerator -Net Profit after taxes + Depreciation and Amortisation Expenses + Unrealised Foreign Exchange Fluctuation loss (net) + Interest on non current borrowings + Loss on Property, Plant and Equipment Sold / Retired (net) (Including Capital Expenditure provided for) - Amortised Government Grant Income - Liabilities / Provision no Longer Required Written Back + Sundry balances written off + Stores and spares Provided for + Deferred tax - Amortisation Financial guarantee obligation + Interest on Lease liabilities					Mainly due to part pre-payment of borrowing
Denominator - Interest on non current borrowings + Principal repayment of non current borrowings during the period (including net repayment of ICD, if any) + Interest on lease liabilities + lease payments					
iv) Return on Equity Ratio :					
Profit after Taxes (a)		8,994.50	3,838.69		
Average Shareholders' Equity (b)		8,018.49	1,382.62		

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

69 The following are analytical ratios for the year ended 31st March, 2023 and 31st March, 2022 (Contd.)

Particulars	UOM	31st March, 2023	31st March, 2022 (Restated)	Variation	Remarks
Return on Equity Ratio (a/b)	%	112%	277.64%	(59.60%)	Mainly due to increased profitability resulting into higher average of shareholders' equity.
Numerator - Profit after Taxes - Distribution on Unsecured Perpetual Securities (including undeclared)					
Denominator - Average Shareholders' Equity = (Opening Shareholders' Equity + Closing Shareholders' Equity)/2					
Shareholders' Equity = Equity share capital + Other equity - unpaid Distribution on Unsecured Perpetual Securities					
v) Inventory Turnover Ratio :					
Fuel Cost (a)		24,551.98	14,762.21		
Average Fuel Inventory (b)		1,798.41	1,678.29		
Inventory Turnover Ratio (a/b)	Times	13.65	8.80	55.21%	Mainly due to improved fuel inventory management
Numerator - Fuel Cost					
Denominator - (Opening Fuel Inventory + Closing Fuel Inventory)/2					
vi) Trade Receivables turnover Ratio :					
Net Credit Sales (a)		40,227.73	31,230.96		
Average Accounts Receivable (b)		10,436.73	10,709.35		
Trade Receivables turnover Ratio (a/b)	Times	3.85	2.92	32.17%	Mainly due to higher sales collection
Numerator - Revenue from Operations + carrying cost + Scrap sales + Guest House rent income + water income					
Denominator - (Opening trade receivable + Closing trade receivable)/2 (including contract assets)					
vii) Trade Payables turnover Ratio :					
Net Credit Purchases (a)		26,189.89	17,005.98		
Average Trade Payable (b)		2,917.97	3,626.21		
Trade Payables turnover Ratio (a/b)	Times	8.98	4.69	91%	Mainly on account of higher pay out during the year with better cashflow
Numerator - Fuel Cost + Closing Fuel Inventory - Opening Fuel Inventory + Transmission Cost + Purchases of Stock-in-trade / power for resale + Stores and Spares consumed + Closing Stores and Spares Inventory - Opening Stores and Spares Inventory + Repairs and Maintenance					
Denominator - (Opening trade payables + Closing trade payables)/2					

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

69 The following are analytical ratios for the year ended 31st March, 2023 and 31st March, 2022 (Contd.)

Particulars	UOM	31st March, 2023	31st March, 2022 (Restated)	Variation	Remarks
viii) Net Capital turnover Ratio :					
Net Sales (a)		40,863.39	31,457.80		
Average Working capital (b)		1,444.20	(402.35)		
Net Capital turnover Ratio (a/b)	Times	28.29	(78.19)	(136%)	Mainly due to higher average working capital
Numerator - Total Income i.e. Revenue from operations and other income (excluding Financial guarantee obligation (Amortised) and Amortised deferred government grant income)					
Denominator - Average working capital = (Opening working capital + Closing working capital) / 2					
Working capital = Total current assets - Total current liabilities (excluding deferred government grant and Financial guarantee obligation)					
ix) Net Profit Ratio :					
Profit after Tax (a)		10,246.15	5,036.34		
Net Sales (b)		41,201.19	31,779.50		
Net Profit Ratio (a/b)	%	24.87%	15.85%	57%	Mainly on account of higher profit for the year
Numerator - Profit after tax					
Denominator - Total Income i.e. Revenue from operations and other income					
x) Return on Capital Employed :					
Earnings before Interest and Taxes (a)		10,696.18	10,788.80		
Capital Employed (b)		60,924.39	61,061.99		
Return on Capital Employed (a/b)	%	17.56%	17.67%	(1%)	
Numerator - Profit before tax + Finance Costs					
Denominator - Tangible Net Worth + Total Debt + Total lease liabilities + Deferred Tax Liability					
Tangible Net Worth = Total equity - Intangible assets - Goodwill					Not applicable
xi) Return on Investment :					
Income generated from mutual fund (a)		10.39	0.83		
Time weighted average mutual fund investment (b)		199.60	25.78		
Return on Investment (a/b)	%	5.21%	3.22%	62%	Higher income from investment in mutual funds
Numerator - Income generated from mutual fund					
Denominator - Time weighted average investment in mutual fund					

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

70 Disclosure of significant interest in subsidiaries:

Name of the subsidiaries	Country of incorporation	31st March, 2023	31st March, 2022
Adani Power Resources Limited ("APReL")	India	51%	51%
Adani Power (Jharkhand) Limited	India	100%	100%
Mahan Energen Limited ("MEL") (Formerly known as Essar Power MP Limited (w.e.f 16th March, 2022))	India	100%	100%
Adani Power Dahej Limited	India	100%	100%
Pench Thermal Energy (MP) Limited	India	100%	100%
Kutchh Power Generation Limited	India	100%	100%
Mahan Fuel Management Limited (w.e.f 28th February, 2022)	India	100%	100%
Alcedo Infra Park Limited (w.e.f 2nd March, 2022)	India	100%	100%
Chandenville Infra Park Limited (w.e.f 24th February, 2022)	India	100%	100%
Emberiza Infra Park Limited (w.e.f 3rd March, 2022)	India	100%	100%
Resurgent Fuel Management Limited (w.e.f 20th April, 2022)	India	100%	-
Aviceda Infra Park Limited (w.e.f 5th September, 2022)	India	100%	-
Support Properties Private Limited (w.e.f 7th June, 2022 to 21st March, 2023)	India	-	-
Innovant Buildwell Private Limited (Formerly Known as - Eternus Real Estate Private Limited) (w.e.f 7th June, 2022)	India	100%	-

71 Recent Pronouncements:

Ministry of Corporate Affairs ("MCA") notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On 31st March, 2023, MCA amended the Companies (Indian Accounting Standards) Rules, 2015 by issuing the Companies (Indian Accounting Standards) Amendment Rules, 2023, applicable from 1st April, 2023, as below:

Ind AS 1 – Presentation of Financial Statements

The amendments require companies to disclose their material accounting policies rather than their significant accounting policies. Accounting policy information, together with other information, is material when it can reasonably be expected to influence decisions of primary users of general purpose financial statements. The Company does not expect this amendment to have any significant impact in its financial statements.

Ind AS 8 – Accounting Policies, Changes in Accounting Estimates and Errors

The amendments will help entities to distinguish between accounting policies and accounting estimates. The definition of a change in accounting estimates has been replaced with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". Entities develop accounting estimates if accounting policies require items in financial statements to be measured in a way that involves measurement uncertainty. The Company does not expect this amendment to have any significant impact in its financial statements.

Ind AS 12 – Income Taxes

The amendments clarify how companies account for deferred tax on transactions such as leases and decommissioning obligations. The amendments narrowed the scope of the recognition exemption in paragraphs 15 and 24 of Ind AS 12 (recognition exemption) so that it no longer applies to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. The Company does not expect this amendment to have any significant impact in its financial statements.

Notes to Standalone Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

- 72** The Company does not have any transaction to report against the following disclosure requirements as notified by MCA pursuant to amendment to Schedule III:
1. Crypto Currency or Virtual Currency
 2. Benami Property held under Benami Transactions (Prohibition) Act, 1988 (45 of 1988)
 3. Registration of charges or satisfaction with Registrar of Companies
 4. Related to Borrowing of Funds:
 - i. Wilful defaulter
 - ii. Utilization of borrowed fund and share premium
 - iii. Discrepancy in utilization of borrowings
 - iv. Discrepancy in information submitted towards borrowings obtained on the basis of security of current assets
- 73** In the matter of acquisition of Essar Power MP Limited ("EPMPL") through Insolvency and Bankruptcy Code, National Company Law Tribunal ("NCLT") has passed an order dated 1st November, 2021 approving the resolution plan. The Company acquired control over EPMPL w.e.f. 16th March 2022 on fulfilment of conditions precedent on infusion of agreed amount of equity capital of ₹ 1 Crore alongwith upfront payment of ₹600 crores to the lenders. Subsequent to the acquisition, the name of EPMPL has been changed to Mahan Energen Limited ("MEL"). Further, transaction cost added to investment is ₹1.69 Crores.
- 74** The Code on Social Security, 2020 ('Code') relating to employee benefits during employment and post employment benefits received Presidential assent in September 2020. The Code has been published in the Gazette of India. However, the date on which the Code will come into effect has not been notified and the final rules/interpretation have not yet been issued. The Company will assess the impact of the Code when it comes into effect and will record any related impact in the period the Code becomes effective.
- 75** According to the management's evaluation of events subsequent to the balance sheet date, there were no significant adjusting events that occurred other than those disclosed / given effect to, in these financial statements as of 5th May, 2023.

As per our report of even date

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

For and on behalf of the Board of Directors

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Independent Auditor's Report

To the Members of Adani Power Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of Adani Power Limited (hereinafter referred to as "the Holding Company"), its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group") comprising of the consolidated Balance sheet as at March 31 2023, the consolidated Statement of Profit and Loss, including other comprehensive income, the consolidated Cash Flow Statement and the consolidated Statement of Changes in Equity for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, except for the effects of the matters described in the 'Basis for Qualified Opinion' section of our report and based on the consideration of reports of other auditors on separate financial statements and on the other financial information of the subsidiaries, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at March 31, 2023, their consolidated profit including other comprehensive income, their consolidated cash flows and the consolidated statement of changes in equity for the year ended on that date.

Basis for Qualified Opinion

We refer to Note 71 of the consolidated financial statements. Pending completion of the ongoing investigations by Securities and Exchange Board of India and completion of proceedings before the Hon'ble Supreme Court in terms of its order dated March 2, 2023, in respect of the matter stated in the said note, we are unable to comment on the possible consequential effects thereof, if any, on these consolidated financial statements.

We conducted our audit of the consolidated financial statements in accordance with the Standards on

Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Consolidated Financial Statements' section of our report. We are independent of the Group in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified audit opinion on the consolidated financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the financial year ended March 31, 2023. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the 'Basis for Qualified Opinion' section we have determined the matters described below to be the key audit matters to be communicated in our report. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of audit procedures performed by us and by other auditors of components not audited by us, as reported by them in their audit reports furnished to us by the management, including those procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Key audit matters**How our audit addressed the key audit matter****Revenue recognition and assessment of recoverability of receivables related to change in law claims** (Also refer Notes 3(vi), 10 and 32 to the consolidated financial statements)

The Group, having Power Purchase Agreements (PPA) are eligible for compensation claims against various Change in Law events having cost implications on generation and supply of power such as additional duties and taxes, increased cost of power generation, etc., due to purchase of alternative coal in terms of the framework of supply of power as per PPA entered by the respective Thermal Power Plant/ Units with the various Discoms.

The compensation claims (invoices) are raised by the Group upon approval of change in law event by the relevant Regulatory Authorities. The invoices for change in law claims are raised considering operational / cost parameters based on qualitative parameters approved in terms of the relevant Regulatory Authorities Orders and are subject to partial/ final acceptance of the claims by the respective Discoms. Considering that the methodology and the parameters of claims are subject to final acceptance by the respective Discoms, the revenue is recognised in the books of account based on the prudent parameters and methodology, till the respective matters are accepted / settled with the Discoms.

Thus, the revenue/ receivables from Discoms are subject to adjustments to the extent there may be adverse impact on account of appeals with the regulatory authorities.

In certain cases where the regulatory order(s) are subject matter of appeal with higher appellate forums / authorities, and the amount of claims are not ascertainable, revenues for change in law claims are not recognised, pending outcome of the final decision.

In view of the complexity and judgement involved in estimation of the amounts of such claims and recoverability thereof, the same is considered as a key audit matter.

Our audit procedures in response to this key audit matter included, but not limited to, the following:

- Examined the Group's accounting policies with respect to assessing compliance with Ind AS 115 "Revenue from Contract with Customers"
- Obtained understanding of the key controls that management has in place to monitor change in law events and related claims, status of various pending claims including under appeals and orders passed by various regulatory authorities.
- Inspected the relevant state regulatory commission, CERC, appellate tribunal and court rulings and examined management assumptions / judgement relating to various parameters in terms of regulatory orders, for measuring / estimating the amount of such claims.
- Examined the underlying parameters and assumptions / judgement used for measuring / computing the amounts of compensation claims as per regulatory orders through verification of historical information and other available internal and external data.
- Tested on sample basis, the accuracy of the underlying data used for computation of such claims.
- Tested the joint reconciliations for trade receivables performed by the Group with the respective Discoms, wherever available with underlying records.
- Tested the status of the outstanding receivables and recoverability of the overdue / aged receivables through inquiry with management, and collection trends in respect of receivables.
- Assessed the disclosures in accordance with the requirements of Ind AS 115 "Revenue from Contract with Customers".

Revenue recognition for regulated power generation business

(Also refer Note 32 to the consolidated financial statements)

In the regulated power generation business of Udupi Thermal Power Plant (Udupi TPP) (erstwhile known as Udupi Power Corporation Limited), the tariff is determined by the regulator based on cost plus return on equity basis wherein cost is subject to prudential norms.

The Company invoices its customers on the basis of provisional approved tariff which is based on Tariff Regulation and is subject to true up adjustment. As the Company is entitled to tariff based on actual cost incurred for the year, at point of revenue recognition it recognises adjustments for the escalation/ de-escalation in the various parameters compared to the entitled parameters.

Our audit procedures in response to this key audit matter included, but not limited to, the following:

- Examined the Company's accounting policies with respect to assessing compliance with Ind AS 115 "Revenue from Contract with Customers".
- Performed test of controls over revenue recognition and accruals through inspection of evidence of performance of these controls.
- Performed the tests of details including the following key procedures:
 - Evaluated the key assumptions used by the Company by comparing it with the assumptions in provisional approved tariff order.

Key audit matters	How our audit addressed the key audit matter
Accruals are determined based on tariff regulations and past tariff orders and are subject to verification and approval by the regulators. Further the costs incurred are subject to prudential checks and the prescribed norms. Significant judgements are made in determining the accruals including interpretation of tariff regulations. Further certain matters for disallowance of claims has been litigated by the Company before higher authorities. Revenue recognition and accrual of regulatory claims is a key audit matter considering the significant judgements involved in the determination thereof.	- For tariff orders (including updated tariff order) received by the Company, assessed the impact recognised by the Company and for matters litigated by the Company, also assessed the management's evaluation of the likely outcome of the dispute based on past precedents. - Tested the joint reconciliation for invoiced billed and approved tariff-based income performed by the Company with the Discoms, wherever available with underlying records and adjustments made in books of account as recoverable/ payable for the respective approved tariff periods. - Assessed the disclosures in accordance with the requirements of Ind AS 115 "Revenue from Contract with Customers".
<u>Evaluation of impairment of property, plant and equipment</u> <i>(Also refer Note 3(iv) and 51(c) to the consolidated financial statements)</i>	
As at March 31, 2023, the carrying value of the Property, Plant and Equipment (PPE) of the Company (Mundra Thermal Power Plant (TPP) Cash Generating Unit (CGU)) is ₹13,706.48 crores (net of government grant). To assess if there is an impairment in the carrying value of PPE of Mundra TPP CGU, the management conducts CGU level impairment tests annually or whenever changes in circumstances or events indicate that, the carrying value of PPE may require evaluation to verify recoverability. An impairment loss is recognised if the recoverable amount of PPE is lower than the carrying value. The recoverable amount of the Mundra TPP CGU is evaluated by calculating the value in use of the CGU to which carrying value of PPE is attributable along with the revised SPPA entered with Gujarat Urja Vikas Nigam Limited ("GUVNL") in terms of Settlement Deed with the said Discom dated January 4, 2022, which has been approved by Hon'ble Supreme Court. Further, the unit has also entered into Supplementary Power Purchase Agreement (SPPA) with Haryana discom in February 2023 and long term PPA with MPSEZ Utilities Limited ("MUL") to supply power from Mundra TPP in April 2023. This is a key audit matter as the testing of impairment of carrying value of Mundra TPP PPE is complex and involves significant judgement. The key assumptions involved in impairment test are projected revenue growth, tariff estimate, cost of coal, operating margins, estimated life of PPE and discount rates and terminal value.	Our audit procedures in response to this key audit matter included, but not limited to, the following: - We have obtained an understanding the Management's internal controls over its annual impairment assessment and key assumptions applied such as revenue growth, operating margins, discount rates, estimated life of PPE and terminal growth rates; - We obtained CGU valuation model prepared by the management and engaged our valuation specialists to evaluate the appropriateness of valuation methodology applied in impairment testing and to test the key assumptions around expected long term growth parameters, discount rates etc. - We discussed potential changes in key drivers with management in order to evaluate the suitability of inputs and assumptions used in the cash flow forecasts and performed sensitivity analysis around the key assumptions used by management. - We have obtained an understanding of impact of the revised agreement entered with GUVNL dated March 30, 2022, Haryana discom for supplying the power dated February 28, 2023 and long term PPA entered with MUL for supply of power dated April 14, 2023 having impact on the valuation model. - Assessed the disclosures in accordance with the requirements of Ind AS 36 "Impairment of Assets".

Information Other than the Financial Statements and Auditor's Report Thereon

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual report, but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management for the Consolidated Financial Statements

The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated financial statements in terms of the requirements of the Act that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows and consolidated statement of changes in equity of the Group in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. The respective Board of Directors of the company (ies) included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of their respective company (ies) and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation

of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.

In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of their respective company (ies) to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the respective company (ies) or to cease operations, or has no realistic alternative but to do so.

Those respective Board of Directors of the companies included in the Group are also responsible for overseeing the financial reporting process of their respective company (ies).

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the

override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group of which we are the independent auditors and whose financial information we have audited, to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated financial statements of which we are the independent auditors. For the other entities included in the consolidated financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements for the financial year ended March 31, 2023 and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

- (a) We did not audit the financial statements and other financial information, in respect of twelve subsidiaries, whose financial statements include total assets of ₹16,259.53 crores as at March 31, 2023, and total revenues of ₹173.46 crores and net cash inflows of ₹141.41 crores for the year ended on that date. These financial statement and other financial information have been audited by other auditors, which financial statements, other financial information and auditor's reports have been furnished to us by the management. Our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries and our report in terms of sub-sections (3) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, is based solely on the report(s) of such other auditors.
- (b) The accompanying consolidated financial statements include unaudited financial statements and other unaudited financial information in respect of one subsidiary, which was acquired and disposed off during the year,

whose financial statements and other financial information reflect total assets of ₹ Nil crores as at March 31, 2023, and total revenues of ₹ Nil and net cash inflows of ₹0.03 crores for the year ended on that date. These unaudited financial statements and other unaudited financial information have been furnished to us by the management. Our opinion, in so far as it relates amounts and disclosures included in respect of these subsidiaries, and our report in terms of sub-sections (3) of Section 143 of the Act in so far as it relates to the aforesaid subsidiaries, is based solely on such unaudited financial statements and other unaudited financial information. In our opinion and according to the information and explanations given to us by the Management, these financial statements and other financial information are not material to the Group.

Our opinion above on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements and other financial information certified by the Management.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, based on our audit and on the consideration of report of the other auditors on separate financial statements and the other financial information of the subsidiary companies, incorporated in India, as noted in the 'Other Matter' paragraph we give in the "Annexure 1" a statement on the matters specified in paragraph 3(xxi) of the Order.
2. As required by Section 143(3) of the Act, based on our audit and on the consideration of report of the other auditors on separate financial statements and the other financial information of subsidiaries, as noted in the 'other matter' paragraph we report, to the extent applicable, that:
 - (a) We/the other auditors whose report we have relied upon have sought and except for the matter described in the Basis for Qualified Opinion paragraph, obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the

aforesaid consolidated financial statements;

- (b) Except for the matter(s) described in the Basis for Qualified Opinion paragraph, in our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidation of the financial statements have been kept so far as it appears from our examination of those books and reports of the other auditors;
- (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Consolidated Cash Flow Statement and Consolidated Statement of Changes in Equity dealt with by this Report are in agreement with the books of account maintained for the purpose of preparation of the consolidated financial statements;
- (d) Except for the effects of the matter(s) described in the Basis for Qualified Opinion paragraph above, in our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;
- (e) The matter described in the Basis for Qualified Opinion paragraph above, in our opinion, may have an adverse effect on the functioning of the Company;
- (f) On the basis of the written representations received from the directors of the Holding Company as on March 31, 2023 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors who are appointed under Section 139 of the Act, of its subsidiary companies, none of the directors of the Group's companies, incorporated in India, is disqualified as on March 31, 2023 from being appointed as a director in terms of Section 164 (2) of the Act;
- (g) The qualification relating to the maintenance of accounts and other matters connected therewith are as stated in the Basis for Qualified Opinion paragraph above;
- (h) With respect to the adequacy of the internal financial controls with reference to consolidated financial statements of the Holding Company and its subsidiary companies, incorporated in India, and the operating effectiveness of such controls,

refer to our separate Report in "Annexure 2" to this report;

- (i) In our opinion and based on the consideration of reports of other statutory auditors of the subsidiaries, the Holding Company and its subsidiaries, has not paid / provided the managerial remuneration for the year ended March 31, 2023 to their directors in accordance with the provisions of section 197 read with Schedule V to the Act;
- (j) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the report of the other auditors on separate financial statements as also the other financial information of the subsidiaries, as noted in the 'Other matter' paragraph:
 - i. The consolidated financial statements disclose the impact of pending litigations on its consolidated financial position of the Group, in its consolidated financial statements – Refer Note 43 to the consolidated financial statements;
 - ii. Provision has been made in the consolidated financial statements, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts.
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Holding Company and its subsidiaries, incorporated in India during the year ended March 31, 2023.
 - iv. a) The respective managements of the Holding Company and its subsidiaries which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries respectively that, to the best of its knowledge and belief, as disclosed in the note 69 to the consolidated financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any

other sources or kind of funds) by the Holding Company or any of such subsidiaries to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the respective Holding Company or any of such subsidiaries ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

- b) The respective managements of the Holding Company and its subsidiaries which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries respectively that, to the best of its knowledge and belief, as disclosed in the note 69 to the consolidated financial statements, no funds (which are material either individually or in the aggregate) have been received by the Holding Company or any of such subsidiaries from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Holding Company or any of such subsidiaries shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and
- c) Based on the audit procedures that has been considered reasonable and appropriate in the circumstances performed by us and those performed by the auditors of the subsidiaries which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other

auditor's notice that has caused us or the other auditors to believe that the representations under sub-clause (a) and (b) contain any material mis-statement.

- v) The dividend on compulsory redeemable preference shares in respect of the same declared for the previous years and paid by the Company during the year, is in accordance with section 123 of the Companies Act 2013 to the extent it applies to payment of dividend.

As stated in note 63 of the consolidated financial statements, the Board of Directors of the Company have proposed dividend on compulsory redeemable preference shares for the year which is subject to the approval of members at the ensuing Annual General Meeting. The dividend declared is in accordance with Section 123 of the Act to the extent it applies to declaration of dividend.

- vi) As proviso to rule 3(1) of the Companies

(Accounts) Rules, 2014 is applicable for the company only w.e.f. April 1, 2023, reporting under this clause is not applicable

For **S R B C & CO LLP**

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYWZ7357

Place of Signature: Ahmedabad

Date: May 5, 2023

Annexure 1 referred to in paragraph 1 under the heading "Report on Other Legal and Regulatory Requirements" of our Independent Auditor's Report of even date on the Consolidated Financial Statements of Adani Power Limited

1. Qualifications or adverse remarks by the respective auditors in the Companies (Auditors Report) Order (CARO) reports of the companies included in the consolidated financial statements are:

S. No.	Name	CIN	Holding company/ subsidiary	Clause number of the CARO report which is qualified or is adverse
1.	Adani Power Limited	L40100GJ1996PLC030533	Holding Company	Clause i (c) Clause xi (a) and (c) Clause (xiii)
2.	Mahan Energen Limited	U40100DL2005PLC201961	Wholly Owned Subsidiary Company	Clause i (c) Clause xi (a) and (c) Clause (xiii)
3.	Kutch Power Generation Limited	U40100GJ2009PLC057562	Wholly Owned Subsidiary Company	Clause xvii
4.	Adani Power Dahej Limited	U40100GJ2006PLC047672	Wholly Owned Subsidiary Company	Clause xvii
5.	Adani Power Resources Limited	U40100GJ2013PLC077749	Subsidiary Company	Clause xvii
6.	Innovant Buildwell Private Limited (formerly known as Eterenus Real Estate Private Limited)	U60231MH2007PTC177037	Wholly Owned Subsidiary Company	Clause xvii
7.	Resurgent Fuel Management Limited	U14290GJ2022PLC131210	Wholly Owned Subsidiary Company	Clause xvii

The report of the following component included in the consolidated financial statements have not been issued by its auditor till the date of our auditor's report:

S. No.	Name	CIN	Subsidiary / associate / joint venture
1.	Support Properties Private Limited	U70102MH2007PTC175633	Subsidiary (from 7 June, 2022 till 21 March, 2023)

For **S R B C & CO LLP**
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

per **Santosh Agarwal**
Partner
Membership Number: 093669
UDIN: 23093669BGUYWZ7357
Place of Signature: Ahmedabad
Date: May 5, 2023

Annexure 2 to the Independent Auditor's Report of even date on the Consolidated Financial Statements of Adani Power Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the consolidated financial statements of Adani Power Limited as of and for the year ended March 31, 2023, we have audited the internal financial controls over financial reporting of Adani Power Limited (hereinafter referred to as the "Holding Company") and its subsidiary companies, which are companies incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the Holding Company, its subsidiary companies, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the company's internal financial controls over financial reporting with reference to these consolidated financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over

Financial Reporting (the "Guidance Note") and the Standards on Auditing, both, issued by Institute of Chartered Accountants of India, and deemed to be prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting with reference to these consolidated financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls over financial reporting with reference to these consolidated financial statements and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting with reference to these consolidated financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our qualified audit opinion on the internal financial controls over financial reporting with reference to these consolidated financial statements.

Meaning of Internal Financial Controls Over Financial Reporting With Reference to these Consolidated Financial Statements

A company's internal financial control over financial reporting with reference to these consolidated

financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting with reference to these consolidated financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting With Reference to these Consolidated Financial Statements

Because of the inherent limitations of internal financial controls over financial reporting with reference to these consolidated financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting with reference to these consolidated financial statements to future periods are subject to the risk that the internal financial control over financial reporting with reference to these consolidated financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Qualified Opinion

According to the information and explanations given to us and based on our audit, pending completion of

the ongoing investigations of Securities and Exchange Board of India and completion of proceedings before the Hon'ble Supreme Court in terms of its order dated March 2, 2023 as stated in the 'Basis for Qualified Opinion' paragraph of our audit report, and the consequential impact it may have on Company's processes and internal controls including related party transactions and compliance with applicable laws and regulations, to that extent we are unable to comment on whether there is any material weakness in the Company's internal controls as at March 31, 2023.

A 'material weakness' is a deficiency, or a combination of deficiencies, in internal financial control over financial reporting, such that there is a reasonable possibility that a material misstatement of the company's annual or interim financial statements will not be prevented or detected on a timely basis.

In our opinion, except for the possible effects of the material weakness described above on the achievement of the objectives of the control criteria, the Company has maintained, in all material respects, adequate internal financial controls over financial reporting with reference to these Consolidated financial statements and such internal financial controls over financial reporting with reference to these Consolidated financial statements were operating effectively as of March 31, 2023, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Explanatory paragraph

We also have audited, in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India, as specified under Section 143(10) of the Act, the consolidated financial statements of Adani Power Limited (hereinafter referred to as "the Holding Company"), its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group") comprising of the consolidated Balance sheet as at March 31 2023, the consolidated Statement of Profit and Loss, including

other comprehensive income, the consolidated Cash Flow Statement and the consolidated Statement of Changes in Equity for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies and other explanatory information, and our report dated May 5, 2023, expressed a qualified opinion.

Other Matters

Our report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls over financial reporting with reference to these consolidated financial statements of the Holding Company, insofar as it relates to these twelve subsidiary companies, which are companies

incorporated in India, is based on the corresponding reports of the auditors of such subsidiary, incorporated in India.

For **S R B C & CO LLP**

Chartered Accountants

ICAI Firm Registration Number: 324982E/E300003

per Santosh Agarwal

Partner

Membership Number: 093669

UDIN: 23093669BGUYWZ7357

Place of Signature: Ahmedabad

Date: May 5, 2023

Consolidated Balance Sheet

as at 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Notes	As at 31st March, 2023	As at 31st March, 2022
ASSETS			
Non-current Assets			
(a) Property, Plant and Equipment	4.1	50,543.80	53,071.62
(b) Capital Work-In-Progress	4.1	12,879.54	10,269.74
(c) Investment property	4.2	704.94	-
(d) Goodwill	4.3	190.61	190.61
(e) Other Intangible Assets	4.4	12.03	11.98
(f) Financial Assets			
(i) Investments	5	42.51	0.01
(ii) Other Financial Assets	6	779.71	856.04
(g) Other Non-current Assets	7	1,115.13	1,352.95
Total Non-current Assets		66,268.27	65,752.95
Current Assets			
(a) Inventories	8	3,075.20	2,258.27
(b) Financial Assets			
(i) Investments	9	611.54	183.24
(ii) Trade Receivables	10	11,529.36	9,560.92
(iii) Cash and Cash Equivalents	11	349.23	782.37
(iv) Bank balances other than (iii) above	12	1,524.42	1,582.31
(v) Loans	13	3.19	7.62
(vi) Other Financial Assets	14	557.50	308.28
(c) Other Current Assets	15	1,902.56	1,545.06
Total Current Assets		19,553.00	16,228.07
Total Assets		85,821.27	81,981.02
EQUITY AND LIABILITIES			
EQUITY			
(a) Equity Share Capital	16	3,856.94	3,856.94
(b) Unsecured Perpetual Securities	17	13,215.00	13,215.00
(c) Other Equity	18	12,803.72	1,631.50
Equity attributable to equity holders of the parent		29,875.66	18,703.44
(d) Non - Controlling Interests	41	*	*
Total Equity		29,875.66	18,703.44
LIABILITIES			
Non-current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	19	33,702.60	37,871.32
(ia) Lease Liabilities	20	88.32	94.36
(ii) Other Financial Liabilities	21	-	960.37
(b) Provisions	22	226.95	220.87
(c) Deferred Tax Liabilities (Net)	23	-	2,499.78
(d) Other Non-current Liabilities	24	4,183.15	4,487.21
Total Non-current Liabilities		38,201.02	46,133.91
Current Liabilities			
(a) Financial Liabilities			
(i) Borrowings	25	8,549.45	10,924.36
(ia) Lease Liabilities	26	9.16	8.39
(ii) Trade Payables	27		
- total outstanding dues of micro enterprises and small enterprises		95.76	57.59
- total outstanding dues of creditors other than micro enterprises and small enterprises		2,983.69	3,450.62
(iii) Other Financial Liabilities	28	2,461.58	1,167.32
(b) Other Current Liabilities	29	3,622.82	861.36
(c) Provisions	30	21.64	28.71
(d) Current Tax Liabilities (Net)	31	0.49	645.32
Total Current Liabilities		17,744.59	17,143.67
Total Liabilities		55,945.61	63,277.58
Total Equity and Liabilities		85,821.27	81,981.02

(Figures below ₹50,000 are denominated with *)

The accompanying notes are an integral part of these Consolidated financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Consolidated Statement of Profit and Loss

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Notes	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Income			
Revenue from Operations	32	38,773.30	27,711.18
Other Income	33	4,267.22	3,975.29
Total Income		43,040.52	31,686.47
Expense			
Fuel Cost		25,480.85	14,762.21
Purchase of Stock-in-trade / Power for resale	34	214.14	545.56
Transmission Charges		519.61	642.77
Employee Benefits Expense	35	569.99	470.31
Finance Costs (net)	36	3,333.50	4,094.78
Depreciation and Amortisation Expense	4.1, 4.2 and 4.4	3,303.68	3,117.54
Other Expenses	37	1,944.05	1,476.17
Total Expenses		35,365.82	25,109.34
Profit before tax and Deferred tax (adjustable) / recoverable from future tariff		7,674.70	6,577.13
Tax (Credit) / Expenses			
Current Tax	38	0.58	768.34
Tax (credit) adjusted relating to earlier years	38 and 66	(768.18)	(0.11)
Deferred Tax (credit) / Charge (including ₹2,303.87 Crores adjustment relating to earlier years (Previous year ₹ Nil))	38 and 66	(2,499.77)	976.57
Total Tax (Credit) / Expenses		(3,267.37)	1,744.80
Add : Deferred tax (adjustable) / recoverable from future tariff (net of tax)	66	(215.43)	79.25
Profit for the year		10,726.64	4,911.58
Other Comprehensive Income			
(a) Items that will not be reclassified to profit or loss in subsequent periods			
Remeasurement (loss) on defined benefit plan	59	(5.90)	(10.73)
Income tax impact	23	-	0.78
Net Gain on sale of Investment classified at Fair Value through Other Comprehensive Income ("FVTOCI")		-	26.94
Income tax impact		-	-
Other comprehensive (loss) / Income that will not be reclassified to profit or loss in subsequent periods		(5.90)	16.99
(b) Items that will be reclassified to Profit or Loss in subsequent periods			
Net movement on Effective portion of Cash Flow Hedges		39.64	26.64
Income tax impact		-	-
Other comprehensive Income that will be reclassified to profit or loss in subsequent periods		39.64	26.64
Other Comprehensive Income for the year, net of tax (a+b)		33.74	43.63
Total Comprehensive Income for the year, net of tax		10,760.38	4,955.21
Net Income for the year attributable to:			
Equity holders of the parent		10,726.64	4,911.58
Non - Controlling interest		*	*
Other Comprehensive Income for the year attributable to:			
Equity holders of the parent		33.74	43.63
Non - Controlling interest		-	-
Total Comprehensive Income for the year attributable to:			
Equity holders of the parent		10,760.38	4,955.21
Non - Controlling interest		*	*
Earnings Per Share (EPS)			
Basic and diluted, computed on the basis of profit for the year attributable to equity holders of the Parent Company (₹) (Face Value ₹10 Per Share)	39	24.57	9.63

(Figures below ₹50,000 are denominated with *)

The accompanying notes are an integral part of these Consolidated financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL
PARTNER
Membership No. 093669

GAUTAM S. ADANI
CHAIRMAN
DIN : 00006273

S. B. KHYALIA
CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA
COMPANY SECRETARY

ANIL SARDANA
MANAGING DIRECTOR
DIN : 00006867

SHAILESH SAWA
CHIEF FINANCIAL OFFICER

Place : Ahmedabad
Date : 5th May, 2023

Place : Ahmedabad
Date : 5th May, 2023

Consolidated Statement of Changes in equity

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Other Equity														
	Equity Share Capital			Unsecured Perpetual Securities	Reserves and Surplus						Other Comprehensive Income (OCI)			Non - Controlling Interests	Total Equity
	No. of Shares	Amount			Deemed Equity Contribution	Capital Reserve	Securities Premium	General Reserve	Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	Retained Earnings	Effective portion of Cash Flow Hedges	Equity instruments through OCI	Total other equity attributable to equity holders of the parent		
Balance as at 1st April, 2021	3,85,69,38,941	3,856.94		Amount 12,615.00	Amount 1,772.93	Amount 1,389.40	Amount 7,409.83	Amount 9.04	Amount -	Amount (13,921.23)	Amount (19.32)	Amount -	Amount (3,359.35)	Amount 0.01	
Profit for the year	-	-		-	-	-	-	-	-	4,911.58	-	-	-	*	4,911.58
Other Comprehensive Income for the year										(9.95)			(9.95)	-	(9.95)
Remeasurement (loss) on defined benefit plan, net of tax	-	-		-	-	-	-	-	-						
Net gain on sale of Investment classified at FVTOCI, net of tax	-	-		-	-	-	-	-	-	-	-	26.94	26.94	-	26.94
Net gain on Effective portion of Cash Flow Hedges, net of tax	-	-		-	-	-	-	-	-	-	26.64	-	26.64	-	26.64
Total comprehensive Income for the year	-	-		-	-	-	-	-	-	4,901.63	26.64	26.94	4,955.21	*	4,955.21
Equity Component of Non-cumulative Compulsory Redeemable Preference Shares issued during the year (Refer Note 64)	-	-		-	-		-	-	246.55	-	-	-	246.55	-	246.55
Addition on account of acquisition of Subsidiary (Refer note 42)	-	-		-	-	378.92	-	-		-	-		378.92	-	378.92
Gain on sale of Compulsory Convertible Preference Shares (CCPS) transferred to Retained Earnings	-	-		-	-	-	-	-	-	26.94	-	(26.94)	-	-	-
Unsecured Perpetual Securities (Refer note 17)															
Issued during the year	-	-		600.00	-	-	-	-	-	-	-	-	-	-	600.00
Distribution to holders of Unsecured Perpetual Securities	-	-		-	-	-	-	-	-	(589.83)	-	-	(589.83)	-	(589.83)
Balance as at 31st March, 2022	3,85,69,38,941	3,856.94		13,215.00	1,772.93	1,768.32	7,409.83	9.04	246.55	(9,582.49)	7.32	-	1,631.50	*	18,703.44
Balance as at 1st April, 2022	3,85,69,38,941	3,856.94		13,215.00	1,772.93	1,768.32	7,409.83	9.04	246.55	(9,582.49)	7.32	-	1,631.50	*	18,703.44

Consolidated Statement of Changes in equity

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	Equity Share Capital	Unsecured Perpetual Securities	Other Equity						Total other equity attributable to equity holders of the parent	Non - Controlling Interests	Total Equity
			Reserves and Surplus			Other Comprehensive Income (OCI)					
			Capital Reserve	Securities Premium	General Reserve	Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	Retained Earnings	Effective portion of Cash Flow Hedges			
Profit for the year	-	-	-	-	-	-	10,726.64	-	10,726.64	*	10,726.64
Other Comprehensive Income for the year											
Remeasurement (loss) on defined benefit plan, net of tax	-	-	-	-	-	-	-	(5.90)	(5.90)	-	(5.90)
Net gain on Effective portion of Cash Flow Hedges, net of tax	-	-	-	-	-	-	-	-	39.64	-	39.64
Total comprehensive Income for the year	-	-	-	-	-	-	-	10,720.74	39.64	-	10,760.38
External Commercial Borrowing (ECB) liability written back (Refer note 19(4))	-	-	1,073.01	-	-	-	-	-	1,073.01	-	1,073.01
Unsecured Perpetual Securities (Refer note 17)											
Issued during the year	-	566.49 (566.49)	-	-	-	-	-	-	-	-	566.49 (566.49)
Settled on account of disposal of subsidiary (Refer note 32(vi))	-	-	-	-	-	-	-	(661.17)	(661.17)	-	(661.17)
Distribution to holders of Unsecured Perpetual Securities	-	-	-	-	-	-	-	-	-	-	-
Balance as at 31st March, 2023	3,85,69,38,941	13,215.00	2,845.94	1,768.32	7,409.83	9.04	246.55	477.08	46.96	-	12,803.72
										*	29,875.66

*Net loss for the year of ₹103.81 Crores (Previous year net gain of ₹77.37 Crores) was recycled from cash flow hedge reserve to statement of profit and loss. The accompanying notes are an integral part of these Consolidated financial statements.

For and on behalf of the Board of Directors

As per our report of even date

For S R B C & CO LLP

Firm Registration No. : 324982E/E3000003

Chartered Accountants

per SANTOSH AGARWAL
PARTNER
Membership No. 093669

GAUTAM S. ADANI
CHAIRMAN
DIN : 00006273

S. B. KHYALIA
CHIEF EXECUTIVE OFFICER

DEEPAK S PANDYA
COMPANY SECRETARY

ANIL SARDANA
MANAGING DIRECTOR
DIN : 00006867

SHAILESH SAWA
CHIEF FINANCIAL OFFICER

Place : Ahmedabad
Date : 5th May, 2023

Place : Ahmedabad
Date : 5th May, 2023

Consolidated Statement of Cash Flows

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
(A) Cash flow from operating activities		
Profit before tax	7,674.70	6,577.13
Adjustments to reconcile profit before tax to net cash flows:		
Depreciation and Amortisation Expense	3,303.68	3,117.54
Unrealised Foreign Exchange Fluctuation Loss (net)	101.61	61.55
Income from Mutual Funds	(13.10)	(0.83)
Loss on Property, Plant and Equipment Sold / Retired (net)	51.68	67.25
Amortised Government Grant Income	(304.06)	(304.06)
Liabilities no Longer Required Written Back	(41.37)	(21.82)
Gain on sale of Investment	(694.45)	-
Finance Costs	3,333.50	4,094.78
Interest income	(3,607.19)	(3,558.27)
Derecognition of Mine retirement obligation	-	39.44
Stores and Spares provided for	12.13	79.33
Bad debts, capital expenditure / sundry balance written off / provided for	42.65	0.42
Operating profit before working capital changes	9,859.78	10,152.46
Changes in working capital:		
(Increase) in Inventories	(829.06)	(262.29)
(Increase) / Decrease in Trade Receivables	(2,995.25)	980.98
(Increase) in Other Financial Assets	(51.20)	(215.37)
(Increase) in Other Assets	(233.11)	(358.75)
(Decrease) in Trade Payables	(423.16)	(368.06)
Increase in Other Financial Liabilities	414.57	140.95
Increase in Other Liabilities and Provisions	2,766.61	387.15
	(1,350.60)	304.61
Cash flows from operation activities	8,509.18	10,457.07
Less : Income tax (Paid) / Tax deducted at sources (net)	(78.65)	(224.34)
Net cash flows from operating activities (A)	8,430.53	10,232.73
(B) Cash flow from investing activities		
Capital expenditure on payment towards Property, Plant and Equipment, including capital advances and capital work-in-progress and intangible assets	(3,243.68)	(3,434.55)
Proceeds from Sale of Property, Plant and Equipment	0.83	1.24
Payment towards investment in Optionally Convertible Debenture of Others	(42.50)	-
Payment towards acquisition of subsidiaries	(727.16)	(1.00)
Payment towards Current investments (net)	(415.20)	(162.32)
Receipt against disposal of subsidiary	988.90	-
Bank / Margin Money Deposits withdrawn / (placed) (net)	151.07	(214.85)
Proceeds from Loans given to related party	4.83	0.99
Proceeds from sale of investment in Compulsory Convertible Preference Shares	-	81.54
Interest received (including carrying cost)	4,827.34	4,301.06
Net cash flows from investing activities (B)	1,544.43	572.11
(C) Cash flow from financing activities		
Payment of principal portion of lease liabilities	(5.83)	(5.95)
Proceeds from Non-current borrowings	21,205.41	13,332.16
Repayment of Non-current borrowings	(26,948.43)	(17,896.16)
(Repayment) of Current borrowings (net)	(1,200.05)	(1,831.58)
Proceeds from issue of Unsecured Perpetual Securities	566.49	600.00
Distribution to holders of Unsecured Perpetual Securities	(661.17)	(589.83)
Finance Costs Paid (Including interest on lease obligations)	(3,364.88)	(3,946.50)
Net cash (used in) financing activities (C)	(10,408.46)	(10,337.86)
Net (Decrease) / Increase in cash and cash equivalents (A)+(B)+(C)	(433.50)	466.98
Addition on acquisition of subsidiaries (Refer note 32(vi), 42 and 67)	0.36	202.35
Cash and cash equivalents at the beginning of the year	782.37	113.04
Cash and cash equivalents at the end of the year	349.23	782.37

Consolidated Statement of Cash Flows

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Notes to Cash flow Statement :		
Cash and cash equivalents as per above comprise of the following :		
Cash and cash equivalents (Refer note 11)	349.23	782.37
Balances as per statement of cash flows	349.23	782.37

Notes:

- Interest accrued of ₹436.64 Crores (Previous year ₹453.07 Crores) on Inter Corporate Deposit ("ICD") taken from related parties and others, have been converted to the ICD balances as on reporting date in terms of the Contract.
- The Cash Flow Statement has been prepared under the 'Indirect Method' set out in Ind AS 7 'Statement of Cash Flows'.
- Disclosure of changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes, are given below:

Particulars	As at 1st April, 2022	Net Cash Flows	Changes in fair values / Accruals	Unrealised Foreign exchange fluctuation	Customers' bills discounting	Addition on account of acquisition of subsidiary	Others *	As at 31st March, 2023
Non-current borrowings (including current maturities)	41,555.31	(5,743.02)	170.39	(163.30)	-	805.94	(44.85)	36,580.47
Current borrowings	7,240.37	(1,200.05)	-	(11.90)	192.50	-	(549.34)	5,671.58
Interest accrued	31.54	(2,494.57)	3,030.75	-	-	-	(481.02)	86.70
Leases Liabilities	102.75	(14.68)	9.41	-	-	-	-	97.48
	48,929.97	(9,452.32)	3,210.55	(175.20)	192.50	805.94	(1,075.21)	42,436.23

Particulars	As at 1st April, 2021	Net Cash Flows	Changes in fair values / Accruals	Unrealised Foreign exchange fluctuation	Customers' bills discounting	Addition on account of acquisition of subsidiary***	Others **	As at 31st March, 2022
Non-current borrowings (including current maturities)	42,727.95	(4,564.00)	33.65	(80.11)	-	3,291.90	145.92	41,555.31
Current borrowings	9,683.32	(1,831.58)	-	12.55	(663.50)	-	39.58	7,240.37
Interest accrued	64.81	(3,360.04)	3,862.27	-	-	-	(535.50)	31.54
Leases Liabilities	107.41	(15.26)	10.60	-	-	-	-	102.75
	52,583.49	(9,770.88)	3,906.52	(67.56)	(663.50)	3,291.90	(350.00)	48,929.97

* Others mainly include impact of loan waiver of ₹1,073.01 Crores. (Refer note 19(4))

** Others mainly include non cash transaction of equity component of Non-cumulative Compulsory Redeemable Preference Shares (NCRPS) of ₹246.55 Crores.

*** Includes net amount after elimination of Optionally Convertible debentures of ₹118.70 Crores.

The accompanying notes are an integral part of these Consolidated financial statements.

As per our report of even date

For and on behalf of the Board of Directors

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

per SANTOSH AGARWAL
PARTNER
Membership No. 093669

GAUTAM S. ADANI
CHAIRMAN
DIN : 00006273

ANIL SARDANA
MANAGING DIRECTOR
DIN : 00006867

S. B. KHYALIA
CHIEF EXECUTIVE OFFICER

SHAILESH SAWA
CHIEF FINANCIAL OFFICER

DEEPAK S PANDYA
COMPANY SECRETARY

Place : Ahmedabad
Date : 5th May, 2023

Place : Ahmedabad
Date : 5th May, 2023

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

1 Corporate information

Adani Power Limited (the "Company" or "APL") is a public company domiciled in India and is incorporated under the provisions of the Companies Act, applicable in India having its registered office at "Adani Corporate House", Shantigram, Near Vaishno Devi Circle, S. G. Highway, Khodiyar, Ahmedabad-382421, Gujarat, India. Its shares are listed on two recognised stock exchanges in India.

The Company, together with its subsidiaries, currently has multiple power projects located at various locations with a combined installed and commissioned capacity of 14,450 MW and another 800 MW under commissioning as of year end. The parent company, Adani Power Limited and the subsidiaries (together referred to as "the Group") sell power generated from these projects under a combination of long term Power Purchase Agreements ("PPA"), Medium term PPA, Short term PPA and on merchant basis and also engaged in trading, investment and other business activities. Information on the Group's structure is provided in Note 40.

As at 31st March, 2023, S. B. Adani Family Trust ("SBAFT") together with entities controlled by it, has the ability to control the Group. The Group gets synergetic benefit of the integrated value chain of Adani group.

The consolidated financial statements were approved for issue in accordance with a resolution of the directors on 5th May, 2023.

2 Significant accounting policies

2.1 Basis of preparation

The consolidated financial statements of the Group have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 (as amended) read with section 133 of Companies Act, 2013 and presentation requirements of Division II of schedule III to the Companies Act, 2013 (Ind AS compliant Schedule III), on the historical cost basis except for certain financial instruments that are measured at fair values, as explained in the accounting policies below.

The Group's consolidated financial statements are presented in INR (₹), which is also the parent company's functional currency and all values are rounded to the nearest Crores, except when otherwise indicated.

2.2 Basis of consolidation

a Subsidiaries

The consolidated financial statements incorporate the financial statements of the Company and its subsidiaries, being the entities controlled by it as at 31st March, 2023. Control is achieved when the Company:

- has power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect its returns.

The Company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

When the Company has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Company considers all relevant facts and circumstances in assessing whether or not the Company's voting rights in an investee are sufficient to give it power, including:

- the size of the Company's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the Company, other vote holders or other parties;

- rights arising from other contractual arrangements; and
- The contractual arrangement with the other vote holders of the investee.

Consolidation of a subsidiary begins when the Company obtains control over the subsidiary and ceases when the Company loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statement of profit and loss from the date the Company gains control until the date when the Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income or loss are attributed to the owners of the Company and to the non-controlling interests. Total comprehensive income or loss of subsidiaries is attributed to the owners of the Company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. If a member of the Group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to that Group member's financial statements in preparing the consolidated financial statements to ensure conformity with the Group's accounting policies.

The financial statements of all entities used for the purpose of consolidation are drawn up to same reporting date as that of the parent company, i.e. year ended on 31 March.

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

Changes in the Group's ownership interests in existing subsidiaries

Changes in the Group's ownership interests in subsidiaries that do not result in the Group's losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the Group's interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to owners of the Company.

When the Group loses control of a subsidiary, a gain or loss is recognised in profit or loss and is calculated as the difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest and (ii) the previous carrying amount of the assets (including goodwill), and liabilities of the subsidiary and any non-controlling interests. All amounts previously recognised in other comprehensive income in relation to that subsidiary are accounted for as if the Group had directly disposed of the related assets or liabilities of the subsidiary (i.e. reclassified to profit or loss or transferred to another category of equity as specified/permitted by applicable Ind AS).

2.3 Summary of significant accounting policies

a Property, plant and equipment

Property, plant and equipment are stated at original cost grossed up with the amount of tax / duty benefits availed, less accumulated depreciation and accumulated impairment losses, if any. Other Indirect expenses relating to the project activities, incurred during the project development period, net of income earned during the period till commercial operation date of the project, are recorded as indirect project expenses and disclosed as a part of Capital Work-in-Progress. Properties / projects in the course of construction are carried at cost, less any recognised impairment losses. All costs, including borrowing costs incurred up to the date the asset is ready for its intended use, is capitalised along with respective asset. Capital work in progress is stated at cost, net of accumulated impairment loss, if any.

When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

Items of stores and spares that meet the definition of property, plant and equipment are capitalized at cost and depreciated over their useful life.

In respect of Power Plants covered under part A of Schedule II to the Companies Act, 2013, depreciation is recognised based on the cost of assets (other than freehold land) less their residual values over their useful lives, using the straight-line method in the statement of profit and loss unless such expenditure forms part of carrying value of another asset. The useful life of property, plant and equipment is considered based on life prescribed in schedule II to the Companies Act, 2013 except in case of power plant assets, where the life has been estimated at 25 years based on technical assessment, taking into account, the estimated usage of the assets and the current operating condition of the assets. The management believes that these estimated useful lives are realistic and reflect fair approximation of the period over which the assets are likely to be used. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Major inspection / overhauling including turnaround and maintenance cost are depreciated over the period of 5 years. All other repair and maintenance costs are recognised in statement of profit and loss as incurred.

Assets class wise useful life of the assets are mentioned below :

Assets Class	For all power plants other than udupi thermal power plant ("Udupi TPP") (In years)
Land - Freehold	N.A
Right-of-Use Assets - over the lease term	3 to 99
Buildings	1 to 60
Plant and Equipment	3 to 25
Furniture and Fixtures	1 to 10
Railway Sidings	5 to 15
Computer Hardware	3 to 6
Office Equipments	3 to 5
Vehicles	1 to 25

In respect of Power Plant covered under part B of Schedule II to the Companies Act, 2013, depreciation is recognised based on the cost of assets (other than freehold land) at the rates as well as methodology notified by the Central Electricity Regulatory Commission ("CERC") (Terms and Conditions of Tariff) Regulations, 2019 in the statement of profit and loss unless such expenditure forms part of carrying value of another asset under construction. In case of assets with useful life lesser than the project life, the useful life of these assets has been considered for the purpose of calculation of depreciation as per the provisions of the Companies Act, 2013 and subsequent amendments thereto.

In case of Udupi TPP, assets class wise depreciation rates are mentioned below:

Assets Class	For Udupi TPP (In %)
Land - Freehold	N.A
Right-of-Use Assets - over the lease term	5.00 to 20.00
Buildings	3.34 to 25.00
Plant and Equipment	5.28 to 20.00
Furniture and Fixtures	6.33 to 60.00
Railway Sidings	N.A
Computer Hardware	15.00
Office Equipments	6.33 to 60.00
Vehicles	9.50

Payments / provision towards compensation, rehabilitation and resettlement (R & R) activities and other

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

expenses relating to land in possession are treated as cost of land. Provision for R&R costs are provided at the present value of expected costs to settle the obligation using estimated cash flows and are recognised as part of the cost of the land. The cash flows are discounted at a current pre-tax rate that reflects the risks specific to the R&R liability. The unwinding of the discount as well as payments made/adjustments is expensed as incurred cost and recognised in the statement of profit and loss. The estimated future costs of R&R are reviewed annually and adjusted as appropriate.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in statement of profit and loss.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to profit or loss during the reporting period in which they are incurred. Subsequent costs are depreciated over the residual life of the respective assets. The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

b Intangible assets

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and any accumulated impairment losses, if any. Amortisation is recognised on a straight-line basis over their estimated useful lives in the statement of profit and loss unless such expenditure forms part of carrying value of another asset. The Group has intangible assets in the nature of Computer software having useful life of 5 years. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. An intangible asset is derecognised on disposal, or when no future economic benefits are expected from its use or disposal.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit and loss when the asset is derecognised.

c Investment properties

Recognition and initial measurement

Investment properties are held to earn rentals or for capital appreciation, or both. Investment properties are measured initially at their cost of acquisition. The cost comprises purchase price, borrowing cost if capitalization criteria are met and directly attributable cost of bringing the asset to its working condition for the intended use. Any trade discount and rebates are deducted in arriving at the purchase price. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group. All other repair and maintenance costs are recognised in statement of profit and loss as incurred.

Though the Group measures investment property using cost-based measurement, the fair value of investment property is disclosed in the notes. Fair values are determined based on an annual valuation performed by an accredited external independent valuer who holds a recognised and relevant professional qualification and has recent experience in the location and category of the investment property being valued.

Subsequent measurement (depreciation and useful lives)

Depreciation on investment properties is provided on the straight-line method, computed on the basis of useful lives prescribed in Schedule II to the Companies Act, 2013. In case of leasehold properties, the same is depreciated over the lease period.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

De-recognition

Investment properties are derecognised either when they have been disposed of or when they are permanently withdrawn from use and no future economic benefit is expected from their disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognised as other operating income in statement of profit and loss in the period of de-recognition.

Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the asset is available for immediate sale in its present condition and the sale is highly probable. Management must be committed to the sale which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Property, plant and equipment and intangible assets are not depreciated or amortised once classified as asset held for sale. Assets classified as held for sale are presented separately from other items in the balance sheet.

Non-current assets classified as held for sale are measured at the lower of their carrying amount and their fair value less costs to sell.

e Current versus non-current classification

The Group presents assets and liabilities in the balance sheet based on current/ non-current classification. An asset is treated as current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

The Group classifies all other assets as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The group has identified twelve months as its operating cycle.

f Financial Instruments

A Financial Instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in consolidated statement of profit and loss.

g Financial assets

Initial recognition and measurement

All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis i.e. the date that the Group commits to purchase or sell the assets. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within a timeframe established by regulation or convention in the market place (regular way trades).

Subsequent measurement

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification of Financial assets

Financial assets measured at amortised cost

Financial assets that meet the following conditions are subsequently measured at amortised cost using effective interest method ("EIR") (except for debt instruments that are designated as at fair value through profit or loss on initial recognition):

- the asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and
- Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

The effective interest method is a method of calculating the amortised cost of financial assets and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and transaction costs and other premiums or discounts) through the expected life of the financial assets, or where appropriate, a shorter period, to the net carrying amount on initial recognition.

Interest is recognised on an effective interest basis for debt instruments other than those financial assets classified as at Fair Value through Profit and Loss (FVTPL).

Financial assets at fair value through other comprehensive income (FVTOCI)

Financial assets that meet the following conditions are measured initially as well as at the end of each reporting date at fair value, recognised in other comprehensive income (OCI).

- a) The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and
- b) The contractual terms of the asset that give rise on specified dates to cash flows that represent solely payment of principal and interest.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

Financial assets at fair value through profit or loss (FVTPL)

Financial assets that do not meet the amortised cost criteria or FVTOCI criteria are measured at FVTPL.

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any gains or losses arising on remeasurement recognised in statement of profit or loss. The net gain or loss recognised in statement of profit and loss incorporates any dividend or interest earned on the financial asset.

Reclassification of Financials Assets

The Group determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. A change in the business model occurs when the Group either begins or ceases to perform an activity that is significant to its operations. If the Group reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Group does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

Impairment of Financials Assets

The Company applies the expected credit loss model for recognising impairment loss on financial assets measured at amortised cost, trade receivables and other contractual rights to receive cash or other financial asset.

Expected credit loss is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive (i.e. all cash shortfalls), discounted at the original effective interest rate. The Company estimates cash flows by considering all contractual terms of the financial instrument through the expected life of that financial instrument.

The Company measures the loss allowance for a financial instrument at an amount equal to the lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition.

Derecognition of financial assets

The Group derecognizes a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party or when it has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognised in consolidated other comprehensive income and accumulated in equity, is recognised in statement of profit and loss if such gain or loss would have otherwise been recognised in the statement of profit and loss on disposal of that financial asset.

h Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments issued by the Group are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Group are recognised at the proceeds received, net of direct issue costs.

Unsecured Perpetual Securities

Unsecured perpetual securities ("securities") are the securities with no fixed maturity or redemption and the same are callable only at the option of issuer. These securities are ranked senior only to the equity share capital of the Company and the issuer does not have any redemption obligation hence these securities are recognised as equity as per Ind AS 32.

Financial liabilities

Initial recognition and measurement

All financial liabilities are recognised initially at fair value and in the case of financial liabilities at amortised cost, net of directly attributable transaction costs.

Subsequent Measurement

All financial liabilities are measured at amortised cost using the effective interest method or at FVTPL.

Classification of Financial liabilities

Financial liabilities at fair value through profit or loss (FVTPL)

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as FVTPL. Financial liabilities are classified as held for trading if these are incurred for the purpose of repurchasing in the near term.

Financial liabilities at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in statement of profit or loss. The net gain or loss recognised in profit or loss incorporates any interest paid on the financial liability.

Fair values are determined in the manner described in note 'o'.

Financial liabilities measured at amortised cost

Financial liabilities that are not held-for-trading and are not designated as at FVTPL are measured at amortised cost at the end of subsequent accounting periods. The carrying amounts of financial liabilities that are subsequently measured at amortised cost are determined based on the effective interest method. Interest expense that is not capitalised as part of costs of an asset is included in the 'Finance costs' line item in consolidated statement of profit and loss.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and costs paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

Trade and other payables are recognised at the transaction cost, which is its fair value, and subsequently measured at amortised cost. Similarly, interest bearing loans, trade credits and borrowings are subsequently measured at amortised cost using effective interest rate method. Further, trade credits include Buyer's credit, Foreign Letter of Credit and Inland Letter of Credit.

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or have expired. An exchange with a lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, a substantial modification of the terms of an existing financial liability is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and

the consideration paid / payable is recognised in the statement of profit and loss. In case of derecognition of financial liabilities relating to promoters contribution, the difference between the carrying amount of the financial liability derecognised and the consideration paid / payable is recognised in other equity.

i **Derivative financial instruments**

The Group enters into a variety of derivative financial instruments to manage its exposure to interest rate and foreign exchange rate risks as borrowings / purchase, including foreign exchange forward contracts, interest rate swaps and cross currency swaps, Principal only Swap, coupon only swap etc. Further details of derivatives financial instruments are disclosed in note 53.

Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in profit or loss immediately, except for the effective portion of cash flow hedges, which is recognised in OCI and later reclassified to profit or loss.

Embedded derivatives

Derivatives embedded in non-derivative host contracts that are not financial assets within the scope of Ind AS 109 "Financial Instruments" except for the effective portion of cash flow hedges are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts and the host contracts are not measured at FVTPL. These embedded derivatives are measured at fair value with changes in fair value recognised in profit and loss.

Reassessment only occurs if there is either a change in the terms of the contract that significantly modifies the cash flows that would otherwise be required or a reclassification of a financial asset out of the fair value through profit or loss category.

j **Hedge Accounting**

The Group designates certain hedging instruments, which mainly includes derivatives in respect of foreign currency risk, as cash flow hedges. To qualify for hedge accounting, the hedging relationship must meet all of the following requirements :

- there is an economic relationship between the hedged items and the hedging instruments,
- the effect of credit risk does not dominate the value changes that result from that economic relationship,
- the hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the entity actually hedges and the quantity of the hedging instrument that the entity actually uses to hedge that quantity of hedged item.

At the inception of the hedge relationship, the Group documents the relationship between the hedging instrument and hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Group documents whether the hedging instrument is highly effective in offsetting changes in fair value or cash flows of the hedged item attributable to the hedged risk.

Cash flow hedges

Changes in the fair value of derivatives / hedging instruments that are designated and qualify as cash flow hedges are deferred in the "Cash Flow Hedge Reserve".

The effective portion of the gain or loss on the hedging instrument is recognised in OCI while any ineffective portion is recognised immediately in the statement of profit and loss. The Effective portion of cash flow hedges is adjusted to the lower of the cumulative gain or loss on the hedging instrument and the cumulative change in fair value of the hedged item. The Group uses forward currency contracts as hedges of its exposure to foreign currency risk in forecast transactions and firm commitments. The ineffective portion relating to foreign currency contracts is recognised in finance costs.

The Group designates only the spot element of a forward contract as a hedging instrument. The forward

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element is recognised in OCI.

The amounts accumulated in OCI are accounted for, depending on the nature of the underlying hedged transaction. If the hedged transaction subsequently results in the recognition of a non-financial item, the amount accumulated in equity is removed from the separate component of equity and included in the initial cost or other carrying amount of the hedged asset or liability.

For any other cash flow hedges, the amount accumulated in OCI is reclassified to profit or loss as reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

k Inventories

Inventories are stated at the lower of cost or net realisable value after providing for obsolescence and other losses where considered necessary. Costs include all non-refundable duties and all charges incurred in bringing the goods to their present location and condition. Cost is determined on First in First out (FIFO) for coal inventory and on weighted average basis for other than coal inventory. Net realisable value represents the estimated selling price for inventories less all estimated costs necessary to make the sale.

l Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Group's cash management.

m Business combinations and Goodwill

Acquisitions of business are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition date fair values of the assets transferred by the Group, liabilities incurred by the Group to the former owners of the acquiree and the equity interest issued by the Group in exchange of control of the acquiree. Acquisition related costs are recognised in profit and loss as incurred.

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination and the control is not transitory. The transactions between entities under common control are specifically covered by Ind AS 103. Such transactions are accounted for using the pooling-of-interest method. The assets and liabilities of the acquired entity are recognised at their carrying amounts of the Company's financial statements. No adjustments are made to reflect fair values or recognise any new assets or liabilities. The components of equity of the acquired companies are added to the same components within the Company's equity. The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves. The Company's shares issued in consideration for the acquired companies are recognized from the moment the acquired companies are included in these financial statements and the financial statements of the commonly controlled entities would be combined, retrospectively, as if the transaction had occurred at the beginning of the earliest reporting period presented.

Purchase consideration paid in excess / shortfall of the fair value of identifiable assets and liabilities including contingent liabilities and contingent assets, is recognised as goodwill / capital reserve respectively, except in case where different accounting treatment is specified in the court approved scheme.

Deferred tax assets or liabilities, and liabilities or assets related to employee benefits arrangements

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are recognised and measured in accordance with Ind AS 12 "Income Taxes" and Ind AS 19 "Employee Benefits" respectively.

Potential tax effects of temporary differences and carry forwards of an acquiree that exist at the acquisition date or arise as a result of the acquisition are accounted in accordance with Ind AS 12.

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the Group's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit to which goodwill has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in profit or loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

n Foreign currency translations

In preparing the financial statements of the Group, transactions in currencies other than the entity's functional currency are recognised at the rate of exchange prevailing at the date of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences on monetary items are recognised in profit and loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

The Group has elected to continue the policy adopted for accounting for exchange differences arising from translation of long-term foreign currency monetary items outstanding and recognised in the financial statements for the period ending immediately before the beginning of the first Ind AS financial reporting period i.e. 31st March, 2016 as per the previous GAAP.

o Fair value measurement

The Group measures financial instruments, such as, derivatives and mutual funds at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Group takes into account the characteristics of the asset or liability at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the financial asset or settle the financial liability takes place either:

- In the principal market, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic

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best interest.

The Group's management determines the policies and procedures for both recurring fair value measurement, such as derivative instruments and unquoted financial assets measured at fair value.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

External valuers are involved for valuation of significant assets, such as unquoted financial assets and financial liabilities and derivatives.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

p Government grants

The Group recognises government grants only when there is reasonable assurance that the conditions attached to them will be complied with, and the grants will be received. Where Government grants relates to non-monetary assets, the cost of assets are presented at gross value and grant significantly complied thereon is recognised as income in the statement of profit and loss over the useful life of the related assets in proportion in which depreciation is charged.

Grants related to income are recognised in the statement of profit and loss in the same period as the related cost which they are intended to compensate are accounted for.

q Contract Balances

Contract assets

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Company performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognised for the earned consideration that is conditional. Contract assets are subject to impairment assessment.

Trade receivables

A receivable represents the Group's right to an amount of consideration that is unconditional i.e. only the passage of time is required before payment of consideration is due and the amount is billable. (Refer note 3(vii))

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group

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has received consideration from the customer. Contract liabilities are recognised as revenue when the Group performs obligations under the contract.

r Revenue recognition

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services.

Revenue is measured based on the transaction price, which is the consideration, adjusted for discounts and other incentives, if any, as specified in the contract with the customer. Revenue also excludes taxes or other amounts collected from customers.

The disclosure of significant accounting judgements, estimates and assumptions relating to revenue from contracts with customers are provided in Note 3 (vi).

The specific recognition criteria described below must also be met before revenue is recognised.

i Revenue from Power Supply

The Group's contracts with customers for the sale of electricity generally include one performance obligation. The Group has concluded that revenue from sale of electricity should be recognised at the point in time when electricity is transferred to the customer.

Revenue from operations on account of Force Majeure / change in law events in terms of PPAs with customers (Power Distribution Utilities) is accounted for by the Group based on the orders / reports of Regulatory Authorities, best management estimates, wherever needed and reasonable certainty to expect ultimate collection.

In case of PPA under section 62 of Electricity Act, 2003, revenue from sale of power is recognised based on the most recent tariff order approved by the CERC, as modified by the orders of Appellate Tribunal for Electricity ("APTEL"), to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangements with the customers. Where the tariff rates are yet to be approved, provisional rates are adopted considering the applicable CERC Tariff Regulations.

ii) Sale of traded goods

Revenue from the sale of traded goods is recognised at the point in time when control of the goods is transferred to the customers, which generally coincides with the delivery of goods.

iii) Carrying cost in respect of claims for change in law of taxes and duties, additional cost incurred on procurement of alternative coal and on other claims are recognised upon approval by relevant regulatory authorities, best management estimates and based on reasonable certainty to expect ultimate collection.

iv) Interest income is recognised on time proportion basis at the effective interest rate ("EIR") applicable.

v) Dividend income from investments is recognised when the Group's right to receive payment is established.

vi) Late payment surcharge on delayed payment for power supply is recognised based on receipt / collection from customers or on acceptance / acknowledgement by the customers whichever is earlier.

s Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, that necessarily take a substantial period of time to get ready for their intended use or sale, are capitalised as part of the cost of the asset, until such time as the assets are substantially ready for their intended

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use or sale. Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred. Borrowing cost consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing cost.

t Employee benefits

i) Defined benefit plans:

The Group has obligations towards gratuity, a defined benefit retirement plan covering eligible employees (in some cases funded through Group Gratuity Scheme of Life Insurance Corporation of India). The Group accounts for the liability for the gratuity benefits payable in future based on an independent actuarial valuation carried out using Projected Unit Credit Method.

Defined benefit costs in the nature of current and past service cost and net interest expense or income are recognized in the statement of profit and loss in the period in which they occur. Remeasurement, comprising of actuarial gains and losses, the effect of changes to the asset ceiling (excluding amounts included in net interest or the net defined benefit liability) and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability) are recognised immediately in the balance sheet with corresponding debit or credit to retained earnings through OCI in the period in which it occurs. Remeasurement are not classified to statement of profit and loss in subsequent periods. Past service cost is recognised in statement of profit and loss in the period of a plan amendment.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Group recognises the following changes in the net defined benefit obligation as an expense in the consolidated statement of profit and loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements; and
- Net interest expense or income

ii) Defined contribution plan:

Retirement Benefits in the form of Provident Fund and Family Pension Fund which are defined contribution schemes are charged to the statement of profit and loss for the period in which the contributions to the respective funds accrue as per relevant statutes.

iii) Compensated Absences:

Provision for Compensated Absences and its classifications between current and non-current liabilities are based on independent actuarial valuation. The actuarial valuation is done as per the projected unit credit method as at the reporting date.

iv) Short term employee benefits:

These are recognised at an undiscounted amount in the Statement of Profit and Loss for the year in which the related services are rendered.

u Leases

The Group as lessor

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception of the lease. The arrangement is, or contains, a lease if fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the

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risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is generally recognised on a straight-line basis over the term of the relevant lease. Where the rentals are structured solely to increase in line with expected general inflation to compensate for the Company's expected inflationary cost increases, such increases are recognised in the year in which such benefits accrue. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight-line basis over the lease term.

The Group as lessee

The Group recognises right-of-use assets and lease liabilities for all leases except for short-term leases and leases of low-value assets. The Group records the lease liability at the present value of the lease payments discounted at the incremental borrowing rate at the date of initial application and right of use asset at an amount equal to the lease liability adjusted for any prepayments/accruals recognised in the balance sheet.

The Group also applied the available practical expedients wherein it:

- Used a single discount rate to a portfolio of leases with reasonably similar characteristics
- Relied on its assessment of whether leases are onerous immediately before the date of initial application
- Applied the short-term leases exemptions to leases with lease term that ends within 12 months at the date of initial application
- Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application
- Used hindsight in determining the lease term where the contract contains options to extend or terminate the lease

v Taxes on Income

Tax on Income comprises current tax and deferred tax. These are recognised in statement of profit and loss except to the extent that it relates to a business combination, or items recognised directly in equity or in other comprehensive income.

Current tax

Tax including Minimum Alternative Tax ("MAT") on income for the current period is determined on the basis of estimated taxable income and tax credits computed in accordance with the provisions of the relevant tax laws and based on the expected outcome of assessments / appeals. Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted, at the reporting date. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Current income tax relating to items recognised outside profit or loss is recognised outside profit or loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Minimum alternate tax (MAT) paid in a year is charged to the statement of profit and loss as current tax for the year. The deferred tax asset is recognised for MAT credit available only to the extent that it is probable that the Group will pay normal income tax during the specified period, i.e., the period for which MAT credit is allowed to be carried forward. In the year in which the Group recognizes MAT credit as an

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asset, it is created by way of credit to the statement of profit and loss and shown as part of deferred tax asset.

Deferred tax

Deferred tax is recognized for the future tax consequences of deductible temporary differences between the carrying values of assets and liabilities and their respective tax bases at the reporting date. Deferred tax liabilities are generally recognised for all taxable temporary differences except when the deferred tax liability arises at the time of transaction that affects neither the accounting profit or loss nor taxable profit or loss. Deferred tax assets are generally recognized for all deductible temporary differences, carry forward of unused tax credits and any unused tax losses, to the extent that it is probable that future taxable income will be available against which the deductible temporary differences and carry forward of unused tax credit and unused tax losses can be utilised, except when the deferred tax asset relating to temporary differences arising at the time of transaction affects neither the accounting profit or loss nor the taxable profit or loss. Deferred tax relating to items recognized outside the statement of profit and loss is recognized outside the statement of profit and loss, either in other comprehensive income or directly in equity. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax assets to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantially enacted by the end of the reporting period.

The Group offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on the same taxable entity which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

w Earnings per share

Basic earnings per share is computed by dividing the profit / (loss) after tax (net off distribution on Perpetual Securities whether declared or not) by the weighted average number of equity shares outstanding during the year. Diluted earnings per share is computed by dividing the profit / (loss) after tax (net off distribution on Perpetual Securities whether declared or not) as adjusted for the effects of dividend, interest and other charges relating to the dilutive potential equity shares by weighted average number of shares plus dilutive potential equity shares.

x Provisions, Contingent Liabilities and Contingent Assets

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of amount cannot be

made.

Contingent liabilities may arise from litigation, taxation and other claims against the Group. Where it is management's assessment that the outcome is uncertain or cannot be reliably quantified, the claims are disclosed as contingent liabilities unless the likelihood of an adverse outcome is remote.

Contingent assets are not recognised but are disclosed in the notes where an inflow of economic benefits is probable.

A contingent liability recognised in a business combination is initially measured at its fair value. Subsequently, it is measured at the higher of the amount that would be recognised in accordance with the requirements for provisions above or the amount initially recognised less, when appropriate, cumulative amortisation recognised in accordance with the requirements for revenue recognition.

y Impairment of non-financial assets

At the end of each reporting period, the Group reviews the carrying amounts of its non-financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset or cash-generating unit ("CGU") is estimated in order to determine the extent of the impairment loss (if any). When it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest Group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Goodwill is tested for impairment annually and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

The Group bases its impairment calculation on detailed budget and forecast calculations, which are prepared separately for each of the Group's cash-generating unit to which the individual assets are allocated. For longer periods, a long term growth rate is calculated and applied to project future cash flows. To estimate cash flow projections beyond periods covered by the most recent budget / forecasts, the Company estimates cash flow projections based on estimated growth rate.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the consolidated statement of profit and loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in statement of profit and loss.

z Mine Development Expenditure :

- i) Expenditure incurred towards coal mines under construction are capitalised to 'Coal Mines under construction' as long as they meet the capitalisation criteria and is presented as capital work-in-progress. Upon commencement of production stage, the 'Coal Mines under construction'

is capitalised and presented as 'Mining Rights' under Intangible Assets except in situation when the Company decide to surrender its rights in mine and amount is classified as recoverable from Nominated Authorities.

- ii) Mining Rights are amortised using unit-of-production method on the basis of proven and probable reserves on commencement of commercial production.

Mine Closure Obligations :

The liability for meeting the mine closure has been estimated based on the mine closure plan in the proportion of total area exploited to the total area of the mine as a whole. These costs are updated annually during the life of the mine to reflect the developments in mining activities. The mine closure obligations are included in Mining Rights under Intangible assets and amortised based on unit of production method.

3 Significant accounting judgements, estimates and assumptions

The preparation of the Group's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. The estimates and assumptions are based on historical experience and other factors that are considered to be relevant. The estimates and underlying assumptions are reviewed on an ongoing basis and any revisions thereto are recognised in the period of revision and future periods if the revision affects both the current and future periods. Uncertainties about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Key Sources of estimation uncertainty :

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. Existing circumstances and assumptions about future developments may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

i) Useful lives of property, plant and equipment

In case of the power plant assets, where the life of the assets has been estimated at 25 years based on technical assessment, taking into account, the estimated usage of the asset and the current operating condition of the asset, depreciation on the same is provided based on the useful life of each component based on technical assessment, if materially different from that of the main asset.

ii) Fair value measurement of financial instruments

In estimating the fair value of financial assets and financial liabilities, the Group uses market observable data to the extent available. Where such Level 1 inputs are not available, the Group establishes appropriate valuation techniques and inputs to the model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments. Information about the valuation techniques and inputs used in determining the fair value of various assets and liabilities are disclosed in note 58.

iii) Defined benefit plans (gratuity benefits)

The cost of the defined benefit gratuity plan and the present value of the gratuity obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and

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its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Information about the various estimates and assumptions made in determining the present value of defined benefit obligations are disclosed in note 59.

iv) Impairment of non financial assets

Determining whether property, plant and equipments and goodwill are impaired, it requires an estimation of the value in use of the relevant cash generating units. The value in use calculation is based on a Discounted Cash Flow model over the estimated useful life of the Power Plants. Further, the cash flow projections are based on estimates and assumptions relating to tariff, change in law claims, operational performance of the Plants, life extension plans, market prices of coal and other fuels, exchange variations, inflation, terminal value etc. which are considered reasonable by the Management. (Refer note 51).

v) Taxes

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies, including estimates of temporary differences reversing on account of available benefits under the Income Tax Act, 1961. Deferred tax assets is recognised to the extent of the corresponding deferred tax liability. (Also refer note 23).

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

vi) Income / Revenue

Revenue from Operations on account of Force Majeure / Change in Law events or Other Income on account of carrying cost in terms of Power Purchase Agreements with various State Power Distribution Utilities is accounted for / recognised by the Group based on best management estimates following principles of prudence, as per the orders / reports of Regulatory Authorities, and the outstanding receivables thereof in the books of account may be subject to adjustments on account of final orders of the respective Regulatory Authorities, Hon'ble Supreme Court of India ("Hon'ble Supreme Court") and final closure of the matters with the respective Discoms. (Refer note 32 and 33).

In certain cases, the Group has claimed compensation from the Discoms based on management's interpretation of the regulatory orders and various technical parameters, which are subject to final verification and confirmation by the respective Discoms, and hence, in these cases, the revenues have been recognised during various financial years / periods, on a prudent basis with conservative attributable parameters in the books. The necessary true-up adjustments for revenue claims (including carrying cost / delayed payment surcharge) are made in the books on final acknowledgement / regulatory orders / settlement of matters with respective Discoms or eventual recovery of the claims, whichever is earlier.

In case of Udupi TPP, Revenue from sale of power is recognised upon judgement by the management for recoverability of the claims based on the relevant contractual terms / provisional tariff rates as provided by the regulator / governing tariff regulations, to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangement with the customers, which may be subject to adjustments in future years, on receipt of final orders of the respective Regulatory Authorities or final closure of the matter with the customers. (Refer note 32 and 33).

vii) Classification of Trade Receivables :

In cases of circumstances / matters where there are pending litigations on regulatory matters / change in law claims, the classification of disputed / undisputed trade receivables is a matter of judgement based on facts and circumstances. The Group has evaluated the fact pattern and circumstances, including ongoing discussions with the Discoms, for each such regulatory matter pending to be adjudicated by the relevant authority.

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In cases, where rule of law and principles of economic restitution have already been established by APTEL / Supreme Court in similar matters, the revenues are recognised on prudent and conservative technical parameters, significant amounts have been recovered already and the management does not perceive any downside risks in future on final adjudication by Supreme Court and settlement of matter with Discoms, the related receivables are classified as undisputed.

In cases, where discussions with Discoms have not made reasonable progress and matters are sub-judice, the related receivables are classified as disputed, even though the management is reasonably confident of recovering the dues in full, backed by the regulatory orders in favour of the Group.

The management will continue to monitor the developments on regulatory claims.

viii) Mega Power Status :

One of the thermal power plant has availed exemption of customs / excise duty in pursuance to terms of the provisional mega power policy as notified by the Government of India. The Group has not recognised for the reduction in cost to property, plant and equipment as a grant, pending compliance of terms of Mega Power Status which needs to be attained within 156 months, from the date of import of plant and equipment as per approval by the Ministry of Power ("MoP"), Government of India vide amendment dated 7th April, 2022. The management is of the view that the Group will comply with the grant conditions within the specified time. The Group will recognise grant to the extent of the duty waiver availed in the year of receipt of final mega power status to said thermal power plant or corresponding liability if any on expiry of the time lines specified in the MoP approval.

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 51)

Description of Assets		Land - Freehold	Right-of-Use Assets (Refer note (ix) below)	Buildings	Plant and Equipment (Refer note (ii) below)	Furniture and Fixtures	Railway Sidings	Computer Hardware	Office Equipments	Vehicles	Total	Capital Work-In-Progress (Refer note (xiii) and (xiv) below)
I. Cost		873.89	695.36	1,724.83	66,252.06	33.52	473.91	38.57	56.48	23.09	70,171.71	6,439.42
Additions		1.42	97.20	37.98	185.80	3.51	-	8.19	14.43	2.82	351.35	4,149.63
Effect of foreign currency exchange differences Loss (net)		-	-	-	148.83	-	-	-	-	-	148.83	-
Transfer (out) / in		-	-	(187.93)	187.95	-	-	-	-	(0.02)	-	(55.57)
Disposals / Discarded / Adjustments		-	-	(113.33)	0.31	(1.26)	(0.14)	(1.67)	(2.20)	(1.35)	(119.64)	(263.74)
Additions on account of acquisition of subsidiary (Refer note 42)		141.87	35.30	171.86	2,817.37	0.32	5.15	0.27	0.40	0.13	3,172.67	-
Balance as at 31st March, 2022		1,017.18	827.86	1,633.41	69,592.32	36.09	478.92	45.36	69.11	24.67	73,724.92	10,269.74
Additions		68.21	86.29	267.70	211.59	4.55	1.56	17.61	22.22	10.44	690.17	3,227.13
Effect of foreign currency exchange differences Loss (net)		-	-	-	108.14	-	-	-	-	-	108.14	-
Transfer (out) / in		-	-	-	(0.50)	-	-	-	-	0.50	-	-
Disposals / Discarded / Adjustments		-	-	(1.42)	(119.34)	(5.34)	-	(4.07)	(5.66)	(2.53)	(138.36)	(617.33)
Balance as at 31st March, 2023		1,085.39	914.15	1,899.69	69,793.21	35.30	480.48	58.90	85.67	32.08	74,384.87	12,879.54
II. Accumulated depreciation and amortisation												
Balance as at 1st April, 2021		-	46.68	73.61	17,125.53	18.31	254.57	23.91	40.77	13.09	17,596.47	-
Depreciation / Amortisation charge for the year (Refer note (iii) below)		-	23.80	55.50	3,001.12	2.90	23.40	5.42	3.37	2.30	3,117.81	-
Transfer (out) / in		-	-	(4.69)	4.69	-	-	-	-	-	-	-
Disposals / Adjustments		-	-	(113.33)	58.22	(1.11)	(0.07)	(1.55)	(1.90)	(1.24)	(60.98)	-
Balance as at 31st March, 2022		-	70.48	20.47	20,180.18	20.10	277.90	27.78	42.24	14.15	20,653.30	-
Depreciation / Amortisation charge for the year (Refer note (iii) below)		-	24.90	68.18	3,137.07	2.88	23.78	7.39	5.91	2.47	3,272.58	-
Transfer (out) / in		-	-	-	(0.23)	-	-	-	-	0.23	-	-
Disposals / Adjustments		-	-	(0.18)	(68.00)	(5.06)	-	(3.86)	(5.30)	(2.41)	(84.81)	-
Balance as at 31st March, 2023		-	95.38	88.47	23,249.48	17.92	301.68	31.31	42.85	13.98	23,841.07	-
Description of Assets												
		Land - Freehold	Right-of-Use Assets (Refer note (ix) below)	Buildings	Plant and Equipment (Refer note (ii) below)	Furniture and Fixtures	Railway Sidings	Computer Hardware	Office Equipments	Vehicles	Total	Capital Work-In-Progress (Refer note (xiii) and (xiv) below)
Carrying amount :												
As at 31st March, 2022		1,017.18	757.38	1,612.94	49,412.14	15.99	201.02	17.58	26.87	10.52	53,071.62	10,269.74
As at 31st March, 2023		1,085.39	818.77	1,811.22	46,543.73	17.38	178.80	27.59	42.82	18.10	50,543.80	12,879.54

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All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 51) (Contd.)

- i) For charge created on aforesaid assets, refer note 19 and 25.
- ii) In case of Mundra thermal power plant ("Mundra TPP"), the Company has availed tax and duty benefit in the nature of exemptions from Custom Duty, Excise Duty, Service Tax, VAT and CST on its project procurements. The said benefits were availed by virtue of SEZ approval granted to the Power Plant in December 2006, in terms of the provisions of the Special Economic Zones Act, 2005 (hereinafter referred to as the 'SEZ Act') and the Special Economic Zone Rules, 2006 which entitled the Power Plant to procure goods and services without payment of taxes and duties as referred above.

The Company in respect of Tiroda thermal power plants ("Tiroda TPP") and Kawai thermal power plants ("Kawai TPP") have availed tax and duty benefit in the nature of exemptions from Custom Duty and Excise Duty on its project procurements. The said benefits were availed by virtue of power plants being designated as Mega Power Project in accordance with the policy guidelines issued in this regard by the Ministry of Power, Government of India which entitled Tiroda TPP and Kawai TPP to procure goods and services without payment of taxes and duties as referred above.

Since, the procurement of goods and services during the project period were done by availing the exemption from payment of aforesaid taxes and duties, the amount capitalised for the said power plant as on the put to use date, is cost of property, plant and equipment (PPE) net off tax and duty benefit availed. In compliance with Ind AS 20 – "Government Grant", Mundra TPP, Kawai TPP and Tiroda TPP have opted to gross up the value of its PPE by the amount of tax and duty benefit / credit availed after considering the same as government grant. The amount of said government grant (net off accumulated depreciation) as on the transition date has been added to the value of PPE with corresponding credit made to the deferred government grant. The amount of grant is amortised over useful life of PPE along with depreciation on PPE. The amount of deferred liability is amortised over the useful life of the PPE with credit to statement of profit and loss classified under the head "Other Income".

The Group has Government grant balance (net) of ₹4,487.33 Crores till 31st March, 2023 (Previous year ₹4,791.40 Crores).

- iii) In case of Adani Power (Jharkhand) Limited ("APJL") and Pench Thermal Energy (MP) Limited ("PTEML"), Depreciation of ₹2.67 Crores and ₹0.88 Crores (Previous year ₹2.96 Crores and ₹0.76 Crores) respectively relating to project assets have been allocated to Capital Work in Progress.
- iv) During the year, finance cost of ₹828.49 Crores (Previous year: ₹686.14 Crores) relating to qualifying assets have been added to Capital Work in Progress.
- v) Cost of Property Plant and Equipment includes carrying value recognised as deemed cost as of 1st April, 2015, measured as per previous GAAP and cost of subsequent additions.
- vi) During the year, Capital work in Progress includes indirect cost of ₹241.05 Crores (net of ₹220.65 Crores of trial run power generation and other income) (Previous Year ₹176.87 Crores (net of ₹4.52 Crores of other income)) on account of Project Development Expenditure.
- vii) During the year, an amount of ₹33.97 Crores was expensed out of carrying amount of Capital Work in Progress towards impairment of project cost.
- viii) During the previous year, an amount of ₹55.57 Crores was transferred from balance of Capital Work in Progress to Other non current financials assets - Others. (Refer Note 6)

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 51) (Contd.)

ix) Right of use assets

Description of Assets	Right-of-Use Assets			
	Lease hold land	Buildings	Computer Hardware	Total
Cost :				
Balance as at 1st April, 2021	686.76	0.85	7.75	695.36
Additions	96.45	0.36	0.39	97.20
Additions on account of acquisition of subsidiary	35.30	-	-	35.30
Balance as at 31st March, 2022	818.51	1.21	8.14	827.86
Additions	86.29	-	-	86.29
Balance as at 31st March, 2023	904.80	1.21	8.14	914.15
Accumulated amortisation :				
Balance as at 1st April, 2021	43.14	0.56	2.98	46.68
Amortisation for the year	21.84	0.20	1.76	23.80
Balance as at 31st March, 2022	64.98	0.76	4.74	70.48
Amortisation for the year	23.32	0.24	1.34	24.90
Balance as at 31st March, 2023	88.30	1.00	6.08	95.38
Carrying amount :				
As at 31st March, 2022	753.53	0.45	3.40	757.38
As at 31st March, 2023	816.50	0.21	2.06	818.77

- x) The Company in case of Tiroda TPP, Kawai TPP, Mundra TPP, Raipur TPP, Raigarh Thermal Power Plant ("Raigarh TPP"), solar bitta plant, Adani Power Jharkhand Limited ("APJL"), Adani Power Dahej Limited ("APDL"), Aviceda Infra Park Limited ("AIPL") and Pench Thermal Energy (MP) Limited ("PTEML") have obtained Land under lease from various parties for a lease period of 2 to 99 years. The Group is restricted from assigning and subleasing the said leased assets.
- xi) In November 2007, the Company obtained Land under lease from Karnataka Industrial Areas Development Board (Lessor) for its Udupi TPP for 11 years from the date of agreement whose validity period of Lease Agreement was further extended from Lessor till 11th September, 2022. As at year end, in terms of lease agreement, the Company is in the process to exercise its option to get the lease deed converted to sale deed as the terms and conditions of land allotment has been fulfilled. Since the entire amount of ₹76.64 Crores which was considered in Lease-cum-Sale Agreement is considered as a sale consideration on expected.
- xii) During the F.Y. 2009-10 to F.Y. 2013-14, Mahan Energen Limited ("MEL") had obtained Land under lease from Government of Madhya Pradesh amounting to ₹38.75 Crores which will remain leasehold for 99 years from the date of agreement. The Group is restricted from assigning and subleasing the said leased assets.

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 51) (Contd.)

xiii) Break up of Capital-work-in-progress is as below:-

Particulars	As at 31st March, 2023	As at 31st March, 2022
Land and Site development expense	15.60	15.94
Building and other civil work	2,958.18	2,251.48
Plant and equipments	7,130.02	6,299.67
Project development expenses		
Employee Benefits Expense	145.48	105.06
Finance Costs	2,054.43	1,225.94
Other Expenses	819.15	394.31
Trial Run and Other Income	(243.32)	(22.66)
Total	12,879.54	10,269.74

xiv) Capital Work-In-Progress Ageing schedule:

a. as at 31st March 2023

Capital Work In Progress	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	2,802.93	3,855.11	4,104.56	2,104.68	12,867.28
Projects temporarily suspended	-	-	-	12.26	12.26
Total	2,802.93	3,855.11	4,104.56	2,116.94	12,879.54

b. as at 31st March 2022

Capital Work In Progress	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	3,920.52	4,107.25	1,867.22	295.88	10,190.87
Projects temporarily suspended	-	0.03	1.06	77.78	78.87
Total	3,920.52	4,107.28	1,868.28	373.66	10,269.74

The Company do not have any capital-work-in progress whose completion is overdue or has exceeded its cost compared to its original plan except below.

c. Details of the project whose completion is overdue as at 31st March 23: -

Capital Work In Progress	To be Completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Railway Siding Project	-	59.16	-	-	59.16
Total	-	59.16	-	-	59.16

d. Details of the project whose completion is overdue as at 31st March 22: -

Capital Work In Progress	To be Completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Railway Siding Project	-	-	92.86	-	92.86
Total	-	-	92.86	-	92.86

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4.1 Property, Plant and Equipment and Capital Work-In-Progress (Refer Note 51) (Contd.)

Note :

The capital assets in the nature of Railway Siding for Raigarh TPP forming part of Capital Work-In-Progress have become overdue compared to the original completion plan as the Company is in process of acquiring additional land for completing the asset under development. The Management expects to acquire additional land from the government authorities and has already obtained in principle approval from railway authorities for the said project. Post acquisition of the additional land, the management will update the estimate and assumption of the original completion plan of the assets. Further, given that demand of power is expected to be higher compared with generation capacity available in the industry, the development of asset forming part of Capital Work-In-Progress will have economic viability for the Company.

Further, during the year, the Company has expensed cost of Capital Work in Progress of ₹33.97 Crores.

e. Details of the project temporarily suspended as at 31st March 23: -

Capital Work In Progress	To be Completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects temporarily suspended - Power plant project	12.26	-	-	-	12.26
Total	12.26	-	-	-	12.26

f. Details of the project temporarily suspended as at 31st March 22: -

Capital Work In Progress	To be Completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects temporarily suspended - Power plant project	78.87	-	-	-	78.87
Total	78.87	-	-	-	78.87

4.2 Investment Properties

Particulars	Leasehold Land	Building	Total
I. Gross carrying amount			
Balance as at 1st April, 2021	-	-	-
Additions	-	-	-
Transfer	-	-	-
Balance as at 31st March, 2022	-	-	-
Addition on account of acquisition of subsidiaries (Refer note 32(vi) and 67)	1,530.89	1.20	1,532.09
Additions	25.48	-	25.48
Disposals (Refer note 32(vi))	(835.70)	(1.20)	(836.90)
Balance as at 31st March, 2023	720.67	-	720.67
II. Accumulated Depreciation			
Balance as at 1st April, 2021	-	-	-
Amortisation for the year	-	-	-
Disposals	-	-	-

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

4.2 Investment Properties (Contd.)

Particulars	Leasehold Land	Building	Total
Balance as at 31st March, 2022	-	-	-
Amortisation for the year	30.75	0.03	30.78
Disposals (Refer note 32(vi))	(15.02)	(0.03)	(15.05)
Balance as at 31st March, 2023	15.73	-	15.73

Particulars	Leasehold Land	Building	Total
Carrying amount :			
As at 31st March, 2022	-	-	-
As at 31st March, 2023	704.94	-	704.94

The Company have obtained Investment Properties under lease for a period of 37 to 43 years and are amortised over a period of lease.

The fair value of Investment property approximates the carrying value presented where the fair valuation has been done by a reputed independent valuer.

Particulars	Leasehold Land	Building	Total
Fair value :			
As at 31st March, 2022	-	-	-
As at 31st March, 2023	750.00	-	750.00

4.3 Goodwill

Goodwill of ₹6.95 Crores arose on acquisition of Tiroda TPP during the FY 2012-13 on account of amalgamation of Growmore Trade and Investment Private Limited with erstwhile Adani Power Maharashtra Limited (Now amalgamated with the Company) and ₹183.66 Crores upon acquisition of erstwhile Udupi Power Corporation Limited (now amalgamated with the Company) during the FY 2015-16.

Notes to Consolidated Financial Statements

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4.4 Intangible Assets

Particulars	Computer Software	Mining Rights	Total
I. Cost			
Balance as at 1st April, 2021	28.46	73.14	101.60
Additions	3.12	-	3.12
Disposals / other adjustments (Refer note (ii) below)	(2.15)	(73.14)	(75.29)
Balance as at 31st March, 2022	29.43	-	29.43
Additions	3.92	-	3.92
Disposals	(0.04)	-	(0.04)
Balance as at 31st March, 2023	33.31	-	33.31
II. Accumulated amortisation and impairment			
Balance as at 1st April, 2021	16.15	-	16.15
Amortisation for the year	3.45	-	3.45
Disposals	(2.15)	-	(2.15)
Balance as at 31st March, 2022	17.45	-	17.45
Amortisation for the year	3.87	-	3.87
Disposals	(0.04)	-	(0.04)
Balance as at 31st March, 2023	21.28	-	21.28

Particulars	Computer software	Mining Rights	Total
Carrying amount :			
As at 31st March, 2022	11.98	-	11.98
As at 31st March, 2023	12.03	-	12.03

i) For charge created on aforesaid assets, refer note 19 and 25.

ii) The Company, in case of its Raipur TPP has surrendered mining rights for Talabira Mine and thus decapitalised the mining rights during the previous year and amount recoverable from nominated authority has been shown under Other Financial Assets.

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5 Non-current Investments

	As at 31st March, 2023	As at 31st March, 2022
Unquoted Investments (fully paid) (Valued at amortised cost)		
(a) Investment in Optionally Convertible Cumulative Debentures ("OCCD")		
Sal Technologies and Solutions Limited	42.50	-
4,25,00,000 (Previous year - Nil) 0.001% Optionally Convertible Cumulative Debenture of ₹10 each (Refer note (i) below)		
(b) Investment in Government Securities (unquoted) (Valued at cost)		
National Saving Certificate (lying with government authority)	0.01	0.01
(c) Investments in Equity Instruments (at fair value through OCI)		
Adani Naval Defence Systems and Technologies Limited (Refer note (ii) below)		
4,500 Shares (Previous year - 4,500 Shares)	*	*
Total	42.51	0.01

(Figures below ₹50,000 are denominated with *)

Notes :

- During the year, the Group has invested ₹42.50 Crores into OCCD of Sal Technologies and Solutions Limited. These OCCD shall be optionally converted into equity share capital or will be redeemed at the discretion of holder at any time within 10 years from the date of issue. Further, the Group has entered into an agreement with Sal Technologies and Solutions Limited ("SAL") for purchase of land and building wherein remaining amount of ₹22.50 Crores is to be paid to SAL as at 31st March 2023.
- Investments at Fair Value Through Other Comprehensive Income (FVTOCI) reflect investment in unquoted equity instruments. These equity shares are designated as FVTOCI as they are not held for trading purpose, thus disclosing their fair value change in profit and loss will not reflect the purpose of holding.

6 Other Non-current Financial Assets

	As at 31st March, 2023	As at 31st March, 2022
Bank balances held as Margin money (security against borrowings and others) (Refer note 19 and 25)	333.03	424.01
Fixed deposits with banks	-	2.20
Derivative assets (net) (Refer note (i) below)	72.71	67.61
Interest accrued but not due	9.51	5.66
Security deposits	87.64	166.50
Others (Refer note 43, 47 and 48)	276.82	190.06
Total	779.71	856.04

Notes:

- Interest rate swap of ₹20.75 Crores (Previous year ₹67.61 Crores) and Principal only swap of ₹51.96 Crores (Previous year ₹ Nil) of instruments designated as cash flow hedges.
- The fair value of Other Non-current Financial Assets approximate the carrying value presented. (Also refer note 57)

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

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7 Other Non-current Assets

	As at 31st March, 2023	As at 31st March, 2022
Capital advances (including towards land acquisition)	357.43	427.64
Advances for goods and services	247.74	286.55
Advance tax including tax deducted at source (Net of provision)	322.79	50.91
Deposit with government authorities	173.53	135.33
Gratuity fund (net) (Refer note 59)	-	11.28
Advance to employee	1.83	1.39
Contract assets (Unbilled receivable Including Deferred tax recoverable)	-	262.29
Prepaid expenses	11.81	14.33
Other receivables (Refer note 49)	-	163.23
Total	1,115.13	1,352.95

8 Inventories

	As at 31st March, 2023	As at 31st March, 2022
(At lower of cost and net realisable value)		
Fuel (in transit ₹656.07 Crores (Previous year ₹520.55 Crores))	2,525.11	1,778.80
Stores and spares	550.09	479.47
Total	3,075.20	2,258.27

Notes:

- i) For charges created on inventories, refer note 19 and 25.
- ii) Net off ₹91.46 Crores (Previous year - ₹79.33 Crores) towards write-down of inventory.

9 Current Investments

Unquoted Investments (Fully Paid) (At FVTPL)

	As at 31st March, 2023	As at 31st March, 2022
Investment in Mutual Funds (Unquoted)		
17,26,837.11 Units (Previous year Nil Units) SBI Liquid Fund Direct Growth	608.42	-
8,557.76 Units (Previous year 529,376.32 Units) SBI Overnight Fund Direct Growth	3.12	183.24
Total	611.54	183.24

- i) For charges created on investments, refer note 19 and 25.

Notes to Consolidated Financial Statements

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10 Trade Receivables

	As at 31st March, 2023	As at 31st March, 2022
Secured, considered good	1,821.42	1,385.98
Unsecured, considered good (Refer notes below)	9,707.94	8,174.94
Trade Receivables which have significant increase in credit risk	-	-
Trade Receivables - Credit impaired	-	-
Total	11,529.36	9,560.92

Notes:

i) For charges created on Trade Receivables, (Refer note 19 and 25).

ii) Credit concentration

As at 31st March, 2023, out of the total trade receivables 93.81% (Previous year - 97.17%) pertains to dues from State Electricity Distribution Companies under contractual agreement through Power Purchase Agreements ("PPAs"), including receivables on account of claims under Force Majeure / Change in Law matters, carrying cost thereof etc. and remaining receivables from related parties (Refer note 72) and others.

iii) Expected Credit Loss (ECL)

The Group is having majority of receivables against power supply from State Electricity Distribution Companies ("Discoms") which are Government undertakings.

The Group is regularly receiving its normal power sale dues from Discom and in case of regulatory revenue claims, the same is recognised on conservative basis based on best management estimates following principles of prudence, as per the binding regulatory orders. In case of delayed payments apart from carrying cost on settlement of claims, the Group is entitled to receive interest as per the terms of PPAs. Hence they are secured from credit losses in the future.

iv) Trade receivables includes Customers' bills discounted of ₹1,192.50 Crores (Previous year - ₹1,000.00 Crores).

v) Also refer note 32 and 55.

vi) The fair value of Trade receivables approximate the carrying value presented. (Also refer note 57)

11 Cash and Cash equivalents

	As at 31st March, 2023	As at 31st March, 2022
Balances with banks		
In current accounts	344.40	399.57
Fixed deposits (with original maturity for three months or less) (Refer note (ii) below)	-	382.80
Cheques on hand	4.83	-
Total	349.23	782.37

Notes :

i) For charges created on Cash and Cash equivalents, refer note 19 and 25.

ii) The fair value of Fixed deposits approximate the carrying value presented. (Also refer note 57)

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All amounts are in ₹ Crores, unless otherwise stated

12 Bank balances (Other than cash and cash equivalents)

	As at 31st March, 2023	As at 31st March, 2022
Bank balances held as Margin money (With original maturity for more than three months)	1,524.42	1,577.87
Fixed deposits (With original maturity for more than three months)	-	4.44
Total	1,524.42	1,582.31

Notes:

- For charges created on Bank balances (Other than cash and cash equivalents), refer note 19 and 25.
- The fair value of Bank balances (Other than cash and cash equivalents) approximate the carrying value presented. (Also refer note 57)

13 Current Loans

	As at 31st March, 2023	As at 31st March, 2022
(Unsecured, considered good)		
Loans to related parties (Refer Note 72)	-	4.83
Loans to employees	3.19	2.79
Total	3.19	7.62

Note:

- The fair value of Loans approximate the carrying value presented. (Also refer note 57)

14 Other Current Financial Assets

	As at 31st March, 2023	As at 31st March, 2022
Interest accrued but not due	40.12	44.76
Contract Assets (Unbilled Revenue)	0.18	2.34
Security deposits	211.31	160.20
Derivative assets (net) (Refer note (i) below)	299.27	89.03
Other receivables	6.62	11.95
Total	557.50	308.28

Notes:

- Includes Option contracts of ₹ Nil (Previous year ₹84.27 Crores), Principal Rate Swap ₹202.92 Crores (Previous year ₹ Nil), Forward contracts of ₹0.05 Crores (Previous year ₹ Nil) and interest rate swap of ₹96.30 Crores (Previous year ₹4.76 Crores) of instruments designated as cash flow hedges.
- The fair value of Other Current Financial Assets approximate the carrying value presented. (Also refer note 57).

15 Other Current Assets

	As at 31st March, 2023	As at 31st March, 2022
Advances for goods and services	1,691.85	1,357.60
Prepaid expenses	106.56	108.04
Advance to Employees	0.79	0.71
Others (Recoverable from Government authorities)	103.36	69.02
Other Receivables	-	9.69
Total	1,902.56	1,545.06

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

16 Share Capital

	As at 31st March, 2023	As at 31st March, 2022
Authorised Share Capital (Refer Note 65)		
2480,00,00,000 (Previous Year - 450,00,00,000) equity shares of ₹10 each	24,800.00	4,500.00
50,00,00,000 (Previous Year - 50,00,00,000) Cumulative Compulsory Convertible Participatory Preference shares of ₹10 each	500.00	500.00
750,00,00,000 (Previous Year - Nil) Compulsory Convertible Preference shares of ₹10 each	750.00	-
10,00,00,000 (Previous Year - Nil) Redeemable Preference shares of ₹100 each	1,000.00	-
9,50,00,000 (Previous Year - Nil) Preference shares of ₹100 each	950.00	-
Total	28,000.00	5,000.00
Issued, Subscribed and Fully paid-up equity shares		
3,85,69,38,941 (Previous year - 3,85,69,38,941) fully paid up equity shares of ₹10 each	3,856.94	3,856.94
Issued, Subscribed and Fully paid-up Preference shares		
4,15,86,207 (Previous year : 4,15,86,207) 0.01% Compulsory Redeemable Preference shares of ₹100/- each	415.86	415.86
Less : Reclassification of redeemable preference shares into debt and other equity (Refer note 18 & 19)	(415.86)	(415.86)
Issued, Subscribed and Partly paid-up Preference shares		
5,00,00,000 (Previous year : 5,00,00,000) upto 5% Non-cumulative Compulsory Redeemable Preference Shares of ₹100/- each and ₹60/- each paid up	300.00	300.00
Less : Reclassification of redeemable preference shares into debt and other equity (Refer note 18 & 19)	(300.00)	(300.00)
Total	3,856.94	3,856.94

a. (i) Reconciliation of the shares outstanding at the beginning and at the end of the reporting year

Equity Shares	As at 31st March, 2023		As at 31st March, 2022	
Particulars	No. of Shares	Amount	No. of Shares	Amount
At the beginning of the year	3,85,69,38,941	3,856.94	3,85,69,38,941	3,856.94
Issued during the year	-	-	-	-
Outstanding at the end of the year	3,85,69,38,941	3,856.94	3,85,69,38,941	3,856.94

a. (ii) Reconciliation of the shares outstanding at the beginning and at the end of the reporting year

Preference shares	As at 31st March, 2023		As at 31st March, 2022	
Particulars	No. of Shares	Amount	No. of Shares	Amount
At the beginning of the year	9,15,86,207	715.86	4,15,86,207	415.86
Issued during the year (Refer note 64)	-	-	5,00,00,000	300.00
Outstanding at the end of the year	9,15,86,207	715.86	9,15,86,207	715.86

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

16 Share Capital (Contd.)

b. Terms / rights attached to equity shares

- i) The Company has only one class of equity shares having par value of ₹10 per share. Each holder of equity shares is entitled to one vote per share.
- ii) In the event of liquidation of the Company the holders of the equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the share holders.

c. Terms/rights attached to preference shares

- i) The preference shares rank ahead of the equity shares in the event of a liquidation.
- ii) The terms of the preference shares and segregation into liability and equity portions of these shares are explained in note 63 and 64.

d. Details of shareholders holding more than 5% shares in the Company

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	No. of Shares	% holding in the class	No. of Shares	% holding in the class
Equity shares of ₹10 each fully paid				
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	1,42,16,12,453	36.86%	140,51,79,633	36.43%
Adani Tradeline Private Limited*	37,71,80,885	9.78%	-	-
Adani Tradeline LLP*	-	-	37,71,80,885	9.78%
OPAL Investment Private Limited	#	#	21,32,36,910	5.53%
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	19,28,46,900	5.00%
Afro Asia Trade and Investments Limited	26,54,85,675	6.88%	26,54,85,675	6.88%
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	44,21,86,652	11.46%
	269,93,12,565	69.98%	289,61,16,655	75.08%

During the year, shares held by OPAL Investment Private Limited has been reduced to 4.69% and hence the disclosure is not applicable in the current year.

e. Details of shares held by promoters

As at 31st March, 2023

Particulars	No. of Shares	% holding in the class	% Change
Mr. Gautam S. Adani	1	-	-
Mr. Rajesh S. Adani	1	-	-
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	1,42,16,12,453	36.86%	1.17%
Mr. Gautam S. Adani / Mrs. Pritiben G. Adani (On behalf of Gautam S. Adani Family Trust)	-	-	(100.00%)
Adani Tradeline Private Limited*	37,71,80,885	9.78%	100.00%
Adani Tradeline LLP*	-	-	(100.00%)
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	-
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	-

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

16 Share Capital (Contd.)

As at 31st March, 2023

Particulars	No. of Shares	% holding in the class	% Change
Afro Asia Trade And Investments Limited	26,54,85,675	6.88%	-
Emerging Market Investments DMCC	19,23,00,000	4.99%	-
Total	289,16,12,567	74.97%	

As at 31st March, 2022

Particulars	No. of Shares	% holding in the class	% Change
Mr. Gautam S. Adani	1	-	-
Mr. Rajesh S. Adani	1	-	-
Mr. Gautam S. Adani / Mr. Rajesh S. Adani (On behalf of S.B. Adani Family Trust)	140,51,79,633	36.43%	-
Mr. Gautam S. Adani / Mrs. Pritiben G. Adani (On behalf of Gautam S. Adani Family Trust)	1,64,32,820	0.43%	-
Adani Tradeline LLP*	37,71,80,885	9.78%	-
Worldwide Emerging Market Holding Limited	19,28,46,900	5.00%	-
Flourishing Trade And Investment Limited	44,21,86,652	11.46%	-
Afro Asia Trade And Investments Limited	26,54,85,675	6.88%	-
Emerging Market Investments DMCC	19,23,00,000	4.99%	-
Total	289,16,12,567	74.97%	

* During the current financial year, Adani Tradeline LLP has been converted into Private Limited Company with the name Adani Tradeline Private Limited w.e.f. 6th July, 2022.

17 Unsecured Perpetual Securities

	As at 31st March, 2023	As at 31st March, 2022
At the beginning of the year	13,215.00	12,615.00
Add: Issued during the year	566.49	600.00
Less: Reduction on account of sale of subsidiary (Refer note 32(vi))	(566.49)	-
Outstanding at the end of the year	13,215.00	13,215.00

Notes:

- (i) The Group has issued Unsecured Perpetual Securities ("Securities"), which are perpetual in nature with no maturity or redemption and are callable only at the option of the issuer. The distribution on these Securities are cumulative at 9% to 10.67% p.a. (Previous year 9% to 11% p.a.) and at the discretion of the issuer. As these securities are perpetual in nature and ranked senior only to the Equity Share Capital of the respective entities and the issuer does not have any redemption obligation, these are considered to be in the nature of equity instruments.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

18 Other Equity

	As at 31st March, 2023	As at 31st March, 2022
Capital Reserve	1,768.32	1,768.32
Securities Premium	7,409.83	7,409.83
General Reserve	9.04	9.04
Cash flow hedge reserve	46.96	7.32
Deemed Equity Contribution (Refer note 19(4))	2,845.94	1,772.93
Equity Component of Non-cumulative Compulsory Redeemable Preference Shares	246.55	246.55
Equity instruments through OCI	-	-
Retained earnings	477.08	(9,582.49)
Total	12,803.72	1,631.50

Particulars	As at 31st March, 2023	As at 31st March, 2022
a. Capital Reserve		
Opening Balance	1,768.32	1,389.40
Add: Addition on account of acquisition of subsidiary (Refer note 42)	-	378.92
Closing Balance	1,768.32	1,768.32
b. Deemed Equity Contribution (Refer note (v) below)		
Opening Balance	1,772.93	1,772.93
Add: Changes during the year (Refer note 19(4))	1,073.01	-
Closing Balance	2,845.94	1,772.93
c. Equity Component of Non-cumulative Compulsory Redeemable Preference Shares		
Opening Balance	246.55	-
Add : Issued during the year (Refer note 64)	-	246.55
Closing Balance	246.55	246.55
d. Equity instruments through OCI		
Opening Balance	-	-
Add : Net gain on sale of Investment classified at FVTOCI, net of tax	-	26.94
Less : Transfer to Retained Earnings on Sale of CCPS	-	26.94
Closing Balance	-	-
e. Cash flow hedge reserve		
Opening Balance	7.32	(19.32)
Add: Recognised during the year		
Gain / (Loss) on fair value of principal only swap	67.09	(120.51)
Gain on fair value of cross currency interest rate swap	76.36	69.78
Add : Recycled to profit and loss account	(103.81)	77.37
Closing Balance	46.96	7.32
f. Retained earnings		
Opening Balance	(9,582.49)	(13,921.23)
Add : Distribution to holders of unsecured perpetual securities	(661.17)	(589.83)
Add : Profit for the year	10,726.64	4,911.58
Add : Transferred to Retained Earnings on Sale of CCPS	-	26.94
Add: Remeasurement (loss) on defined benefit plans, net of tax	(5.90)	(9.95)
Closing Balance	477.08	(9,582.49)

Notes :

- i) (a) Capital Reserve includes ₹359.80 Crores created due to amalgamation of Growmore Trade and Investment Private Limited with the Company (erstwhile Adani Power Maharashtra Limited) in the financial year 2012-13. As per the order of the Hon'ble High Court of Gujarat, the capital reserve created on amalgamation shall be treated as free reserve of the Company.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

18 Other Equity (Contd.)

- (b) Capital reserve of ₹1,029.60 Crores was created on acquisition of Raipur TPP and Raigarh TPP during the financial year 2019-20.
- (c) Capital reserve of ₹378.92 Crores was created on acquisition of subsidiary namely, Mahan Energen Limited during the previous year (Refer note 42).
- ii) Securities premium represents the premium received on issue of shares over and above the face value of equity shares. The reserve is available for utilisation in accordance with the provisions of the Companies Act, 2013.
- iii) General reserve of ₹9.04 Crores was created in the FY 2015-16 due to merger of solar power undertaking acquired from Adani Enterprises Limited, as per the scheme of arrangement approved by order of the Hon'ble High Court of Gujarat.
- iv) Equity instruments through Other Comprehensive Income : The Company has elected to recognise changes in the fair value of certain investments in equity instruments in other comprehensive income. These changes in equity instruments are accumulated through Other Comprehensive Income within equity. The Company transfers amounts from this reserve to retained earnings when the relevant equity instruments are derecognised.
- v) Deemed equity contribution represents the difference between the fair value of financial instruments and consideration paid / payable as promoters' contribution.
- vi) Retained earnings represent the amount that can be distributed as dividend considering the requirements of the Companies Act, 2013. During the year, no dividends are distributed to the equity shareholders by the Company.
- vii) The cash flow hedge reserve represents the cumulative gains or losses arising on changes in fair value of designated effective portion of hedging instruments entered for cash flow hedges. The same will be recycled to statement of profit and loss only when the hedged transaction affects the profit or loss.

19 Non-current Borrowings

	As at 31st March, 2023		As at 31st March, 2022	
	Non-Current	Current	Non-Current	Current
Secured Borrowings - at amortised cost				
Term Loans				
From Banks	14,827.62	2,010.49	20,342.89	2,617.36
From Financial Institutions and Assets Reconstruction Companies ("ARCs")	8,384.83	867.38	7,157.09	1,066.63
Trade Credits				
From Banks	3,531.07	-	3,543.26	-
	26,743.52	2,877.87	31,043.24	3,683.99
Unsecured Borrowings - at amortised cost				
Loans From Related Parties (Refer Note 72)	6,790.13	-	5,952.06	-
Loans From Others	-	-	721.59	-
4,15,86,207 (Previous year : 4,15,86,207) 0.01% Compulsory Redeemable Preference shares of ₹100/- each	106.89	-	97.18	-
5,00,00,000 (Previous year : 5,00,00,000) upto 5% Non-cumulative Compulsory Redeemable Preference Shares of ₹100/- each (Refer note 64)	62.06	-	57.25	-
	6,959.08	-	6,828.08	-
	33,702.60	2,877.87	37,871.32	3,683.99
Amount disclosed under the head Current Borrowings	-	(2,877.87)	-	(3,683.99)
Total	33,702.60	-	37,871.32	-

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

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19 Non-current Borrowings (Contd.)

Notes:

1. The security details for the borrowing balances:

- a. Rupee Term Loans from Banks aggregating to ₹15,584.15 Crores (Previous year ₹20,726.08 Crores), Rupee Term Loans from Financial Institutions and ARCs aggregating to ₹3,391.23 Crores (Previous year ₹3,617.94 Crores), Foreign Currency Loans from Banks aggregating to ₹763.04 Crores (Previous year ₹1,516.93 Crores), Foreign Currency Loans from Financial Institutions aggregating to ₹506.04 Crores (Previous year ₹1,513.46 Crores) carry annual weighted average interest rate of 9.14% p.a. and are secured by first mortgage and charge on the identified immovable, movable and leasehold land, both present and future assets of the Mundra TPP, Tiroda TPP, Kawai TPP, Udupi TPP, Raipur TPP, Raigarh TPP (collectively and individually referred as "Projects") on paripassu basis with the lenders of the respective projects.

On amalgamation of six subsidiaries of the Company with itself in terms of National Company Law Tribunal ('NCLT') order dated 8th February, 2023, as at reporting date, the Company is in the process of concluding of fresh financing documents with all the lenders, whereby the above facilities will be secured by first mortgage and charge on the identified immovable and movable and leasehold land, both present and future assets of the projects / locations on paripassu basis with the lenders of the projects.

- b. In case of Mundra TPP, Rupee Term Loan from Banks and Trade credits (current borrowing) aggregating to ₹5,491.57 Crores (Previous year - ₹6,772.03 Crores) are further secured by pledge of 764,426,421 equity shares of the Company held by S.B. Adani Family Trust (Previous year 764,426,421) as a First charge.
- c. In case of APJL, Rupee Term Loans from Financial Institutions aggregating to ₹4,696.38 Crores (Previous year ₹2,079.26 Crores) carry annual weighted average interest rate of 10.84% p.a. and are secured by first mortgage and charge on the identified immovable, movable and leasehold land, both present and future assets of the project on paripassu basis and are further secured by pledge of 100% equity shares held by the company on paripassu basis..
- d. In case of APJL, Trade credit from bank aggregating to ₹3,531.07 Crores (Previous year ₹3,543.26 Crores) carry annual weighted average interest rate of 3.84% p.a. and are secured by Letter of comfort of Power Finance Corporation Limited and Rural Electrical Corporation Limited. In turn the said letter of comfort is secured by first mortgage and charge on the identified immovable, movable and leasehold land, both present and future assets of the project on paripassu basis and are further secured by pledge of 100% equity shares held by the company on paripassu basis.
- e. In case of MEL, Borrowings from Banks, Financial institutions and Asset Reconstruction Companies (ARC) aggregating to ₹1,250.00 Crores (Previous year ₹1,900.00 Crores) carry annual weighted average interest rate of 9.07% p.a. and are secured by first mortgage and charge on the identified immovable and movable, both present and future assets of MELs 1200 MW power project at Bandhora plant (Madhya Pradesh) on paripassu basis. These borrowings are further secured by pledge of 51% Equity shares of MEL, held by the Company on paripassu basis.

2. Repayment schedule for the Secured borrowing balances:

- a. In case of the Company, the secured term loans from Banks aggregating to ₹13,791.10 Crores (Previous year ₹19,634.88 Crores) and from Financial Institutions aggregating to ₹2,869.65 Crores (Previous year ₹4,114.12 Crores) respectively are repayable over a period of next 12 years in quarterly / half yearly / yearly from Financial Year 2023-24 to Financial year 2034-35. During the year, the Company has also made prepayments of ₹4,755.45 Crores.

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19 Non-current Borrowings (Contd.)

- b. In case of Raipur TPP, Rupee Term Loans and Foreign Currency Loans from Banks and Financial Institution aggregating to ₹2,767.75 Crores (Previous year ₹2,746.53 Crores) are repayable in 3 equal annual installments starting from 30th June, 2026.
- c. In case of Raigarh TPP of the Company, the secured term loans from Banks aggregating to ₹674.87 Crores (Previous year ₹726.92 Crores) and from Financial Institutions aggregating to ₹141.09 Crores, including ₹71.92 Crores from ARCs (Previous year ₹151.95 Crores, including ₹77.46 Crores from ARCs) respectively are repayable in structured quarterly instalments from Financial year 2023-24 to Financial year 2026-27.
- d. In case of APJL, Rupee Term Loans from Financial Institutions aggregating to ₹4,696.38 Crores (Previous year ₹2,079.26 Crores) are repayable on equally monthly installments over a period of next 14 years from Financial year 2023-24 to Financial year 2037-38 and Trade Credit from Bank aggregating to ₹3,531.07 Crores (Previous year ₹3,543.26 Crores) are repayable on maturity up to Financial year 2024-25.
- e. In case of MEL, The restructured debt of ₹1,250.00 Crores shall be paid in 2 instalments; in March 2024 ₹500.00 Crores and March 2025 ₹750.00 Crores.

Further, for related party transactions Refer note 72.

3. Repayment schedule for the Unsecured borrowing balances:

- a. Unsecured loans from related parties of ₹6,790.13 Crores (Previous year ₹5,160.06 Crores) and from others of ₹Nil (Previous year ₹721.59 Crores) are repayable on agreed dates over a period of 2 to 4 years starting from Financial year 2024-25 to Financial year 2026-27.
 - b. up to 5% Non-cumulative Compulsory Redeemable Preference Shares aggregating to ₹ 300.00 Crores recognised at discounted value of ₹62.06 Crores (Previous year ₹57.25 Crores) are redeemable in Financial year 2041-42.
 - c. 0.01% Compulsory Redeemable Preference shares aggregating to ₹415.86 Crores (Previous year ₹415.86 Crores) recognised at discounted value of ₹106.89 Crores (previous year ₹97.18 Crores) are redeemable in structured 3 equal annual instalments from Financial year 2036-37 to Financial year 2038-39.
4. During the year, Mahan Energen Limited ("MEL") wholly owned subsidiary of the Company and Raipur TPP, since merged, have received consent letters from Emerging Market Investment DMCC and Adani Global DMCC respectively, being related parties of the Group for waiver of assigned interest free External Commercial Borrowings ("ECBs"). Since the ECBs were accounted at fair value on initial recognition on acquisition of MEL and Raipur TPP, the outstanding portion of debt component of ₹893.84 Crores in MEL and ₹179.17 Crores in Raipur TPP have been accounted as equity contribution in the books of the respective Companies.
5. The amount disclosed in security details in note 1 above and repayment schedule in note 2 above are gross amount excluding adjustments towards upfront fees.

20 Non-Current Lease Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Lease liabilities	88.32	94.36
Total	88.32	94.36

Note:

The fair value of Lease Liabilities approximate the carrying value presented. (Also refer note 57)

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

21 Other Non-current Financial Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Retention money payables	-	951.06
Derivative Liabilities (net) (Refer note (i) below)	-	9.31
Total	-	960.37

Notes:

- i) Includes ₹ Nil (Previous year ₹9.31 Crores) of instruments designated as cash flow hedges.
- ii) The fair value of Other Non-current Financial Liabilities are approximate the carrying value presented. (Also refer note 57)

22 Non-current Provisions

	As at 31st March, 2023	As at 31st March, 2022
Provision for Mine Closure Obligations (Refer note 45)	42.07	39.44
Provision for obligation incidental to land acquisition (Refer note 46)	65.66	78.64
Provision for Employee Benefits		
Provision for Gratuity (Refer note 59)	81.46	68.30
Provision for Leave Encashment	37.76	34.49
Total	226.95	220.87

23 Deferred Tax Liabilities (Net) (Refer Note 66)

(a) Deferred Tax Liabilities (Net)

	As at 31st March, 2023	As at 31st March, 2022
Deferred Tax Liabilities		
Property, Plant and Equipment	4,409.07	8,165.38
Others	-	0.18
Gross Deferred Tax Liabilities	4,409.07	8,165.56
Deferred Tax Assets		
Provision for employee benefits	33.13	27.85
Expenses disallowed claimable in future years	804.37	91.76
On unabsorbed depreciation / carried forward losses	3,571.57	5,546.17
Gross Deferred Tax Assets	4,409.07	5,665.78
Net Deferred Tax Liabilities	-	2,499.78

At the current year end, the Company and each of its subsidiaries have recognised Deferred Tax Assets on unabsorbed depreciation / carried forward losses to the extent of their respective Deferred Tax Liability. (Also refer note 66)

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23 Deferred Tax Liabilities (Net) (Contd.)

(b) Movement in deferred tax liabilities (net) for the year ended 31st March, 2023

	Opening Balance as at 1st April, 2022	Recognised in statement of profit and Loss	Recognised in other comprehensive income	Closing balance as at 31st March, 2023
Tax effect of items constituting Deferred Tax Liabilities :				
Property, Plant and Equipment	8,165.38	(3,756.31)	-	4,409.07
Others	0.18	(0.18)	-	-
Total - (a)	8,165.56	(3,756.49)	-	4,409.07
Tax effect of items constituting Deferred Tax Assets:				
Employee Benefits	27.85	5.28	-	33.13
Expenses disallowed claimable in future years	91.76	712.61	-	804.37
Unabsorbed depreciation	5,546.17	(1,974.60)	-	3,571.57
Total - (b)	5,665.78	(1,256.71)	-	4,409.07
Deferred Tax Liabilities (Net)	Total - (a-b)	2,499.78	(2,499.78)	-

(c) Movement deferred tax liabilities (net) for the year ended 31st March, 2022

	Opening Balance as at 1st April, 2021	Recognised in statement of profit and Loss	Recognised in other comprehensive income	Addition on account of acquisition of subsidiary (Refer note 42)	Closing balance as at 31st March, 2022
Tax effect of items constituting Deferred Tax Liabilities :					
Property, Plant and Equipment	5,169.13	2,800.34	-	195.91	8,165.38
Others	0.18	-	-	-	0.18
Total - (a)	5,169.31	2,800.34	-	195.91	8,165.56
Tax effect of items constituting Deferred Tax Assets:					
Employee Benefits	24.94	2.13	0.78	-	27.85
Expenses disallowed claimable in future years	23.68	68.08	-	-	91.76
Unabsorbed depreciation	3,792.61	1,753.56	-	-	5,546.17
Total - (b)	3,841.23	1,823.77	0.78	-	5,665.78
Deferred Tax Liabilities (Net)	Total - (a-b)	1,328.08	976.57	195.91	2,499.78

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23 Deferred Tax Liabilities (Net) (Contd.)

23.1 Unrecognised deductible temporary differences and unused tax losses.

Deductible temporary differences and unused tax losses for which no Deferred Tax Assets have been recognised are attributable to the following :

	As at 31st March, 2023	As at 31st March, 2022
Unrecognised tax losses and unused tax credit (Revenue in nature) (Refer note (i) below)	329.99	13,454.35
Unabsorbed depreciation (Refer note (ii) below)	22,029.70	23,820.38
Property, Plant and Equipment	3,353.98	167.09
Provision for Employee benefits	9.96	3.29
Others	71.86	-
Total	25,795.49	37,445.11

Notes:

- Out of above unutilised tax losses of ₹329.99 Crores, ₹230.82 Crores will expire in AY 2028-29, ₹99.17 Crores will expire in AY 2029-30.
- Unabsorbed depreciation of ₹22,029.70 Crores do not have expiry in respect of the Company and MEL.
- No Deferred Tax Asset has been recognised on the above unutilised tax losses, depreciation and tax credits as there is no reasonable certainty as of year end that sufficient taxable profit will be available in the near future years against which such credits can be utilised by the Group.

24 Other Non-current Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Deferred Government Grant (Refer note 4.1(ii))	4,183.15	4,487.21
Total	4,183.15	4,487.21

25 Current Borrowings

	As at 31st March, 2023	As at 31st March, 2022
Secured Borrowings - at amortised cost		
Working Capital Demand Loans From Banks	2,036.27	1,978.36
Trade Credits From Banks (Refer note 19(1)(b))	1,951.85	3,051.12
Cash Credit From Banks	490.96	661.55
Customers' Bills Discounted (recourse basis)	1,192.50	1,000.00
Current maturities of Non-Current borrowings (Refer note 19)	2,877.87	3,683.99
	8,549.45	10,375.02
Unsecured Borrowings - at amortised cost		
Loans From Related Parties (Refer note 72)	-	549.34
	-	549.34
Total	8,549.45	10,924.36

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

25 Current Borrowings (Contd.)

Notes:

- i) Working Capital Demand Loans, Trade Credits, Cash Credits and Customers' Bills Discounted provided by Bank (Working Capital Facilities) aggregating to ₹5,671.58 Crores (Previous year ₹6,571.23 Crores) carry annual weighted average interest rate of 5.75% p.a. and are secured by first mortgage and charge on the identified immovable and movable, both present and future assets of the Mundra TPP, Tiroda TPP, Kawai TPP, Udipi TPP, Raipur TPP, Raigarh TPP (collectively and individually referred as "Projects") on paripassu basis with the lenders of the respective projects.

On amalgamation of six subsidiaries of the Company with itself in terms of National Company Law Tribunal ('NCLT') order dated 8th February, 2023, as at reporting date, the Company is in the process of concluding of fresh financing documents with all the lenders, whereby the above facilities will be secured by first mortgage and charge on the identified immovable and movable and leasehold land, both present and future assets of the projects / locations on paripassu basis with the lenders of the projects.

- ii) In case of APJL, Secured trade credits of ₹ Nil (Previous year ₹119.80 Crores) are secured by letter of Comfort received from Power Finance Corporation Limited and Rural Electrification Corporation Limited. In turn the said letter of comfort is secured by first mortgage and charge on the identified immovable, movable and leasehold land, both present and future assets of the project on paripassu basis and are further secured by pledge of 100% equity shares held by the company on paripassu basis.

26 Current Lease Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Lease liabilities	9.16	8.39
Total	9.16	8.39

Note:

The fair value of Lease Liabilities approximate the carrying value presented. (Also refer note 57)

27 Trade Payables

	As at 31st March, 2023	As at 31st March, 2022
Acceptances	192.26	195.86
Other than acceptances		
- total outstanding dues of micro enterprises and small enterprises	95.76	57.59
- total outstanding dues of creditors other than micro enterprises and small enterprises (Refer note 72 for related party dues)	2,791.43	3,254.76
Total	3,079.45	3,508.21

Notes:

- i) Trade payables mainly include amount payable to coal suppliers and operation and maintenance vendors in whose case credit period allowed is 0-180 days. The Group usually opens usance letter of credit in favour of the coal suppliers.
- ii) The fair value of trade payables approximate the carrying value presented. (Also refer note 57)

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

27 Trade Payables (Contd.)

iii) Ageing schedule:

a. As at 31st March, 2023

Sr No	Particulars	Unbilled (including accrued expense)	Not due	Outstanding for following periods from due date of Payment*				Total
				Less than 1 year	1-2 years	2-3 years	More than 3 years	
1	MSME	-	95.76	-	-	-	-	95.76
2	Others	346.45	98.15	2,316.78	78.94	38.56	79.72	2,958.60
3	Disputed dues - MSME	-	-	-	-	-	-	-
4	Disputed dues - Others	-	-	4.68	4.60	3.25	12.56	25.09
	Total	346.45	193.91	2,321.46	83.54	41.81	92.28	3,079.45

b. As at 31st March, 2022

Sr No	Particulars	Unbilled (including accrued expense)	Not due	Outstanding for following periods from due date of Payment*				Total
				Less than 1 year	1-2 years	2-3 years	More than 3 years	
1	MSME	-	57.59	-	-	-	-	57.59
2	Others	263.05	1,070.26	1,332.98	540.06	64.80	159.06	3,430.21
3	Disputed dues - MSME	-	-	-	-	-	-	-
4	Disputed dues - Others	-	-	4.60	3.25	3.59	8.97	20.41
	Total	263.05	1,127.85	1,337.58	543.31	68.39	168.03	3,508.21

28 Other Current Financial Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Interest accrued but not due (Refer note (i) of cash flow statement)	86.70	31.54
Payable towards purchase of Property, Plant and Equipment (including retention money)	1,520.00	683.90
Derivative Liabilities (net) (Refer note (i) below)	7.04	18.61
Truing Up / Tariff revenue adjustment (Refund Liability)	547.16	418.14
Other financial liabilities (Refer note (iii) below)	300.68	15.13
Total	2,461.58	1,167.32

Notes :

- Includes Forward contracts of ₹7.04 Crores (Previous year ₹11.27 Crores), interest rate swap of ₹ Nil (Previous year ₹4.18 Crores) of instruments not designated as cash flow hedges, ₹ Nil (Previous year ₹3.16 Crores) of instruments designated as cash flow hedges.
- The fair value of Other Current Financial Liabilities approximate the carrying value presented. (Also refer note 57)
- Includes refundable amount as per the agreement.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

29 Other Current Liabilities

	As at 31st March, 2023	As at 31st March, 2022
Statutory liabilities	140.69	135.64
Advance from Customers	32.73	53.26
Deferred Government Grant (Refer note 4.1(ii))	304.18	304.19
Others (Refer note (i) below)	3,145.22	368.27
Total	3,622.82	861.36

Note :

- i) Includes ₹50.87 Crores (Previous year ₹50.87 Crores) on account of Fair Valuation of contingent liabilities on acquisition of Raipur TPP and ₹3,046.98 Crores (Previous year ₹315.87 Crores) as liability towards additional cost of procurement of coal based on future power supply, as may be required.

30 Current Provisions

	As at 31st March, 2023	As at 31st March, 2022
Provision for obligation incidental to land acquisition (Refer note 46)	6.20	6.49
Provision for Employee Benefits		
Provision for Gratuity (Refer note 59)	0.13	8.35
Provision for Leave Encashment	15.31	13.87
Total	21.64	28.71

31 Current Tax Liabilities (Net)

	As at 31st March, 2023	As at 31st March, 2022
Income-tax payable (Net of advance tax)	0.49	645.32
Total	0.49	645.32

32 Revenue from Operations

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Revenue from Power Supply (Refer notes below)	37,830.00	27,165.50
Revenue from trading goods	165.69	487.90
Sale of services	27.34	1.50
Other Operating Revenue		
Sale of Fly Ash and Others	55.82	56.28
Gain on Sale of Investments (Refer note (vi) below)	694.45	-
Total revenue from contracts with customers	38,773.30	27,711.18

Notes:

- (i) In respect of Tiroda TPP
- (a) Maharashtra Electricity Regulatory Commission ("MERC") vide its order dated 6th September, 2019 had allowed relief on account of use of alternative coal for non-availability of coal due to cancellation of Lohara coal block for the Company's 800 MW power generation capacity at Tiroda TPP. The relief was

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

32 Revenue from Operations (Contd.)

upheld by the Appellate Tribunal for Electricity ("APTEL") vide its order dated 5th October, 2020, although the Maharashtra State Electricity Distribution Company Limited ("MSEDCL") had filed an appeal in the Hon'ble Supreme Court against the APTEL order. The Hon'ble Supreme Court after issuing interim relief order dated 31st January, 2022 passed the final order dated 20th April, 2023 upheld all the matters which were concluded in the APTEL order. Pursuant to said Hon'ble Supreme Court order, the Company has reassessed the compensation claims recognised till date and recognised an additional revenue of ₹321.71 Crores (net off reversal of Carrying Cost of ₹10.98 Crores) at the year end (including ₹201.21 Crores pertaining to earlier period).

The total tariff compensation claim recognised for year ended 31st March, 2023 is ₹3,916.48 Crores (including carrying cost ₹487.15 Crores). The Company has recognised tariff compensation claims on best estimate basis and management expects to fully realise outstanding balances of such claims from the discoms.

- (b) In a matter relating to tariff compensation claim (including carrying costs thereon) for additional costs incurred by the Company for 2500 MW power generation capacity at Tiroda TPP, due to shortfall in availability of domestic coal under New Coal Distribution Policy ("NCDP") and Scheme of Harnessing and Allocating Koyala (Coal) Transparently in India ("SHAKTI") policy of the government, the Company had earlier received favorable orders from MERC, based on which the Company has recognised claims and carrying cost thereon in earlier years, on best estimate basis. Subsequently, APTEL vide its orders dated 14th and 28th September, 2020 provided further clarity on the various claim parameters to be considered in computing tariff compensation claims. However, MSEDCL had filed an appeal with the Hon'ble Supreme Court against the aforesaid orders of APTEL. The Hon'ble Supreme court after issuing interim relief order dated 31st January, 2022 passed its final order dated 3rd March 2023 and 20th April, 2023 upheld all the matters which were concluded in the APTEL orders towards compensation claims relating to NCDP and SHAKTI policy respectively. Pursuant to said Hon'ble Supreme Court orders the Company has derecognised claim of ₹90.26 Crores (net off recognition of carrying cost of ₹178.38 Crores) at the year end (including claim reversal of ₹90.26 Crores pertaining to prior period).

The tariff compensation claim recognised for the year ended 31st March, 2023 is ₹5,063.12 Crores (including carrying cost of ₹1,131.94 Crores). The Company has recognised tariff compensation claims on best estimate basis and management expects to fully realise outstanding balances of such claims from the discoms.

- (c) Apart from above, in one of the matters relating to cost factor for computation of tariff compensatory claim based on claim amount billed by the Company, MSEDCL is also in appeal with APTEL although the Company has favorable order from MERC in the matter. The management does not expect any adverse impact of the matter. Currently, the Company has recognised the compensation claim on the best estimate basis pending settlement of appeal.

- (ii) In respect of Kawai thermal power plant ("Kawai TPP")

The Company, for recognition of tariff compensation claims for additional coal costs incurred for power generation due to shortfall in availability of domestic linkage coal under Shakti Policy of the Government, the Company has relied on the favourable order of Hon'ble Supreme Court dated 31st August, 2020 in which Hon'ble Supreme Court has admitted all tariff compensation claims and the Company continues to realise the claim amount towards compensation. The Company has recognised tariff compensation claims on best estimate basis which management expects to fully realise such claims from the discoms.

- (iii) In respect of Udupi TPP

The Company raises invoices on its customers ("Karnataka Discoms") based on the most recent tariff order / provisional tariff approved by the Central Electricity Regulatory Commission ("CERC"), as modified by the orders of Appellate Tribunal for Electricity ("APTEL") / CERC to the extent applicable, having regard to mechanism provided in applicable tariff regulations and the bilateral arrangements with the customers. Such tariff orders are subject to conclusion of final tariff order in terms of Multiyear Tariff ("MYT") Regulations at end of tariff period of every 5 years.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

32 Revenue from Operations (Contd.)

- (iv) Revenue from operations for the year ended 31st March, 2023, (including the amounts disclosed separately elsewhere in other notes) includes ₹2,377.24 Crores (net) recognised pertaining to prior years upto 31st March, 2022 (Previous year - ₹465.40 Crores pertaining to prior years upto 31st March, 2021), based on the orders received from various regulatory authorities such as MERC / CERC, APTEL, Hon'ble Supreme Court and reconciliation with discoms relating to various claims towards change in law events, carrying cost thereon and delayed payment interest.
- (v) For regulatory claims / change in law claims, the management recognises income on conservative parameters, since the same are under litigation / pending final settlement with Discoms. The differential adjustments on account of such claims are recognised on resolution of the litigation / final settlement of matter with Discoms, including carrying cost / late payment surcharge.
- (vi) On 7th June, 2022, the Company has acquired 100% equity shares of Support Properties Private Limited ("SPPL") for a consideration of ₹280.10 Crores and it also settled the liability of ₹485.24 Crores towards the existing debt of SPPL. Hence, this Company become wholly owned subsidiary of the Company w.e.f. 7th June, 2022. SPPL hold land parcel at Navi Mumbai which the Company proposed to develop for Infrastructure facilities as part of its trading, investment and other business activities (a company's business segment). The acquisition is classified as investment property in the Consolidated Financial Statements. Further, transaction cost added to investment in SPPL is ₹54.43 Crores. On 22nd March, 2023, the Company has disposed off its investment held in SPPL by execution of share purchase agreement with Adani Connex Private Limited and received a consideration of ₹988.97 Crores (excluding debt component of ₹485.24 Crores) which has been arrived at on arm's length basis. The net income on such sale of investment amounting to ₹694.45 Crores is accounted as other operating revenue pertaining to trading, investment and other activities segment in the financial statements.

33 Other Income

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Interest income (Refer note (i) below)	3,607.19	3,558.27
Income from Mutual Funds	13.10	0.83
Sale of Scrap	20.83	20.46
Amortised Government Grant Income	304.06	304.06
Liability no longer required written back	41.37	21.82
Miscellaneous Income (Refer note (ii) below)	280.67	69.85
Total	4,267.22	3,975.29

Notes:

- i) Interest income of ₹3,607.19 Crores (Previous year - ₹3,558.27 Crores) mainly includes Interest income in nature of Late payment surcharge / carrying cost of ₹3,499.93 Crores (Previous year ₹3,475.88 Crores) from DISCOMs towards change in claims and over due receivables and interest income on fixed deposit of ₹86.65 Crores (Previous year ₹71.01 Crores).
- ii) Miscellaneous income mainly includes ₹61.84 Crores (Previous year - ₹Nil) towards GST refund and ₹150.08 Crores (Previous year - ₹ Nil) towards credit of transmission charges which were expensed off in earlier years.

34 Purchase of Stock in trade / Power for resale

It includes purchase of traded goods of ₹110.15 Crores (Previous year ₹483.34 Crores) and purchase of Power for resale of ₹103.99 Crores (Previous year ₹62.22 Crores).

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for the year ended 31st March, 2023

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35 Employee benefits expense

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Salaries, Wages and Allowances	504.91	417.63
Contribution to Provident and Other Funds	27.41	21.69
Staff Welfare Expenses	37.67	30.99
Total	569.99	470.31

36 Finance Costs

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
(a) Interest Expense on :		
Loans and Debentures	2,755.14	3,539.68
Working Capital, Trade Credits and Others (Refer note (i) below)	285.02	332.30
Total (a)	3,040.16	3,871.98
(b) Other borrowing costs :		
(Gain) on Derivative Contract (net)	(142.03)	(6.17)
Bank Charges and Other Borrowing Costs	179.27	145.91
Total (b)	37.24	139.74
(c) Net loss on foreign currency transactions and translation (to the extent considered as finance cost)	256.10	83.06
Total (c)	256.10	83.06
Total (a+b+c)	3,333.50	4,094.78

Note :

i) Includes interest on lease liabilities (net of capitalisation) of ₹9.32 Crores (Previous year ₹9.71 Crores) and unwinding of interest on preference shares of ₹14.63 Crores (Previous year ₹12.64 Crores).

37 Other Expenses

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Consumption of Stores and Spares	381.94	345.26
Repairs and Maintenance Expenses	591.98	527.40
Expenses related to short term leases	10.60	5.69
Rates and Taxes	185.99	69.34
Legal and Professional Expenses	133.23	75.68
Directors' Sitting Fees	0.47	0.41
Insurance Expenses	124.43	88.65
Bad debts / sundry balances written off	8.68	0.39
Provision for Capital work in progress	33.97	0.03
Provision of Mine closure obligation	-	39.44
Foreign Exchange Fluctuation Loss (Net)	114.67	44.12
Miscellaneous Expenses	285.75	183.68
Loss on Sale / Retirement of Property, Plant and Equipment and capital asset written off (Net)	51.68	67.25
Donations	2.11	1.00
Corporate Social Responsibility expenses	18.55	27.83
Total	1,944.05	1,476.17

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

38 Income Tax

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Profit and Loss section		
Current Tax:		
Current Income Tax Charge	0.58	768.34
Reversal of tax provision relating to earlier years	(768.18)	(0.11)
Total (A)	(767.60)	768.23
Deferred Tax		
Deferred Tax (credit) / charge relating to earlier years, reversed during the year (refer note 66)	(2,499.77)	976.57
Total (B)	(2,499.77)	976.57
Current tax netted off with Deferred tax recoverable from future tariff	(46.86)	16.78
Total (C)	(46.86)	16.78
OCI section		
Deferred tax related to items recognised in OCI during the year (D)	-	(0.78)
Total (A+B+C+D)	(3,314.23)	1,760.80

The income tax expense for the year can be reconciled to the accounting profit as follows:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Profit before tax as per Statement of Profit and Loss	7,674.70	6,577.13
Income tax using the company's domestic tax rate @ 25.168% (Previous year rate @ 25.168%)	1,931.57	1,655.33
Tax Effect of :		
i) Deferred Tax asset not created on temporary differences / unabsorbed depreciation	-	190.75
ii) Unabsorbed Depreciation / brought forward losses utilised	(1,834.68)	(0.76)
iii) Deferred tax asset not recognised for Minimum Alternate Tax (MAT) credit	-	47.47
iv) (Reversal) of / Recognition of MAT on Deferred Tax Recoverable on which deferred tax asset not recognised	(46.86)	16.78
v) Income-taxes related to prior years, reversal of provision	(768.18)	(0.11)
vi) Tax Impact on Distribution to holders of Unsecured Perpetual Securities	(166.40)	(148.45)
vii) Non Deductible Expenses	98.58	29.63
viii) Non Taxable Income	(52.58)	(44.66)
ix) Profit taxable at different tax rates and impact of tax rate differences	24.09	25.61
x) Change in estimate of taxability of certain items pertaining to earlier years	-	(10.01)
xi) Others	-	(0.78)
xii) Reversal of Deferred tax liabilities created in earlier years, refer note 66	(2,499.77)	-
Income tax recognised in Statement of Profit and Loss Total	(3,314.23)	1,760.80

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

39 Earnings per share

		For the year ended 31st March, 2023	For the year ended 31st March, 2022
Basic and Diluted EPS			
Profit after tax for the year	₹ in Crores	10,726.64	4,911.58
Less : Distribution on Unsecured Perpetual Securities (including paid - ₹661.17 Crores (Previous year - ₹589.83 Crores))	₹ in Crores	1,251.65	1,197.95
Profit attributable to equity shareholders after impact of distribution on Unsecured Perpetual Securities	₹ in Crores	9,474.99	3,713.63
Weighted average number of equity shares outstanding during the year	No.	3,85,69,38,941	3,85,69,38,941
Nominal Value of equity share	₹	10	10
Basic and Diluted EPS	₹	24.57	9.63

40 Details of Subsidiaries:

The consolidated financial statements comprise the financial statements of the parent company, Adani Power Limited and the following subsidiaries.

Name of the subsidiaries	Country of incorporation	Effective ownership in subsidiary as at	
		31st March, 2023	31st March, 2022
Adani Power Resources Limited ("APReL")	India	51%	51%
Adani Power (Jharkhand) Limited	India	100%	100%
Mahan Energen Limited ("MEL") (Formerly known as Essar Power MP Limited (Refer note 42) (w.e.f 16th March, 2022)	India	100%	100%
Adani Power Dahej Limited	India	100%	100%
Pench Thermal Energy (MP) Limited	India	100%	100%
Kutchh Power Generation Limited	India	100%	100%
Mahan Fuel Management Limited (w.e.f 28th February, 2022)	India	100%	100%
Alcedo Infra Park Limited (w.e.f 2nd March, 2022)	India	100%	100%
Chandenvale Infra Park Limited (w.e.f 24th February, 2022)	India	100%	100%
Emberiza Infra Park Limited (w.e.f 3rd March, 2022)	India	100%	100%
Resurgent Fuel Management Limited (w.e.f 20th April, 2022)	India	100%	-
Aviceda Infra Park Limited (w.e.f 5th September, 2022)	India	100%	-
Support Properties Private Limited (w.e.f 7th June, 2022 to 21st March, 2023)	India	-	-
Innovant Buildwell Private Limited (Formerly Known as - Eternus Real Estate Private Limited) (w.e.f 7th June, 2022)	India	100%	-

Note:

The principal activity of these Subsidiaries is generation of power and other related activities except in case of the subsidiaries viz. Alcedo Infra Park Limited, Aviceda Infra Park Limited, Chandenvale Infra Park Limited, Emberiza Infra Park Limited, Support Properties Private Limited and Innovant Buildwell Private Limited (Formerly Known as - Eternus Real Estate Private Limited), for which the principal activity is to acquire land parcel and simultaneously develop infrastructure facilities as a part of trading, investment and other business activities.

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41 Non-Controlling Interest (NCI)

Non controlling interest relate to APReL as on 31st March, 2023. NCI holds 49% shares in APReL.

The table below shows summarised financial information of subsidiaries of the Group that have non-controlling interests.

Particulars	As at 31st March, 2023	As at 31st March, 2022
Non-current assets	-	0.01
Current assets	0.02	0.01
Non-current liabilities	0.01	0.01
Current liabilities	-	-
Net Assets	0.01	0.01
Equity attributable to owners of the group	0.01	0.01
Non-controlling interest	*	*

(Figures below ₹50,000 are denominated with *)

42 Business Combinations

Acquisition of Mahan Energen Limited ("MEL")

National Company Law Tribunal ("NCLT") vide its order dated 1st November, 2021, approved the Company's resolution plan in respect of corporate insolvency resolution process of MEL. The Company acquired control over MEL w.e.f. 16th March 2022 on fulfilment of conditions precedent as per resolution plan and on infusion of agreed amount of equity capital of ₹1 crores along with upfront payment of ₹600 crores to the lenders. The business acquisition accounting of this transaction has been done under Ind AS 103 "Business Combinations" w.e.f. 31st March, 2022 using practical expedient. Accordingly, the assets and liabilities of MEL as at 31st March, 2022 have been considered for consolidation with the Group.

The business acquisition accounting of this transaction has been done in terms of Ind AS 103 "Business Combinations". The acquisition was accounted for in the books, using the acquisition method and accordingly, all the assets and liabilities were measured at their fair values as on the acquisition date.

This has resulted in capital reserve aggregating to ₹378.92 Crores in consolidated financial statements of Adani Power Limited.

The fair value of the identifiable assets and liabilities of MEL as at 31st March, 2022 based on audited accounts of MEL were:

Particulars	Amount
ASSETS	
Non-current Assets	
(a) Property, Plant and Equipment (including RoU assets)	3,172.67
(b) Other Non-current Assets	309.38
Total Non-Current Assets	3,482.05
Current Assets	
(a) Inventories	50.20
(b) Financial Assets	
(i) Trade Receivables (Refer note (i) below)	70.91
(ii) Cash and Cash Equivalents	202.35
(iii) Bank balances other than (ii) above	139.00
(iv) Other Financial Assets	0.58

Notes to Consolidated Financial Statements

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42 Business Combinations (Contd.)

Particulars	Amount
(c) Other Current Assets	183.12
Total Current Assets	646.16
Total Assets	4,128.21
LIABILITIES	
Non-current Liabilities	
(a) Financial Liabilities	
(i) Borrowings	2,760.61
(b) Long Term Provisions	79.05
(c) Deferred Tax Liabilities (Net)	195.91
Total Non- Current Liabilities	3,035.57
Current Liabilities	
(a) Financial Liabilities	
(i) Borrowings	649.99
(ii) Trade Payables	52.96
(b) Other Current Liabilities	3.28
(c) Short Term Provisions	6.49
Total Current Liabilities	712.72
Total Liabilities	3,748.29
Net Assets of the Company (Total Assets Less Total Liabilities)	379.92
Equity Infusion	1.00
Capital Reserve on Acquisition	378.92

- (i) Gross contractual value and fair value of trade receivables are not materially different as MEL is regularly receiving dues from its customers. Hence, there are no ECL related to trade receivable.

Net cash flow arising on acquisition during the year ended 31st March, 2022 is as below:

Particulars	Amount
Total equity infusion	1.00
Net cash acquired through the subsidiary (included in cash flows from investing activities)	202.35
Net cash inflow on acquisition	201.35

Details of Total Income and Profitability have been considered for Consolidated financial statement as if MEL was acquired on 1st April, 2021

Particulars	Amount
Total Income	1,775.49
Profit for the year	175.52

Transaction cost incurred for acquisition of MEL recognised in statement of profit and loss for the year ended 31st March, 2022 as per below :

Particulars	Amount
Legal and Profession Expenses	1.33
Other Borrowing Cost	0.36
Total Transaction cost	1.69

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All amounts are in ₹ Crores, unless otherwise stated

43 Contingent Liabilities and Commitments (to the extent not provided for) :

(a) Contingent Liabilities :

Particulars	As at 31st March, 2023	As at 31st March, 2022
i) Claims against the Group not acknowledged as debts in respect of:		
a. Income Tax demands (under appeal)	27.74	69.04
b. Entry Tax (under appeal)	1.65	1.51
c. Custom Duty (Refer note 1(a) and 2 below)	1,220.51	1,220.51
d. Transmission Line Relinquishment (Refer note 1(b) below)	154.50	154.50
e. Electricity Duty (Refer note 3 below)	-	25.19
f. Central Sales Tax (under appeal)	13.10	-
g. Value Added Tax (Refer note 4 below)	1.51	-
h. Additional Penalty towards Water Charges (Refer note 5 below)	75.35	-
i. Transmission Line Relinquishment (Refer note 6 below)	184.90	-
Total	1,679.26	1,470.75

Note:

- (a) In Case of Raipur TPP, The Ministry of Power, Government of India vide letter dated 8th September, 2011 had granted Provisional Mega Power Status Certificate under the Mega Power Policy for construction of its 1,370 MW Thermal based Power Plant. In terms of the same, the Company has availed exemptions of duty of customs and excise duty upon submission of bank guarantees worth ₹960.01 Crores and pledge of margin money deposits of ₹59.67 Crores. The grant of final Mega power status of Raipur TPP is dependent upon plant achieving tie up for supply of power for 70% of its installed capacity through long term Power Purchase Agreements by way of competitive bidding and the balance through regulated market within stipulated time. The time period to achieve tie up for supply of power as prescribed in Mega Power Policy has been further extended to 156 months from the date of Import, till 12th September, 2024, by the Ministry of Power, Government of India vide amendment dated 7th April, 2022. The Management expects to comply the conditions and hence no adjustments are made.

(b) In case of Raipur TPP, the Company had entered into a bulk power transmission agreement ('BPTA') with Power Grid Corporation of India Limited ('PGCIL') dated 31st March, 2010 as per which the Company was granted Long term Access ('LTA') of 816 MW. However, owing to non-availability of PPA, which as per management is beyond the control of the Company, Raipur TPP was not in a position to utilise the LTA and has accordingly sought for surrender of the LTA, for which PGCIL has raised demand of ₹154.50 Crores towards relinquishment charges on the Company. However, the said claim will be subject to the outcome of the petition dated 7th September, 2020 filed by the Company before the APTEL.
- For the Company's Udipi TPP and Tiroda TPP, matter on Custom Duty relating to March 2012 to February 2013 is contested at Customs, Excise and Service Tax Appellate Tribunal ("CESTAT").
- In case of Raigarh TPP, Chief Electrical Inspector, Government of Chhattisgarh ('CEIG'), has raised demand for electricity duty on auxiliary power consumption @15% of tariff instead of @ 10% as per the circular dated 12th August, 2016 from January 2015 to December 2021 along with interest. During the current year, the Company has received favourable order from Chief Electrical Inspector, Raipur Office in the matter dated 1st June, 2022.
- For company's Tiroda TPP, Joint Commissioner of State Tax (Adm), Nagpur Division, has raised demand of Value added tax relating to FY 13-14 along with interest.
- In case of APJL, Water resource department ("WRD"), Jharkhand has charged penalty on the amount of penalty on water charges which has not been accepted by APJL as per the terms of agreement and the matter is under discussion with WRD to reconsider the demand.
- In case of MEL, MEL relinquished the long-term transmission agreement for supply of power through Mahan – Sipat transmission line in April 2017, which was accepted by Central Transmission Utility Ltd ("CTUIL"). In this regard, CERC vide its tariff determination order dated 14th March, 2022 imposed

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43 Contingent Liabilities and Commitments (to the extent not provided for) : (Contd.)

additional transmission charges on account of change in technical configuration of the transmission line. Subsequently, MEL filed a review petition stating that no additional charges are leviable, as the transmission line was relinquished. Moreover, MEL also filed an appeal in this matter with the APTEL. While the matter is pending final adjudication, APTEL vide its interim order dated 24th January, 2023 instructed MEL to make interim payments, till the appeal is finally disposed of wherein MEL has made payment of ₹86.76 Crore under protest, till the reporting date. During Corporate Insolvency Resolution Process ("CIRP") of MEL, no claim on the matter has been ascertained by NCLT while approving the Scheme filed by the Company. As per legal opinion obtained by MEL, it has a fair case on merit. Accordingly, no impact towards the said claim has been given in the books of account.

- ii) Apart from above, the Development Commissioner, Mundra has issued a show cause notice to the Company in case of Mundra TPP for the period FY 2009-10 to FY 2014-15 in relation to custom duty on raw materials used for generation of electricity supplied from SEZ to DTA, which amounts to ₹963.94 Crores. The Company has contested the said show cause notice. Further, the management is of the view that such duties on raw material are eligible to be made good to Mundra TPP under the PPA with Discoms or are refundable from the Authorities. Hence, the Company has not considered this as contingent liabilities.
- iii) The Group has assessed that it is only possible, but not probable, that outflow of economic resources will be required in respect of above matters.

(b) Commitments :

	As at 31st March, 2023	As at 31st March, 2022
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	8,674.54	2,193.51
Total	8,674.54	2,193.51

As at 31st March, 2023, capital commitment mainly includes commitment relating to Flue Gas Desulphurisation project.

Others:

- (i) The Company has given a commitment to lenders of Mahan Energen Limited ("MEL") that it will not transfer its 49% equity holding in MEL outside the Adani Power Group, except with the prior approval of lenders.

44 Leases

The Group has lease contracts for land, Building and computer hardware used in its operations. Leases of these items have lease terms between 2 to 99 years. The Group is restricted from assigning and subleasing the leased assets.

The weighted average incremental borrowing rate applied to lease liabilities is 8.50%.

(i) The following is the movement in Lease liabilities.

Particulars	As at 31st March, 2023	As at 31st March, 2022
Opening Balance	102.75	107.41
Add : Addition on account of new lease arrangements during the year	-	0.74
Add : Finance cost incurred for the year	9.41	9.86
Less : Payment of Lease Liabilities	(14.68)	(15.26)
Closing Balance (Refer note 20 and 26)	97.48	102.75

(ii) Classification of Lease Liabilities:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Current Lease Liabilities	9.16	8.39
Non-current Lease Liabilities	88.32	94.36

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44 Leases (Contd.)

(iii) Disclosure of expenses related to Lease:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Interest on lease liabilities (net of capitalisation)	9.32	9.71
Depreciation expense on Right-of-use assets	24.90	23.80
Expense Related to Short Term Leases and Leases of Low Value	10.60	5.69

(iv) Amount recognised in statement of Cash Flows:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Payment of lease liability (including interest paid (net of capitalisation) ₹9.32 Crores (previous year - ₹9.71 Crores))	14.68	15.26

(v) The additions to the Rights-of-use asset during the year and its carrying value - Refer note 4.1 (ix)

(vi) The undiscounted maturity analysis of lease liabilities over the remaining lease term is as follows:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Less than 1 year	15.54	14.61
1 to 5 years	47.85	51.36
More than 5 year	308.94	319.64

45 Provision for Mine Closure Obligation

Particulars	As at 31st March, 2023	As at 31st March, 2022
Opening Balance	39.44	45.72
Add: Interest on account of unwinding of Provision	2.63	-
Less: Remeasurement impact (net)	-	(6.28)
Closing Balance (Refer note 22)	42.07	39.44

Note :

In case of Raipur TPP, the mine closure obligation has been remeasured based on the management estimate for the cost likely to be incurred on mine closure.

46 Provision for obligation incidental to land acquisition

Particulars	As at 31st March, 2023	As at 31st March, 2022
Opening Balance	85.13	-
Add : Addition on account of acquisition of subsidiary (Refer note 42)	-	85.13
Less: Amount utilised during the year	(6.34)	-
Less: Amount (adjusted)/charged in statement of profit and loss	(6.93)	-
Closing Balance (Refer note 22 and 30)	71.86	85.13

Note :

The company has capitalised R&R expenditure incurred till 31st March 2013 towards land owners with cost of land, as assessed and estimated by the management. As per IND AS 16 post acquisition of land, R&R expenses is charged to the Statement of Profit and Loss.

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- 47** The Company has incurred cost of ₹103.75 Crores for the development of Jitpur Coal Block mine in the earlier years and had also given performance bank guarantee of ₹92.90 Crores to the government authorities.

Considering the long pendency of the matter relating to development of mine, the Company applied for surrender of the coal block to Nominated Authority and requested for refund of the costs incurred and release of the performance bank guarantee. The Nominated Authority vide its letter dated 17th September, 2021, accepted the surrender petition by the Company and ordered for invocation of bank guarantee along with obligation to fulfil antecedent liability. On 29th September 2021, the Hon'ble Delhi High Court, in response to petition filed by the Company, has stayed the invocation of the said performance bank guarantee and restrained the Nominated Authority from taking any coercive steps in the matter. Further the Hon'ble Delhi High Court vide its order dated 3rd March, 2022, instructed the Nominated authority that the said performance bank guarantee shall be returned within one week from the date of execution of "Letter of Intent of Coal Mines Production and Development Agreement" with a new bidder. The Nominated Authority has concluded the fresh e-auction of Jitpur Coal Block on 13th September, 2022 and allotted mine to new bidder on 13th September, 2022.

Earlier, the Company has submitted the details of costs / expenditure incurred towards development of mine with Nominated Authority, however based on allotment of mine to a new bidder, the Company expects a favourable resolution relating to cost realisation of Jitpur mine with Nominated Authority. The Company has also obtained legal opinion basis which it is reasonably confident to get compensation realised of the entire costs incurred towards the development of the coal mine in the subsequent period.

- 48** The Company through erstwhile subsidiary, Raipur Energen Limited ("REL") has incurred cost of ₹55.57 Crores and ₹30.75 Crores towards development of Talabira Coal mine and Ganeshpura Coal mine, respectively in the earlier years.

In the above matter, earlier the Company had filed two writ petitions with Hon'ble Delhi High Court requesting surrender of the said mines in view of Union of India's ("UoI") notification dated 16th April, 2015 stating capping of the fixed / capacity charges and also requested to refund the costs incurred along with the release of bid security. The Hon'ble Delhi High Court vide its single order dated 15th April, 2019 dismissed the petitions on the ground of delay in filing of writ petitions. Consequently, the Company filed petitions before Hon'ble Supreme Court to set aside the order of the Hon'ble Delhi High Court. Pending adjudication of the petitions, Hon'ble Supreme Court directed UoI and others vide its order dated 30th May, 2019 that no coercive action to be taken in these matters.

The management expects favourable resolution of these matters and is reasonably confident to realise the entire cost spent towards these coal mines as compensation in the subsequent periods.

- 49** The Government of India conducted bidding for allocation of coal blocks, under the coal block auction process whereby MEL acquired the rights of Tokisud Coal Block (in the state of Jharkhand) on 18th March, 2015. Subsequently, in the month of April 2015, by way of a notification, Ministry of Power put cap on the fixed/capacity charges due to which MEL had filed a writ petition in the High Court of Delhi for impugning the above referred notification and also offered to return the said coal block to the Government of India against return of the performance security in the form of Bank Guarantee of ₹261.76 Crores provided by MEL and moneys paid, without any penalty.

However, Hon'ble High Court vide its judgement dated 15th April 2019 dismissed the petition of MEL. Subsequently, MEL has filed Special Leave Petition (SLP) before the Hon'ble Supreme Court against the order of the Hon'ble High Court. Meanwhile, the bank guarantee of ₹261.76 Crores had been invoked by the Nominated Authority.

The Union Ministry of Coal has re-allocated the said coal block to National Mineral Development Corporation (NMDC) for commercial mining. MEL had incurred a total of ₹491.62 Crores towards development of tokisud coal mine. Nominated authority vide order dated 16th March, 2022 determined ₹163.23 crores being the total compensation payable by successful allottee (NMDC) to MEL. The said amount has been received during the year. During the pendency of the matter in Supreme Court, MEL has fully provided for the balance receivable of ₹328.41 crores during the previous year.

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- 50** The National Green Tribunal ("NGT") in a matter relating to non-compliance of environmental norms relating to Udupi TPP directed the Company vide its order dated 14th March, 2019, to make payment of ₹5.00 Crores as an interim environmental compensation to Central Pollution Control Board ("CPCB"), which was deposited by the Company with CPCB under protest, in April 2019 and expensed the same in the books.

NGT vide its order dated 31st May, 2022 settled the matter and directed the Company to deposit an additional amount of ₹47.02 Crores with CPCB within 3 months from the date of order. The Company has recognised expense provision in the books of ₹47.02 Crores on conservative basis. The Company has filed petition with the Hon'ble Supreme Court dated 26th August, 2022 against the above referred NGT order. The Udupi TPP continues to operate in compliance with all the conditions under Environment Clearance as at reporting date.

- 51** (a) In respect of Power Purchase Agreement ("PPA / SPPA") for Bid 2 with Gujarat Urja Vikas Nigam Limited ("GUVNL"), for supply of 1,234 MW power through Mundra TPP (as amended), the Hon'ble Supreme Court, vide its order dated 2nd July, 2019, had allowed appeal filed by the Company, for termination of long term PPA / SPPA with retrospective effect from the date of PPA i.e. 2nd February, 2007 and allowed the Company to claim compensatory tariff. Till reporting period ended 31st December, 2021, GUVNL was in appeal in the matter with Hon'ble Supreme Court and had filed the curative petition.

On 3rd January 2022, a settlement deed was entered between the Company and GUVNL to resolve all pending matters / disputes relating to Bid 1 & Bid 2 and as per the Settlement deed followed by Supplemental Power Purchase Agreement dated 30th March, 2022, GUVNL approached CERC to determine the base energy tariff rates for power sales under Bid 1 & Bid 2 SPPAs, with retrospective effect from 15th October, 2018, for submission to the Government of Gujarat ("GoG"). CERC vide its order dated 13th June 2022 recommended the base energy tariff rates for final approval of GoG which is pending as on reporting date. CERC order allows the Company and GUVNL to mutually agree on adoption of six monthly or monthly escalation index to apply over base energy tariff rate as on October 2018 for determination of subsequent period energy rates. Pending approval of the base energy tariff rate by GoG and the mutual agreement between the Company and GUVNL on methodology for escalation index, the Company has made adjustments in the revenue of ₹269.09 Crores based on prudent principles with conservative parameters. Presently, revenue in this matter has been recognised based on pass through of coal cost in a prudent and consistent basis as concluded through Supplemental Agreement dated 30th March, 2022.

- (b) On 28th February 2023, a Supplemental Power Purchase Agreements ("SPPA") has been signed with Dakshin Haryana Bijli Vitaran Nigam Limited and Uttar Haryana Bijli Vitaran Nigam Limited (collectively "Haryana DISCOMs") in respect of its two existing Power Purchase Agreements ("PPA") of net contracted capacity of 712 MW each (1424 MW in aggregate at Generation end). Under the terms of the SPPAs, the net capacity contracted with Haryana DISCOMs has been reduced to 600 MW each, or 1200 MW in aggregate, as delivered. This development allowed the Company to schedule power supply to Haryana DISCOMs using two dedicated Units of 660 MW each instead of all three units of Phase IV of Mundra TPP. This will also allow efficient recovery of alternate fuel costs in case of demand from Haryana DISCOMs exceeds domestic coal availability under the FSA. Further on 14th April, 2023, the Company has entered into long term PPA of 360 MW with MPSEZ Utilities Limited ("MUL") to be supplied from third unit of Mundra TPP Phase-IV.

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51 (Contd.)

In respect of Mundra TPP, the Company has claimed tariff compensation claim (including carrying cost thereon) for additional cost incurred related to power generation against 1424 MW of Power Purchase Agreement due to shortfall in domestic coal based on supplies under Fuel Supply Agreements with Collieries of Coal India Limited's subsidiaries, against power supplied to Haryana Discoms based on favourable CERC Order dated 31st May, 2018 and 13th June, 2019 duly upheld by APTEL order dated 3rd November, 2020 and 30th June, 2021. However, Haryana Discom had filed an appeal with the Hon'ble Supreme Court against the aforesaid order of APTEL although the Company had recognised revenue supported by favourable order in respect of similar other matters. The Hon'ble Supreme Court after issuing interim relief order dated 16th February, 2021 passed its final orders dated 20th April, 2023 upheld all the matters which were concluded in the APTEL order towards tariff compensation claims relating to NCDP and SHAKTI policy respectively. Based on final order of Hon'ble Supreme Court, there is no significant change in tariff compensation claims recognised on best estimate as per the orders of CERC / APTEL and management expects to fully realise outstanding balances of such claims from the discom.

The management believes that with majority of the tariff compensation claim issues relating to GUVNL and Haryana Discoms have been resolved, over a foreseeable future Mundra TPP of the Company would be able to establish profitable operations and meet its performance and financial obligations. Hence, based on the assessment of value in use of Mundra TPP, no provision / adjustment is considered necessary to the carrying value of its Mundra TPP related property, plant and equipment aggregating to ₹16,200.47 Crores as at 31st March, 2023.

- (c) The Group has determined the recoverable amounts of the Power Plants (including goodwill allocated to respective Power Plants) over their useful lives based on the Cash Generating Units ("CGUs") identified, as required under Ind AS 36, Impairment of Assets on the basis of their Value in Use by estimating the future cash inflows over the estimated useful life of the Power Plants. Further, the cash flow projections are based on estimates and assumptions relating to tariff, operational performance of the Plants, availability of domestic coal under fuel supply agreement / coal linkage as per the directives of Competent Authority, life extension plans, market prices of coal and other fuels, exchange variations, inflation, terminal value etc. which are considered reasonable by the Management.

On a careful evaluation of the aforesaid factors, the Management of the Group has concluded that the recoverable value of such CGUs individually is higher than their respective carrying amounts as at 31st March 2023. However, if these estimates and assumptions were to change in future, there could be corresponding impact on the recoverable amounts of the Plants.

- 52 GUVNL vide its letter dated 21st May, 2021 has raised certain claims on the Company for excess energy injected during the period 1st April, 2017 to 31st October, 2020 from the 40 MW solar power plant at Bitta in terms of the power purchase agreement and has withheld ₹72.10 Crores against power supply dues in the previous year. GERC vide its order dated 3rd November, 2022 in the matter accepting the petition of the Company in the said matter and directed GUVNL to make payment of the amount withheld within three months from the date of order along with late payment surcharge as per PPA. However, GUVNL has filed an appeal with APTEL against the said order of GERC and the matter is pending adjudication. The management, based on GERC order, expects favourable outcome in the matter. As per interim order of APTEL, the Company has already received ₹51.75 Crores being 75% of the withheld amount subject to outcome of appeal with APTEL. The Management expects favourable resolution of this matter and is

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reasonably confident to realise the outstanding dues.

- 53** The Group has taken various derivatives to hedge its risks associated with foreign currency fluctuations on items including principal loan amount and interest thereof along with interest rate changes. The outstanding position of derivative instruments is as under :

Particulars	Purpose	As at 31st March, 2023		As at 31st March, 2022	
		Amount	USD (in Millions)	Amount	USD (in Millions)
Forward covers	Hedging of Trade Credits, Acceptances, Creditors and future coal contracts	2,007.41	244.30	3,083.61	406.85
	Hedging of ECB and interest	503.37	61.26	764.43	100.86
Options	Hedging of ECB and interest	-	-	565.36	74.59
Principal only swaps (through cash flow hedge)	Hedging of LC, Acceptances, Creditors	3,689.02	448.95	4,044.08	533.57
Cross currency interest rate swap (through cash flow hedge)	Hedging of LC, Acceptances, Creditors	2,691.07	327.50	3,215.24	424.22
Interest rate swaps	Hedging of interest rate on ECB	-	-	467.70	61.71
		8,890.87		12,140.42	

The details of foreign currency exposures not hedged by derivative instruments are as under :

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	Amount	Foreign Currency (in Millions)	Amount	Foreign Currency (in Millions)
1. Import Creditors and Acceptances	2,084.90	USD 253.73	1,333.17	USD 175.90
	0.84	GBP 0.08	-	-
	0.52	EURO 0.06	-	-
2. Foreign currency borrowings	847.51	USD 103.14	3,075.10	USD 405.70
3. Interest accrued but not due	16.02	USD 1.95	1.18	USD 0.16
4. Other Receivables	-	-	(3.06)	USD (0.40)
	2,949.79		4,406.39	

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54 Financial Risk Management Objective and Policies :

The Group's risk management activities are subject to the management direction and control under the framework of Risk Management Policy as approved by the Board of Directors of the Company. The Management ensures appropriate risk governance framework for the Group through appropriate policies and procedures and the risks are identified, measured and managed in accordance with the Group's policies and risk objectives.

In the ordinary course of business, the Group is exposed to Market risk, Credit risk and Liquidity risk.

(i) Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: interest rate risk, currency risk and commodity risk.

a) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the part of Group's debt obligations with floating interest rates.

The Group manages its interest rate risk by having a mixed portfolio of fixed and variable rate loans and borrowings. To manage this, the Group enters into interest rate swaps, in which it agrees to exchange, at specified intervals, the difference between fixed and variable rate interest amounts calculated by reference to an agreed upon notional principal amount.

The sensitivity analysis have been carried out based on the exposure to interest rates for instruments not hedged against interest rate fluctuation at the end of the reporting period. The said analysis has been carried out on the amount of floating rate liabilities outstanding at the end of the reporting period. The year end balances are not necessarily representative of the average debt outstanding during the year. A 50 basis point increase or decrease represents management's assessment of the reasonably possible change in interest rates.

In case of fluctuation in interest rates by 50 basis points on the exposure of borrowings (having fluctuating rates i.e. exposed to changes in rates) of ₹21,985.47 Crores as on 31st March, 2023 and ₹24,815.86 Crores as on 31st March, 2022 respectively and if all other variables were held constant, the Group's profit or loss for the year would increase or decrease as follows:

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Impact on Profit or Loss before tax for the year	109.93	124.08
Impact on Equity	109.93	104.30

b) Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities and borrowings. The Group manages its foreign currency risk by hedging transactions that are expected to realise in future. The Group manages its foreign currency risk by entering into currency swap for converting INR loan into other foreign currency for taking advantage of lower cost of borrowing in stable currency environment. The Group also enters into various foreign exchange hedging contracts such as forward covers, swaps, options etc. to mitigate the risk arising out of foreign exchange rate movement on foreign currency borrowings or trade payables.

Every one percentage point depreciation / appreciation in the exchange rate between the Indian rupee and U.S.dollar on the unhedged exposure of \$ 234.08 million as on 31st March, 2023 and \$ 353.40 million as on 31st March, 2022 would have affected the Group's profit or loss for the year as follows:

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54 Financial Risk Management Objective and Policies : (Contd.)

	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Impact on Profit or Loss before tax for the year (net of amounts capitalised under Property, Plant and Equipment)	19.23	26.79
Impact on Equity	16.38	26.77

c) Commodity price risk

The Group is affected by the price volatility of coal prices, including imported coal, which is moderated by optimising the procurement under fuel supply agreement and getting compensated under long term power purchase agreements. Its operating / trading activities require the on-going purchase for continuous supply of coal and other commodities. Therefore the Group monitors its purchases closely to optimise the procurement cost

(ii) Credit risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss.

The Group is having majority of receivables from State Electricity Boards which are Government undertakings and have interest clause on delayed payments and hence they are secured from credit losses in the future.

(iii) Liquidity risk

The Group monitors its risk of shortage of funds using cash flow forecasting models. These models consider the maturity of its financial investments, committed funding and projected cash flows from operations. The Group's objective is to provide financial resources to meet its business objectives in a timely, cost effective and reliable manner and to manage its capital structure. A balance between continuity of funding and flexibility is maintained through internal accruals as well as adequately adjusting the working capital cycle and additional support from promoter group companies on need basis.

Maturity profile of financial liabilities :

The table below has been drawn up based on the undiscounted contractual maturities of the financial liabilities including interest that will be paid on those liabilities upto the maturity of the instruments.

As at 31st March, 2023	Carrying Amount	Less than 1 year	1 to 5 years	More than 5 years	Total
Borrowings (Refer note 19 and 25)	42,252.05	11,954.46	30,776.86	13,145.76	55,877.08
Trade Payables	3,079.45	3,079.45	-	-	3,079.45
Derivative Instruments	7.04	7.04	-	-	7.04
Lease liabilities	97.48	15.54	47.85	308.94	372.33
Other Financial Liabilities	2,454.54	2,454.54	-	-	2,454.54

As at 31st March, 2022	Carrying Amount	Less than 1 year	1 to 5 years	More than 5 years	Total
Borrowings (Refer note 19 and 25)	48,795.68	13,795.22	31,913.34	19,140.56	64,849.12
Trade Payables	3,508.21	3,508.21	-	-	3,508.21
Derivative Instruments	27.92	18.61	9.31	-	27.92
Lease liabilities	102.75	14.61	51.36	319.64	385.61
Other Financial Liabilities	2,099.77	1,148.71	951.06	-	2,099.77

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55 Contract balances and Trade Receivables Ageing

(i) Contract balances:

The following table provides information about trade receivables, contract assets and contract liabilities from the contracts with customers.

Particulars	As at 31st March, 2023	As at 31st March, 2022
Trade Receivables (Also refer note 32)	11,529.36	9,560.92
Contract assets relate to the invoices pending to be raised	0.18	264.63
Contract liabilities relate to advance received from customers	32.73	53.26

Set out below is the amount of revenue recognised from:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Amount included in contract liabilities at the beginning of the year	53.26	19.11

Reconciliation of the amount of revenue recognised in the statement of profit and loss with the contracted price:

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Revenue as per contracted price (excluding other operating revenue)	38,286.81	27,787.56
Adjustments		
Discount on prompt payment	(83.31)	(102.88)
Discount under Shakti Scheme	(33.54)	(29.78)
Transferred to Capital Work in Progress	(146.93)	-
Revenue from contract with customers	38,023.03	27,654.90

(ii) Trade Receivable Ageing:

a. Balance as at 31st March, 2023

Particulars	Unbilled	Not due	Outstanding for following periods from due date of Payment					Total
			Less than 6 Months	6 Months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivable - Considered Good	1,730.92	3,878.25	4,119.59	728.43	125.38	207.69	718.75	11,509.01
Disputed Trade receivable - Considered Good (Refer note 52)	-	-	-	-	20.35	-	-	20.35
Total	1,730.92	3,878.25	4,119.59	728.43	145.73	207.69	718.75	11,529.36

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

55 Contract balances and Trade Receivables Ageing (Contd.)

b. Balance as at 31st March, 2022

Particulars	Unbilled	Not due	Outstanding for following periods from due date of Payment					Total
			Less than 6 Months	6 Months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivable - Considered Good	1,281.50	3,104.91	1,901.90	299.63	1,150.39	614.76	270.42	8,623.51
Disputed Trade receivable - Considered Good (Refer note 51 (b) & 52)	-	85.03	41.62	30.84	34.91	525.74	219.27	937.41
Total	1,281.50	3,189.94	1,943.52	330.47	1,185.30	1,140.50	489.69	9,560.92

- The above ageing has been calculated based on due date as per terms of agreement. In case where due date is not provided, date of transaction is considered.
- Includes ₹1,192.50 Crores (Previous year - ₹1,000.00 Crores) of Customers' bills discounted considered as not due.
- Trade receivable includes certain balances which are under reconciliation / settlement with Discoms for payment / closure.
- Also refer note 3(vii).

56 Capital management :

The Group's objectives when managing capital is to safeguard continuity, maintain a strong credit rating and healthy capital ratios in order to support its business and provide adequate return to shareholders through continuing growth. The Group's overall strategy remains unchanged from previous year.

The Group sets the amount of capital required on the basis of annual business and long-term operating plans which include capital and other strategic investments.

The funding requirements are met through a mixture of equity, unsecured perpetual securities, internal fund generation and other long term borrowings. The Group monitors capital and long term debt on the basis of debt to equity ratio.

The debt equity ratio at the end of the reporting period is as follows :

Particulars	As at 31st March, 2023	As at 31st March, 2022
Debt (Refer note (i) below)	36,677.95	41,658.06
Total Capital (Refer note (ii) below)	29,875.66	18,703.44
Debt Equity Ratio (In times)	1.23	2.23

Notes:

- Debt is defined as Non-current borrowings (including current maturities) and lease liabilities.
- Capital is defined as Equity share capital, Unsecured perpetual securities and other equity including reserves and surplus.

The Company believes that it will be able to meet all its current liabilities and interest obligations in timely manner. The Company's capital management ensure that it meets financial covenants attached to the interest bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to levy penal interest as per terms of sanction. There have been no breaches in the financial covenants of any interest bearing loans and borrowings in the current year. No changes were made in the objectives, policies or processes for managing capital by the Company.

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for the year ended 31st March, 2023

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57 Fair Value Measurement :

a) The carrying value of financial instruments by categories as of 31st March, 2023 is as follows :

Particulars	Fair Value through other Comprehensive income	Fair Value through profit or loss	Amortised cost	Total
Financial Assets				
Cash and cash equivalents	-	-	349.23	349.23
Bank balances other than cash and cash equivalents	-	-	1,857.45	1,857.45
Investments	-	611.54	42.51	654.05
Trade Receivables	-	-	11,529.36	11,529.36
Loans	-	-	3.19	3.19
Derivative Instruments	371.98	-	-	371.98
Other Financial assets	-	-	632.20	632.20
Total	371.98	611.54	14,413.94	15,397.46
Financial Liabilities				
Borrowings	-	-	42,252.05	42,252.05
Trade Payables	-	-	3,079.45	3,079.45
Derivative Instruments	-	7.04	-	7.04
Lease liabilities	-	-	97.48	97.48
Other Financial Liabilities	-	-	2,454.54	2,454.54
Total	-	7.04	47,883.52	47,890.56

b) The carrying value of financial instruments by categories as of 31st March, 2022 is as follows :

Particulars	Fair Value through other Comprehensive income	Fair Value through profit or loss	Amortised cost	Total
Financial Assets				
Cash and cash equivalents	-	-	782.37	782.37
Bank balances other than cash and cash equivalents	-	-	2,008.52	2,008.52
Investments	-	183.24	0.01	183.25
Trade Receivables	-	-	9,560.92	9,560.92
Loans	-	-	7.62	7.62
Derivative Instruments	72.37	84.27	-	156.64
Other Financial assets	-	-	581.47	581.47
Total	72.37	267.51	12,940.91	13,280.79
Financial Liabilities				
Borrowings	-	-	48,795.68	48,795.68
Trade Payables	-	-	3,508.21	3,508.21
Derivative Instruments	12.47	15.45	-	27.92
Lease liabilities	-	-	102.75	102.75
Other Financial Liabilities	-	-	2,099.77	2,099.77
Total	12.47	15.45	54,506.41	54,534.33

The fair value of financial assets and financial liabilities are reasonably approximate the carrying value, since the Company does not anticipate that the carrying amount would be significantly different from the values that would eventually be received or settled.

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58 Level wise disclosure of fair value for financial instruments requiring fair value measurement/ disclosure :

Particulars	As at 31st March, 2023			
	Level 1	Level 2	Level 3	Total
Assets			-	
Investment	-	611.54	-	611.54
Derivative Instruments	-	371.98	-	371.98
Total	-	983.52		983.52
Liabilities			-	
Derivative Instruments	-	7.04	-	7.04
Total	-	7.04		7.04

Particulars	As at 31st March, 2022			
	Level 1	Level 2	Level 3	Total
Assets				
Investment	-	183.24	-	183.24
Derivative Instruments	-	156.64	-	156.64
Total	-	339.88	-	339.88
Liabilities				
Derivative Instruments	-	27.92	-	27.92
Total	-	27.92	-	27.92

The fair value of the financial assets and financial liabilities included in the level 2 categories above have been determined in accordance with generally accepted pricing models based on a discounted cash flow analysis, with the most significant inputs being the discount rate that reflects the credit risk of counterparties. The most frequently applied valuation techniques include forward pricing and swap models, using present value calculations. The models incorporate various inputs including the credit quality of counterparties, foreign exchange spot and forward rates, yield curves of the respective currencies, currency basis spreads between the respective currencies, interest rate curves and forward rates curves of the underlying derivative.

There have been no transfers between Level 1 and Level 2 during the year.

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59 (a) Defined Benefit Plan

The Group operates a defined benefit plan (the Gratuity plan) covering eligible employees, which provides a lump sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of employment.

As per Ind AS - 19 "Employee Benefits", the disclosures are given below :

Particulars	As at 31st March, 2023	As at 31st March, 2022
i. Reconciliation of Opening and Closing Balances of Defined Benefit Obligation		
Liability at the beginning of the year	89.84	68.75
Current Service Cost	11.13	8.41
Interest Cost	6.12	4.60
Liability Transferred in / out	(2.02)	(1.49)
Acquisition adjustment	-	3.74
Benefits paid	(6.55)	(5.01)
Re-measurement (or Actuarial) (gain) / loss arising from:		
change in demographic assumptions	1.35	(5.43)
change in financial assumptions	(3.67)	14.73
experience variance (i.e. Actual experience vs assumptions)	7.59	1.54
Present Value of Defined Benefits Obligation at the end of the year	103.80	89.84
ii. Reconciliation of Opening and Closing Balances of the Fair value of Plan Assets		
Fair Value of Plan assets at the beginning of the year	24.47	22.00
Investment Income	1.68	1.47
Acquisition adjustment	-	3.53
Benefits paid	(3.31)	(2.22)
Return on plan assets , excluding amount recognised in net interest expense	(0.62)	(0.31)
Fair Value of Plan assets at the end of the year	22.21	24.47
iii. Reconciliation of the Present value of defined benefit obligation and Fair value of plan assets		
Present Value of Defined Benefit Obligations at the end of the year	103.80	89.84
Fair Value of Plan assets at the end of the year	22.21	24.47
Net (Liability) / Asset recognized in balance sheet as at the end of the year	(81.59)	(65.37)
iv. Composition of Plan Assets		
Plan assets for the Company is administered by Life Insurance Corporation of India. In case of MEL, plan assets is administered by Life Insurance Corporation of India and SBI Life Insurance. Except these two companies, all plan assets are unfunded.		
v. Gratuity Cost for the year		
Current service cost	11.13	8.41
Interest cost	6.12	4.60
Expected return on plan assets	(1.68)	(1.47)
Net Gratuity cost recognised in the statement of Profit and Loss	15.57	11.54

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

59 (a) Defined Benefit Plan (Contd.)

As per Ind AS - 19 "Employee Benefits", the disclosures are given below :

Particulars	As at 31st March, 2023	As at 31st March, 2022
vi. Other Comprehensive Income		
Actuarial (gains) / losses		
Change in demographic assumptions	1.35	(5.43)
Change in financial assumptions	(3.67)	14.73
Experience variance (i.e. Actual experience vs assumptions)	7.59	1.54
Return on plan assets, excluding amount recognised in net interest expense	0.63	0.31
Less: capitalised	-	(0.42)
Components of defined benefit costs recognised in other comprehensive income	5.90	10.73

vii. Actuarial Assumptions

Particulars	As at 31st March, 2023	As at 31st March, 2022
Discount Rate (per annum)	7.50%	6.70%
Expected annual Increase in Salary Cost	10.00%	10.00%
Attrition / Withdrawal rate (per annum)	6.59%	6.28%
Mortality Rates as given under Indian Assured Lives Mortality (2012-14) Ultimate Retirement Age 58 Years.		

viii. Sensitivity Analysis

Significant actuarial assumptions for the determination of the defined benefit obligation are discount rate, expected salary increase and mortality. The sensitivity analysis below have been determined based on reasonably possible changes of the assumptions occurring at the end of the reporting period, while holding all other assumptions constant. The results of sensitivity analysis is given below:

Particulars	As at 31st March, 2023	As at 31st March, 2022
Defined Benefit Obligation (Base)	103.80	89.84

Particulars	As at 31st March, 2023		As at 31st March, 2022	
	Decrease	Increase	Decrease	Increase
Discount Rate (- / + 1%)	9.53	8.20	4.00	10.41
Salary Growth Rate (- / + 1%)	8.10	9.21	10.29	3.69
Attrition Rate (- / + 50%)	6.14	4.05	3.19	8.07
Mortality Rate (- / + 10%)	0.07	0.01	3.68	3.76

ix. Asset Liability Matching Strategies

The Company and MEL has funded benefit plan and have purchased insurance policy, which is basically a year-on-year cash accumulation plan in which the interest rate is declared on yearly basis and is guaranteed for a

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for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

59 (a) Defined Benefit Plan (Contd.)

period of one year. The insurance Company, as part of the policy rules, makes payment of all gratuity outgoes happening during the year (subject to sufficiency of funds under the policy). The policy thus, mitigates the liquidity risk. However, being a cash accumulation plan, the duration of assets is shorter compared to the duration of liabilities. Thus, the Group is exposed to movement in interest rate, which can result in a increase in liability without corresponding increase in the funded asset wherever applicable. Gratuity plan is unfunded in other subsidiaries.

x. Effect of Plan on Entity's Future Cash Flows

a) Funding arrangements and Funding Policy

The Company and MEL have purchased an insurance policies to provide for payment of gratuity to the employees. Every year, the insurance company carries out a funding valuation based on the latest employee data provided by these Companies. Any deficit in the assets arising as a result of such valuation is funded by these Companies.

b) Expected Contribution during the next annual reporting period

The best estimate of contribution during the next year is ₹15.06 Crores.

c) Maturity Profile of Defined Benefit Obligation

Weighted average duration (based on discounted cash flows) - 9 years

Expected cash flows in future (valued on undiscounted basis):	Amount
1 year	13.87
2 to 5 years	34.20
6 to 10 years	45.24
More than 10 years	137.36

- xi. The Group has defined benefit plans for Gratuity to eligible employees. The contributions are made to Life Insurance Corporation of India and SBI Life Insurance (in case of MEL) who invests the funds as per Insurance Regulatory Development Authority guidelines.

The discount rate is based on the prevailing market yields of Government of India securities as at the balance sheet date for the estimated term of the obligations.

The expected contributions for Defined Benefit Plan for the next financial year will be in line with FY 2022-23.

The actuarial liability for compensated absences as at the year ended 31st March, 2023 is ₹53.07 Crores (As at 31st March, 2022 ₹48.36 Crores).

(b) Defined Contribution Plan

Contribution to Defined Contribution Plans, recognised in Statement of Profit and Loss, for the year is as under :

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Employer's Contribution to Provident Fund	25.16	20.90
Employer's Contribution to Superannuation Fund	0.15	0.19
Total	25.31	21.09
Less: Capitalised during the year	(1.53)	(1.37)
Total	23.78	19.72

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60 Based on the information available with the Group, there is no transaction with struck off companies except as follows :

Name of the struck off company	Nature of transaction	As at 31st March, 2023	As at 31st March, 2022
Pyrotech Electronics Private Limited	Payables	0.01	0.01
Advance Valves Private Limited	Payables	0.02	0.02
Agaria Fabritech And Engg Private Limited	Payables	0.09	-
Agaria Fabritech And Engg Private Limited	Advance Given	0.13	-
Antique Infrastructure Private Limited	Land advance	8.29	8.29

Further, there are certain companies as follow who are holding equity shares of the company. Total shares held by these companies are 39,855 numbers (Previous year - 537 numbers).

Name of struck off companies as at 31st March, 2023	Name of struck off companies as at 31st March, 2022
1. Dreams Broking Private Limited	1. Om Buildmart Private Limited
2. Unique Consulting and Trading Private Limited	2. Hardik Realmart Private Limited
3. Azure Finance Private Limited	
4. New Wave Consultancy Services Private Limited	
5. Shankar Suitings Private Limited	
6. Microtronics Tech Solutions Private Limited	
7. Fairtrade Securities Limited	
8. Allied Commodities Private Limited	
9. Arvind Securities Private Limited	
10. Kothari Intergroup Limited	
11. Growth Consolidated Investment Services Private Limited	
12. Salasar Securities Private Limited	
13. Zenith Insurance Services Private Limited	
14. Advait Finstock Private Limited	
15. Jagat Trading Enterprises Limited	
16. Vitalink Wealth Advisory Services Private Limited	
17. Shiv Products Private Limited	
18. Om Buildmart Private Limited	

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61 Additional information as required by para 2 of the General Instructions for preparation of Consolidated Financial Statements to Schedule III to the Companies Act, 2013:

Name of the Entity	Net assets		Share in profit or loss		Share in other comprehensive income		Share in total comprehensive income	
	As % of consolidated	Amount	As % of consolidated	Amount	As % of consolidated	Amount	As % of consolidated	Amount
Adani Power Limited	147 %	44,018.32	102 %	10,912.78	(12)%	(4.17)	101 %	10,908.61
Subsidiaries (Indian) :								
Adani Power Resources Limited	-	*	-	*	-	-	-	*
Adani Power (Jharkhand) Limited	9 %	2,811.61	(1)%	(70.97)	118 %	39.82	(0)%	(31.15)
Adani Power Dahej Limited	1 %	288.65	(0)%	(4.82)	(0)%	(0.01)	(0)%	(4.83)
Mahan Energen Limited (formerly known as Essar Power MP Limited)	(3)%	(954.82)	2 %	245.42	(0.06)	(1.90)	0.02	243.52
Pench Thermal Energy (MP) Limited	0 %	104.97	(0)%	(0.01)	-	-	(0.00)	(0.01)
Kutchh Power Generation Limited	0 %	13.63	(0)%	(0.20)	-	-	(0)%	(0.20)
Mahan Fuel Management Limited	0 %	0.01	-	*	-	-	-	*
Aviceda Infra Park Limited	1 %	163.75	(0.00)	(0.39)	-	-	(0.00)	(0.39)
Resurgent Fuel Management Limited	(0)%	(1.63)	(0.00)	(1.64)	-	-	(0.00)	(1.64)
Support Properties Private Limited	0 %	-	(0.00)	(33.01)	-	-	(0.00)	(33.01)
Innovant Buildwell Private Limited (formerly known as Eternus Properties Private Limited)	(0)%	(128.44)	(0.00)	(30.49)	-	-	(0.00)	(30.49)
Alcedo Infra Park Limited	0 %	41.82	-	*	-	-	-	*
Chandenville Infra Park Limited	0 %	80.66	-	*	-	-	-	*
Emberiza Infra Park Limited	0 %	0.01	-	*	-	-	-	*
Non-controlling interest	*	*	-	-	-	-	-	-
Intercompany Elimination and consolidation adjustments	(55)%	(16,562.88)	(3)%	(290.03)	-	-	(3)%	(290.03)
Total	100%	29,875.66	100%	10,726.64	100%	33.74	100%	10,760.38

(Figures below ₹50,000 are denominated with *)

62 The Group's business activities revolve around development and operations of power generation plants including related activities and trading, investment and other activities. The segments are largely organised and managed separately according to the organisation structure that is designed based on the nature of Group's business and operations, as well as based on reviews of operating results by the chief operating decision maker to make decisions about resource allocation and performance measurement. During the year, chief operating decision maker has revised the methods and components, mainly in respect of allocation of borrowings and finance costs, used to determine the reported segments' assets, liabilities and results. Accordingly, the reported segments' assets, liabilities and results of previous year is aligned to make it comparable. Following are the details of segment wise revenue, results, segment assets and segment liabilities:

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62 (Contd.)

Particulars	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Segment Revenue		
Power Generation and related activities	37,895.85	27,221.78
Trading, Investment and other activities	877.45	489.40
Total	38,773.30	27,711.18
Less: Inter Segment Transfer	-	-
Revenue from Operations	38,773.30	27,711.18
Segment Results		
Power Generation and related activities	6,957.13	6,571.37
Trading, Investment and other activities	717.57	5.76
Profit before tax and Deferred tax recoverable from future tariff	7,674.70	6,577.13
Current Tax (including excess provision for earlier years written back)	(767.60)	768.23
Deferred Tax	(2,499.77)	976.57
Total Tax Expense	(3,267.37)	1,744.80
Deferred tax (recoverable from) future tariff (net of tax)	(215.43)	79.25
Profit for the year	10,726.64	4,911.58
Less : Non - Controlling interest	*	*
Net Profit for the year	10,726.64	4,911.58
Segment Assets		
Power Generation and related activities	84,364.22	81,888.09
Trading, Investment and other activities	1,134.26	42.02
Unallocable Assets	322.79	50.91
Total Assets	85,821.27	81,981.02
Segment Liabilities		
Power Generation and related activities	55,648.53	60,065.30
Trading, Investment and other activities	296.59	67.18
Unallocable Liabilities	0.49	3,145.10
Total Liabilities	55,945.61	63,277.58
Depreciation /Amortisation		
Power Generation and related activities	3,272.51	3,117.54
Trading, Investment and other activities	31.17	-
Total Depreciation /Amortisation	3,303.68	3,117.54
Capital Expenditure		
Power Generation and related activities	3,008.50	3,434.55
Trading, Investment and other activities	235.18	-
Total Capital Expenditure	3,243.68	3,434.55

Geographic Information :

The Group's revenue from external customers and non-current assets by location are within India.

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63 During the financial year 2019-20, the erstwhile wholly owned subsidiary of the Company, Raipur Energen Limited (now amalgamated with the Company), had issued 4,15,86,207 nos. of 0.01% Compulsory Redeemable Preference shares (CRPS) of ₹100/- each amounting to ₹415.86 Crores. On account of amalgamation, the Company cancelled the CRPS and issued fresh CRPS on the same terms. The instrument is redeemable in 3 equal installments by 30th June, 2038. During the current year, dividend of ₹0.11 Crores for the period upto 31st March, 2022 has been paid. Further, the Board of Directors of the Company has proposed dividend of ₹0.04 Crores for the Financial Year 2022-23 which is subject to approval of the shareholders

Considering CRPS as compound financial instrument, these are accounted for as liability of ₹71.37 Crores and other equity (under capital reserve) of ₹344.49 Crores on initial recognition. Interest on liability component is accounted for as interest expense, using the effective interest method.

64 During the financial year 2021-22, the erstwhile wholly owned subsidiary of the Company, Adani Power (Mundra) Limited (now amalgamated with the Company), had issued 5,00,00,000 nos. of upto 5% Non-cumulative Compulsory Redeemable Preference Shares ("NCRPS") of ₹100 each amounting to ₹500 Crores and called ₹60 per share till the reporting date amounting to ₹300 Crores and balance to be called at discretion of the issuer. On account of amalgamation, the Company cancelled the NCRPS and issued fresh NCRPS on the same terms.

The instrument is redeemable at any time at the option of the Issuer but not later than 20 years from the date of issue. These NCRPS are separated into liability of ₹53.45 Crores and equity components of ₹246.55 Crores considering the instrument as compound financial instrument. Interest on liability component is recognised as interest expense using the effective interest method.

65 **Amalgamation of Adani Power Maharashtra Limited ("APML"), Adani Power (Mundra) Limited ("APMuL"), Adani Power Rajasthan Limited ("APRL"), Udupi Power Corporation Limited ("UPCL"), Raipur Energen Limited ("REL"), Raigarh Energy Generation Limited ("REGL") (wholly owned subsidiary companies) ("WOS") with the Company:**

During the year, the Ahmedabad Bench of the National Company Law Tribunal ('NCLT') vide its order dated 8th February, 2023, have approved the Scheme of Amalgamation (the "Scheme") of wholly owned subsidiaries of the Company, viz, APML ("Tiroda TPP"), APRL ("Kawai TPP"), APMuL ("Mundra TPP"), UPCL ("Udupi TPP"), REL ("Raipur TPP") and REGL ("Raigarh TPP") with the Company, with appointed date of 1st October, 2021, under section 230 to 232 and other applicable provisions of the Companies Act, 2013 read with the rules framed thereunder. The said Scheme has been effective from 7th March, 2023, on compliance of all the conditions precedent mentioned therein. Consequently, above mentioned wholly owned subsidiaries of the Company got amalgamated with the Company w.e.f. 1st October, 2021. Since the amalgamated entities are under common control, the accounting of the said amalgamation has been done applying Pooling of interest method as prescribed in Appendix C of Ind AS 103 'Business Combinations' w.e.f the first day of the earlier period presented i.e. 1st April, 2021. While applying Pooling of Interest method, the Company has recorded all assets, liabilities and reserves attributable to the wholly owned subsidiary companies at their carrying values as appearing in the consolidated financial statements of the Company immediately prior to the amalgamation as per guidance given in ITFG Bulletin 9.

Further, pursuant to the Scheme of Amalgamation, the authorised share capital of the Company has been increased to ₹28,000.00 Crores (Previous Year - ₹5,000.00 Crores).

The previous year figures of Balance Sheet, Statement of Profit and Loss (including Other Comprehensive Income) and Statement of Cash Flows of the standalone financial statements of the Company have been restated considering that the amalgamation has taken place from the first day of the earliest period presented i.e., 1st April, 2021 as required under Appendix C of Ind AS 103. The aforesaid scheme has no impact on the consolidated financial statement of the Group since the scheme of amalgamation was within the parent company and wholly owned subsidiaries.

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66 Consequent to the amalgamation of the wholly owned subsidiaries into the Company with effect from appointed date 1st October, 2021, the current tax and deferred tax expenses for the year ended 31st March, 2022 as recognised in the books by the Company and merged subsidiaries have been reassessed based on the special purpose financial statement of respective subsidiary company (ies) and the Company, respectively to give tax (credit) effect mainly on account of utilisation of carry forward tax losses and unabsorbed depreciation under the Income tax Act, 1961. Accordingly, tax expenses for the year ended 31st March, 2023 of the Company include reversal of deferred tax liability of ₹2,303.87 Crores and reversal of current tax provision of ₹768.33 Crores.

During the year ended 31st March, 2023, Udupi TPP (erstwhile wholly owned subsidiary, Udupi Power Corporation Limited) has reassessed the deferred tax recoverable recognised since earlier years based on CERC tariff norms, as amount recoverable from beneficiaries. Based on such reassessment, the Company has fully reversed the recoverable amount of ₹215.43 Crores during the year ended 31st March, 2023 and corresponding deferred tax liabilities is also reversed.

67 On 7th June, 2022, the Company has acquired 100% equity shares of Innovative Buildwell Private Limited (Formerly known as Eternus Real Estate Private Limited) ("IBPL") for a consideration of ₹329.30 Crores and it also settled the liability of ₹320.70 Crores towards the existing debt of IBPL. Hence, IBPL become wholly owned subsidiary of the Company w.e.f. 7th June, 2022. IBPL hold land parcel at Navi Mumbai which the Company propose to develop for Infrastructure facilities as part of its trading, investment and other business activities. The acquisition is classified as investment property in the Consolidated Financial Statements. Further, transaction cost of ₹63.34 Crores is added to investment in IBPL.

68 The Code on Social Security, 2020 ('Code') relating to employee benefits during employment and post employment benefits received Presidential assent in September 2020. The Code has been published in the Gazette of India. However, the date on which the Code will come into effect has not been notified and the final rules/interpretation have not yet been issued. The Group will assess the impact of the Code when it comes into effect and will record any related impact in the period the Code becomes effective.

69 No funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Group to or in any other persons or entities, including foreign entities ("Intermediaries") with the understanding, whether recorded in writing or otherwise, that the Intermediary shall lend or invest in party identified by or on behalf of the Company (Ultimate Beneficiaries). Further, No funds have been received by the Group from any parties (Funding Parties) with the understanding that the Group shall whether, directly or indirectly lend or invest in other persons or entities identified by or on behalf of the funding party or provide any guarantee, security or the like on behalf thereof.

70 Subsequent to the year ended 31st March, 2023, APJL commenced commercial operation of first Ultra-super-critical Power Generating Unit of 800 MW out of total capacity of 1600 MW at Godda, Jharkhand, with effect from 6th April, 2023. Consequently, APJL has commenced supplying 748 MW power under its long term PPA with Bangladesh Power Development Board ("BPDB").

71 During the year ended 31st March, 2023, a short seller report was published in which certain allegations were made involving Adani Group Companies, including APL and its subsidiaries. A writ petition was filed in the matter with the Hon'ble Supreme Court ("SC"), and during hearing the Securities and Exchange Board of India ("SEBI") has represented to the SC that it is investigating the allegations made in the short seller report for any violations of the various SEBI Regulations. The SC in terms of its order dated 2nd March, 2023 has also constituted an expert committee to investigate and also advice into the various aspect of existing laws and regulations, and also directed the SEBI to consider certain additional aspects in its scope. During the year ended 31st March, 2023 and subsequent to year end, the Holding Company has also provided responses to various queries by the SEBI and the Stock Exchanges. The above-mentioned investigations are in progress as of date.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

71 (Contd.)

To uphold the principles of good governance, the Adani Group has undertaken review of transactions referred in the short seller's report (including those pertaining to the Holding Company and its subsidiaries) and obtained opinions from independent law firms in respect of evaluating relationships with parties having transaction with the Holding Company and its subsidiaries. These opinions also confirm that the Holding Company and its subsidiaries are in compliance with the requirements of applicable laws and regulations. Based on the foregoing and pending outcome of the investigations as mentioned above, the consolidated financial statements do not carry any adjustments.

72 Related party transactions

a. List of related parties and relationship

Description of relationship	Name of Related Parties
Controlling Entity (through direct and indirect control)	S. B. Adani Family Trust (SBAFT)
Entities on which Controlling Entity or one or more Key Management Personnel ("KMP") have a significant influence / control	ACC Limited (w.e.f. 16th September, 2022)
	Adani Ahmedabad International Airport Limited
	Adani Australia Pty Limited
	Adani Bunkering Private Limited
	Adani Cement Industries Limited
	Adani Cementation Limited
	Adani Connex Private Limited
	Adani Electricity Mumbai Infra Limited
	Adani Electricity Mumbai Limited
	Adani Enterprises Limited
	Adani Estate Management Private Limited
	Adani Foundation
	Adani Global DMCC
	Adani Global FZE
	Adani Global PTE Limited
	Adani Green Energy (Tamilnadu) Limited
	Adani Green Energy (UP) Limited
	Adani Green Energy Limited
	Adani Hazira Port Limited
	Adani Hospitals Mundra Private Limited
	Adani Infra (India) Limited
	Adani Infrastructure Management Services Limited
	Adani Institute For Education and Research
	Adani Institute of Infrastructure Management
	Adani Kandla Bulk Terminal Private Limited
	Adani Krishnapatnam Port Limited
	Adani Logistics Limited
	Adani Petrochemicals Limited

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

72 Related party transactions (Contd.)

Description of relationship	Name of Related Parties
	Adani Petronet (Dahej) Port Limited
	Adani Ports and Special Economic Zone Limited
	Adani Properties Private Limited
	Adani Rail Infra Private Limited
	Adani Resources Private Limited
	Adani Road Transport Limited
	Adani Shipping (India) Private Limited
	Adani Skill Development Centre
	Adani Solar Energy Four Private Limited
	Adani Solar Energy Kutchh Two Private Limited
	Adani Total Gas Limited
	Adani Tracks Management Services Private Limited (Formerly known as Sarguja Rail Corridor Private Limited)
	Adani Transmission Limited
	Adani Water Limited
	Adani Wilmar Limited
	Ambuja Cements Limited
	Belvedere Golf and Country Club Private Limited
	Bikaner-Khetri Transmission Limited
	Emerging Market Investment DMCC
	Gangavaram Port Limited
	Jamkhambaliya Transco Limited
	Jash Energy Private Limited
	Kamuthi Solar Power Limited
	Karnavati Aviation Private Limited
	Kutch Copper Limited
	Lakadia Banaskantha Transco Limited
	Maharashtra Eastern Grid Power Transmission Company Limited
	MPSEZ Utilities Limited
	Mundra Petrochem Limited
	Mundra Solar Energy Limited
	Mundra Solar PV Limited
	Mundra Windtech Limited
	Parsa Kente Collieries Limited
	Prayatna Developers Private Limited
	Ramnad Solar Power Limited
	The Dhamra Port Company Limited
	TN Urja Private Limited

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

72 Related party transactions (Contd.)

Description of relationship	Name of Related Parties
	Vishakha Renewables Private Limited
	Wardha Solar (Maharashtra) Private Limited
	Wind One Renergy Limited
	WRSS XXI (A) Transco Limited
Key Management Personnel	Mr. Gautam S. Adani, Chairman
	Mr. Rajesh S. Adani, Director
	Mr. Anil Sardana, Managing Director
	Mr. S. B. Khyalia, Chief Executive Officer (w.e.f. 11th January, 2022)
	Mr. Shailesh Sawa, Chief Financial Officer
	Mr. Deepak S Pandya, Company Secretary
	Mr. Mukesh Shah, Non-Executive Director
	Mr. Raminder Singh Gujral, Non-Executive Director (up to 11th November, 2022)
	Mr. Sushil Kumar Roongta, Non-Executive Director (w.e.f. 11 th November, 2022)
	Ms. Chandra Iyengar, Non-Executive Director (w.e.f. 11th November, 2022)
	Ms. Gauri Trivedi, Non-Executive Director (up to 11 th November, 2022)

b. Transactions with related parties

Particulars	For the year ended 31st March, 2023		For the year ended 31st March, 2022	
	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Borrowing Taken	6,051.19	-	2,184.89	-
Adani Infra (India) Limited	3,046.71	-	583.73	-
Adani Infrastructure Management Services Limited	1,916.81	-	1,051.87	-
Adani Properties Private Limited	69.61	-	534.43	-
Adani Rail Infra Private Limited	1,018.05	-	14.86	-
Others	0.01	-	-	-
Borrowing Repaid Back	4,812.33	-	2,640.58	-
Adani Bunkering Private Limited	-	-	285.99	-
Adani Infra (India) Limited	2,890.24	-	1,209.04	-
Adani Infrastructure Management Services Limited	1,637.09	-	175.55	-
Adani Properties Private Limited	-	-	970.00	-
Others	285.00	-	-	-

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

72 Related party transactions (Contd.)

b. Transactions with related parties

Particulars	For the year ended 31st March, 2023		For the year ended 31st March, 2022	
	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Loan assigned	-	-	1,102.40	-
Emerging Market Investments DMCC	-	-	1,102.40	-
Interest Expense on Loan	569.14	-	449.01	-
Adani Infra (India) Limited	315.80	-	214.28	-
Adani Infrastructure Management Services Limited	132.64	-	85.84	-
Adani Properties Private Limited	69.67	-	99.67	-
Others	51.03	-	49.22	-
Interest Expense on Others	23.02	-	21.23	-
Adani Enterprises Limited	2.77	-	-	-
Adani Ports and Special Economic Zone Limited	20.25	-	21.23	-
Loan Given	-	-	54.70	-
Adani Infra (India) Limited	-	-	54.70	-
Loan Received Back	4.82	-	55.69	-
Adani Infra (India) Limited	4.82	-	55.69	-
Interest Income	1.99	-	0.39	-
ACC Limited	1.99	-	-	-
Adani Infra (India) Limited	-	-	0.39	-
Sale of Goods / Power	8,523.68	-	4,320.57	-
Adani Enterprises Limited	8,307.32	-	4,144.67	-
Others	216.36	-	175.90	-
Purchase of Goods / Power	941.91	-	718.85	-
Adani Enterprises Limited	127.48	-	470.60	-
Adani Global PTE Limited	673.77	-	114.33	-
Parsa Kente Collieries Limited	133.62	-	133.57	-
Others	7.04	-	0.35	-
Sale of Property, Plant and Equipment	0.03	-	0.75	-
Adani Hospitals Mundra Private Limited	0.02	-	-	-
Jamkhambaliya Transco Limited	-	-	0.75	-
Mundra Petrochem Limited	0.01	-	-	-
Sale of Equity Investment	988.97	-	-	-
Adani Connex Private Limited	988.97	-	-	-

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

72 Related party transactions (Contd.)

b. Transactions with related parties

Particulars	For the year ended 31st March, 2023		For the year ended 31st March, 2022	
	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Rendering of Service	14.19	-	2.79	-
Adani Infrastructure Management Services Limited	10.02	-	-	-
Kutch Copper Limited	0.55	-	0.32	-
Mundra Solar PV Limited	1.63	-	1.51	-
Others	1.99	-	0.96	-
Receiving of Services	866.68	-	723.68	-
Adani Infrastructure Management Services Limited	465.94	-	426.54	-
Adani Ports and Special Economic Zone Limited	256.25	-	265.32	-
Others	144.49	-	31.82	-
Deposit Received	1,260.00	-	-	-
Adani Connex Private Limited	1,250.00	-	-	-
Others	10.00	-	-	-
Deposit Given	28.85	-	1.30	-
Adani Logistics Limited	-	-	1.30	-
MPSEZ Utilities Limited	28.85	-	-	-
Issue of Unsecured Perpetual Securities	566.49	-	600.00	-
Adani Connex Private Limited	566.49	-	-	-
Adani Infra (India) Limited	-	-	600.00	-
Distribution to holders of Unsecured Perpetual Securities	661.17	-	589.83	-
Adani Infra (India) Limited	264.00	-	-	-
Adani Rail Infra Private Limited	397.17	-	589.83	-
Sale of CCPS	-	-	815.40	-
Adani Logistics Limited	-	-	815.40	-
Deposit Refunded	1,000.00	-	-	-
Adani Connex Private Limited	1,000.00	-	-	-
Deposit Received Back	28.85	-	-	-
MPSEZ Utilities Limited	28.85	-	-	-
Corporate social responsibility contribution	16.70	-	26.56	-
Adani Foundation	16.70	-	26.56	-

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

72 Related party transactions (Contd.)

b. Transactions with related parties

Particulars	For the year ended 31st March, 2023		For the year ended 31st March, 2022	
	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP	Entities on which Controlling Entity or one or more KMP have a significant influence / control	KMP
Short-term benefits	-	8.31	-	5.19
Mr. S. B. Khyalia, CEO	-	3.53	-	0.74
Mr. Deepak Pandya, CS	-	0.52	-	0.47
Mr. Shailesh Sawa, CFO	-	4.26	-	3.98
Post-employment benefits	-	0.33	-	0.28
Mr. S. B. Khyalia, CEO	-	0.06	-	0.01
Mr. Deepak Pandya, CS	-	0.05	-	0.05
Mr. Shailesh Sawa, CFO	-	0.22	-	0.22
Director sitting fees	-	0.46	-	0.40
Mr. Mukesh Shah	-	0.17	-	0.16
Ms. Gauri Trivedi	-	0.11	-	0.13
Mr. Sushilkumar Roongta	-	0.06	-	-
Mrs. Chandra Iyengar	-	0.05	-	-
Mr. Raminder Singh Gujral	-	0.07	-	0.11

c. Balances With Related Parties :

Particulars	As at 31st March, 2023	As at 31st March, 2022
	Entities on which Controlling Entity or one or more KMP have a significant influence / control	
Borrowings	6,790.13	6,501.37
Adani Infra (India) Limited	2,834.76	2,678.29
Adani Infrastructure Management Services Limited	2,081.09	1,801.37
Adani Properties Private Limited	940.54	870.93
Adani Rail Infra Private Limited	933.74	200.68
Emerging Market Investments DMCC*	-	791.98
Others*	-	158.12
Loans given	-	4.83
Adani Infra (India) Limited	-	4.83
Interest payable	2.77	-
Adani Enterprises Limited	2.77	-
Interest Receivable	1.99	-
ACC Limited	1.99	-
Trade Receivables	520.27	282.24

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

72 Related party transactions (Contd.)

c. Balances With Related Parties :

Particulars	As at 31st March, 2023	As at 31st March, 2022
	Entities on which Controlling Entity or one or more KMP have a significant influence / control	
Adani Enterprises Limited	471.31	259.40
Others	48.96	22.84
Security Deposit, Advances for goods and services and other receivables	10.31	41.80
Adani Enterprises Limited	8.01	30.21
Adani Logistics Limited	1.30	1.30
Adani Transmission (India) Limited	-	8.50
Others	1.00	1.79
Trade Payables and Other Payables	682.11	1,074.13
Adani Global Pte Limited	86.10	432.20
Adani Infrastructure Management Services Limited	175.92	190.82
Adani Ports & SEZ Limited	314.15	322.03
Others	105.94	129.08
Security Deposit and Advances Received	260.01	-
Adani Connex Private Limited	250.00	-
Others	10.01	-
Unsecured Perpetual Securities (Issued)	13,215.00	13,215.00
Adani Infra (India) Limited	3,715.00	3,715.00
Adani Properties Private Limited	3,600.00	3,600.00
Adani Rail Infra Private Limited	5,900.00	5,900.00
Corporate Guarantee	1,500.00	1,500.00
Adani Enterprises Limited	1,500.00	1,500.00

*loan waived off (Refer note 19(4))

Note:

- The amount outstanding are unsecured and will be settled in cash or Kind.
- Borrowings includes Interest accrued of ₹436.64 Crores (Previous year ₹372.41 Crores) added to borrowings as on reporting date as agreed as per contractual terms.

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

73 Recent Pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On 31st March, 2023, MCA amended the Companies (Indian Accounting Standards) Rules, 2015 by issuing the Companies (Indian Accounting Standards) Amendment Rules, 2023, applicable from 1st April, 2023, as below:

Ind AS 1 – Presentation of Financial Statements

The amendments require companies to disclose their material accounting policies rather than their significant accounting policies. Accounting policy information, together with other information, is material when it can reasonably be expected to influence decisions of primary users of general purpose financial statements. The Group does not expect this amendment to have any significant impact in its financial statements.

Ind AS 8 – Accounting Policies, Changes in Accounting Estimates and Errors

The amendments will help entities to distinguish between accounting policies and accounting estimates. The definition of a change in accounting estimates has been replaced with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". Entities develop accounting estimates if accounting policies require items in financial statements to be measured in a way that involves measurement uncertainty. The Group does not expect this amendment to have any significant impact in its financial statements.

Ind AS 12 – Income Taxes

The amendments clarify how companies account for deferred tax on transactions such as leases and decommissioning obligations. The amendments narrowed the scope of the recognition exemption in paragraphs 15 and 24 of Ind AS 12 (recognition exemption) so that it no longer applies to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. The Group does not expect this amendment to have any significant impact in its financial statements.

74. The Group does not have any transaction to report against the following disclosure requirements as notified by MCA pursuant to amendment to Schedule III:

1. Crypto Currency or Virtual Currency
2. Benami Property held under Benami Transactions (Prohibition) Act, 1988 (45 of 1988)
3. Registration of charges or satisfaction with Registrar of Companies
4. Related to Borrowing of Funds:
 - i. Wilful defaulter
 - ii. Utilization of borrowed fund and share premium
 - iii. Discrepancy in utilization of borrowings
 - iv. Discrepancy in information submitted towards borrowings obtained on the basis of security of current assets

Notes to Consolidated Financial Statements

for the year ended 31st March, 2023

All amounts are in ₹ Crores, unless otherwise stated

75. MEL was acquired w.e.f. 16th March, 2022. Accordingly, the figures for the year ended 31st March, 2023 are not comparable with the year ended 31st March, 2022 to that extent.

76. According to the management's evaluation of events subsequent to the balance sheet date, there were no significant adjusting events that occurred other than those disclosed / given effect to, in these financial statements as of 5th May, 2023.

As per our report of even date

For S R B C & CO LLP

Firm Registration No. : 324982E/E300003

Chartered Accountants

For and on behalf of the Board of Directors

per SANTOSH AGARWAL

PARTNER

Membership No. 093669

GAUTAM S. ADANI

CHAIRMAN

DIN : 00006273

ANIL SARDANA

MANAGING DIRECTOR

DIN : 00006867

S. B. KHYALIA

CHIEF EXECUTIVE OFFICER

SHAILESH SAWA

CHIEF FINANCIAL OFFICER

DEEPAK S PANDYA

COMPANY SECRETARY

Place : Ahmedabad

Date : 5th May, 2023

Place : Ahmedabad

Date : 5th May, 2023

Form AOC-1

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)
Statement containing salient features of the financial statement of subsidiaries or associate companies or joint ventures

PART A :- Subsidiaries

Sr No	Name of the Subsidiary	The date since when subsidiary was acquired	Reporting Period	Repor-ting Currency	Share Capital	Other equity	Unse-cured Perp-etual Secu-rities	Instrument Entirely Equity in Nature	Total Assets	Total Liabilities	Invest-ments	Turnover	Profit/ (Loss) before taxation	Provision for taxation/ Adjustment of tax relating to earlier periods/ deferred tax	Profit/ (Loss) after taxation	Other Compre-hensive Income	Total Compre-hensive Income*	Pro-posed Divi-dend	% of Share holding
1	Mahan Energen Limited (Formerly known as Essar Power MP Limited)	16.03.2022 (Date of Acquisition)	2022-23	INR	1.00	(955.82)	-	-	3,809.73	4,764.55	-	2,751.75	245.42	-	245.42	(1.90)	243.52	-	100%
2	Adani Power Resources Limited	04.12.2013 (Date of Incorporation)	2022-23	INR	0.05	(0.05)	-	-	0.01	0.01	-	-	(0.01)	-	(0.01)	-	(0.01)	-	51%
3	Adani Power (Jharkhand) Limited	18.12.2015 (Date of Incorporation)	2022-23	INR	2,436.50	375.11	-	-	14,992.04	12,180.43	611.54	0.05	(70.24)	0.73	(70.97)	39.82	(31.15)	-	100%
4	Adani Power Dahaj Limited	29.03.2019 (Date of Acquisition)	2022-23	INR	0.05	(673.83)	-	962.43	291.80	3.14	0.01	-	(4.82)	-	(4.82)	(0.01)	(4.83)	-	100%
5	Pench Thermal Energy (MP) Limited	29.03.2019 (Date of Acquisition)	2022-23	INR	0.05	(176.62)	-	281.54	119.27	14.30	-	-	(0.01)	*	(0.01)	-	(0.01)	-	100%
6	Kutch Power Generation Limited	29.03.2019 (Date of Acquisition)	2022-23	INR	0.05	(105.81)	-	119.38	14.29	0.66	-	0.38	(0.20)	-	(0.20)	-	(0.20)	-	100%
7	Mahan Fuel Management Limited	28.02.2022 (Date of Incorporation)	2022-23	INR	0.01	(0.01)	-	-	0.51	0.51	-	-	(0.01)	-	(0.01)	-	(0.01)	-	100%
8	Alcedo Infra Park Limited	02.03.2022 (Date of Incorporation)	2022-23	INR	0.01	*	-	41.81	41.82	*	-	-	*	-	*	-	*	-	100%
9	Chandervalle Infra Park Limited	24.02.2022 (Date of Incorporation)	2022-23	INR	0.01	*	-	80.66	87.05	6.38	-	-	*	-	*	-	*	-	100%
10	Emberiza Infra Park Limited	03.03.2022 (Date of Incorporation)	2022-23	INR	0.01	*	-	-	0.01	*	-	-	*	-	*	-	*	-	100%
11	Aviceda Infra Park Limited	05.09.2022 (Date of Incorporation)	2022-23	INR	0.01	(0.39)	-	164.13	163.75	*	42.50	*	(0.39)	-	(0.39)	-	(0.39)	-	100%
12	Innovant Buildwell Private Limited (Formerly Known as - Eternus Real Estate Private Limited)	07.06.2022 (Date of Acquisition)	2022-23	INR	74.01	(202.44)	-	-	227.67	356.10	-	0.02	(36.88)	-	(36.88)	-	(36.88)	-	100%
13	Resurgent Fuel Management Limited	20.04.2022 (Date of Incorporation)	2022-23	INR	0.01	(1.64)	-	-	321.31	322.94	-	174.59	(1.64)	-	(1.64)	-	(1.64)	-	100%

(Figures below ₹50,000 are denominated with *)

Notes:

1. Names of subsidiaries which are yet to commence operations:

SL. No.	Name of the Subsidiary
1	Adani Power Resources Limited
2	Adani Power (Jharkhand) Limited**
3	Adani Power Dahaj Limited
4	Pench Thermal Energy (MP) Limited *
5	Kutch Power Generation Limited
6	Mahan Fuel Management Limited
7	Alcedo Infra Park Limited
8	Chandervalle Infra Park Limited
9	Emberiza Infra Park Limited
10	Innovant Buildwell Private Limited (Formerly Known as - Eternus Real Estate Private Limited)
11	Aviceda Infra Park Limited

* Earlier known as Adani Pench Power Limited

** Adani Power (Jharkhand) Limited started Commercial operation from 6th April, 2023

PART B :- Associates and Joint Ventures

The Company has no associate company and joint venture, therefore Part B relating to associate companies and joint ventures is not applicable.

NOTICE

NOTICE is hereby given that the 27th Annual General Meeting ("AGM") of Adani Power Limited ("the Company") will be held on Wednesday, 19th July, 2023 at 12.00 noon through Video Conferencing / Other Audio Visual Means to transact the following businesses. The venue of the meeting shall be deemed to be the Registered Office of the Company at Adani Corporate House, Shantigram, Near Vaishno Devi Circle, S.G. Highway, Khodiyar, Ahmedabad – 382 421, Gujarat.

ORDINARY BUSINESS

1. To receive, consider and adopt the –
 - a. audited financial statements of the Company for the financial year ended 31st March, 2023 together with the Reports of the Board of Directors and Auditors thereon; and
 - b. audited consolidated financial statements of the Company for the financial year ended 31st March, 2023 together with the report of Auditors thereon;
2. To declare dividend on 4,15,86,207 0.01% Compulsorily Redeemable Preference Shares.

Explanation: Upon scheme of amalgamation of Raipur Energen Limited ("REL") and other five wholly owned subsidiaries of the Company ("APL") with APL becoming effective from 7th March, 2023, the preference shareholders of REL, holding 4,15,86,207 0.01% compulsorily redeemable preference shares of Rs. 100/- each fully paid-up, have been allotted by APL. These preference shares bear dividend at the rate of 0.01% per annum for each financial year.

Therefore, the Members of the Company are requested to consider and if thought fit, to pass with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the terms of issue of 4,15,86,207 0.01% compulsorily redeemable preference shares of Rs. 100/- each fully paid-up ("preference shares") and also in terms of the recommendation of the Board of Directors of the Company, the approval of the Members of the Company be and is hereby granted for payment of dividend @ 0.01% on 4,15,86,207 preference shares for the year ended March 31, 2023."

3. To appoint a Director in place of Mr. Rajesh S. Adani (DIN: 00006322), who retires by rotation and being eligible offers himself for re-appointment.

Explanation: Based on the terms of appointment, Directors (other than Independent Directors) are subject to retirement by rotation. Mr. Rajesh S. Adani, who has been a Director (Category – Non-Executive) and whose office is liable to retire by rotation at this AGM, being eligible, seeks re-appointment. Based on the performance evaluation, the Board recommends his re-appointment.

Therefore, the Members of the Company are requested to consider and, if thought fit, to pass the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the provisions of Section 152 and other applicable provisions of the Companies Act, 2013, Mr. Rajesh S. Adani (DIN: 00006322), who retires by rotation, be and is hereby re-appointed as a Director of the Company, liable to retire by rotation."

SPECIAL BUSINESS

4. To consider and, if thought fit, to approve re-appointment of Mr. Anil Sardana (DIN: 00006867) as Managing Director of the Company and to pass, with or without modification(s), the following resolution as an **Special Resolution**:

"RESOLVED THAT in accordance with the provisions of Sections 196, 197, 203 and other applicable provisions, if any of the Companies Act, 2013 ("the Act") read with Schedule V to the Act and the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 (including any statutory modifications or re-enactment thereof for the time being in force) and subject to the requisite approvals, if any required, approval of the Company be and is hereby accorded to the re-appointment of Mr. Anil Sardana (DIN: 00006867) as the Managing Director of the Company, for a period of 3 (three) years with effect from 11th July, 2023 without any remuneration, with liberty to the Board of Directors of the Company (hereinafter referred to as "the Board" which term shall be deemed to include the Nomination and Remuneration Committee of the Board) to alter and vary the terms and conditions of the said appointment in such manner as may be agreed to between the Board of Directors and Mr. Anil Sardana.

RESOLVED FURTHER THAT in the event of any statutory amendment or modification by the Central Government to Schedule V of

the Companies Act, 2013, the Board be and is hereby authorised to vary and alter the terms of appointment of Mr. Anil Sardana in such manner as agreed by and between the Board and Mr. Anil Sardana without any further reference to the Company in General Meeting.

RESOLVED FURTHER THAT the Board be and is hereby authorised to take all such steps as may be deemed necessary, proper or expedient to give effect to this resolution."

5. To consider, and, if thought fit, to approve the material related party transaction(s) proposed to be entered into by the Company during the financial year 2023-24 and to pass, with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the applicable provisions of the Companies Act, 2013 read with the rules framed thereunder (including any statutory amendment(s) or re-enactment(s) thereof, for the time being in force, if any), and in terms of Regulation 23 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time, the consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (the "Board", which term shall be deemed to include any duly authorized Committee constituted /empowered by the Board, from time to time, to exercise its powers conferred by this resolution), for entering into and / or carrying out and / or continuing with existing contracts / arrangements / transactions or modification(s) of earlier arrangements / transactions or as fresh and independent transaction(s) or otherwise (whether individually or series of transaction(s) taken together or otherwise), with **Adani Rail Infra Private Limited**, a related party of the Company, during the financial year 2023-24 as per the details set out in the explanatory statement annexed to this notice, notwithstanding the fact that the aggregate value of all these transaction(s), whether undertaken directly by the Company or along with its subsidiary(ies), may exceed the prescribed thresholds as per provisions of the SEBI Listing Regulations as applicable from time to time, provided, however, that the said contract(s)/ arrangement(s)/ transaction(s) shall be carried out on an arm's length basis and in the ordinary course of business of the Company.

RESOLVED FURTHER THAT the Board be and are hereby severally authorised to execute all such agreements, documents, instruments and writings as deemed necessary, with power to

alter and vary the terms and conditions of such contracts/ arrangements/ transactions, settle all questions, difficulties or doubts that may arise in this regard".

6. To consider, and, if thought fit, to approve the material related party transaction(s) proposed to be entered into by the Company during the financial year 2023-24 and to pass, with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the applicable provisions of the Companies Act, 2013 read with the rules framed thereunder (including any statutory amendment(s) or re-enactment(s) thereof, for the time being in force, if any), and in terms of Regulation 23 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time, the consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (the "Board", which term shall be deemed to include any duly authorized Committee constituted /empowered by the Board, from time to time, to exercise its powers conferred by this resolution), for entering into and / or carrying out and / or continuing with existing contracts / arrangements / transactions or modification(s) of earlier arrangements / transactions or as fresh and independent transaction(s) or otherwise (whether individually or series of transaction(s) taken together or otherwise), with **Adani Infra (India) Limited**, a related party of the Company, during the financial year 2023-24 as per the details set out in the explanatory statement annexed to this notice, notwithstanding the fact that the aggregate value of all these transaction(s), whether undertaken directly by the Company or along with its subsidiary(ies), may exceed the prescribed thresholds as per provisions of the SEBI Listing Regulations as applicable from time to time, provided, however, that the said contract(s)/ arrangement(s)/ transaction(s) shall be carried out on an arm's length basis and in the ordinary course of business of the Company.

RESOLVED FURTHER THAT the Board be and are hereby severally authorised to execute all such agreements, documents, instruments and writings as deemed necessary, with power to alter and vary the terms and conditions of such contracts/ arrangements/ transactions, settle all questions, difficulties or doubts that may arise in this regard".

7. To consider, and, if thought fit, to approve the material related party transaction(s) proposed

to be entered into by the Company, during the financial year 2023-24 and to pass, with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the applicable provisions of the Companies Act, 2013 read with the rules framed thereunder (including any statutory amendment(s) or re-enactment(s) thereof, for the time being in force, if any), and in terms of Regulation 23 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time, the consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (the "Board", which term shall be deemed to include any duly authorized Committee constituted /empowered by the Board, from time to time, to exercise its powers conferred by this resolution), for entering into and / or carrying out and / or continuing with existing contracts / arrangements / transactions or modification(s) of earlier arrangements / transactions or as fresh and independent transaction(s) or otherwise (whether individually or series of transaction(s) taken together or otherwise), with **Adani Properties Private Limited**, a related party of the Company, during the financial year 2023-24 as per the details set out in the explanatory statement annexed to this notice, notwithstanding the fact that the aggregate value of all these transaction(s), whether undertaken directly by the Company or along with its subsidiary(ies), may exceed the prescribed thresholds as per provisions of the SEBI Listing Regulations as applicable from time to time, provided, however, that the said contract(s)/ arrangement(s)/ transaction(s) shall be carried out on an arm's length basis and in the ordinary course of business of the Company.

RESOLVED FURTHER THAT the Board be and are hereby severally authorised to execute all such agreements, documents, instruments and writings as deemed necessary, with power to alter and vary the terms and conditions of such contracts/ arrangements/ transactions, settle all questions, difficulties or doubts that may arise in this regard".

8. To consider, and, if thought fit, to approve the material related party transaction(s) proposed to be entered into by the Company during the financial year 2023-24 and to pass, with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the applicable provisions of the Companies Act, 2013 read with the rules framed thereunder (including any statutory

amendment(s) or re-enactment(s) thereof, for the time being in force, if any), and in terms of Regulation 23 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time, the consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (the "Board", which term shall be deemed to include any duly authorized Committee constituted /empowered by the Board, from time to time, to exercise its powers conferred by this resolution), for entering into and / or carrying out and / or continuing with existing contracts / arrangements / transactions or modification(s) of earlier arrangements / transactions or as fresh and independent transaction(s) or otherwise (whether individually or series of transaction(s) taken together or otherwise), with **Adani Infrastructure Management Services Limited**, a related party of the Company, during the financial year 2023-24 as per the details set out in the explanatory statement annexed to this notice, notwithstanding the fact that the aggregate value of all these transaction(s), whether undertaken directly by the Company or along with its subsidiary(ies), may exceed the prescribed thresholds as per provisions of the SEBI Listing Regulations as applicable from time to time, provided, however, that the said contract(s)/ arrangement(s)/ transaction(s) shall be carried out on an arm's length basis and in the ordinary course of business of the Company.

RESOLVED FURTHER THAT the Board be and are hereby severally authorised to execute all such agreements, documents, instruments and writings as deemed necessary, with power to alter and vary the terms and conditions of such contracts/ arrangements/ transactions, settle all questions, difficulties or doubts that may arise in this regard".

9. To consider, and, if thought fit, to approve the material related party transaction(s) proposed to be entered into by the Company and to pass, with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the applicable provisions of the Companies Act, 2013 read with the rules framed thereunder (including any statutory amendment(s) or re-enactment(s) thereof, for the time being in force, if any), and in terms of Regulation 23 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time, the consent of the Members of the Company be and is hereby accorded to the

Board of Directors of the Company (the "Board" , which term shall be deemed to include any duly authorized Committee constituted /empowered by the Board, from time to time, to exercise its powers conferred by this resolution), for entering into and / or carrying out and / or continuing with existing contracts / arrangements / transactions or modification(s) of earlier arrangements / transactions or as fresh and independent transaction(s) or otherwise (whether individually or series of transaction(s) taken together or otherwise), with **MPSEZ Utilities Limited**, a related party of the Company, as per the details set out in the explanatory statement annexed to this notice, notwithstanding the fact that the aggregate value of all these transaction(s), whether undertaken directly by the Company or along with its subsidiary(ies), may exceed the prescribed thresholds as per provisions of the SEBI Listing Regulations as applicable from time to time, provided, however, that the said contract(s)/ arrangement(s)/ transaction(s) shall be carried out on an arm's length basis and in the ordinary course of business of the Company.

RESOLVED FURTHER THAT the Board be and are hereby severally authorised to execute all such agreements, documents, instruments and writings as deemed necessary, with power to alter and vary the terms and conditions of such contracts/ arrangements/ transactions, settle all questions, difficulties or doubts that may arise in this regard".

10. To consider, and, if thought fit, to approve the material related party transaction(s) proposed to be entered into by the Company during the financial year 2023-24 and to pass, with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the applicable provisions of the Companies Act, 2013 read with the rules framed thereunder (including any statutory amendment(s) or re-enactment(s) thereof, for the time being in force, if any), and in terms of Regulation 23 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time, the consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (the "Board" , which term shall be deemed to include any duly authorized Committee constituted /empowered by the Board, from time to time, to exercise its powers conferred by this resolution), for entering into and / or carrying out and / or continuing with existing contracts / arrangements / transactions

or modification(s) of earlier arrangements / transactions or as fresh and independent transaction(s) or otherwise (whether individually or series of transaction(s) taken together or otherwise), with **Adani Enterprises Limited**, a related party of the Company, during the financial year 2023-24 as per the details set out in the explanatory statement annexed to this notice, notwithstanding the fact that the aggregate value of all these transaction(s), whether undertaken directly by the Company or along with its subsidiary(ies), may exceed the prescribed thresholds as per provisions of the SEBI Listing Regulations as applicable from time to time, provided, however, that the said contract(s)/ arrangement(s)/ transaction(s) shall be carried out on an arm's length basis and in the ordinary course of business of the Company.

RESOLVED FURTHER THAT the Board be and are hereby severally authorised to execute all such agreements, documents, instruments and writings as deemed necessary, with power to alter and vary the terms and conditions of such contracts/ arrangements/ transactions, settle all questions, difficulties or doubts that may arise in this regard".

11. To consider, and, if thought fit, to approve the related party transaction(s) proposed to be entered into by the Company and to pass, with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the applicable provisions of the Companies Act, 2013 read with the rules framed thereunder (including any statutory amendment(s) or re-enactment(s) thereof, for the time being in force, if any), and in terms of Regulation 23 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time, the consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (the "Board", which term shall be deemed to include any duly authorized Committee constituted /empowered by the Board, from time to time, to exercise its powers conferred by this resolution), for entering into and / or carrying out and / or continuing with existing contracts / arrangements / transactions or modification(s) of earlier arrangements / transactions or as fresh and independent transaction(s) or otherwise (whether individually or series of transaction(s) taken together or otherwise), with **Dirk Trade & Logistics LLP**, a related party of the Company, as per the details set out in the explanatory statement annexed

to this notice, notwithstanding the fact that the aggregate value of all these transaction(s), whether undertaken directly by the Company or along with its subsidiary(ies), may or may not exceed the prescribed thresholds as per provisions of the SEBI Listing Regulations as applicable from time to time, provided, however, that the said contract(s)/ arrangement(s)/ transaction(s) shall be carried out on an arm's length basis and in the ordinary course of business of the Company.

RESOLVED FURTHER THAT the Board be and are hereby severally authorised to execute all such agreements, documents, instruments and writings as deemed necessary, with power to alter and vary the terms and conditions of such contracts/ arrangements/ transactions, settle all questions, difficulties or doubts that may arise in this regard".

12. To consider, and, if thought fit, to approve the material related party transaction(s) proposed to be entered into by the subsidiary of the Company during the financial year 2023-24 and to pass, with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the applicable provisions of the Companies Act, 2013 read with the rules framed thereunder (including any statutory amendment(s) or re-enactment(s) thereof, for the time being in force, if any), and in terms of Regulation 23 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time, the consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (the "Board", which term shall be deemed to include any duly authorized Committee constituted /empowered by the Board, from time to time, to exercise its powers conferred by this resolution), for entering into and / or carrying out and / or continuing with existing contracts / arrangements / transactions or modification(s) of earlier arrangements / transactions or as fresh and independent transaction(s) or otherwise (whether individually or series of transaction(s) taken together or otherwise), with **Adani Global PTE Limited**, a related party of the Company, during the financial year 2023-24 as per the details set out in the explanatory statement annexed to this notice, notwithstanding the fact that the aggregate value of all these transaction(s), whether undertaken directly by the Company or along with its subsidiary(ies), may exceed the prescribed thresholds as per provisions of the SEBI Listing Regulations as applicable from time to time,

provided, however, that the said contract(s)/ arrangement(s)/ transaction(s) shall be carried out on an arm's length basis and in the ordinary course of business of the Company.

RESOLVED FURTHER THAT the Board be and are hereby severally authorised to execute all such agreements, documents, instruments and writings as deemed necessary, with power to alter and vary the terms and conditions of such contracts/ arrangements/ transactions, settle all questions, difficulties or doubts that may arise in this regard".

13. To consider, and, if thought fit, to approve the material related party transaction(s) proposed to be entered into by the subsidiary of the Company during the financial year 2023-24 and to pass, with or without modification(s), the following resolution as an **Ordinary Resolution**:

"RESOLVED THAT pursuant to the applicable provisions of the Companies Act, 2013 read with the rules framed thereunder (including any statutory amendment(s) or re-enactment(s) thereof, for the time being in force, if any), and in terms of Regulation 23 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), as amended from time to time, the consent of the Members of the Company be and is hereby accorded to the Board of Directors of the Company (the "Board"), for entering into and / or carrying out and / or continuing with existing contracts / arrangements / transactions or modification(s) of earlier arrangements / transactions or as fresh and independent transaction(s) or otherwise (whether individually or series of transaction(s) taken together or otherwise), with **Adani Enterprises Limited**, a related party of the Company, during the financial year 2023-24 as per the details set out in the explanatory statement annexed to this notice, notwithstanding the fact that the aggregate value of all these transaction(s), whether undertaken directly by the Company or along with its subsidiary(ies), may exceed the prescribed thresholds as per provisions of the SEBI Listing Regulations as applicable from time to time, provided, however, that the said contract(s)/ arrangement(s)/ transaction(s) shall be carried out on an arm's length basis and in the ordinary course of business of the Company.

RESOLVED FURTHER THAT the Board of Directors of the Company and the Management Committee of the Board of Directors of the Company be and are hereby severally authorised to execute all such agreements, documents, instruments and

writings as deemed necessary, with power to alter and vary the terms and conditions of such contracts/ arrangements/ transactions, settle all questions, difficulties or doubts that may arise in this regard”.

14. To consider and, if thought fit, to ratify the remuneration of the Cost Auditors appointed by the Board of Directors of the Company, for the financial year ending 31st March, 2024 and to pass, with or without modification(s), the following resolution as an **Ordinary Resolution**:

“RESOLVED THAT pursuant to the provisions of Section 148 and all other applicable provisions of the Companies Act, 2013 and the Companies (Audit and Auditors) Rules, 2014 (including any statutory modification(s) or re-enactment thereof for the time being in force), M/s. Kiran J. Mehta & Co., Cost Accountants [Firm Reg. No. 000025], the Cost Auditors appointed by the Board of Directors of the Company, based on the recommendation of the Audit Committee, to conduct the audit of the cost records of the Company for the financial year ending 31st March, 2024, be paid remuneration of 1,40,000/- plus applicable taxes and reimbursement of out of pocket expenses at actual, if any, incurred in connection with the audit.

RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorized to do all acts and take all such steps as may be necessary, proper or expedient to give effect to this resolution.”

15. To consider and, if thought fit, approve the increase in borrowing limits of the Company under section 180(1)(c) of the Companies Act, 2013 and to pass, with or without modification(s), the following resolution as a **Special Resolution**:

“RESOLVED THAT in supersession of earlier resolution passed in this regard, pursuant to the provisions of Section 180(1)(c) and other applicable provisions, if any, of the Companies Act, 2013 read with the Companies (Meetings of Board and its Powers) Rules, 2014, including any statutory modification(s) or re-enactment(s) thereof, for the time being in force, and consent of the Members be and is hereby accorded to the Board of Directors of the Company (hereinafter referred to as “the Board” which term shall be deemed to include any Committee of the Board), to borrow any sum or sums of money from time to time at its discretion, for the purpose of the business of the Company, from banks, financial institutions, corporates and other body corporate, notwithstanding that the monies to be borrowed together with the monies already borrowed by the Company (apart from temporary loans

obtained from the Company's Bankers in the ordinary course of business) may, at any time, exceed the aggregate of the paid-up share capital of the Company and its free reserves (that is to say reserves not set apart for any specific purpose), subject to such aggregate borrowings not exceeding the amount which is ₹75,000 Crore (Rupees Seventy-Five Thousand Crore only) and that the Board be and is hereby empowered and authorized to arrange or fix the terms and conditions of all such monies to be borrowed from time to time as to interest, repayment, security or otherwise as it may, in its absolute discretion, think fit.

RESOLVED FURTHER THAT the Board of Directors of the Company be and are hereby severally authorized to do all such acts, deeds, matters and things as may be deemed proper, desirable and expedient in its absolute discretion and as may be deemed necessary in this regard and to give, from time to time, such directions as may be necessary, expedient, usual or proper as the Board in its absolute discretion may think fit.

RESOLVED FURTHER THAT a certified true copy of this Resolution be and is hereby issued to all concerns under the hand of any director or Company Secretary of the Company.”

16. To consider and, if thought fit, approve the creation of mortgage / charge on the properties / undertakings of the Company under Section 180(1)(a) of the Companies Act, 2013 and to pass, with or without modification(s), the following resolution as a Special Resolution:

“RESOLVED THAT pursuant to the provisions of Section 180(1)(a) and other applicable provisions, if any, of the Companies Act, 2013 (“the Act”) read with the Companies (Meetings of Board and its Powers) Rules, 2014 including any statutory modification(s) or re-enactment(s) thereof, for the time being in force, , consent of the Members be and is hereby accorded to the Board of Directors of the Company (hereinafter referred to as “the Board” which term shall be deemed to include any Committee of the Board) for creation of charge / mortgage / pledge / hypothecation / security in addition to existing charge / mortgage / pledge / hypothecation / security, in such form and manner and with such ranking and at such time and on such terms as the Board may determine, on all or any of the moveable and / or immovable properties, tangible or intangible assets of the Company, both present and future and / or the whole or any part of the undertaking(s) of the Company, as the case may be in favour of the banks, non-banking financial companies, financial institutions and other lender(s), Agent(s) and Trustee(s), for securing the borrowings of the company availed

/ to be availed by way of loan(s) (in foreign currency and / or rupee currency) and securities in the nature of debt securities issued/ to be issued by the company (comprising fully / partly convertible debentures and/or non-convertible debentures with or without detachable or non-detachable warrants and / or secured premium notes and / or floating rate notes / bonds or other debt instruments), issued / to be issued by the Company (hereinafter termed 'loans'), from time to time, provided that the total amount of loans shall not at any time exceed ₹75,000 Crore (Rupees Seventy Five Thousand Crore only) in excess of the aggregate of the paid-up capital of the Company and its free reserves (apart from temporary loans obtained / to be obtained from the Company's bankers in the ordinary course of business) in respect of such borrowings and containing such specific terms and conditions and covenants in respect of enforcement of security as may be stipulated in that behalf and agreed to, between the Board of Directors and the lender(s), Agent(s) and Trustee(s) of the Company.

RESOLVED FURTHER THAT the Board of Directors of the Company be and are hereby severally authorized to do all such acts, deeds, matters and things as may be deemed proper, desirable and expedient in its absolute discretion and as may be deemed necessary in this regard and to give, from time to time, such directions as may be necessary, expedient, usual or proper as the Board in its absolute discretion may think fit.

RESOLVED FURTHER THAT a certified true copy of this Resolution be and is hereby issued to all concerns under the hand of any director or Company Secretary of the Company."

17. To consider and, if thought fit, approve the conversion of loan into equity under Section 62(3) of the Companies Act, 2013 and to pass, with or without modification(s), the following resolution as a **Special Resolution**:

"RESOLVED THAT pursuant to Section 62(3) and other applicable provisions, if any, of the Companies Act, 2013 and Rules made there under and in accordance with the Memorandum of Association and Articles of Association of the Company and applicable regulations and subject to all such approval(s), consent(s), permission(s), sanction(s), if any, of appropriate statutory, governmental and other authorities and departments in this regard and subject to such condition(s) and modification(s) as may be prescribed or imposed, while granting such approval(s), consent(s), permission(s) or sanction(s), the consent of the Company be and is hereby accorded to the Board of Directors of the Company (hereinafter called the "Board", which

term shall be deemed to include any committee(s) constituted/to be constituted by the Board to exercise its powers including powers conferred by this resolution, to the extent permitted by law), on the terms and conditions contained in the financing documents, such terms and conditions to provide, inter alia, to convert the whole or part of the outstanding loans of the Company (whether disbursed on or prior to or after the date of this resolution and whether then due or payable or not), (as already stipulated or as may be specified by the Financial Institutions/ Banks under the financing documents executed or to be executed in respect of the financial assistances which have already been availed or which may be availed) by the Company under the lending arrangements (existing and future arrangements) with various Banks and Financial Institutions (hereinafter collectively referred to as the "Lenders"), at the option of the Lenders, the loans or any other financial assistance categorized as loans (hereinafter referred to as the "Financial Assistance"), in Foreign Currency or Indian Rupees, which have already been availed from the Lenders or as may be availed from the Lenders, from time to time, not exceeding ₹75,000 Crore (Rupees Seventy Five Thousand Crore Only), consistent with the existing borrowing powers of the Company under Section 180(1)(c) of the Companies Act, 2013, each such Financial Assistances being separate and distinct from the other, into fully paid up equity shares of the Company on such terms and conditions as may be stipulated in the financing documents and subject to applicable law and in the manner specified in a notice in writing to be given by the Lenders (or their agents or trustees) to the Company (hereinafter referred to as the "Notice of Conversion") and in accordance with the following conditions:

- (i) the conversion right reserved as aforesaid may be exercised by the Lenders on one or more occasions during the currency of the Financial Assistance;
- (ii) on receipt of the Notice of Conversion, the Company shall, subject to the provisions of the financing documents, allot and issue the requisite number of fully paid-up equity shares to the Lenders or any other person identified by the Lenders as from the date of conversion and the Lenders may accept the same in satisfaction of the part of the loans so converted;
- (iii) the part of the loan so converted shall cease to carry interest as from the date of conversion and the loan shall stand correspondingly reduced. Upon such conversion, the

repayment installments of the loan payable after the date of conversion as per the financing documents shall stand reduced proportionately by the amounts of the loan so converted. The equity shares so allotted and issued to the Lenders or such other person identified by the Lenders shall carry, from the date of conversion, the right to receive proportionately the dividends and other distributions declared or to be declared in respect of the equity capital of the Company. Save as aforesaid, the said shares shall rank pari passu with the existing equity shares of the Company in all respects.

- (iv) In the event that the Lenders exercise the conversion right as aforesaid, the Company shall at its cost get the equity shares, issued to the Lenders or such other person identified by the Lenders as a result of the conversion, listed with such stock exchanges as may be prescribed by the Lenders or such other person identified by the Lenders and for the said purpose the Company shall take all such steps as may be necessary to the satisfaction of the Lenders or such other person identified by the Lenders, to ensure that the equity shares are listed as required by the Lenders or such other person identified by the Lenders.
- (v) The loans shall be converted into equity shares at a price to be determined in accordance with the applicable Securities and Exchange Board of India Regulations at the time of such conversion.

RESOLVED FURTHER THAT the Board be and is hereby authorized to finalise the terms and conditions for raising the Financial Assistances, from time to time, with an option to convert the Financial Assistances into equity shares of the Company anytime during the currency of the Financial Assistances, on the terms specified in the financing documents, including upon happening of an event of default by the Company in terms of the loan arrangements.

RESOLVED FURTHER THAT on receipt of the Notice of Conversion, the Board be and is hereby authorized to do all such acts, deeds and things as may be necessary and shall allot and issue requisite number of fully paid-up equity shares in the Company to such Lenders.

RESOLVED FURTHER THAT the Board be and is hereby authorized to issue, offer and allot from time to time to the Lenders such number of equity shares for conversion of the outstanding portion of the loans as may be desired by the Lenders.

RESOLVED FURTHER THAT the Board be and is hereby authorized to accept such modifications and to accept such terms and conditions as may be imposed or required by the Lenders arising from or incidental to the aforesaid terms providing for such option and to do all such acts and things as may be necessary to give effect to this resolution.

RESOLVED FURTHER THAT for the purpose of giving effect to this resolution, the Board, be and is hereby authorised to do all such acts, deeds, matters and things, as it may in its absolute discretion deem necessary, proper or desirable as may be required to create, offer, issue and allot the aforesaid shares, to dematerialize the shares of the Company and to resolve and settle any question, difficulty or doubt that may arise in this regard and to do all such other acts, deeds, matters and things in connection or incidental thereto as the Board in its absolute discretion may deem fit, without being required to seek any further consent or approval of the members or otherwise to the end and intent that they shall be deemed to have given their approval thereto expressly by the authority of this resolution.

RESOLVED FURTHER THAT the Board be and is hereby also authorized to delegate all or any of the powers herein conferred by this resolution on it, to any committee of Directors or any person or persons, as it may in its absolute discretion deem fit in order to give effect to this resolution."

Date: 21st June, 2023
Place : Ahmedabad

Registered Office:
Adani Corporate House, Shantigram,
Nr. Vaishno Devi Circle,
S. G. Highway, Khodiyar,
Ahmedabad – 382 421
CIN : L40100GJ1996PLC030533

For and on behalf of the Board
Adani Power Limited

Deepak S. Pandya
Company Secretary
Membership No. FCS 5002

NOTES:

1. The Government of India, Ministry of Corporate Affairs has allowed conducting Annual General Meeting through Video Conferencing (VC) or Other Audio-Visual Means (OAVM) and dispensed the personal presence of the members at the meeting. Accordingly, the Ministry of Corporate Affairs issued Circular No. 14/2020 dated 8th April, 2020, Circular No. 17/2020 dated 13th April, 2020 and Circular No. 20/2020 dated 5th May, 2020 and Circular No. 02/2021 dated 13th January, 2021 and Circular No. 21/2021 dated December 14, 2021 and 02/2022 dated 5th May 2022 and latest being 10/2022 dated December 28, 2022 ("MCA Circulars") and Circular No. SEBI/HO/CFD/CMD2/CIR/P/2021/11 dated January 15, 2021 and Circular No. SEBI/HO/DDHS/P/CIR/2022/0063 dated 13th May, 2022 and SEBI/HO/CRD/PoD-2/P/CIR/2023/4 dated 5th January, 2023 issued by the Securities Exchange Board of India ("SEBI Circular") prescribing the procedures and manner of conducting the Annual General Meeting through VC/OVAM. In terms of the said circulars, the 10th Annual General Meeting ("AGM") of the Members will be held through VC/OAVM. Hence, Members can attend and participate in the AGM through VC/OAVM only. The detailed procedure for participation in the meeting through VC/OAVM is as per note no. 18 and available at the Company's website www.adanipower.com.
2. The helpline number regarding any query / assistance for participation in the AGM through VC/OAVM is 022-23058542/43.
3. Information regarding appointment/reappointment of Directors and Explanatory Statement in respect of special businesses to be transacted pursuant to Section 102 of the Companies Act, 2013 ("the Act") and/or Regulation 36(3) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") is annexed hereto.
4. Pursuant to the Circular No. 14/2020 dated 8th April, 2020, issued by the Ministry of Corporate Affairs, the facility to appoint proxy to attend and cast vote for the Members is not available for this AGM. However, the Body Corporates are entitled to appoint authorised representatives to attend the AGM through VC/OAVM and participate thereat and cast their votes through e-voting.
5. The attendance of the Members attending the AGM through VC/OAVM will be counted for the purpose of reckoning the quorum under Section 103 of the Act.
6. In line with the aforesaid Ministry of Corporate Affairs Circulars, the AGM Notice calling the AGM has been uploaded on the website of the Company at www.adanitransmission.com. The Notice can also be accessed from the websites of the Stock Exchanges i.e. BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com respectively and the AGM Notice is also available on the website of CDSL (agency for providing the Remote e-Voting facility) i.e. www.evotingindia.com
7. The Register of members and share transfer books of the Company will remain closed from Wednesday, 12th July, 2023 to Wednesday, 19th July, 2023 (both days inclusive) for the purpose of AGM.
8. Members seeking any information with regard to accounts are requested to write to the Company at least 10 days before the meeting so as to enable the management to keep the information ready.
9. Members holding the shares in physical mode are requested to notify immediately the change of their address and bank particulars to the R&T Agent of the Company. In case shares held in dematerialized form, the information regarding change of address and bank particulars should be given to their respective Depository Participant.
10. In terms of Section 72 of the Act, nomination facility is available to individual Members holding shares in the physical form. The shareholders who are desirous of availing this facility, may kindly write to Company's R&T Agent for nomination form by quoting their folio number.
11. The Register of Directors' and Key Managerial Personnel and their shareholding maintained under Section 170 of the Act, the Register of contracts or arrangements in which the Directors are interested under Section 189 of the Act and all other documents referred to in this Notice will be available for inspection in electronic mode.
12. The Members can join the AGM through the VC/OAVM mode 15 (fifteen) minutes before and after the scheduled time of the commencement of the AGM by following the procedure mentioned in the AGM Notice. The facility of participation at the AGM through VC/OAVM will be made available for 1,000 members on first come first served basis. This will not include large Shareholders (Shareholders holding 2% or more shareholding), Promoters, Institutional Investors, Directors, Key Managerial Personnel, the Chairpersons of the Audit Committee, Nomination and Remuneration Committee and Stakeholders' Relationship Committee, Auditors etc. who are allowed to attend the AGM without restriction on account of first come first served basis.

13. Process and manner for members opting for voting through Electronic means:
 - i. Pursuant to the provisions of Section 108 of the Act read with Rule 20 of the Companies (Management and Administration) Rules, 2014 (as amended) and Regulation 44 of SEBI Listing Regulations (as amended), and the Circulars issued by the Ministry of Corporate Affairs dated 8th April, 2020, 13th April, 2020, 5th May, 2020, 13th January, 2021, 14th December, 2021, 5th May 2022 and 28th December, 2022, the Company is providing facility of remote e-voting to its Members in respect of the business to be transacted at the AGM. For this purpose, the Company has entered into an agreement with Central Depository Services (India) Limited (CDSL), as the Authorised e-voting agency for facilitating voting through electronic means. The facility of casting votes by a member using remote e-voting as well as e-voting system on the date of the AGM will be provided by CDSL.
 - ii. Members whose names are recorded in the Register of Members or in the Register of Beneficial Owners maintained by the Depositories as on the Cut-off date i.e. Wednesday, 12th July, 2023, shall be entitled to avail the facility of remote e-voting as well as e-voting system on the date of the AGM. Any recipient of the Notice, who has no voting rights as on the Cut-off date, shall treat this Notice as intimation only.
 - iii. A person who has acquired the shares and has become a Member after the despatch of the Notice of the AGM and prior to the Cut-off date i.e. Wednesday, 12th July, 2023, shall be entitled to exercise his/her vote either electronically i.e. remote e-voting or venue voting system on the date of the AGM by following the procedure mentioned in this part.
 - iv. The remote e-voting will commence on Saturday, 15th July, 2023 at 9.00 a.m. and will end on Tuesday, 18th July, 2023 at 5.00 p.m. During this period, the members of the Company holding shares either in physical form or in demat form as on the Cut-off date i.e. Wednesday, 12th July, 2023 may cast their vote electronically. The members will not be able to cast their vote electronically beyond the date and time mentioned above and the remote e-voting module shall be disabled for voting by CDSL thereafter.
 - v. Once the vote on a resolution is cast by the Member, he/she shall not be allowed to change it subsequently or cast the vote again.
- The voting rights of the Members shall be in proportion to their share in the paid-up equity share capital of the Company as on the Cut-off date i.e. Wednesday, 12th July, 2023.
- vi. The Company has appointed CS Chirag Shah, Practising Company Secretary (Membership No. FCS: 5545; CP No: 3498), to act as the Scrutinizer for conducting the remote e-voting process as well as the e-voting system on the date of the AGM, in a fair and transparent manner.
14. Process for those shareholders whose email ids are not registered:
 - a) For Physical shareholders- please provide necessary details like Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self-attested scanned copy of PAN card), AADHAR (self-attested scanned copy of Aadhar Card) by email to deepak.pandya@adani.com.
 - b) For Demat shareholders -, please provide Demat account details (CDSL-16 digit beneficiary ID or NSDL-16 digit DPID + CLID), Name, client master or copy of Consolidated Account statement, PAN (self-attested scanned copy of PAN card), AADHAR (self-attested scanned copy of Aadhar Card) to deepak.pandya@adani.com.
15. THE INSTRUCTIONS FOR SHAREHOLDERS FOR REMOTE VOTING ARE AS UNDER:
 - (i) The voting period begins on Saturday, 15th July, 2023 at 9.00 a.m. and ends on Tuesday, 18th July, 2023 at 5.00 p.m. During this period shareholders' of the Company, holding shares either in physical form or in dematerialized form, as on the cut-off date i.e. Wednesday, 12th July, 2023 may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter.
 - (ii) Shareholders who have already voted prior to the meeting date would not be entitled to vote at the meeting.
 - (iii) Pursuant to SEBI Circular No. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated 9th December, 2020, under Regulation 44 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, listed entities are required to provide remote e-voting facility to its shareholders, in respect of all shareholders' resolutions. However, it has been observed that the participation by the public non-institutional shareholders/retail shareholders is at a negligible level.

Currently, there are multiple e-voting service providers (ESPs) providing e-voting facility to listed entities in India. This necessitates registration on various ESPs and maintenance of multiple user IDs and passwords by the shareholders.

In order to increase the efficiency of the voting process, pursuant to a public consultation, it has been decided to enable e-voting to all the demat account holders, by way of a single login credential, through their demat accounts/ websites of Depositories/ Depository Participants. Demat account holders would be able to cast their vote without having to register again with the ESPs, thereby, not only facilitating seamless authentication but also enhancing ease and convenience of participating in e-voting process.

Step 1: Access through Depositories CDSL/ NSDL e-Voting system in case of individual shareholders holding shares in demat mode.

- (iv) In terms of SEBI circular no. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated 9th December, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Pursuant to abovesaid SEBI Circular, Login method for e-Voting and joining virtual meetings for Individual shareholders holding securities in Demat mode is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in Demat mode with CDSL	1) Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login to Easi / Easiest are requested to visit cdsi website www.cdslindia.com and click on login icon & New System Myeasi Tab. 2) After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly. 3) If the user is not registered for Easi/Easiest, option to register is available at cdsi website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option. 4) Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the e-voting is in progress and also able to directly access the system of all e-Voting Service Providers.

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL	1) If you are already registered for NSDL IDeAS facility, please visit the e-Services website of NSDL. Open web browser by typing the following URL: https://eservices.nsdl.com either on a Personal Computer or on a mobile. Once the home page of e-Services is launched, click on the "Beneficial Owner" icon under "Login" which is available under 'IDeAS' section. A new screen will open. You will have to enter your User ID and Password. After successful authentication, you will be able to see e-Voting services. Click on "Access to e-Voting" under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider name and you will be re-directed to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 2) If the user is not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select "Register Online for IDeAS "Portal or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp 3) Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider name and you will be redirected to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.
Individual Shareholders (holding securities in demat mode) login through their Depository Participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. After successful login, you will be able to see e-Voting option. Once you click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider name and you will be redirected to e-Voting service provider's website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned websites.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. CDSL and NSDL

Login type	Helpdesk details
Individual Shareholders holding securities in Demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or call toll free no. 1800 22 55 33.
Individual Shareholders holding securities in Demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.co.in or call at toll free no.: 1800 1020 990 and 1800 22 44 30

Step 2 : Access through CDSL e-Voting system in case of shareholders holding shares in physical mode and non-individual shareholders in demat mode.

- (v) Login method for e-Voting and joining virtual meeting for shareholders other than individual shareholders & physical shareholders.
1. The shareholders should log on to the e-voting website www.evotingindia.com.
 2. Click on Shareholders.
 3. Now Enter your User ID
 - a. For CDSL: 16 digits beneficiary ID,
 - b. For NSDL: 8 Character DP ID followed by 8 Digits Client ID,
 - c. Members holding shares in Physical Form should enter Folio Number registered with the Company.
 4. Next enter the Image Verification as displayed and Click on Login.
 5. If you are holding shares in demat form and had logged on to www.evotingindia.com and voted on an earlier voting of any company, then your existing password is to be used.
 6. If you are a first time user follow the steps given below:

For Physical shareholders and other than individual shareholders holding shares in Demat.	
PAN	Enter your 10-digit alpha-numeric PAN issued by Income Tax Department (Applicable for both demat shareholders as well as physical shareholders) Members who have not updated their PAN with the Company/Depository Participant are requested to use the sequence number indicated in the PAN field.
Dividend Bank Details OR Date of Birth (DOB)	Enter the Dividend Bank Details or Date of Birth (in dd/mm/yyyy format) as recorded in your demat account or in the company records in order to login. If both the details are not recorded with the depository or company please enter the member id / folio number in the Dividend Bank details field as mentioned in instruction (v).

- (vi) After entering these details appropriately, click on "SUBMIT" tab.
- (vii) Members holding shares in physical form will then directly reach the Company selection screen. However, members holding shares in demat form will now reach 'Password Creation' menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible

to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.

- (viii) For Members holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.
- (ix) Click on the EVSN of the Company – ADANI POWER LIMITED on which you choose to vote.

- (x) On the voting page, you will see "RESOLUTION DESCRIPTION" and against the same the option "YES/NO" for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.
- (xi) Click on the "RESOLUTIONS FILE LINK" if you wish to view the entire Resolution details.
- (xii) After selecting the resolution, you have decided to vote on, click on "SUBMIT". A confirmation box will be displayed. If you wish to confirm your vote, click on "OK", else to change your vote, click on "CANCEL" and accordingly modify your vote.
- (xiii) Once you "CONFIRM" your vote on the resolution, you will not be allowed to modify your vote.
- (xiv) You can also take a print of the votes cast by clicking on "Click here to print" option on the Voting page.
- (xv) If a demat account holder has forgotten the login password, then Enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.

There is also an optional provision to upload Board Resolution/Power of Attorney if any uploaded, which will be made available to scrutinizer for verification.

(xvi) Note for Non – Individual Shareholders and Custodians – For remote voting only.

- Non-Individual shareholders (i.e. other than Individuals, HUF, NRI etc.) and Custodian are required to log on to www.evotingindia.com and register themselves as Corporates.
- A scanned copy of the Registration Form bearing the stamp and sign of the entity should be emailed to helpdesk.evoting@cdslindia.com.
- After receiving the login details a Compliance User should be created using the admin login and password. The Compliance User would be able to link the account(s) for which they wish to vote on.
- The list of accounts linked in the login should be mailed to helpdesk.evoting@cdslindia.com and on approval of the accounts they would be able to cast their vote.
- A scanned copy of the Board Resolution and Power of Attorney (POA) which they

have issued in favour of the Custodian, if any, should be uploaded in PDF format in the system for the scrutinizer to verify the same.

- Alternatively, Non Individual shareholders are required to send the relevant Board Resolution/ Authority letter etc. together with attested specimen signature of the duly authorized signatory who are authorized to vote, to the Scrutinizer and to the Company, if voted from individual tab & not uploaded same in the CDSL e-voting system for the scrutinizer to verify the same.
- If you have any queries or issues regarding attending AGM & e-Voting from the CDSL e-Voting System, you can write an email to helpdesk.evoting@cdslindia.com or contact at toll free no. 1800 22 55 33.
- All grievances connected with the facility for voting by electronic means may be addressed to Mr. Rakesh Dalvi, Sr. Manager, (CDSL) Central Depository Services (India) Limited, A Wing, 25th Floor, Marathon Futurex, Mafatlal Mill Compounds, N M Joshi Marg, Lower Parel (East), Mumbai - 400013 or send an email to helpdesk.evoting@cdslindia.com or call toll free no. 1800 22 55 33.

16. The instructions for shareholders attending the AGM through VC/OAVM & e-voting during meeting are as under:-

- a. The procedure for attending meeting & e-Voting on the day of the AGM is same as the instructions mentioned above for remote e-voting.
- b. The link for VC/OAVM to attend meeting will be available where the EVSN of Company will be displayed after successful login as per the instructions mentioned above for remote e-voting.
- c. Only those Members/ shareholders, who will be present in the AGM through VC/OAVM facility and have not casted their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote through e-Voting system available in the AGM.
- d. If any Votes are cast by the Members through the e-voting available during the AGM and if the same members have not participated in the meeting through VC/OAVM facility, then the votes cast by such members shall be considered invalid as the facility of e-voting during the meeting is available only to the

- members participating in the meeting.
- e. Members who have voted through Remote e-Voting will be eligible to attend the AGM. However, they will not be eligible to vote at the AGM.
17. The results declared along with the Scrutinizer's Report shall be placed on the Company's website www.adanipower.com and on the website of CDSL i.e. www.cdslindia.com within two days of the passing of the Resolutions at the 27th Annual General Meeting of the Company and shall also be communicated to the Stock Exchanges where the shares of the Company are listed.
 18. INSTRUCTIONS FOR MEMBERS FOR ATTENDING THE AGM THROUGH VC/OAVM ARE AS UNDER:
 1. Members will be provided with a facility to attend the AGM through VC/OAVM or view the live webcast of AGM through the CDSL e-Voting system. Members may access the same at <https://www.evotingindia.com> under shareholders'/members login by using the remote e-voting credentials. The link for VC/OAVM will be available in shareholder/members login where the EVSN of Company will be displayed.
 2. Members are encouraged to join the Meeting through Laptops / iPads for better experience.
 3. Further Members will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting.
 4. Please note that participants connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to fluctuation in their respective network. It is therefore recommended to use stable Wi-Fi or LAN connection to mitigate any kind of aforesaid glitches.
 5. For ease of conduct, members who would like to ask questions may send their questions in advance at least (7) days before AGM mentioning their name, demat account number / folio number, email id, mobile number at deepak.pandya@adani.com and register themselves as a speaker. Those Members who have registered themselves as a speaker will only be allowed to express their views/ask questions during the AGM.
 6. Since the AGM will be held through VC/OAVM, the Route Map is not annexed in this Notice.

Contact Details:

Company	: Mr. Deepak S. Pandya Company Secretary and Compliance Officer Adani Power Limited Regd. Office: " Adani Corporate House", Shantigram, Nr. Vaishno Devi Circle, S. G. Highway, Khodiyar, Ahmedabad – 382 421, Gujarat, India CIN: L40100GJ1996PLC030533 E-mail: deepak.pandya@adani.com
Registrar and Transfer Agent	: M/s. KFin Technologies Limited Selenium Tower B, Plot 31-32, Gachibowli, Financial District, Nanakramguda, Serilingampally, Hyderabad – 500 032 Tel: +91-40-67161526 Fax : +91-40-23001153 E-mail: einward.ris@kfintech.com Website: www.kfintech.com
e-Voting Agency	: Central Depository Services (India) Limited E-mail: helpdesk.evoting@cdslindia.com Phone: 022- 22723333 / 8588
Scrutinizer	: CS Chirag Shah Practicing Company Secretary E-mail: pcschirag@gmail.com

EXPLANATORY STATEMENT PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013 AND/OR REGULATION 36(3) OF THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015.**For Item No. 4:**

Based on the recommendation of the Nomination and Remuneration Committee, the Board of Directors of the Company, at its meeting held on 5th May, 2023, unanimously re-appointed Mr. Anil Sardana as Managing Director of the Company for a period of 5 (five) years w.e.f. 11th July, 2023. Mr. Anil Sardana has effectively served the Company as a Managing Director since 11th July, 2020 and the Company has shown consistent growth under this tenure. He has more than 43 years of experience in the infrastructure space, particularly in the Energy and Telecom sectors having managed complex transitions, developments and operations as well as Engineering, Procurement and Construction assignments. He has given his consent to be re-appointed as a Managing Director of the Company.

Brief profile of Mr. Anil Sardana –

Mr. Anil Sardana is the Managing Director of Adani Transmission Limited since 10th May, 2018 and took over additional responsibility as Managing Director and CEO of Adani Power w.e.f. July, 2020. Prior to joining Adani, he was the CEO & Managing Director of Tata Power for over seven years. Prior to that he was the Managing Director & CEO of Tata Teleservices, from August 2007 to January 2011.

He was also the founding CEO & Managing Director of Tata Power Delhi Distribution Limited (TPDDL/NDPL) having taken over as founding chief when the company was set up in 2002 to takeover from state owned Discom. Mr Sardana is credited with having spearheaded the dramatic turnaround of Tata Power Delhi Distribution, having achieved benchmark performance standards-including world record Reduction of Aggregate Technical and Commercial Losses and making discoverable changes in deliverables to customers. Tata Power Delhi Distribution was also bestowed the prestigious 'Silver National Award for Meritorious Performance' for two consecutive years 2004-2005 and 2005-2006 in Power Distribution by the Prime Minister.

Mr. Sardana spearheaded two major M&A's namely with NTT DOCOMO of Japan and a reverse equity swap & merger to create most valuable Telecom-Tower Infrastructure company VIOM with the highest tenancy in the industry. Mr. Anil Sardana led the transition of Tata Tele by launch of very successful Tata DOCOMO & Tata Photon brands. These brands achieved stupendous off take. He also launched

several innovative schemes including Pay per-use & per-second billing.

He had also worked at NTPC (14 years) and BSES (7 years) prior to joining Tata Group where he spent 18 years. He held Chairman's position at CII National Committee on Power from 2012 onwards till April 2018, whereafter he is now National Co-Chair on CII's Infra Council.

Mr. Sardana holds a degree of Bachelors in Engineering from Delhi College of Engineering. He also holds a Post-Graduate degree in Cost Accountancy (ICWAI) and a Post-Graduate Diploma in Management and has attended Top Management Program at the Indian Institute of Management, Ahmedabad. He received several recognitions from Indian & International fora's and was also conferred with "Global Alumni Excellence Award" by his alma-mater Delhi College of Engineering in 2012. He did his schooling from Sardar Patel Vidyalaya, New Delhi.

The Board of Directors feel that it is in interest of the Company to re-appoint Mr. Anil Sardana as Managing Director of the Company.

Mr. Anil Sardana is not disqualified from being appointed as Managing Director in terms of Section 164 of the Act and has given his consent to act as Director.

Brief resume and other details of Mr. Anil Sardana are provided in annexure to this Notice pursuant to the provision of SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 and Secretarial Standard on General Meetings ("SS-2"), issued by the Institute of Company Secretaries of India.

The Board recommends passing of the Special Resolution as set out in Item nos. 3 of this Notice, for approval by the Members of the Company.

Mr. Anil Sardana is deemed to be interested in the said resolution as it relates to his appointment.

None of other the Directors, Key Managerial Personnel of the Company and their respective relatives, are in any way, concerned or interested, financially or otherwise, if any, in the proposed Special Resolution, as set out in Item no. 4 of this Notice.

The above may be treated as written memorandum setting out the terms of appointment of Mr. Anil Sardana under section 190 of the Companies Act, 2013.

For Item Nos. 5, 6, 7, 8, 9, 10, 11, 12 and 13:

The provisions of the SEBI Listing Regulations, as amended by the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) (Sixth Amendment) Regulations, 2021, effective April 1, 2022, mandates prior approval of members by means of an ordinary resolution for all material related party transactions and subsequent material modifications as defined by the audit committee, even if such transactions are in the ordinary course of business of the concerned company and at an arm's length basis. Effective from April 1, 2022, a transaction with a related party shall be considered as material if the transaction(s) to be entered into, either individually or taken together with previous transactions during a financial year, whether directly and/or through its subsidiary(ies), exceed(s) ₹1,000 crore, or 10% of the annual consolidated turnover as per the last audited financial statements of the listed entity, whichever is lower.

In the financial year 2023-24, the Company, along with its subsidiary(ies), propose to enter into certain related party transaction(s) as mentioned below, on mutually

agreed terms and conditions, and the aggregate of such transaction(s), are expected to cross the applicable materiality thresholds as mentioned above. Accordingly, as per the SEBI Listing Regulations, prior approval of the Members is being sought for all such arrangements / transactions proposed to be undertaken by the Company, either directly or along with its subsidiary(ies). All the said transactions shall be in the ordinary course of business of the Company and on an arm's length basis.

The Audit Committee has, on the basis of relevant details provided by the management, as required by the law, reviewed and approved the said transaction(s), subject to approval of the Members, while noting that such transactions shall be on arms' length basis and in the ordinary course of business of the Company.

Your Board of Directors considered the same and recommends passing of the resolutions contained in Item Nos. 5, 6, 7, 8, 9, 10, 11, 12 and 13 of this Notice.

Information required under Regulation 23 of SEBI Listing Regulations read with SEBI Circular dated 22nd November, 2021 is provided herein below:

Material Related Party Transactions by the Company
A. Resolution Item No. 5: Particulars of material related party transactions to be entered by Adani Power Limited with Adani Rail Infra Private Limited

	Particulars	Details
i.	Name of the Related Party	Adani Rail Infra Private Limited ('ARIPL')
ii.	Type of transaction	Borrowing of funds
iii.	Material terms and particulars of the proposed transaction	Material terms and conditions are / will be based on the contract(s) entered / proposed to be entered into, which interalia include the rates based on prevailing/ extant market conditions and commercial terms as on the date of entering into the contract(s).
iv.	Nature of Relationship with the Company including nature of its concern or interest (financial or otherwise)	ARIPL is an entity under common control with the Company.
v.	Tenure of the proposed transaction	During the financial year 2023-24
vi.	Value of the proposed transaction	Not to exceed ₹5,500 crores
vii.	Value of RPT as % of – - Company's audited consolidated annual turnover of ₹43,040.52 Crores for the financial year 2022-2023. - Subsidiary's annual standalone turnover for the financial year 2022-23.	Approx. 12.82%. Not Applicable
viii.	If the transaction relates to any loans, inter-corporate deposits, advances or investments made or given by the listed entity or its subsidiary:	Refer Note 1: Borrowing of funds and obtaining Financial Assistance

	Particulars	Details
	(i) Details of financial indebtedness incurred	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(ii) Applicable terms, including covenants, tenure, interest rate and repayment schedule, whether secured or unsecured; if secured, the nature of security	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(iii) the purpose for which the funds will be utilized by the ultimate beneficiary of such funds pursuant to the related party transaction	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
ix.	Justification as to why the RPT is in the interest of the Company.	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
x.	Copy of the valuation or other external party report, if any such report has been relied upon.	Not Applicable
xi.	Any other information relevant or important for the members to take a decision on the proposed transaction.	None

B. Resolution Item No. 6: Particulars of material related party transactions to be entered by Adani Power Limited with Adani Infra (India) Limited:

	Particulars	Details
i.	Name of the Related Party	Adani Infra (India) Limited ('AIIL')
ii.	Type of transaction	Borrowing of funds
iii.	Material terms and particulars of the proposed transaction	Material terms and conditions are / will be based on the contract(s) entered / proposed to be entered into, which interalia include the rates based on prevailing/ extant market conditions and commercial terms as on the date of entering into the contract(s).
iv.	Nature of Relationship with the Company including nature of its concern or interest (financial or otherwise)	AIIL is an entity under common control with the Company.
v.	Tenure of the proposed transaction	During the financial year 2023-24
vi.	Value of the proposed transaction	Not to exceed ₹5,800 crores
vii.	Value of RPT as % of – - Company's audited consolidated annual turnover of ₹43,040.52 Crores for the financial year 2022-2023. - Subsidiary's annual standalone turnover for the financial year 2022-23.	Approx. 13.51%. Not Applicable
viii.	If the transaction relates to any loans, inter-corporate deposits, advances or investments made or given by the listed entity or its subsidiary:	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(i) Details of financial indebtedness incurred	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(ii) Applicable terms, including covenants, tenure, interest rate and repayment schedule, whether secured or unsecured; if secured, the nature of security	Refer Note 1: Borrowing of funds and obtaining Financial Assistance

	Particulars	Details
	(iii) the purpose for which the funds will be utilized by the ultimate beneficiary of such funds pursuant to the related party transaction	Refer Note 1: Borrowing of funds and obtaining Financial Assistance.
ix.	Justification as to why the RPT is in the interest of the Company.	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
x.	Copy of the valuation or other external party report, if any such report has been relied upon.	Not Applicable
xi.	Any other information relevant or important for the members to take a decision on the proposed transaction.	None

C. Resolution Item No. 7: Particulars of material related party transactions to be entered by Adani Power Limited with Adani Properties Private Limited

	Particulars	Details
i.	Name of the Related Party	Adani Properties Private Limited ('APPL')
ii.	Type of transaction	Borrowing of funds
iii.	Material terms and particulars of the proposed transaction	Material terms and conditions are / will be based on the contract(s) entered / proposed to be entered into, which inter alia include the rates based on prevailing/ extant market conditions and commercial terms as on the date of entering into the contract(s).
iv.	Nature of Relationship with the Company including nature of its concern or interest (financial or otherwise)	APPL is an entity under common control with the Company.
v.	Tenure of the proposed transaction	During the financial year 2023-24
vi.	Value of the proposed transaction	Not to exceed ₹5,600 crores
vii.	Value of RPT as % of – - Company's audited consolidated annual turnover of ₹43,040.52 Crores for the financial year 2022-2023. - Subsidiary's annual standalone turnover for the financial year 2022-23.	Approx. 12.95%. Not applicable
viii.	If the transaction relates to any loans, inter-corporate deposits, advances or investments made or given by the listed entity or its subsidiary:	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(i) Details of financial indebtedness incurred	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(ii) Applicable terms, including covenants, tenure, interest rate and repayment schedule, whether secured or unsecured; if secured, the nature of security	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(iii) the purpose for which the funds will be utilized by the ultimate beneficiary of such funds pursuant to the related party transaction	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
ix.	Justification as to why the RPT is in the interest of the Company.	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
x.	Copy of the valuation or other external party report, if any such report has been relied upon.	Not Applicable
xi.	Any other information relevant or important for the members to take a decision on the proposed transaction.	None

D. Resolution Item No. 8: Particulars of material related party transactions to be entered by Adani Power Limited with Adani Infrastructure Management Services Limited:

	Particulars	Details
i.	Name of the Related Party	Adani Infrastructure Management Services Limited ('AIMSL')
ii.	Type of transaction	Availing Operations & Maintenance (O & M) services and borrowing of funds
iii.	Material terms and particulars of the proposed transaction	Material terms and conditions are / will be based on the contract(s) entered / proposed to be entered into, which interalia include the rates based on prevailing/ extant market conditions and commercial terms as on the date of entering into the contract(s).
iv.	Nature of Relationship with the Company including nature of its concern or interest (financial or otherwise)	AIMSL is an entity under common control with the Company.
v.	Tenure of the proposed transaction	During the financial year 2023-24
vi.	Value of the proposed transaction	Not to exceed ₹6,300 crores
vii.	Value of RPT as % of – - Company's audited consolidated annual turnover of ₹43,040.52 Crores for the financial year 2022-2023. - Subsidiary's annual standalone turnover for the financial year 2022-23.	Approx. 14.47% Not applicable
viii.	If the transaction relates to any loans, inter-corporate deposits, advances or investments made or given by the listed entity or its subsidiary:	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(i) Details of financial indebtedness incurred	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(ii) Applicable terms, including covenants, tenure, interest rate and repayment schedule, whether secured or unsecured; if secured, the nature of security	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(iii) the purpose for which the funds will be utilized by the ultimate beneficiary of such funds pursuant to the related party transaction	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
ix.	Justification as to why the RPT is in the interest of the Company.	Refer Note 1: Borrowing of funds and obtaining Financial Assistance & Refer Note 2: Availing Operations & Maintenance (O & M) services
x.	Copy of the valuation or other external party report, if any such report has been relied upon.	Not Applicable
xi.	Any other information relevant or important for the members to take a decision on the proposed transaction.	None

E. Resolution Item No. 9: Particulars of material related party transactions to be entered by Adani Power Limited with MPSEZ Utilities Limited:

	Particulars	Details
i.	Name of the Related Party	MPSEZ Utilities Limited ('MUL')
ii.	Type of transaction	Sale of Power
iii.	Material terms and particulars of the proposed transaction	Material terms and conditions are / will be based on the contract(s) entered / proposed to be entered into, which interalia include the rates based on prevailing/ extant market conditions and commercial terms as on the date of entering into the contract(s).
iv.	Nature of Relationship with the Company including nature of its concern or interest (financial or otherwise)	MUL is an entity under common control with the Company.
v.	Tenure of the proposed transaction	15 years Long Term Power Purchase Agreement
vi.	Value of the proposed transaction	Not to exceed ₹1,600 crores in any year
vii.	Value of RPT as % of – - Company's audited consolidated annual turnover of ₹43,040.52 Crores for the financial year 2022-2023. - Subsidiary's annual standalone turnover for the financial year 2022-23.	Approx. 3.72% for FY 2023-24 Not Applicable
viii.	If the transaction relates to any loans, inter-corporate deposits, advances or investments made or given by the listed entity or its subsidiary:	NA
	(i) Details of financial indebtedness incurred	NA
	(ii) Applicable terms, including covenants, tenure, interest rate and repayment schedule, whether secured or unsecured; if secured, the nature of security	NA
	(iii) the purpose for which the funds will be utilized by the ultimate beneficiary of such funds pursuant to the related party transaction	NA
ix.	Justification as to why the RPT is in the interest of the Company.	Refer Note 3 Sale of Power
x.	Copy of the valuation or other external party report, if any such report has been relied upon.	Not Applicable
xi.	Any other information relevant or important for the members to take a decision on the proposed transaction.	None

F. Resolution Item No. 10: Particulars of material related party transactions to be entered by Adani Power Limited with Adani Enterprises Limited

	Particulars	Details
i.	Name of the Related Party	Adani Enterprises Limited ('AEL')
ii.	Type of transaction	Purchase of Coal and Power; Obtaining Financial Assistance; Sale of Fly Ash and Power; and Availing various Services
iii.	Material terms and particulars of the proposed transaction	Material terms and conditions are / will be based on the contract(s) entered / proposed to be entered into, which interalia include the rates based on prevailing/ extant market conditions and commercial terms as on the date of entering into the contract(s).
iv.	Nature of Relationship with the Company including nature of its concern or interest (financial or otherwise)	AEL is an entity under common control with the Company.
v.	Tenure of the proposed transaction	During the financial year 2023-24
vi.	Value of the proposed transaction	Not to exceed ₹9,500 crores
vii.	Value of RPT as % of – - Company's audited consolidated annual turnover of ₹43,040.52 Crores for the financial year 2022-2023. - Subsidiary's annual standalone turnover for the financial year 2022-23.	Approx. 22.07%. Not Applicable
viii.	If the transaction relates to any loans, inter-corporate deposits, advances or investments made or given by the listed entity or its subsidiary:	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(i) Details of financial indebtedness incurred	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(ii) Applicable terms, including covenants, tenure, interest rate and repayment schedule, whether secured or unsecured; if secured, the nature of security	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
	(iii) the purpose for which the funds will be utilized by the ultimate beneficiary of such funds pursuant to the related party transaction	Refer Note 1: Borrowing of funds and obtaining Financial Assistance
ix.	Justification as to why the RPT is in the interest of the Company.	Refer Note 1: Borrowing of funds and obtaining Financial Assistance; and Refer Note 5: Purchase of Coal and Power; Sale of Fly Ash and Power; and availing various Corporate Services
x.	Copy of the valuation or other external party report, if any such report has been relied upon.	Not Applicable
xi.	Any other information relevant or important for the members to take a decision on the proposed transaction.	None

G. Resolution Item No. 11: Particulars of material related party transactions to be entered by Adani Power Limited with Dirk Trade & Logistics LLP:

	Particulars	Details
i.	Name of the Related Party	Dirk Trade & Logistics LLP ('DTL LLP')
ii.	Type of transaction	Availing Fly Ash Utilization / Disposal Services
iii.	Material terms and particulars of the proposed transaction	Material terms and conditions will be based on the contract proposed to be entered into, which interalia include the rates and commercial terms as per competitive bidding procedure / tender document.
iv.	Nature of Relationship with the Company including nature of its concern or interest (financial or otherwise)	DTL LLP is an entity under common control with the Company.
v.	Tenure of the proposed transaction	Initially for 10 years
vi.	Value of the proposed transaction	Upto Rs. 200 crores in FY 23-24 and thereafter subject to escalation linked to Whole Sale Price Index
vii.	Value of RPT as % of – - Company's audited consolidated annual turnover of ₹43,040.52 Crores for the financial year 2022-2023. - Subsidiary's annual standalone turnover for the financial year 2022-23..	Approx. 0.46%. Not Applicable
viii.	If the transaction relates to any loans, inter-corporate deposits, advances or investments made or given by the listed entity or its subsidiary:	NA
	(i) Details of financial indebtedness incurred	NA
	(ii) Applicable terms, including covenants, tenure, interest rate and repayment schedule, whether secured or unsecured; if secured, the nature of security	NA
	(iii) the purpose for which the funds will be utilized by the ultimate beneficiary of such funds pursuant to the related party transaction	NA
ix.	Justification as to why the RPT is in the interest of the Company.	Refer Note 7: Availing Fly Ash Utilization / Disposal Services
x.	Copy of the valuation or other external party report, if any such report has been relied upon.	Not Applicable
xi.	Any other information relevant or important for the members to take a decision on the proposed transaction.	None

Material Related Party Transactions by subsidiary entities

F. Resolution Item No. 12: Particulars of material related party transactions to be entered by Adani Power (Jharkhand) Limited ("APJL") with Adani Global PTE Limited ("AGPTE")

	Particulars	Details
i.	Name of the Related Party	Adani Global PTE Limited ('AGPTE')
ii.	Type of transaction	Purchase of imported coal,
iii.	Material terms and particulars of the proposed transaction	Material terms and conditions are / will be based on the contract(s) entered / proposed to be entered into, which interalia include the rates based on prevailing/ extant market conditions and commercial terms as on the date of entering into the contract(s).
iv.	Nature of Relationship with the Company including nature of its concern or interest (financial or otherwise)	AGPTE is an entity under common control with the Company.
v.	Tenure of the proposed transaction	During the financial year 2023-24
vi.	Value of the proposed transaction	Not to exceed Rs. 4,800 crores
vii.	Value of RPT as % of – - Company's audited consolidated annual turnover of ₹43,040.52 Crores for the financial year 2022-2023. - APJL's annual standalone turnover for the financial year 2022-23.	Approx. 11.15%. Not Applicable (APJL was not operational in FY 2022-23)
viii.	If the transaction relates to any loans, inter-corporate deposits, advances or investments made or given by the listed entity or its subsidiary:	NA
	(i) Details of financial indebtedness incurred	NA
	(ii) Applicable terms, including covenants, tenure, interest rate and repayment schedule, whether secured or unsecured; if secured, the nature of security	NA
	(iii) the purpose for which the funds will be utilized by the ultimate beneficiary of such funds pursuant to the related party transaction	NA
ix.	Justification as to why the RPT is in the interest of the Company.	Refer Note 4: Purchase of Imported Coal
x.	Copy of the valuation or other external party report, if any such report has been relied upon.	Not Applicable
xi.	Any other information relevant or important for the members to take a decision on the proposed transaction.	None

I. Resolution Item No. 13: Mahan Energen Limited ('MEL'), a Wholly Owned Subsidiary of the Company, with Adani Enterprises Limited:

	Particulars	Details
i.	Name of the Related Party	Adani Enterprises Limited ('AEL')
ii.	Type of transaction	Purchase of Coal and Power; Sale of Power; and Availing Corporate Services
iii.	Material terms and particulars of the proposed transaction	Material terms and conditions are / will be based on the contract(s) entered / proposed to be entered into, which interalia include the rates based on prevailing/ extant market conditions and commercial terms as on the date of entering into the contract(s).
iv.	Nature of Relationship with the Company including nature of its concern or interest (financial or otherwise)	AEL is an entity under common control with the Company.
v.	Tenure of the proposed transaction	During the financial year 2023-24
vi.	Value of the proposed transaction	Not to exceed Rs. 3,900 crores
vii.	Value of RPT as % of – - Company's audited consolidated annual turnover of ₹43,040.52 Crores for the financial year 2022-2023. - MEL's annual standalone turnover of ₹2,751.75 Crores for the financial year 2022-23.	Approx. 9.06%. Approx. 141.72%
viii.	If the transaction relates to any loans, inter-corporate deposits, advances or investments made or given by the listed entity or its subsidiary:	NA
	(i) Details of financial indebtedness incurred	NA
	(ii) Applicable terms, including covenants, tenure, interest rate and repayment schedule, whether secured or unsecured; if secured, the nature of security	NA
	(iii) the purpose for which the funds will be utilized by the ultimate beneficiary of such funds pursuant to the related party transaction	NA
ix.	Justification as to why the RPT is in the interest of the Company.	Refer Note 6: Purchase of Coal and Power; Sale of Power; and Availing Corporate Services
x.	Copy of the valuation or other external party report, if any such report has been relied upon.	Not Applicable
xi.	Any other information relevant or important for the members to take a decision on the proposed transaction.	None

Background, details and benefits of the transaction

Note 1: Borrowing of funds and obtaining Financial Assistance

The Company on its own and along with its subsidiaries is growing organically and inorganically and, in this pursuit, it is exploring opportunities including acquiring power plants and developing greenfield power projects. It is also exploring other business opportunities for growth like land development/developing infrastructural facilities, etc. For funding of these projects / requirements and also any cashflow mismatch, the Company may, in its ordinary course of business, require borrowing / Corporate Guarantee from various entities of Adani Group namely ARIPL, AILL, APPL, AEL and AIMSL. The terms of borrowing including interest rates will be in line with the market conditions prevailing at the time of borrowing and on arm's length basis.

Note 2: Availing Operations & Maintenance (O & M) services.

In order to avail the expert services on O&M activities and attaining excellence, the said activities have been outsourced to AIMSL for all seven plants including Bitta solar power plant of the Company. AIMSL is having O & M contracts of Adani Group's transmission and renewable businesses as well. The Company has awarded the contract of O&M Services to AIMSL for FY 2023-24 with well-defined key performance indicators and liquidated damages conditions and price has been discovered through competitive bidding. The transactions shall be in the normal course of business and at arm's length.

Note 3: Sale of Power

Mundra Plant of APL has existing power supply agreement for sale of power. Further, APL has entered into additional long-term Power Supply Agreement ('PSA') with MPSEZ Utilities Limited (MUL) for capacity of 360 MW for supply of power for 15 years. The pricing of the contract with MUPL has been done on a competitive bidding basis and the PSA has been signed and is subject to approval of appropriate regulatory commission. The long-term nature of PSA assures the Company of sustained revenue and is thus beneficial for the Company's stakeholders. Hence, the transaction is at arm's length and in the normal course of business. The above arrangement will be continuing business transaction. Approval of the shareholders is being sought for 15 financial years starting from FY 2023-24.

Note 4: Purchase of Imported Coal / Goods

Godda Power Plant of Adani Power Jharkhand Limited (APJL), a wholly owned subsidiary of the Company, is in the business of generating power for which good quality coal and timely availability are essential ingredients. To ensure un-interrupted operations and power supply to its customers, and considering highly uncertain and volatile coal market, APJL procures imported / domestic coal, in normal course and in emergent situations. AGPTE is a large trader of coal. Arrangement with AGPTE will ensure timely and quality coal supply to APJL. in its ordinary course of business, imports coal at a price determined as per Harga Batubara Acuan (HBA- Indonesian coal index)/relevant index of respective country, adjusted for market factors and all actual parameters like moisture, Sulphur, Ash, GCV etc. The transactions are at arm's length as per the CUP method (Comparable Uncontrolled Price) also. Price is competitive and the transactions are in the normal course of business.

Note 5 (i) : Purchase of Imported & Domestic Coal:

The Company is in the business of generating power for which good quality coal and timely availability are essential ingredients. To ensure un-interrupted operations and power supply to its customers, and considering highly uncertain and volatile coal market, the Company intends to enter into an arrangement with Adani Enterprises Limited (AEL) for procuring imported / domestic coal, in normal course and in emergent situations. AEL is one of the largest traders of coal in India. Arrangement with AEL will ensure timely and quality coal supply to the Company. The procurement of imported coal shall be at HBA/ relevant Index of respective country, adjusted for market factors and all actual parameters like Moisture, Sulphur, Ash, GCV etc. or at a price at which AEL would be normally charge in the open market from a third party, as per the available offers for sale with AEL, at the time of each transaction. In all cases, the price and terms of the transactions shall be at arm's length as per the CUP (Comparable Uncontrolled Price) method and in the normal course of business.

Further, Domestic Coal to be procured from AEL shall be at an Ex-Works price prevailing for such coal in the open market based on the market rate, as determined by E-auction of domestic coal by subsidiaries of Coal India Ltd. or rate as per other source of supply in domestic market. The purchase transaction would be in the commercial / beneficial interest of the Company. In all cases, the price and terms of the transactions shall be at arm's length as per the CUP (Comparable Uncontrolled Price) method and in the

normal course of business.

Note 5 (ii) : Purchase of Power

Due to non-availability of any of the plant on some occasions during the year, APL may procure power from alternative sources to fulfil its obligation under PPAs and in absence of trading license, APL or its subsidiaries may purchase power through AEL, being holder of trading license. AEL will arrange power at a market discovered price and add trading margin of 0.25 paisa per kwh., which is regulated by CERC. Accordingly, the transactions are at arm's length as per the Comparable Uncontrolled Price ("CUP") method and in the normal course of business.

Note 5 (lii) : Sale of Power

APL sells power through AEL in merchant either on Energy Exchanges or under bilateral agreements at market discovered price. Being holder of trading license AEL is only getting trading margin of 0.25 paisa per kwh., which is regulated by CERC. Accordingly, the transaction are at arm's length as per the Comparable Uncontrolled Price ("CUP") method and in the normal course of business.

Note 5 (iv) : Sale of Fly Ash

The fly ash is proposed to be sold to AEL in the range of Rs. 200 to 300 per MT which will be at par with the market discovered price. The said price is comparable with the price at which AEL sells fly ash to third parties. The transaction is at arm's length as per the Comparable Uncontrolled Price ("CUP") method and in the normal course of business.

Note 5 (v) : Availing Corporate Services

AEL provides various support services to APL like Information Technology, Central Treasury services, manpower support services etc. The costs to be charged to the Company will be on actual cost allocated on a reasonable basis. The key criteria for allocation of the costs for such support services is based on the strength of manpower of each company availing common services of IT, Admin and HR. In respect of common services relating to Finance and Treasury, the same is allocated based on the Debt & Capital employed. Payment to AEL will be made based on actual cost as allocated on reasonable basis, as explained above and no extra revenue is earned by AEL. The transaction in view of this is at arm's length and in the normal course of business.

Note 5 (vi) Availing Port and Cargo Handling Services

AEL provides cargo handling and other services in

respect of cargo at various Ports. Further, rate to be charged by AEL is competitive with the charges recovered from other non-related parties and qualifies under CUP method (Comparable Uncontrolled Price). The said transaction is at arm's length and in the normal course of business.

Note 6: Purchase of Coal and Power; Sale of Power; and Availing Corporate Services by MEL, a wholly owned subsidiary of the Company

i. Purchase of Domestic Coal:

MEL is in the business of generating power for which good quality coal and timely availability are essential ingredients. To ensure un-interrupted operations and power supply to its customers, and considering highly uncertain and volatile coal market, MEL intends to enter into an arrangement with Adani Enterprises Limited (AEL) for procuring domestic coal, in normal course and in emergent situations. AEL is one of the largest traders of coal in India. Arrangement with AEL will ensure timely and quality coal supply to the Company. Domestic Coal to be procured from AEL shall be at an Ex-Works price prevailing for such coal in the open market based on the market rate, as determined by E-auction of domestic coal by subsidiaries of Coal India Ltd. or rate as per other source of supply in domestic market. The purchase transaction would be in the commercial / beneficial interest of the Company. In all cases, the price and terms of the transactions shall be at arm's length as per the CUP (Comparable Uncontrolled Price) method and in the normal course of business.

ii. Purchase of Power

Due to non-availability of any of the plant on some occasions during the year, MEL may procure power from alternative sources to fulfil its obligation under PPAs and in absence of trading license, MEL is required to purchase power through AEL being holder of trading license. AEL will arrange power at a market discovered price and add trading margin of 0.25 paisa per kwh., which is regulated by CERC. Accordingly, the transaction is at arm's length as per the Comparable Uncontrolled Price ("CUP") method and in the normal course of business.

iii. Sale of Power:

MEL sells power through AEL in merchant either on Energy Exchanges or under bilateral agreements at market discovered price. Being holder of trading license AEL is only getting trading margin of 0.25 paisa per kwh., which is regulated by CERC.

Accordingly, the transaction is at arm's length as per the Comparable Uncontrolled Price ("CUP") method and in the normal course of business.

iv. Receiving Corporate Services:

AEL provides various support services to MEL like Information Technology, Central Treasury services, manpower support services etc. The costs to be charged to the Company will be on actual cost allocated on a reasonable basis. The key criteria for allocation of the costs for such support services is based on the strength of manpower of each company availing common services of IT, Admin and HR. In respect of common services relating to Finance and Treasury, the same is allocated based on the Debt & Capital employed. Payment to AEL will be made based on actual cost as allocated on reasonable basis, as explained above and no extra revenue is earned by AEL. The transaction in view of this is at arm's length and in the normal course of business.

Note 7: Availing Fly Ash Utilization / Disposal Services

Ministry of Environment, Forest & Climate Change (MoEF&CC) has mandated that Thermal power plants are required to utilize / dispose 100% Ash generated and prescribed procedure for its Enforcement, Monitoring, Audit and Reporting. The thermal power plant shall achieve average Ash utilization of 100 per cent in a three-to-five-year cycle as applicable. Non-compliant thermal power plants shall be imposed with an Environmental Compensation of Rs. 1000 per ton on unutilized Ash.

Tiroda TPP is expected to generate approx. 5 MMT of Fly Ash every year for which no assured long term commercial customers are available. Consistent Utilization of Fly Ash generated requires costs relating to new capex for infrastructure pertaining to storage, loading, transportation, silos, bagging, manpower, etc.

To meet the aforesaid statutory obligation of Fly Ash utilization with full certainty, mitigate the risks associated with non-utilization of Fly Ash and also to avoid any new CAPEX, the Company proposes to enter into a long term agreement for 10 years, which may be extended for a further period of 10 years with mutual consent, for Fly Ash utilization / disposal on "As is Where Is basis" from its Tiroda TPP. Accordingly, the Company initiated competitive bidding process wherein it has received the lowest bid of Rs 380 per ton towards cost of such utilization / disposal of Fly Ash from DLT LLP for the said services. The utilization / disposal cost will have an annual price escalation linked to the Wholesale Price Index("WPI").

If required DLT LPP will also be directed to utilize the legacy Fly Ash at the same rate as derived above. The pricing of the transaction has been decided through a competitive bidding process. Hence, the said transaction is at arm's length and in the normal course of business. Though the transaction value is not material as per the extant regulation but considering this being a long-term contract with a related party for good governance practice, the company seeks the approval of its shareholders.

The Board recommends passing of the Ordinary Resolutions as set out in Item nos. 5, 6, 7, 8, 9, 10, 11, 12 and 13 of this Notice, for approval by the Members of the Company.

As per the SEBI Listing Regulations, all related parties of the Company, whether or not a party to the proposed transaction(s), shall abstain from voting on the said resolution.

Mr. Gautam S. Adani and Mr. Rajesh S. Adani and their relatives are deemed to be concerned or interested in these resolutions. None of other the Directors, Key Managerial Personnel of the Company and their respective relatives, are in any way, concerned or interested, financially or otherwise, except to the extent of their shareholding in the Company, if any, in the proposed Ordinary Resolution, as set out in Item no. 5, 6, 7, 8, 9, 10, 11, 12 and 13 of this Notice.

For Item No. 14

The Board, on the recommendation of the Audit Committee, has approved the appointment and remuneration of M/s. Kiran J. Mehta & Co., Cost Accountants [Firm Reg. No. 000025] as the Cost Auditors of the Company to conduct the audit of the cost records of the Company for the financial year 2023-24, at a fee of ₹1,40,0,000/- plus applicable Taxes and reimbursement of out of pocket expenses, as remuneration for cost audit services for the Financial Year 2023-24.

In accordance with the provisions of Section 148 of the Companies Act, 2013 read with the Companies (Audit and Auditors) Rules, 2014, the remuneration payable to the Cost Auditors has to be ratified by the Members of the Company.

Accordingly, consent of the Members is sought for passing an Ordinary Resolution as set out at Item No. 14 of this Notice for ratification of the remuneration payable to the Cost Auditors for the financial year ending 31st March, 2024.

The Board recommends passing of the Ordinary Resolution as set out in Item no. 14 of this Notice, for approval by the Members of the Company.

None of the Directors, Key Managerial Personnel of the Company and their respective relatives, are in any way, concerned or interested, financially or otherwise, in the proposed Ordinary Resolution, as set out in Item no. 14 of this Notice.

For Item No. 15 & 16

The Hon'ble National Company Law Tribunal, Bench at Ahmedabad ("NCLT") has pronounced its order on February 8, 2023, sanctioning the Scheme of Amalgamation of: (i) Adani Power Maharashtra Limited ("APML"); (ii) Adani Power Rajasthan Limited ("APRL"); (iii) Udupi Power Corporation Limited ("UPCL"); (iv) Raipur Energen Limited ("REL"); (v) Raigarh Energy Generation Limited ("REGL"); and (vi) Adani Power (Mundra) Limited ("APMuL") [collectively referred to as the "Transferor Companies"] with Adani Power Limited ("APL" or the "Transferee Company") [the "Scheme"] with effect from October 1, 2021, the Appointed Date as defined under the Scheme, pursuant to the provisions of Sections 230 – 232 and/or other applicable provisions of the Companies Act, 2013 (read with the rules and regulations made thereunder and shall include any statutory modification or re-enactment thereof for the time being in force) and in accordance with Section 2(1B) of the Income Tax Act, 1961.

All the conditions stated under the Scheme for making it effective have been satisfied on March 7, 2023, and accordingly the Scheme became effective from the said date.

Consequently, the Transferor Companies, i.e. APML, APRL, UPCL, REL, REGL, and APMuL stand amalgamated with APL. The Transferor Companies upon such amalgamation stand dissolved without being wound up, without any further act or deed.

In view of this, in order to cater to the business requirements for consolidated business of all the seven companies, the Board at its meeting held on 5th May, 2023, has approved to increase the present borrowing limits from Rs. 45,000 Crore to Rs. 75,000 Crore under Section 180(1) (c) of the Companies Act, 2013 subject to approval of the shareholders.

In accordance with the provisions of Section 180 (1) (a) of the Companies Act, 2013, the mortgage or charge on all or any part of the movable and/or immovable properties of the Company, may be deemed as the disposal of the whole, or substantially the whole, of the undertaking of the Company and hence, requires approval from the members of the Company by way of a Special Resolution. Therefore, it is proposed to pass this enabling resolution to authorize the Company to create a charge or mortgage on the assets or properties of the Company for an amount

not exceeding Rs. 75,000 Crore thereof, in excess of the aggregate of the paid-up capital of the Company and its free reserves.

The Board recommends passing of the Special Resolution as set out in Item no. 15 & 16 of this Notice, for approval by the Members of the Company.

None of the Directors, Key Managerial Personnel of the Company and their respective relatives, are in any way, concerned or interested, financially or otherwise, in the proposed Special Resolution, as set out in Item no. 15 & 16 of this Notice.

For Item No. 17:

In line with the regulatory changes in the recent past, the changes in the Companies Act and in line with various directives issued by Reserve Bank of India, from time to time, the Company has been advised to pass a Special Resolution under Section 62(3) of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 and Rules made there-under to enable the Banks and Financial Institutions (hereinafter referred to as the "Lenders") to convert the outstanding loans or any other financial assistance categorized as loans (hereinafter referred to as the "Financial Assistance"), in foreign currency or Indian Rupee, already availed from the Lenders or as may be availed from the Lenders, from time to time, at their option, into equity shares of the Company upon such terms and conditions as may be deemed appropriate by the Board and at a price to be determined in accordance with the applicable Securities and Exchange Board of India Regulations (SEBI Regulations) at the time of such conversion.

The Company had earlier passed requisite resolution under the said section, but due to proposed increase in the borrowing powers (as contemplated in Item no 15 & 16 of this Notice), it is desirable to enhance the limit of the threshold amount under this section also in line with the fresh borrowing limit envisaged from the shareholders of the Company under this Notice.

Accordingly, the Board recommends the resolution as set out at Item No. 17, to enable the Lenders, in terms of the lending arrangements, entered/to be entered, and as may be specified by the financial institutions/banks under the financing documents already executed or to be executed in respect of the financial assistances availed/to be availed, at their option, to convert the whole or part of their respective outstanding financial assistances into equity shares of the Company, upon such terms and conditions as may be deemed appropriate by the Board and at a price to be determined in accordance with the applicable SEBI Regulations at the time of such conversion.

Since decisions for raising the financial assistances or agreeing to terms and conditions for raising the financial assistances (including option to convert loan into equity) are required to be taken on quick basis, especially keeping in view the interest of the Company, it may not be feasible for the Company to seek shareholders consent each and every time, in view of the timings and the expenses involved, hence this resolution.

Pursuant to provisions of Section 62(3) of the Companies Act, 2013, this resolution requires approval

of the members by way of passing of a Special Resolution. Hence, the Board recommends the said enabling resolution for the approval of the members.

The Board recommends passing of the Special Resolution as set out in Item no. 17 of this Notice, for approval by the Members of the Company.

None of the Directors, Key Managerial Personnel of the Company and their respective relatives, are in any way, concerned or interested, financially or otherwise, in the proposed Special Resolution, as set out in Item no. 17 of this Notice.

Date: 21st June, 2023

Place : Ahmedabad

For and on behalf of the Board

Adani Power Limited

Registered Office:

Adani Corporate House, Shantigram,

Nr. Vaishno Devi Circle,

S. G. Highway, Khodiyar,

Ahmedabad – 382 421

CIN : L40100GJ1996PLC030533

Deepak S. Pandya

Company Secretary

Membership No. FCS 5002

ANNEXURE TO NOTICE

Particulars of Directors seeking Appointment / Re-appointment

Name of Director	Age, Date of Birth (No. of Shares held)	Qualification	Nature of expertise in specific functional area	Name of the companies in which he holds directorship as on 31st March, 2023	Name of committees in which he holds membership/ chairmanship as on 31st March, 2023
Mr. Rajesh S. Adani (DIN: 00006273)	58 Years 07.12.1964 (Note 1)	B.Com.	He has been associated with Adani Group since its inception. He is in charge of the operations of the Group and has been responsible for developing its business relationships. His proactive, personalised approach to the business and competitive spirit have helped towards the growth of the Group and its various businesses.	- Adani Transmission Limited^{^ ^} - Adani Power Limited^{^ ^} - Adani Enterprises Limited^{^ ^} - Adani Ports and Special Economic Zone Limited^{^ ^} - Adani Green Energy Limited^{^ ^} - Adani Welspun Exploration Limited - Adani Institute for Education and Research - Adani Trading Services LLP - Adani Tradeline Private Limited	-----

^{^ ^} Listed Companies.

Note 1 - Mr. Gautam S. Adani & Rajesh S. Adani (on behalf of S.B. Adani Family Trust) holds 60,16,34,660 Equity Shares of the Company. Mr. Rajesh S. Adani hold 1 (one) Equity Share of the Company in his individual capacity.

ANNEXURE TO NOTICE

Particulars of Directors seeking Appointment / Re-appointment

Name of Director	Age, Date of Birth (No. of Shares held)	Qualification	Nature of expertise in specific functional area	Name of the companies in which he holds directorship as on 31st March, 2023	Name of committees in which he holds membership/ chairmanship as on 31st March, 2023*
Mr. Anil Sardana (DIN: 00006867)	63 Years 16.04.1959 (Nil)	An honours graduate in Electrical Engineering from Delhi University, a Cost Accountant (ICWAI) and holds a PGDM from All India Management Association	Mr. Anil Sardana has more than 43 years of experience in the infrastructure space, particularly in the Energy and Telecom sectors having managed complex transitions, developments & operations as well as Engineering, Procurement and Construction assignments. He had also worked at NTPC (14 years); BSES (7 years) and Tata Group where he spent 18 years. Mr. Anil Sardana holds a degree of bachelors' in engineering from University of Delhi. He also holds a Post Graduate degree in Cost Accountancy (ICWAI) and a Post-Graduate Diploma in Management. He has attended Top Management Program at the Indian Institute of Management, Ahmedabad.	- Adani Transmission Limited^{^ ^} - Adani Power Limited^{^ ^} - Adani Electricity Mumbai Limited - Adani Electricity Mumbai Infra Limited - AEML SEEPZ Limited - Adaniconnex Private Limited - Adani Data Networks Limited - Adani Electricity Navi Mumbai Limited - India Energy Exchange - Systems, Applications & Products in Data Processing (SAP) – Executive Advisory Board - UN women - Miraclefeet Foundation for Eliminating Clubfoot - Confederation of Indian Industry	- Adani Transmission Limited^{^ ^} - Stakeholder Relationship Committee (Member)

Notes -

^{^ ^}Listed Company.

*1. Represents Membership / Chairmanship of two committees viz. audit committee and stakeholders' relationship committee as per Regulation 26 of the SEBI Listing Regulations.

